

Neogen Chemicals (NEOGEN)

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May 22, 2023

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Listing Department, Exchange Plaza,
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Company Symbol: NEOGEN

Sub.: Q4 FY23 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q4 FY23 Earnings Conference Call held on May 15, 2023.

The transcript is also being uploaded on the company's website at
<https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Ltd.
Transcript of Q4 & FY'23 Earnings Call
May 15, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Neogen Chemicals Q4 & FY'23 Earnings Call.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you

need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, sir.

Nishid Solanki: Thank you. Good evening everyone and welcome to Neogen Chemicals Q4 FY'23 Earnings Conference Call for Analysts and Investors.

Today, we are joined by senior members of the Management Team, including Dr. Harin Kanani – Managing Director; Mr. Anurag Surana – Director; and Mr. Ketan Vyas – Chief Financial Officer.

We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A during which the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer:

Certain statements made or discussed on the conference call today will be forward-looking. The actual results may vary from the forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals Q4 FY'23 Earnings Presentation, which has been shared earlier.

I would now like to invite Dr. Kanani to share his perspective. Thank you and over to you, sir.

Dr. Harin Kanani: Thank you, Nishid. A very good evening to everyone and thank you for taking time out to join us on Neogen Chemicals Q4 & FY'23 Earnings Conference Call. Hope everyone is keeping safe and is in good health.

We reported our financial performance on Saturday, 13th May, 2023 and subsequently, circulated the result documents. I hope you had a chance to glance through them.

I will take you through the performance highlights, updates on expansion initiatives and the several developments that occurred during the period under review.

FY'23 was a landmark year for us. Not only did we report a solid financial performance, but also relentlessly worked towards executing several critical opportunities that would lay a strong foundation for our ambitious growth plans. We

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entered the year on a challenging note, mainly influenced by the Russia and Ukraine conflict that disrupted the global supply chain and resulted in a steep inflation in RM cost, utilities and adverse movement in foreign exchange rates. I am glad that we stayed nimble and navigated through these pressures to report a healthy performance in a difficult operating environment. I would like to thank all our employees who displayed resilience and supported us in this endeavour.

Let me quickly summarise some of the key financial highlights for the year:

Revenues grew by 41% to Rs. 686 crore as guided earlier, while EBITDA came in at Rs. 112 crore, higher by 29%. Profit after tax stood at Rs. 50 crore, an increase of 12% year-on-year.

Performance was steered by incremental contributions from expanded activities and demand for strong lithium derivatives, favourable product mix change towards value-added products as well as lithium prices. We continued to witness sharp volatility in input and logistics costs, volatility in pharma demand and lithium prices, which we were able to pass on to our customers with some time lag, thereby protecting the absolute earnings.

For FY'23, we reported 28% increase in organic chemical revenue which was largely volume-driven, while inorganic chemical revenue grew by 90%, a large part of which was on account of significant increase in the prices of lithium raw materials and the balance was from contributions by new customers that we added during the year. Having said that, RM prices linked to lithium have cooled off post-Q4, the impact of which will be visible in the current year.

I will now share some crucial developments that occurred in this quarter, which will steer our performance momentum going ahead.

First, we acquired 100% stake in BuLi Chemicals India, which owns the technology to manufacture n-butyllithium and other organolithium products using lithium metal. This acquisition was completed on 3rd May 2023, pursuant to which BuLi Chemicals has become a wholly owned subsidiary of Neogen Chemicals. The acquisition is expected to significantly boost Neogen's portfolio by offering a lithiation reaction to existing as well as to new pharma and agrochemical customers.

In addition to this, we will further strengthen and be able to scale up the advanced intermediate and CSM manufacturing business.

Secondly, in a major development, we signed a landmark agreement with MU Ionic Solutions Corporation, Japan (MUIS), a Mitsubishi Chemical Group Company, to acquire technology licence for manufacturing electrolytes in India. This is a historical

development for us as MUIS, a global leader in electrolyte manufacturing, has issued its first ever licence to anyone in the world, and they have chosen Neogen Chemicals. This will bolster our growth initiative in the battery chemicals space. It will ensure that our electrolyte plant meets the stringent global standards for quality, reliability, safety and efficiency, while helping greatly in reducing the approval time for lithium-ion battery makers.

Both these developments are a testament to our promise and commitment towards building a solid foundation for the future. I believe this will significantly strengthen our competitive position in the market as we expand our R&D prowess across several chemistries to offer deep value to our customers.

Moving to our expansion plan:

Our CAPEX initiatives are underway and well on track. We have increased our reactor capacity for specialty organic chemicals by 31 meter cube in Q3 and Q4-FY'23 and an additional 29 meter cube will be added by September '23 as per earlier plan.

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Within inorganic chemicals, we completed the expansion of our lithium salt to install up to 2,400 metric ton, which is coming from 30-meter cube of reactor volume by March 2023, one quarter ahead of schedule.

For battery chemicals, the new capacity for 400 metric tons p

er annum for

manufacturing specialty electrolyte salt and additives will be commissioned by June or July 2023 as per earlier guidance.

The manufacturing plant for 1,000 metric ton of electrolyte at Dahej is also expected to be ready by September 2023 as per our earlier guidance.

Further to this, we have started basic engineering work for the expansion project announced in the previous quarter and the same is being planned in a phased manner.

However, post our announcement with MUIS, some of these projections around battery chemicals, including the capacities and revenues will change and we will come back to you in a couple of quarters to share further details around that.

Our planned efforts to increase the contribution of advanced intermediates and custom synthesis and manufacturing is on the right track and we are witnessing higher contribution from value-added products that require multiple steps.

In line with this, we are strengthening our R&D competencies. During the year, we added 82 new customers, which contributed 7% to our revenue both within India and globally, taking our total customer tally to almost close to 1,550 customers. Currently, we have a total of 245 products in our portfolio and additionally working on 25 new products in our R&D which has a future demand potential of almost close to around Rs. 2,000 crore.

Let me conclude by saying that we are prepared to embark on the next phase of expansion, showcasing our proficiency in multiple intricate chemistries and manufacturing capabilities at a larger scale. The demand situation remains favourable and our goal is to sustain this profitable path of growth.

That ends my opening thoughts. I would now request our CFO – Mr. Ketan Vyas to share financial highlights for the period under review.

Ketan Vyas: Thank you, Dr. Harin. Good evening everyone, and welcome to our Q4 & FY'23 Earnings Call.

I will take you through the key financial highlights. Please note that these are on a standalone basis and based on year-on-year comparison. In Q4-FY'23, revenues grew by 30% year-on-year to Rs. 203.9 crore and FY'23 they grew by 41% year-on-year to Rs. 686.2 crore.

The Company achieved its highest-ever revenues, driven by higher contributions from expanded capacity, a consistent demand situation and a positive shift in the business mix towards value-added products.

Organic chemicals saw revenue growth of 39% year-on-year at Rs. 138 crore in Q4-FY'23, whereas inorganic chemicals revenue increased by 14% year-on-year at Rs. 66 crore.

In FY'23, organic chemicals saw a growth of 28% year-on-year at Rs. 463 crore, whereas inorganic chemicals grew by 80% year-on-year to Rs. 223 crore.

The domestic and export mix for Q4-FY'23 stood at 55% and 45%, respectively. EBITDA increased by 22% year-on-year at Rs. 32.6 crore in Q4-FY'23 and 29% year-on-year at Rs. 111.6 crore in FY'23. The Company managed to achieve better EBITDA performance even though there were considerable fluctuations in input prices, utility costs and adverse forex movements. This can be attributed to a positive

shift in the product mix. Although there was an increase in cost of components, it

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was broadly in line with expansion of revenue and when viewed as a percentage of overall revenue, the cost remained stable.

The PAT performance for Q4-FY'23 stood at Rs. 14.3 crore and in FY'23 increased by 12% year-on-year to Rs. 50.1 crore. The Company's PAT performance remained robust despite several challenges. The finance costs were higher due to ongoing expansion initiatives and higher interest rates compared to the base year. Moreover, the depreciation was high related to incremental reactors added during the year, which have not reached full utilisation yet.

Net debt after including current maturities of long-term debt stood at Rs. 265 crore in FY'23.

Premised on a strong performance during the year, the Board of Directors has recommended

a final dividend of Rs. 3 per share for FY'23, subject to shareholders' approval.

Those were the key financial highlights. I will now request the moderator to open the forum for Q&A session.

Moderator: We will now begin the question-and-answer session. We have our first question from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: First question on the BuLi Chemical. Is there any seasonality in the business or would the revenues be equally distributed in the quarters?

Dr. Harin Kanani: Whatever we have seen so far, this should be more or less uniform because it goes to pharma customers. However, the BuLi Chem people were actually focussing only in the India market, whereas we have an opportunity to also sell this internationally in markets such as Japan, Korea and Europe. So, we are still not aware if there is seasonality or if the revenues in the international market would be a bit lump depending on our business development activity. At present we can estimate that, may be this quarter, we have just completed the acquisition and are now getting ready to start operations, importing the raw material and other things on our own. But from Q2, Q3, Q4, you should see more or less uniform revenues coming in.

Saurabh Kapadia : What is the utilisation level for that plant and what would be the peak revenue that you can achieve from this current capacity?

Dr. Harin Kanani: N-butyllithium is heavily dependent on lithium prices. So subject to lithium prices, it will be somewhere between Rs. 50 crore to Rs. 125 crore kind of revenue potential depending on how much lithium prices move forward. For the current year now that the lithium prices have cooled down a bit, I expect somewhere around Rs. 50 crore to Rs. 75 crore revenue contribution coming in additionally from this business.

Saurabh Kapadia: Coming to our business, what is the utilisation level for the organic capacity and by when should we reach the optimum level?

Dr. Harin Kanani: At our peak utilisation with our existing installed reactor capacity, it was somewhere around Rs. 150 crore per annum and we are at around Rs. 130 crore to Rs. 135 crore kind of revenues as you see from our results. In addition to that, our new reactor capacity is coming online. With this new capacity coming online, the total peak organic revenue potential would be Rs. 175 crore to Rs. 180 crore per quarter. However, I think our capacity is coming online by September and may be sometime in FY'25 we can reach this peak revenue potential of close to around one Rs. 175 crore to Rs. 180 crore.

Saurabh Kapadia: Lastly, on the working capital. If you look at the working capital, it has further deteriorated compared to last year. How should we look at improvement and by when will that improvement come through?

Dr. Harin Kanani: Basically as we have stated in our last two calls, we were going through a significant change along with an increase in our capacity, increase in product mix and due to

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that there was a higher working capital requirement especially when we were getting the capacity to full utilisation levels. So, if you see, for example, our inventory increased drastically - from almost Rs. 189 crore in March '22 to Rs. 282 crore by September 2022. In the first 6 months, we did a revenue of around Rs. 300-odd crore. Now in the second half, we increased it further from Rs. 300 crore to Rs. 400 crore, but the inventory has remained more or less stable. To sustain the current level of business we need somewhere around Rs. 280 crore to Rs. 300 crore kind of inventory but as our utilisation improves and as we reach our peak revenue potential, in terms of number of days, we would improve. If you look from even September to March, we have improved almost by 25 days and by FY'24, our target was to reach

inventory levels of around 120 days on net sales. So, we will again target the same - that by

FY'24 we will reach peak utilisation in our Dahej and other facilities and we hope to reach about 120 days to 125 days on the net sales basis inventory levels (which would be) more or less similar to what we had in FY'21.

Moderator: Thank you. We have the next question from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: My question is on the tax rate. In our earlier conversations, you had guided that for FY'24 our tax rate will be in the range of +/-25% or +/-22%, but if I look at the FY'23 number, the tax rate is about +29%. So, can you guide us on how tax rate will be in coming years?

Dr. Harin Kanani: We have completed majority of our CAPEX in Dahej and when we do higher CAPEX, it creates that additional depreciation, etc., which does not give us a tax level significant profit which is basically contributing to a higher tax rate. Since we have now completed majority of the CAPEX in Dahej in Neogen Chemicals, we have only limited CAPEX remaining. With Dahej now reaching full utilisation levels, over the next 2 years we expect to first start with around 22% to 25% and then later on move to 20% to 22% tax rate over the next two financial years. This is our estimate based on our current projections for Dahej.

Nilesh Ghuge: On the top line guidance – I know that you are continuously guiding us on FY'24's top-line, but with the recent n-butyllithium 100% acquisition, can you guide us on the FY'24 and then FY'25 top line number?

Dr. Harin Kanani: Originally if you remember, our FY'23 guidance was around Rs. 600 crore and we have done Rs. 686 crore but that was mainly driven by the historically very high lithium prices, which we basically passed on to our customers. If I were to make a correction of that, we would be somewhere closer to Rs. 600 crore to Rs. 615 crore in that range. Now in the current year, we have seen that the prices have reduced drastically and have come down very close to what the original prices were, although they are still higher than the original prices. Previously we had given the FY'24 target of around Rs. 750-odd crore of revenue. With the acquisition of BuLi Chem, what we estimate is at least Rs. 800 crore to Rs. 825 crore kind of revenue coming in on the back of stable lithium prices and depending on how the lithium prices fluctuate, it might be somewhere closer to around Rs. 850 crore to Rs. 875 crore, or in that range. Basically, if we remove the lithium price correction, we are looking at a 25% to 30% growth in our regular business including the BuLi Chem business. Similarly on EBITDA also, we expect around 25% to 30% increase over our current year's EBITDA performance. The exact top-line will depend upon how much lithium fluctuates during the year.

Nilesh Ghuge: Absolutely. Correct me if I am wrong. As you mentioned in your initial comment that lithium prices corrected but are still at an elevated level. With that current lithium prices, you are guiding Rs. 850 crore to Rs. 860 crore for your base business for the ex-butyllithium.

Dr. Harin Kanani: Our base business was supposed to be around Rs. 750 crore on stable lithium prices. With BuLi Chem and with slightly elevated levels of lithium prices, it will be

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somewhere in the range of Rs. 800 crore to Rs. 825 crore. Again, if the lithium prices start moving up significantly, then it might reach somewhere around Rs. 850 crore to Rs. 875 crore - in that range.

Basically, on stable lithium prices, we would estimate a 25% to 30% increase on the base revenue of around Rs. 600 crore as well as 25% to 30% increase on our EBITDA levels. That is for FY'24. For FY'25 again as we reach full utilisation levels by FY'25-26 as we have given the guidance, depending on the prices of lithium, we should be somewhere between Rs. 900 crore to Rs. 1,050 crore and this is based on the CAPEX which we have committed till now for our regular business and BuLi Chem. Basic

ally, we consider BuLi Chem a very similar to our existing business because the end-user industry is pharma, agro and similar to that.

Nilesh Ghuge: Just one clarification I needed. You mentioned that you will again revise your CAPEX for your electrolyte, may be after 2 quarters? Is it correct?

Dr. Harin Kanani: I think maximum within two quarters, we should have a clear idea on the CAPEX in terms of how we are going to phase to the 30,000 metric ton.

Nilesh Ghuge: Then after that you require minimum 18 to 24 months to put up the plant and get the facility up and running?

Dr. Harin Kanani: After that we would require somewhere around your 15 to 18 months.

Moderator: Thank you. We have our next question from the line of Sabyasachi Mukerji from Bajaj Finserv AMC. Please go ahead.

Sabyasachi Mukerji: Sir, my first question is on the gross margins. If I look at the gross margins for the current quarter, you have been doing 43% to 44% gross margins in Q1, Q2, Q3, but it dropped to 40% levels (in Q4). The inflated prices were there in Q1, Q2, and Q3 as well. I understand that math but what is the exact reason for this dip and how should we look at gross margins going ahead?

Dr. Harin Kanani: The main contributor for this is the peak lithium prices because lithium was at its peak price in December-January, which is the inventory that we consumed by March. So that was one of the factors driving that. Historically, as we have said, previously we used to always say our gross margin is 40%, +/-2% and in the last call, we had said that it is now more like 42%, +/-2%. So, it has moved 2%. So, depending on year-on-year or quarter-on-quarter; and again gross margin, the advance and the manufacturing cost goes hand-in-hand because depending on the product mix, some products have slightly better gross margins, but then the processing cost could be higher. So overall we have said there is a 2% shift on that and we maintain that. It will be 42%, +/-2%, in a normal case barring some large movements in lithium prices or other raw materials prices.

Sabyasachi Mukerji : There is a comment in the press release as well as in the presentation that you have seen a noticeable shift in the share of value-added products. If I just adjust the revenue of Rs. 686 crore to let us say Rs 600 crore or Rs. 615 crore that we have been saying, eliminating the inflated part because of the lithium prices, your gross profit of Rs. 298 crore on a base of Rs. 615 crore translates to a gross margin of 48% and EBITDA margin of again – Rs. 112 crore upon Rs. 615 crore is around 18%. On Rs. 615 crore this gross margin looks very elevated - the shift of value-added products and the CSM business...if you can guide whether this is sustainable. Would we be looking at 47% to 48% gross margins in the near term?

Dr. Harin Kanani: There are a few molecules which gave us that and ultimately, we will see. I feel the high lithium prices are going to be, may be for one or two years more. Then they will stabilise. But based on whatever I see now, my guidance would be gross margin of 42%, +/-2% that we should look at in the near term, till we have certainty on gross margins better than that. We will let you know.

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Sabyasachi Mukerji : My next question is on lithium salt and electrolyte. Just wanted to know about the manufacturing process. I understand that we will start with the lithium carbonate that we will import but if I look at LiPF₆, what are the other key raw materials and if fluorine is a raw material then how is your readiness in terms of having fluorine or HF plant? Are we thinking of getting an HF plant? What would be the thought process on that?

Dr. Harin Kanani: For the other raw materials also, they are domestically sourced and we work with some of the domestic producers, sometimes multiple of them, and we have a basic understanding in place for long term supply contracts or supply security with them. We can

get into the final contract, just like we can do with lithium, once our customers start signing up long term contracts. But we have already reached an understanding with the suppliers of other raw materials of HF and phosphorus raw materials required for making LiPF₆.

Sabyasachi Mukerji: Lastly, my question is on the BuLi Chemicals. If you can please explain the need of this lithiation reaction and LiPF₆ because if it is one of the few plants just outside China and Neogen has now access to it. So why is the revenue so low, just Rs. 82 crore and that also I believe because of inflated lithium prices. What is the kind of revenue potential that you see in the next 2 to 3 years from this?

Dr. Harin Kanani: You have to basically remember that the existing plant was set up by Livent and Livent had its own plant in the US. They had a plant in the UK, and in China. This was their fourth plant. Originally, they set it up in India as a trial facility with the plan that they will expand it in future if the demand picks up in India. They basically kept it at that level. So, when it was Livent and they had multiple locations worldwide, which were taking care of the world demand and this was only based upon the India demand. When we start with this plant, with the existing capacity, as I said, depending on the price of the lithium the revenue potential can be somewhere between Rs. 50 to 125 crore. Now we are trying to do things to de-bottleneck, to get additional production permissions. We may also consider expansion in future if needed. But at present with the capacities which are in place, this is the revenue potential.

Sabyasachi Mukerji: What is your margin profile of this asset?

Dr. Harin Kanani: It goes more a little bit on absolute terms just because like I said price of lithium is one of the key contributors. So, lithium metal is even more expensive than lithium carbonate. From a percentage point of view, it varies quite a bit depending on the lithium prices. We should be able to get the existing EBITDA levels or even better in that. Also, as we operate this more we should be able to give you a better guidance on what is the future revenue potential. We are also exploring, as I said, the international markets and not just domestic markets. It is also a complex commodity to ship worldwide. So, let us do some more trials and understand, then we can give you further better guidance on that. However, the main interest that we also have is if we can use this for making more complex or more value-added advanced intermediates.

We also hope that the significant portion of this is consumed in house by our Dahej unit for the lithiation reaction and that will allow us to increase the contribution of either CSM or advanced intermediates and basically be the stepping stone on which or the foundation on which we can plan our future growth. Just as we have been using our expertise in bromination and Grignard, with this, we are becoming better in lithiation which will allow us to attract more projects related to lithiation and therefore have one more long-term growth area where we can base our future expansion and achieve growth in our regular pharma and agro business.

Moderator: Thank you. We have the next question from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

Sudarshan : Sir, my question is to understand a little bit more on the organic segment of the business. You talked about the supply demand scenario being a little challenging

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post China and Russia issues. On this side specifically, if you are going through sub segments at pharma/non-pharma, are we seeing any kind of weakness in terms of demand in the sub segments?

The second (question) is on the supply demand scenario. We have actually seen a fair amount of volatility in terms of end prices as well as the raw material prices. If I just take the kind of guidance of either Albemarle or IC

L, I mean they have called out

for near term weakness, it might not be an apple-to-apple comparison but believing that the near-term inventory that would be allayed from a longer term perspective, just wanted your thought process on the raw material prices as well as your main product.

Dr. Harin Kanani: We have seen lithium prices, as I mentioned, reach the peak in December and then even January they were a bit uncertain. But from February-March onwards we have seen a step-by-step decrease and we even saw at least the near term bottom in April and then we saw lithium prices and other prices again pick up. We do not know whether that will sustain and if it again goes back, because it is very difficult to predict. Mainly what we feel is that just as India worries a lot about all its imports and especially oil imports, lithium at those price levels and with the contribution, with the amount of business which happens for lithium-ion batteries in China, China's import bill was also going very high because of the high lithium prices and I think the country as a whole seems to have done collective inventory correction to put pressure on lithium miners and we believe that is what corrected the price. However, whether they can sustain that, because the demand for EV, the demand in the US for electrification, for energy storage continues to remain high. Ultimately, I feel, in the near-term, the prices should again move up for the next two years. Like I said the next two years are going to be volatile and after that it should stabilise and a long-term new lithium average price (should emerge). So, this is my view on lithium.

Sudarshan : I was referring more on the bromine side since you have already commented on this.

Dr. Harin Kanani: On the bromine side we have seen that the worldwide flame-retardant (FR) market especially in China has become weak. As we said earlier in our calls, 90% of the bromine gets used for bulk bromine. At least from what we can tell or what we have got as feedback is that the demand of flame-retardant has reduced significantly. Part of it is because ICL and Albemarle have increased their capacities and part of it is just a lower demand because less exports are happening in the international market with a weak climate worldwide. Because of this high FR inventories and low FR demand the bromine prices have corrected significantly. That has been the major reason, in my view, for the correction in the bromine prices.

Sudarshan : Would we be able to take advantage - lap it up - because if the inventory correction happens and the demand picks up it could go up, so I would assume a part of the working capital would be towards this as well?

Dr. Harin Kanani: Our aim always is to basically pass on the benefits as well as the pains to the

customer. So, in this case also we have not looked at benefiting from it and historically also we have been able to pass it on. If we have some inventories, majority of this we are able to pass it on to the customer and make sure we average it out or something. Q1, Q2 you may see some fluctuation, but overall, when I look at the whole year we should be more or less okay.

Sudarshan : On the organic side given that again on the non-pharma side we are seeing some kind of mixed commentary that there could be lower prices and higher inventory, etc. How do we see the demand for pharma and non-pharma part for the year?

Dr. Harin Kanani: Overall, we do see there is a slight demand weakness. There is more Chinese competition. But this is what we have shared with you historically that at Neogen we always believe in having a visibility for a large number of businesses and then keep moving from one product to another. If we see slightly weaker demand in one product we move to another. Also we constantly have a pipeline of new products. So, even

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last year, almost 7% to 8% revenue came in from new customers. These are the customers

with whom we did business for the first time and similarly completely new products also contributed more than 10% of the revenue. So, we ensure that we are not dependent on a single molecule; we have multiple products and we have a pipeline of more products and customer approvals. That basically ensures that we can protect our margins even when demand is a little bit weak or competition is a bit stronger.

Moderator: Thank you. We have the next question from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: I am just taking the earlier question forward. You mentioned that for next couple of years we will be having 20% to 25% overall growth. What are the user segments that we are looking at from our growth perspective? For both, organic as well as inorganic business.

Dr. Harin Kanani: In the organic business, we continue to do pharma, agro and as mentioned earlier we are seeing also good traction from flavour and fragrance industry. So, we might have some contribution coming in from them also in the future. These are the three areas for organic segment.

In the inorganic segment, in our non-battery lithium application we have added several new applications of lithium salts related to ceramics, related to some specialty water treatment applications and others. Also, we sold more quantities internationally for the engineering or the vapour absorption industry. So, I think this international vapour absorption and the new industries that we added will continue to remain the growth drivers in non-battery lithium. Also battery materials we will keep adding as our plant for electrolyte salt and electrolyte will come online in the current year. These will be some small revenues and sales which we will be doing. But the larger increase will come from FY'26 onwards when the majority of the Indian chemicals are likely to start.

Rohit Nagraj: So, this 20% to 25% growth in legacy business is predominantly volume driven?

Dr. Harin Kanani: Yes. Actually I said 25% to 30% in the next year, in FY'24. But yes, that is from the legacy business.

Rohit Nagraj: The second question is on the Mitsubishi collaboration. Will we be having access to the recipes as well apart from the technology access?

Dr. Harin Kanani: Yes. It is an agreement with the MUIS Mitsubishi Chemical Group Company. So, currently the agreement is for manufacturing technology and we also have access to the recipes, but the recipe agreement will be combined because the customer has to choose it. So, it will be Neogen, Neogen's customer and MUIS that will work together for that recipe which is beneficial for that particular customer's design. If the customer chooses it, we can use the recipes in the new plant.

Rohit Nagraj: Just one clarification. So effectively in this case they will have some royalty payment?

Dr. Harin Kanani: When we use the recipe there will be a royalty payment.

Moderator: Thank you. We have the next question from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My questions are on electrolyte business only. Where are we at this stage? Are we through the lab testing stage, are we through the validation stage or are we at the qualification stage? If you can also talk about what is the number of customers we have given the samples and all those things?

Dr. Harin Kanani: We currently have, like in the past also we have shared, we work with 15 to 20 potential cell producers who want to produce or who plan to manufacture cells in India. Many of them who have an ability to test the samples have taken our samples and have started approvals. Some customers have completed the first chemical

evaluation and then moved on to electrochemical evaluation and now some customers have even initiated a small actual line trial. So, instead of just testing in the lab, they are actually going to make a few thousand cells with it and do the trial

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on that. So, that also is in actual terms the capacity of what cells they can make today. More or less our electrolyte production scale is happening to match as our customers get ready. We are ready before the customer demand exists. In fact, by September we are planning to start the 1,000 metric ton electrolyte plant. That can also support one gigawatt cell production 1-to-2-gigawatt hours of self-production. So, even that will be ready, and before the customer demo plant starts.

Aman Vij : I wanted to understand that part only. If you want to sell 10,000 tons or eventually 30,000 tons, it will require India production capacities of somewhere between 10 gigawatt to 30 gigawatt hours. Are you seeing these kind of capacities will be present in India in the next one or two years or maximum three years?

Dr. Harin Kanani: Yes. As I explained to you in our answer to the previous question that we already have a plan to reach up to 10,000 metric tons which was announced before MUIS agreement. Now with the licence that we have with MUIS, we can increase up to 30,000 metric tons. So, 1,000 metric tons was already put in motion. And we are not stopping that 1000 tons. We are going ahead and completing that and it is on track. But we have some time to decide or fine tune our 5,000, 10,000 and 30,000 metric tons and ultimately what we want to reach. So, we are currently fine tuning that. That is, when will the 10,000 metric tons happen; when will the 30,000 metric tons happen. We have said that we will share it in the next two quarters. As in the previous question, when I answered, it is two quarters for finalising the plan and then after that it is around 15 to 18 months maximum of build time. So, within the next two years, technically we can be ready even with 30,000 metric tons.

Aman Vij: On this agreement which we have with MUIS, I think you had mentioned clearly last time that there is some kind of restriction for us to export outside India or we have to take permissions. So just wanted to understand your thoughts because if you already had some kind of technology and my understanding is that there are export opportunities in the US and there is a lot of big opportunities coming which wants to look at China plus one. So, any reason why are we leaving out such a big opportunity by getting into this agreement? Domestic is obviously good and it will also grow, but why leave out a much bigger business outside India?

Dr. Harin Kanani: I think Neogen's strategy was very clear. Lithium salts was an international opportunity because that is an investment which we can do internationally anywhere. That is something which we are still looking at and we feel that once our trial facility starts there are many international companies with whom we have discussed, including MUIS, which are electrolyte producers and to whom we can basically supply electrolyte salts. Now electrolyte business Neogen always felt that we wanted to do it domestically because there is a good domestic opportunity and this business is, even historically, always localised because of the need for special tanks and logistical complexities. So, therefore, since our focus for electrolyte was only India and electrolyte salt was international and this agreement in any way did not stop us from both our focusses. So, that is why we are okay with that.

Aman Vij: Just the final question on this part sir. If pricing of this electrolyte has gone up a lot and then from \$50 to \$70 to almost \$15 to \$20 now and may be it is going up and down a lot. Are we thinking of entering into some long term contracts so that our margins get protected? Otherwise these kind of fluctuations might result in...I do not know how as a company we will manage all these things. So if you can talk about our thinking in terms of long term contract with our potential customers?

Dr. Harin Kanani: We have seen that historically most large volume users would basically d

o a long

term contract or at least a long term kind of a price model. So, we also worked on similar, not similar I would say, a little bit less complex business on lithium bromide

and which we have done for last 30 years with engineering companies which basically want to use this as say 10% of their cost contributor. Just as in the self-production electrolyte is also 10% cost contributor. So, in some sense it is very similar business and even that also worked basically on a cost-plus basis and with long term understanding where we did not insist on long term contracts, but we feel because here we have to put significant capacity. So as our customers get ready

with their plans, we will enter one by one into long term contracts with these customers and most of them should be such that our ROEs and ROCs are basically protected.

Moderator: Thank you. We have the next question from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir, my first question was regarding our electrolyte capacity. Since we are already going to add 1,000 metric tons of capacity using our indigenous technology, will it be safe to assume that the rest 9,000 metric tons which we had formally announced or whatever the changes will be, the rest of the capacity will use the new technology that we have acquired, given that we have acquired a global technology, we have the licence for a global technology and will not really require the indigenous technology anymore? Just wanted to know your views on that.

Dr. Harin Kanani: Again, exactly how we are growing beyond 1,000 metric tons is something that has to be done based upon the timelines for implementing the international technology versus the timelines of my customer requirement and what solutions, if at all, the intermediate is required. So, how we will grow from 1000 to 30,000 metric tons is something that we will share a little bit more clearly over the next one or two quarters.

Yash Shah: Sir, my second question was regarding again regarding the same tie-up which we had with MUIS. This has given us a significant advantage as compared to our peers or the new entrants into this segment. What was the reason we did not enter into an exclusive contract with them? What were the bottlenecks on that front? The reason I am asking this is because maybe the peers could also enter into a similar agreement with other players - not the same one but say with number 3 or number 4?

Dr. Harin Kanani: This is the first time ever when MUIS basically decided to open and share their technology with anybody outside of their group. So, convincing them for that itself was a very huge task. But as a Japanese company and from whatever we have seen, whenever we work with Japan, whenever they give technology, they are very reluctant to get into exclusive contract because there is always a fear that in case if there is non-execution on the side of the technology recipient, then they get bogged down. So this was something that was basically a Japanese wish - MUIS's wish - which we had to agree upon. Although, there is a strong understanding that they will always work in such a way that Neogen's interests are protected and their intention is that Neogen becomes successful and hopefully we together can convince our customers to use MUIS' recipes also and they can have a future revenue source coming in from that.

Yash Shah: Sir, another question which I had was on the salt front. Even though we have mentioned in our presentation that we do not really intend to basically sell the salt outside, but then it is one of the options which we have. Wanted to understand your views on how do we basically expect to compete with the Chinese and the Korean prices of the LiPF₆, LiPFSI salts?

Dr. Harin Kanani: In the presentation we never said we do not intend to sell the salt internationally. We just said that the capacities that we have planned are mostly keeping

in mind our

Indian internal requirement because we do not have a number yet on the international demand. But our efforts are always to try to sell the salt internationally because that is a bigger market in general.

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With regard to competition with China and Korea, majority of this is really China. There is very limited capacity in Korea and there is very limited capacity in Japan and they are planning to expand very limited volumes which will not take care of the rest of the world's demand, especially in Europe and the US. So, therefore, there is going to be additional electrolyte salts required. Now some of that may come from new plants in Europe, new plant in the US although they will take longer than us because we have moved earlier and our demo plants are getting ready. So, we would have the early mover advantage as well as lower cost advantage as compared to, if at all, any plants are set up in Europe and the US.

Now as compared to China, historically what we have seen is that between China and Japan the price difference when lithium prices and everything else was stable was roughly around 20%. So, we feel, if a Japanese company also could make with a 20% higher cost as compared to China, maybe with our cost advantages we should be somewhere around 10% or so costlier in worst-case scenario as compared to the Chinese at a comparable volumes and level. We are basically banking on that and we are also hoping that there is enough interest for a non-chinese source from a de-risking point of view to offset this 10% higher cost. If we are able to do some

process improvement, (bring in) efficiency or give comfort on better quality, just as we do in our pharma and other intermediates, we can justify the higher cost or with the process improvement, reduce the cost and match the Chinese price.

This is the long term view. But again we have to start making the salt first. The first target would be to match the global expectations on quality and then we would try to meet the other target so that we can establish a good international demand for the electrolyte salts as well.

Yash Shah: The final question from my end. This was regarding our organic business. From the last two quarters we have been mentioning witnessing strong traction on the F&F front - of flavours and fragrances. Now with the return of China, have we been facing any kind of pressure on that front? Also we had mentioned that we had added five new customers in flavours and fragrances and agrochemicals and engineering segment. How many new customers have we added in F&F space throughout the year in FY'23 and how do you see the mix moving in the coming year? How much contribution do you expect from F&F?

Dr. Harin Kanani: We do not have a number for you yet. The only thing we have seen is a good number of projects and many are in the CSM space and many are in the advanced intermediate space - basically some places where they are transferring technology and some places where they are asking us to develop the molecule for them, with a keen interest to buy these molecules. All these projects are moving. So far we are at trial volumes like 500 kg, 1 ton level. But we feel in FY'24 it will move significantly. Although I would still say it will be clubbed in our other segment. I mean I am not expecting a 10%, 15% because regularly our top line is growing. But yes, we are building new partnerships and over the next two, three years whenever we do our next MPP plan or a major expansion in organic area, this is one more area which we can bank upon to provide further growth in revenues beyond FY'25-26.

Moderator: Thank you. We have the next question from the line of Omkar Kamtekar from Bonanza portfolio. Please go ahead.

Omkar Kamtekar : First, I needed some granularities on the results. In the revenue break up, we can see that 45% are exports and 55% are domestic. Can you give us a region wise break

up of how much of export is in which specific area?

Dr. Harin Kanani: We have not shared that I think since IPO day. But majority of our exports are to Japan, Europe, some to the USA and some is deemed export which is basically to SEZ and EOUs in India.

Omkar Kamtekar : In the revenue breakup of the inorganic/organic segment, could you give user wise breakup of how much is for pharma, how much for agri?

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Dr. Harin Kanani: Usually pharma is between 50% to 60% - in that range. The agro business has been between 15% to 25% revenue contribution, the engineering around 10% to 15% and the remaining industries is about 5 to 10%.

Omkar Kamtekar : Next is sir I wanted to know what would be the approximate CAPEX that you would incur for the battery businesses. We have told in the previous announcements also that we are setting up a wholly owned subsidiary and we will be focussing on the battery business as one of the driving forces for the growth. So, approximately what would be the expenditure and over what timeline?

Dr. Harin Kanani: We had shared this in our investor presentation; you will get a little bit more detail from there. We had shared a CAPEX of approximately around Rs. 450 crore in our lithium-ion battery which we have already started and it will over a period of time, going up to say FY'26. So over next two years. But again, this is the number for 10,000 metric tons per annum capacity. We will again review this as we review our plans for 30,000 metric ton.

Omkar Kamtekar : My actual point was, I got the impression that may be that Rs. 450 crore was for the full 30,000 metric tons. So I wanted to clarify.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Dr. Harin Kanani: Thanks to all the participants for joining the call. I hope we were able to address your queries. If you have any further questions, please feel free to reach out to our Investor Relations team and we will address them. Thank you once again, stay safe and we will look forward to connecting with all of you again in the next quarter.

Moderator: Thank you. On behalf of Neogen Chemicals Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

The transcript has been edited for clarity. Although an effort has been made to ensure high level of accuracy, it may contain transcription errors for which the Company takes no responsibility.

Call: Sep 2023

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August 14, 2023

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Scrip Code No: 542665 National Stock Exchange of India
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Company Symbol: NEOGEN

Sub.: Q1 FY24 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q1 FY24 Earnings Conference Call held on August 7, 2023.

The transcript is also being uploaded on the company's website at
<https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q1-FY'24 Earnings Conference Call Transcript
August 07, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Neogen Chemicals Q1 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions when the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon everyone and welcome to Neogen Chemicals ' Q1 FY24 earnings conference call for investors and analysts.

Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director, Mr. Anurag Surana – Director and Mr. Ketan Vyas – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A, where the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward looking. The actual results may vary from these forward -looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q1 FY'24 earnings presentation which has been shared earlier.

I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you and over to you, sir.

Harin Kanani: Thank you. Good afternoon everyone and thank you for joining us on Neogen Chemicals ' Q1 FY'24 Earnings Conference Call. We reported our first quarter financial results on Saturday, 5th Aug, 2023 and subsequently, circulated the result documents. I trust you have had an opportunity to glance through them. I will begin by taking you through the performance highlights, expansion initiatives and key updates, following which our CFO Mr. Ketan Vyas will share the financial performance.

I am glad that we have continued the momentum and entered the new financial year on a promising note especially on the backdrop of challenging global scenario aggravated by persistent inventory de-stocking, swift re-opening of China, continued pressure from Russia -Ukraine conflict as well as slowdown in several developed markets. All this has led to softening of raw material costs and resul

tant realisations,

thereby impacting the volume off-take for the industry. Given the resilience of our

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business model and quality of product offerings, we were partly insulated by this impact, the credit for which also goes to our team who remained agile and traversed through these headwinds. Let me underline that the demand for our products continues to be robust and visibility going forward also remains positive.

Now, let me share a quick summary of our consolidated financial performance for Q1 FY'24.

Revenues grew by 11% to Rs. 165 crore, while EBITDA came in at Rs. 28 crore, higher by 14%. Profit after tax stood at Rs. 10 crore. Increase in the topline was in-line with incremental capacities added in Organic and Inorganic Chemicals through brownfield expansion. Growth in EBITDA was a combination of softening RM prices linked to lithium and favourable business mix.

In Q1 FY'24, we registered strong gains of 35% in Organic Chemical revenues led by both volumes and better realisation for select products over last year, whereas Inorganic Chemicals reported a de-growth of 25% largely on account of lower prices of Lithium raw material as compared to Q1 FY'23, while volumes remained intact.

In an important achievement:

- Neogen Ionics Limited (100% wholly owned subsidiary of Neogen Chemicals housing the battery chemicals business) made its first commercial sale of trial quantities of electrolyte. This is just the beginning of our ambitious foray in battery chemicals segment.
- Separately, during the quarter under review, BuLi Chem commenced commercial production and sales under Neogen Chemicals. While revenue was not very meaningful in Q1 FY'24, this is expected to significantly increase from Q2 FY'24 and in the second half, give full realisations.

- Our agreement with MUIS is taking concrete shape and we expect the design work of the new plant to be concluded before the end of this year, as planned.

Moving your attention to several other updates during Q1 FY'24:

- First, on electrolytes, we are in active discussion with 3-4 Indian cell manufacturers where commercial terms including discussion around memorandum of understanding (MOU) are being considered. We are hopeful of positive outcome from the ongoing discussions.
- Even for Lithium Electrolyte Salt supplies, we are engaged with more than 10 international

potential customers thereby giving us the confidence and visibility for assured volume off-take.

- Based on demand projection and future visibility shared by our customers, we may consider setting up higher capacity for both, Electrolyte as well as lithium electrolyte salt, which will be communicated in due course.
- Considering the above developments, enabling resolutions have been proposed for Equity Raise.

Now, a quick update on our expansion plan.

Our CAPEX initiatives are progressing well.

- Brownfield expansion of specialty organic chemicals' by 29m³ will be commissioned by March 2024, while 31m³ was already commissioned in Q4 FY23 and has started contributing.
- Expansion of Inorganic chemicals capacity from 15m³ to 30m³ in existing inorganic MPP was commissioned in March 2023, the positive contribution of which will be visible from the current year and will receive full utilisation in the next two years' time.
- For battery chemicals, new capacity of 400 MTPA (92m³) for manufacturing lithium electrolyte salts and additives is expected to be commissioned by September 2023, while plant for manufacturing 1,000 MT of electrolyte at Dahej facility is expected to be ready before December 2023. This is in-line with battery capacities coming up in the country.

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Once commissioned, we expect our growth trajectory to accelerate in both,

existing

business and battery chemicals. Overall, we remain positive on the long-term prospects and maintain our revenue guidance of Rs. 900-1,050 crore by FY25/26 in existing business and Rs. 1,000 -1,200 crore by FY27 in battery chemicals. Revenue projection for battery chemicals is being considered for revision post MUIS agreement, as highlighted previously and we will be in a better position to comment on this by the end of the year.

Let me conclude by saying that we are excited about the next phase of growth that lies ahead. Our CSM business especially, as we indicated, in flavours and fragrances is also progressing well and the first trial productions for several agro-chemical customers are also going as planned in the current quarter which will allow us to build the pipeline for the next quarter.

We are now poised to garner a significant share in battery chemicals given our domain expertise. Various initiatives undertaken in the past will bolster our offerings, strengthen our market position and relationships with our valued customers. Neogen will continue to leverage its expertise in complex chemistries and R&D to deliver sustained performance and enhance value for all the stakeholders.

That ends my opening thoughts. I would now request our CFO – Mr. Ketan Vyas to share financial highlights for the period under review.

Ketan Vyas: Thank you, Dr. Harin. Good afternoon everyone and welcome to the Q1 FY'24 earnings call. I will take you through the key financial highlights. Please note that these are on consolidated basis and based on Year -on-Year comparison.

In Q1 FY'24, revenues grew by 11% YoY to Rs. 164.9 crore, in line with incremental capacities added recently. This came against the backdrop of significant global headwinds like inventory de-stocking, re-opening of China and slowdown in EU and other markets.

Organic chemicals saw revenue growth of 35% YoY at Rs. 121 crore whereas inorganic chemicals noted a decline in revenues by 25% YoY at Rs. 44 crore. As highlighted by Dr. Harin, this captures the impact of lower prices of the lithium raw material as compared to the same quarter in the previous year.

The domestic and export mix stood at 65% and 35%, respectively.

EBITDA increased by 14% YoY at Rs. 28.1 crore driven by decline in raw material prices, especially of lithium and other input costs along with favourable business mix.

PAT declined by 12% YoY at Rs. 9.8 crore. This moderation was on account of higher finance costs and depreciation from the ongoing expansion initiatives. This was also impacted by initial costs associated with the re-starting of the BuLi Chem facility and administrative expenditures linked to Neogen Ionics Limited.

That concludes the financial highlights.

I will now request the moderator to open the forum for Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Hi, Harin. My first question is on the end user industry. Can you give us the end user industry -wise revenue mix for this particular quarter?

Harin Kanani: For this particular quarter, pharma was between 50% to 60% and agro and engineering was roughly between 15% to 20% and then around 4% to 5% were rest

of the industries.

Nilesh Ghuge: And Harin, on the long-term contracts, earlier you always guided us that you have two long-term contracts. One in CSM business, another into bromine derivatives.

Harin Kanani: Yes.

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Nilesh Ghuge: And you used to guide us that about Rs. 300 million to Rs. 400 million revenue on the lower

side and about Rs. 700 million to Rs. 800 million on a higher side. Can you just tell us how much revenue we are currently getting on these long-term contracts? And where are we? At what stage?

Harin Kanani: Yes. On these long-term contracts, I will not be able to give you a specific number, but as we had said, the bromine derivative customer was a pharma customer and they were expecting a launch. We see year-on-year there was revenues increase.

In the agro, till last year, the revenues were increasing. This year we are yet to receive a PO, but we are expecting it to be a bit slower because there, we see a stronger Chinese competition. But together they will contribute, again, around Rs. 40 crore/Rs. 50 crore plus. So, Rs. 400 million/Rs. 500 million plus kind of a volume in this year based on whatever projections we have received so far. In fact, it might exceed that a little.

Nilesh Ghuge: And when you are guiding on in your base business and you are saying that Rs. 950 to Rs. 1,000 crore kind of a revenue. Is there any other addition in the long-term contracts or it is based excluding the long-term contract?

Harin Kanani: Yes. For the long-term contract as I mentioned earlier, we are in this year doing what we call as a first trial production for four to five agro customers in Japan and one or two flavour and fragrance companies. So, these might then lead to long-term contracts.

Again, it will depend; because what we have seen is, I mean, they might get into a long-term arrangement, but if the value is not more, they might still give us PO-to-PO. So, they will still add to our CSM business, but might not lead to a contract. But yes, if the value is higher, then we will get into a long-term contract with them. But from a CSM point of view, for these four or five customers, currently, this year we are doing 1-ton, 5-ton kind of trial production. Then these will start contributing from next year onwards in a more meaningful way. But that will support our CSM business in addition to the existing contracts and the existing customers that we already have.

Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: I had a few questions. Sir, my first question is I see that the finance cost has gone up. Could you quantify what would our total debt be at this point in time? And how much would be the term loans? And how much would be working capital related debt? And also, if you could give the working capital days as it is today?

Harin Kanani: On the debt side, the increase has been because so far the capitalisation which we have done last year of all the term or the CAPEX which we have done, that have now started contributing, which was earlier getting capitalised. This is one of the criteria. And we will not be able to give you the exact number of days, but more or less they are in line with the numbers we had last September to December. They are a bit higher in terms of number of days as compared to March because the revenue is a little bit lower as compared to last quarter, but in terms of absolute numbers, they are more or less in line with whatever was there in earlier quarter; slightly higher as compared to March, in terms of days, in terms of absolute numbers.

Anirudh Shetty: And could you quantify the gross debt right now?

Harin Kanani: The total gross debt was somewhere around Rs. 450 crore to Rs. 500 crore in that range as at June end.

Anirudh Shetty: And you had mentioned that some assets got capitalised which could also explain why the depreciation went up. So, which assets are we talking about?

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Harin Kanani: In the last year, in March, our organic capacity, 50% of that already came online and also the lithium capacity has already come online. That was capitalised in the month of March. Both of these are already contributing to the depreciation. In BuLi Chem, the land that we hold, is also basically leased land. But as per Ind-AS, the lease also has a depreciation component. That gets added to depreciation part.

Anirudh Shetty: Sir, my next question is on our battery chemical business. You know, in the last call we had mentioned that we are looking at about 18% kind of EBITDA margin. Just wanted to understand the basis for this number because when I look at some of the global companies like TINCI from China, they seem to be making a higher EBITDA margin. So, just wanted to understand the basis for the steady state margin that we are thinking about.

Harin Kanani: If you are talking of TINCI, I don't know if TINCI actually owns mines or they have something like that. If they have their own mine or they are backward integrated and they do some other raw materials also. So, what happens is in that case, your EBITDA is higher and your asset turns are lower, correct?

So, I think you should look at EBITDA and asset turns both together. As we have guided that we are doing lithium carbonate to electrolytes. So, lithium carbonate to first simple lithium salt, complex lithium salt and then finally the conversion and formulation to electrolyte.

So, when we are looking at this piece of portion, we look at the investment, we look at a 20% kind of a ROI. Then we are looking at EBITDA of around 18% is what we are saying.

Now, again, as I said this is first time this is happening in India. And electrolyte is something which is very fragmented. If you look at the market in China, it is a different condition; in US, it is a different condition, in Japan, it is a different condition. So, this is our assumption of what it will be in India and based on that we are guiding this 18% plus kind of an EBITDA.

We feel it is at least that much. I mean, we will try to always get better because we have to do a significant investment. So, the more we can get, we will be able to keep reinvesting in the battery material business.

Anirudh Shetty: And just one final question. The salts capacities that we have is, I think, in the last call we had mentioned, would be primarily for the export market. Does that approach still remain? China is very large in the salt market, but basis our discussions with the customers and people from the industry, are there issues around the quality of the salts that come from China?

Harin Kanani: No, we have got some more clarity and as we mentioned also, our interaction on the lithium salt in the international markets have also increased. We have got a fair sense of where we are as against China.

So, a couple of things that we have understood are that there are some...like we have the PLI scheme; in the US also, there is an Act called the IRA Act. As per this Act, there is a requirement for some of these companies to decouple from China. In fact, if you want, if any OEM makers who wants the Government subsidy on the final EV vehicles, they have to make sure that their supply chain of the critical minerals is decoupled from China.

On account of this, there is a lot of interest from these companies. We get this impression from whatever numbers we have seen. Also in China as in the US, on top of normal duty, there is also some additional duty if you are importing this from China.

Therefore, considering all of that, when we look at it, we are not very far off from the pricing point of view. The main question w

hich we had even earlier is that can we be

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competitive? We see that we are there in the ball park. But again, once we have the new plant starting of the salt, that is when our customers will be able to test it.

Overall, the international testing period – initial some samples would be three months kind of a period – but for a longer test, it could be around six-month period by which time then the customers can commit for a longer-term contracts.

We have seen a lot of interest internationally for the salt capacity and we also see that a lot of international customers are interacting with us. Yes, if that happens, then the salt capacity that were planning as I have shared earlier, we have to put the salt capacity for the electrolyte as well for selling anything outside.

So, by December, once we complete the design with MUIS and by that time, we hopefully can also get better clarity on the MoUs, which we are discussing with our customer and get some volume commitments. Then based on that, once the capacity for electrolyte will get decided, based on that our capacity for the salt requirement in India will get decided. In parallel, we will also get clarity on what the international demand is looking like. With that, we will come up with our final CAPEX plan.

Anirudh Shetty: But sir, my question was on quality of the salts that come from China. Is, would you say, that puritywise it is on par with India? Also, are there instances that the quality could be poorer?

Harin Kanani: No, so honestly what happens is that, 95% of today's batteries are being made from LiPF6 made from China. Of course, in China, there are many, many different grades. There are good manufacturers and there are cheap manufacturers. So, sometimes the guys who are making it cheap, their quality is a challenge. But there are good manufacturers who are currently part of the supply chain. Honestly, it is Neogen's turn to actually prove that our quality is on par with some of the best in China, Japan and Korea. This is what is a challenge for us, but in China there are guys who are good. The main reason why people are considering options other than China is mostly because of the regulatory scenario and de-risking. So, these are the two main challenges.

Moderator: Thank you. The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.

Saurabh Kapadia: Sir, first, just on the revenue. Your standalone revenue is higher than the consolidated revenue. Can you throw light on that?

Harin Kanani: Basically in anticipation of BuLi Chem happening before the handover happened to us, we had imported some raw materials for that, partly, which were processed in Neogen and then transferred to BuLi Chem. But in BuLi Chem complete conversion had not happened. This was just one time thing to basically facilitate the transfer. That is the reason why because of that inter-unit transfer, the standalone revenues were a bit higher, but the consolidated revenue was a bit lower.

Saurabh Kapadia: What could be the quarterly fixed cost for the BuLi Chem going ahead?

Harin Kanani: It is difficult for me to give you the fixed cost, but as I said even there we will expect an 18%+ kind of an EBITDA because again, we see a very good demand. In the last three months, we have received inquiries from Korea, Japan, Europe and even US. We were originally targetting Pharma and Agro, but we even got some industries where we were not aware that there is demand. We are looking at it positively. In fact, in the first few months, not only India's customers are slowly restarting purchase, because they already had some POs with

others in the pipeline. Now they have started shifting back to us. We have even got some international POs and have started working internationally giving them the trial supplies for conversion. Hopefully, in Q3/Q4, we expect that with the India demand and with the international demand, we should see a full utilisation and then depending on how this goes, we will take a call if we need to further increase our capacity for the next year.

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Saurabh Kapadia: And sir, the last thing on the trial quantities of electrolyte which we have supplied. Is it through the three or four customers that you are in talks with or would this be through some other customer?

Harin Kanani: Yes, it is a mix. There are some customers who have not started the MoU discussion, but they wanted some initial quantity. It is a few lakhs. It is not a very large number but we have already made a start. We had one international customer as well as one domestic customer to whom we now have started giving small quantities for their trial plant; with one of them we are now also discussing a long-term MoU. For the other one, we are still having only their trial plant and their bigger plant is taking time. So, we will start.

But there are a few others who have already made progress. There are a few people who do not have a small facility. They are directly building a large facility. These customers have already started discussing with us for their requirements. If the requirements of these two people and a few others go as per what we are expecting then even in Q4, we will start seeing contribution of both, Neogen Ionics salt as well as electrolytes.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, if you can just add some supplementary things on this battery chemicals project. From what I heard of the previous participants was largely on the international markets wherein you see a very good traction. If you can share your learnings as to how we see this progress in the domestic market, which is where we are largely going to plan the sales of electrolytes? This is on the lines of what we had anticipated before the PLI benefits kicked in. There will be some amount of capacities for the gigawatt facilities that you are targetting. Are these on stream or there are any delays? And how would that change our revenues by FY '27, may be FY '26/FY '27?

Harin Kanani: Thanks for the question. As what I have seen earlier, we still reaffirm that there is no change, that there are maybe some people who may start in 2024 and most of the other people will start in 2025. They will all start with about one, two to one gigawatt hour or one, two, three -gigawatt hour kind of initial capacity in 2024 -2025 and then

'25. The ones who start in '24 will have a ramp up in '25 and the ones who start in '25 will have a ramp up in '26.

That first jump, will happen in '25 or '26. My expectation is by '26, all the people who are currently planning or who have shown their investment intentions would be operating at least between 5-to-10-gigawatt hour kind of capacities and then '27 and '28, they will all double their capacities at even a faster rate depending on the situation then.

Based on whatever we have said or whatever we have seen, that is the reason why we have maintained our guidance. In addition to that, and this is again still considering electrolyte demands of India and based on whatever we had estimated earlier, if we get a higher market share as we start doing these contracts, then we will see.

We see that some of the customers said that because of their technolog

y partners

requirement, that in the beginning, they might get some quantities from China or Japan, wherever the technology partner was when they want to prove that the cells and the plant are working well. However, they all said after initial quantity that it is not sustainable and have to localise. They have shown a keen interest for localising it and to work with Neogen.

Based on that now we have started working on more detailed contracts with these customers. MoU, they are happy to sign, but again, what kind of a minimum commitment they can give or these are the things which we are basically working on so that we have at least some better visibility on the demands.

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The main challenge is for them that it is a new happening, therefore, that commitment is a challenge that what if the project gets delayed and the stuff like that. That is why we are working on how we can resolve it in a comfortable way and then proceed on that basis.

In the next three/four months, we will have better clarity from these customers and that is why by the time we get the design from Mitsubishi, we will be able to decide exactly on our capacity.

The 1,000 metric ton which we have said, our effort is that from 1,000 metric ton, we can directly go to the Mitsubishi plant. So, the first 1,000 metric ton which we are starting in December and that should take care of the people who are starting in 2024. For 2025 depending on the exact time, we might have to increase this 1,000 metric ton a little bit. Depends on the timelines of the plant which we are building with Mitsubishi's help.

So, this is something which we will keep reviewing, and hopefully, around October/December - either our September call would be a good scenario or definitely by our December call, which will be in January, we should have a more concrete information on the capacity.

Archit Joshi: Thanks for this. I have a couple more questions. One, again, sir, on the international markets, especially in the supply chain. We hear about a lot of dumping that you also mentioned in the initial remarks. And given that, since you are seeing this localisation trend within the battery chemicals division. Would it be fair to assume that because China, as you said, 95% of the batteries are using the LiPF6 or battery materials from China, would dumping also impact this particular chain that we are trying to target?

Harin Kanani: Dumping where?

Archit Joshi: Dumping, sir, in LiPF6 globally. Are you seeing any effects of that? Or is it that because of a largely more B2B kind of a setup and the localisation trends that you are talking about, most of it will be insulated and you may not have China to pose a very serious problem despite having very high production capacity?

Harin Kanani: Sure. Actually I said anti-dumping duty, not dumping by China. In the US, they have identified some countries of risk, and if you are importing the critical battery material from there, you have to pay some additional 20%/25% cost. That is what I meant that while they have volume but because they have the duties therefore, if you are supplying from India, our product becomes more comparable to the landed cost of Chinese products. If you are importing from India, you just have a normal custom duty, you do not have this higher duty. That is what helps us compete against China in international market.

When it comes to India, we do not plan to make the salt. We basically want to make electrolyte and almost all the companies have said that they want to ensure that the electrolyte is bought locally.

Now within electrolyte, LiPF6, if they want the value addition, t

he people who want

PLI or maybe there will be future PLIs; so, for the future PLIs also, if the value addition becomes critical; or in India also, there are some customs duties so the LiPF₆ also has to be made in India because otherwise we will not meet the value addition criteria.

Also, from a supply security point of view, it makes sense that like we make directly from scratch, directly from lithium carbonate to electrolytes. This is something which is really appreciated by the customers and what we have seen is because LiPF₆ is only 10% of the cost. Because it is only 10% of the cost and so 10% to 15% by volume, not cost. Therefore, on an electrolyte level, the impact gets reduced, and the logistical advantage and the security of supply advantages that we have can be better managed at the electrolyte level when we are thinking of the India market.

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Archit Joshi: That is quite elaborate. Sir, one last bit on our potential capital structure. I can see that along with the enabling resolution for fundraise, we have also proposed to the Board that you might want to extend our borrowing limit to Rs. 1,000 crore. What would our capital structure be? What is the debt to equity that we are looking at; not in the interim, obviously, given that we are expanding capacities, but any broad outlook on the capital structures? That would be helpful.

Harin Kanani: We still stand by the fact that we would like to maintain debt to equity below 1.25. That is our limit. Ideally, we like to be below 1. That is why along with the increase in the borrowing limits, we have also increased the intention to raise equity. Both of these are just enabling resolutions. They are all on the higher side, what we feel can be maximum required. We will keep checking on that and based on that, we will take a call and balance so that debt-equity remains below 1.25, as we plan our expansions.

We are also discussing with some customers on whether they can part-finance a plant. This is not domestically, but with international customers where there is an interest rate arbitrage also and it further reduces risk on our side. We will see how these go.

Moderator: Thank you. The next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir, my first question was regarding a development which happened in China. They have launched the first in the world lithium contract with global physical delivery. I would like to understand the impact on us. What are your views on that, sir?

Harin Kanani: I think what you mean is forward contract kind of a structure in the lithium markets, right?

Yash Shah: Yes.

Harin Kanani: I think so far, I mean for the majority of the industry, has still not yet caught on to that, and if at all it does come, it just helps you hedge your risk better.

However, what we have seen is that whenever we are talking of these large volumes, the lithium companies are anyways very happy to link them to a contract. Anyway, this, ultimately for us, is always going to be back-to-back. If my lithium mining party says that we can get into a five-year contract with a minimum volume kind of a commitment and you have to basically change the price every quarter, then my LiPF₆ customer or electrolyte customer is going to be able to do that. If my customer wants to do the hedging, then we will also do the hedging. It just gives or increases the options that we have to control our prices.

Yash Shah: Sir, my second question was regarding our current capacity expansions. I notice across all our three segments: organic, inorganic and the new business which is the battery chemicals. The completion

on timeline has been increased by a quarter or two.

So, what is the primary reason there, sir? Is it because of the macro headwinds which we are facing? Can you elaborate on that, sir?

Harin Kanani: For us, it is just a couple of months actually. So, we had said our battery capacity was going to start sometime in June/July. Instead of that, it is starting - the salt capacity starting in August/September. So, basically, our Phase -1 is likely to start by August, and Phase -2 of that. So, there are two stages. Stage one will start in August and stage two is expected to start by September for the salt and for the electrolyte also. Earlier we had said September/October. Against that, we are now saying November/December. So, it is just...this is something new we are doing and (there is) just a couple of months delay.

As regards, specifically the organic where you see almost a two-quarter jump, there we were basically waiting for this project that we are currently executing to complete and then based on that take a call exactly which kind of reactors we want to offer.

The capacity which we have added last year and this year, is not just adding more glass line and stainless-steel reactor. You know, we are fine-tuning it to the different chemistries we want to do. So, if you want to do more organolithium, or if you want to do more fluorination, or if you want to do more pressure reaction, depending on how these projects move, is the reason why we took a call. The ones on which we already had clarity, we installed them. The ones which remain, we wanted the current trial runs to get over in this quarter and the next quarter. And then based on the visibility that we get from the customer that which customer is interested in larger volume, with those customers, we will basically try to add capacity in Q3 and Q4. So, that is why we delayed that a little bit.

Yash Shah: Sir, my next question was regarding bromine prices. If my understanding is correct, please correct me sir. So, that on the contrary to the price erosion which has been happening in the industry, bromine prices have, in fact, increased this quarter. Do we expect to see any kind of further benefit in absolute profitability going forward because of the bromine prices increasing?

Harin Kanani: Actually, first of all, bromine is our raw material. And like I said, we always get into annual contracts. So, from a bromine point of view this year has been a bit of a challenge for us. Because with the international ones, we usually get into contract in December and January, and with the local companies we get into contract in the month of April and May.

This time what has happened is, in December/January, the price was different, and in April and May the prices corrected very significantly. So, yes, this year is a little bit... If we average it out, most of the times the long-term bromines really help us, but this time it is going to be a bit of a challenge, but it is okay. I mean, it just gives us stability and most likely what we expect usually by around November/December. So, by Q3/Q4, our average price will be almost similar to... because again, as you rightly said, the bromine prices hit their bottom and now have slightly started going up. But we feel, when we look at the whole year, our average will be similar to what the market average has been. So, we do not see any positives if the prices increase. We do not see a direct benefit of that immediately.

Yash Shah: One last, small question, sir, regarding tax rate. This quarter we had a tax rate of around 29%, and we had previously guided that we would have tax rate of between 22% to 25% for the whole year. So, do we

maintain that guidance and will the taxes be lower for the rest of the three quarters then?

Harin Kanani: Our understanding is that it (tax rate) was around 27%, but we will have to just check that 29% may be at the consolidated level and there might be some difference. A little bit it was also because you have seen our exports are a bit reduced; from Dahej, the export sales were a bit lower. But we feel for the whole year, we should be in that range - between 22% to 25%.

Moderator: Thank you. The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv Asset Management. Please go ahead.

Sabyasachi Mukerji: My first question is, you mentioned these 10 international potential customers that we are in dialog with. Are these electrolyte makers or cell manufacturers? And which geographies are these customers in, if you can highlight?

Harin Kanani: Broadly, they are in Japan, Korea and the US; and some are in Europe. But mostly these three countries. They are a mix – they are electrolyte producers and cell producers who want to control their whole supply chain. They have somebody who will make their electrolyte internationally, but they still want to discuss directly as to who they will buy LiPF₆ from.

Sabyasachi Mukerji: Are they procuring from their respective geographies and then as a second source or a third source are they approaching us? Is it that way?

Harin Kanani: Mostly, many of them are dependent on China and some are a mix of China plus Japan or China plus Korea. Now they want to also add India. So that is because in Japan and Korea, the capacities are not increasing to the level which they need them since it is very difficult and very costly to increase the capacities there. They are increasing but not to the levels which they want.

There are more capacities also which are coming in the US. But it is going to take longer for them to come online; whereas we will be one of the first (country) outside these three countries (that will be) coming online. Also, cost-wise we seem to be competitive. This is why there is an interest from them to develop India (as a source).

Sabyasachi Mukerji: My second question is on BuLi Chemicals' revenue. I think, in the last call you mentioned that we are probably looking at somewhere around Rs. 50 crore to Rs.

75 crore in this current fiscal.

Harin Kanani: Yes.

Sabyasachi Mukerji: Do you want to change that number or is that looking upwards; some colour on that?

Harin Kanani: No. At least for now I will maintain that number, that we are looking at that number for the year. If things go really well, then we might be able to do a little bit more, but at least that much we should be able to do. And it will also depend on what is the lithium prices, you know. The current lithium prices are somewhere between Rs. 50 to Rs. 75. We are at about Rs. 60 odd crore or something like that. We will see where it goes. And also, whatever we have lost in Q1, we feel in Q2 will be better and in Q3/Q4, we will make up for that so that for the full year, we achieve that revenue potential.

Sabyasachi Mukerji: Lastly, on this a two-quarter delay in the balance capacity addition in the organic chemicals, the reactor. You clarified that you are just waiting for the current pilot project to (see) how it pans out and which probably which customer, which chemistry you are waiting for. My question is where do we see that will be running out of capacity in the organic chemicals post this expansion by March '24 and we will have to think of the next phase of CAPEX in our organic chemicals? And what would be that size approximately?

Harin Kanani: We were

expecting our full capacity utilisation somewhere by '25 or '26. So, looking at the current global scenario and other challenges, we assume FY '26 as a full utilisation kind of a condition - sometime at the end of FY '25, early FY '26, because the next will be a brownfield expansion. So, sometime towards the end of '25/early '26, we should be looking at further capacity addition.

Now we will have to see whether it is an incremental capacity or if we have some large projects. Then we have to go for a whole block. Now if the block is the same size as our existing one, then roughly, it is somewhere around Rs. 150 crore/Rs. 200 crore kind of investment, which basically gives us a revenue visibility of around Rs. 300 crore/Rs. 400 crore. So, that will be additional one; but again, we have to see at that time what the pipeline looks like and take a decision accordingly. If this situation remains the same or by that time, we can take a pause also, if required. So, we want to make sure that it should be optimised and we are fully utilising our facilities. Only once we have a very clear visibility of full utilisation, we will do a major further capacity expansion in organic.

Sabyasachi Mukerji: Last question for Ketan sir. What would be the inventory, absolute inventory number at June end?

Ketan Vyas: It is a similar level at what we had in March.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Congrats that we have started the sampling exercise. My first question is – you mentioned in the opening remarks that we will be ready with the designing part by

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the end of this year. Is it the calendar year '23? And an allied question to that - how much time will it take for us to put up the plant in terms of - I understand there would be some technical people coming from Japan during the erection phase - so, what is the timeline that we are looking at from the plant commissioning perspective?

Harin Kanani: Yes. That is the end of the calendar year, this year. As we had said sometime between October to December. I think I was more optimistic on October. We still keep pushing, but we feel by November/December, we will be having the final design ready from our technology partner – MUIS' side.

In terms of execution, we are expecting that from the time the design gets finalised, it will be 15 to 18 months by which the plant will be ready and we can start our trial production. So, we expect that sometime in '25, sometime in FY '26, the new capacity should come online.

Rohit Nagraj: Second question is from the R&D perspective. Now given that we have already started the sampling exercise, we probably will be getting the recipes from MUIS collaboration. How are you segregating the time in terms of or rather time and efforts in terms of from the R&D new product perspective on the legacy business and on the electrolyte and salts business? What is the plan that we are looking at in terms of further product basket expansion?

Harin Kanani: In terms of our R&D, we have a dedicated separate team which is taking care of the lithium and battery materials and a separate team which is taking care of the organic production. This entire battery material team was added in the last two to three years. So, there is no conflict. We are also expanding our R&D capabilities, the admin part (for which) is over, and before the end of this year, our R&D capacity will also be two

and a half to three times of what is today's size.

Again, the main increase in the capacity, the way we are planning to use is that we feel by this time, we will s

tart having some innovator CSM projects . So, we will have some teams dedicated to the larger innovators. Sorry, I meant the larger innovators with whom you started working. May be some will be additional CSM projects from these larger innovators. We are also going to increase our work in lithium and battery material space. And the third which we will also plan to consider is to expand our capabilities around the BuLi acquisition. The main thing that we have there is our lithium metal handling ability. So, how we can use this in other molecules and other applications that lithium metal gets used. That is going to be also something which we will keep working on going forward. But again, most of this will - the additional activities - will start in the next financial year as our R&D team expands and R&D space expands. This is what we are looking at, going forward.

Moderator: Thank you. We have the next question from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: Sir, you had mentioned that the opportunity to de-risk from China is there with the IRA. You have done an interview with Bloomberg Quint where you had also mentioned that there are some challenges as India does not have FTA, but there was a Critical Missile Treaty in the USA. I just wanted to get more colour around this point.

Harin Kanani: There are two challenges for China. One is the additional duties, and the second is because of being countries of risk if you do not have that, if you are buying significant quantity from China, then you will not be able to get the benefits. So, when you buy from India, the negative part is not there; but there is no positive that you bought it. But the duty part still remains. The 25% duty still remains. So, that is basically the understanding. But at least India is not on the negative list. So, that is one good thing. If you are on that negative list, you will have to pay 25% extra duty. We do not have to pay that.

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Anirudh Shetty: And is there any dumping duty on China in European countries as well or just USA right now?

Harin Kanani: As far as I know , in the US. I am not aware yet if there is a provision like this in Europe. Because, again, in Europe currently there were no batteries being made. So, Europe is in a similar situation as India. They are also starting. Only they are may be a year ahead because they could get capital and clarity and the Government action was a bit faster. So, as we said they are starting in '24/'25, and the majority of people will start in '25.

In Europe also, it is a similar situation. The plants are starting in '24/'25, but they are starting at a much larger capacity from the beginning. Europe is a little bit ahead. That is why the rules around that are not yet framed because there is no major electrolyte production anyways happening in Europe currently. But all of this will start in '24/'25. So, this '24/'25/'26, the three years are going to be very critical the world over in all the geographies where the entire reshaping is happening because from the time after COVID, when the world decided okay, EVs are good and we want to go to EV. So that thought started in '21/'22, and any implementation project takes two to three years when you are starting from scratch.

So, that is why these '24/'25 years are critical. And I think by '26, we will have a major new kind of alignment say of the new supply chain all over the world. This is our estimate. So, these three years are very critical if you want to do something in battery supply chain.

Anirudh Shetty: And sir, my question is, there could be an inflection p

oint where in the electrolyte

demand could really pick up in India. So, if you all have to expand say from 1,000 metric tons to hypothetically, 5,000 metric tons, how long does it take to set up new capacities? And you know, the market opportunity is much bigger. You can grow even larger than 5,000 metric tons over time. So, how do you think about securing your lithium carbonate sourcing at a larger scale? Do you all have that kind of visibility right now or that will be something that you all will have to build as you go by?

Harin Kanani: Sorry, I got your question, but you said sourcing of what? How do you do sourcing of?

Anirudh Shetty: Raw material - lithium carbonate.

Harin Kanani: For lithium carbonate, the capacities exist. We have given various projections

including cathode material that India requires, and we are fairly confident that we will not have a bottleneck on lithium because we have very good relationship with the top two/three producers. They have a lot of comfort in India.

In fact, even the lithium companies want India to develop because they are also currently very heavily dependent on China. Also, it is very difficult and very painful sometimes for them because China sometimes plays many, many games which they have to unfortunately live with because today, the majority of the demand is there. So, even they are quite keen of this new alignment because then the world can do business in a more stable way.

In China, you have extreme lows and extreme highs, whereas the rest of the world usually works on a lesser kind of deviation. So, as the supply chain gets distributed, so the lithium that they are selling also gets distributed, and their dependency to sell it in China, the way Chinese like to do business also reduces. So, they are very happy to support India or Neogen at least if I can say, and they are keen to work with us.

Of course, the only thing is, if we want commitment from them, we have to give them commitment. It is as simple as that. My customers have to decide that whether they want to remain open or if they want to secure; if they want to secure we can get that

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security. But ultimately, the customer will also have to give a commitment. So, the customer ultimately makes a choice between security and commitment, and once they make the choice, we can always source lithium for them. So, that is not going to be a challenge.

Anirudh Shetty: And sir, on the ramp up. We will have to ramp up 1,000 metric ton. How long does the gestation period typically take to get the next phase?

Harin Kanani: Usually, our expectation is, around 12 to 15 months. But again, this is in the beginning. I think in electrolyte, it will be a bit faster. In electrolyte salt, it will be a bit lower. I mean, sorry, it will be a bit longer. The main reason being that the number of equipments involved and when we prepare the site, we can always have some common infrastructure ready. Then we would have to do only the equipment order. We will take a view.

The first one is going to take a bit of time. Luckily, we have the time because Dahej can take care of the immediate requirements. I mean, for example, if somebody wants 2,000 metric ton or 4,000 metric ton more, in my Dahej site also, I can increase it. I mean, if it is international business, then in Dahej site also I can increase the capacity and take care of that in 12 to 15 months' time. But once we have the new greenfield, it will be planned in such a way that we can do faster increments in future.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the manager

gement for closing comments. Over to you, sir.

Harin Kanani: Thank you, all the participants, for joining the call. I hope we were able to address your queries. If you have any further questions, please feel free to reach out to our Investor Relations team, and we will address them. Thank you once again, and we look forward to connecting with you in the next quarter.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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November 16, 2023

BSE Limited
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Company Symbol: NEOGEN

Sub.: Q2FY24 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q2FY24 Earnings Conference Call held on November 9, 2023.

The transcript is also being uploaded on the company's website at
<https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q2 FY24 Conference Call Transcript
November 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Neogen Chemicals Limited's Q2 FY24 conference call. As a reminder, all participant lines will be in listen-only mode. There will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, sir.

Nishid Solanki: Thank you. Good evening everyone and welcome to Neogen Chemicals' Q2 FY24 earnings conference call for investors and analysts.

Today we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director, Mr. Anurag Surana – Director and Mr. Ketan Vyas – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A, when the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward looking. The actual results may vary from these forward-looking statements. A

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detailed disclaimer in this regard is available in Neogen Chemicals' Q2 FY24 earnings presentation which had been shared earlier.

I would now like to invite Dr. Harin Kanani to share his perspective. Thank you and over to you, sir.

Harin Kanani: Thank you. Good evening everyone and thank you for joining us on Neogen Chemicals' Q2 FY24 Earnings Conference Call. First, Festive greetings to each one of you. Wishing you all a very Happy Diwali and a Prosperous New Year. We announced our Q2 FY24 financial results yesterday and subsequently, circulated the result documents. I trust you have had an opportunity to review them. As always, I will begin by guiding you through the performance highlights, important updates and expansion initiatives. Following this, our CFO Mr. Ketan Vyas will provide an overview of the financial performance.

I am delighted to announce that we have sustained a steady performance, even in the face of ongoing external challenges that have negatively affected the end-user demand. These headwinds relate to persistent inventory reduction, continuous dumping by China as well as deceleration in several developed markets.

Furthermore, the ongoing conflict in the Middle East has had global ramifications, resulting in increased price volatility for raw materials (RM) linked to crude oil.

Although a significant portion of our revenue comes from non-discretionary segments like Agrochemicals and Pharmaceuticals, which experienced demand challenges, we are partially insulated thanks to our diverse product range and the expansion initiatives which are already underway. We have maintained a strong emphasis on value addition and have established long-term arrangements with our customers.

While it is still early days, we have begun to see some signs of recovery and anticipate the situation to normalise towards the end of the current financial year.

That said, all our expansion projects are on schedule and advancing as expected.

Let me now give you an overview of our consolidated financial performance for Q2 FY24. Revenues grew by 9% to Rs. 161.7 crore, while EBITDA came in at Rs. 25.9

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crore, higher by 7%. Profit after tax stood at Rs. 7.9 crore. Alongside the incremental gains from recent capacity expansion, the performance was bolstered by the contribution from BuLi Chem. Improvement in EBITDA was a result of better product mix and rationalisation of key inputs and RM costs.

In Q2 FY24, we witnessed 24% growth in Organic Chemical revenues, whereas Inorganic Chemicals reported a de-growth of 21%. This was mainly due to historically high lithium prices prevailing during the same period last year, which have now approached a more normalised level. Overall volumes remained unaffected and slightly improved.

I will now share an important update. As you may be aware, we successfully concluded the preferential allotment on 1st November, 2023. Through this allotment, we have raised Rs. 253 crore from esteemed high-equity institutional investors. I would like to convey my gratitude for the confidence shown in us and the support provided for our future growth initiatives. We propose to utilise the net proceeds to establish a long term presence in the Battery Materials space, while maintaining the growth trajectory in the existing business segments of specialty Bromine derivatives, Advanced Intermediates and Custom Synthesis and Manufacturing, including our recent acquisition in the Organo Lithium Chemistry space. In addition to this, we will strategically deploy these funds to retire some of

the existing debt, to create enough leverage and quickly expand based on the evolving market situation.

Let me now elaborate on our expansion plans. Within Organic Chemicals, we have a total expanded capacity of 463 m3 as on date, and additional 29 m3 is likely to be commissioned closer to the end of this financial year and year around that. For Inorganic Chemic

als, we have a total installed capacity of 39 m3 as on date, which includes 15 m3 reactor capacity added till March 2023. I am happy to share that this has started contributing to the revenues.

With respect to Battery Chemicals, I am glad to share that trial production has commenced for one section of 400 MTPA Lithium Electrolyte Salts and additives

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capacity. And final checks and tests are underway for the remaining section which is just before commissioning. For Electrolyte Salts, we are also now proposing to put up a 2,000 MT plant, instead of 1,000 MT planned earlier, and this will be operational by Q4 FY24.

Based on the evolving demand and capacity put up by ACC Cell Manufacturers as well as international customers from Japan, Korea, Europe and USA - we have seen interest across the globe - we also propose incremental expansion plans for Battery Chemicals which are now under consideration. The Electrolyte capacity will be increased to 1,000 MT and this will be operational by Q1/ Q2 FY25. The greenfield expansion of Electrolyte Salts is now increased to 3,000 MT of electrolyte salts. The greenfield expansion will be at a new site, which will be dedicated to battery materials and new business opportunities. At the new site, we are planning an additional 30,000 MT of Electrolyte capacity and a 3,000 MT of Electrolyte Salts capacity. Together, the plan is that, from our original plan of 10,000 metric tonnes of Electrolyte, we are increasing that to 30,000 plus 2,000, so 32,000 metric tonnes and our earlier plan of electrolyte salt from 2,000 metric tonnes total, we are increasing to 4,000 metric tonnes. So we are doubling this, and the additional greenfield site also should be operational by 2025 calendar year or Q2/Q3, FY26. The Electrolyte salt will utilise MUIS manufacturing technology, while the Electrolyte salt will be based on our own technology.

Let me conclude by saying that we are excited about the next phase of growth that lies ahead and are well poised to garner a significant share in Battery Chemicals space given our domain expertise. Various initiatives undertaken in the past will bolster our offerings, strengthen our market position and relationships with our valued customers. Neogen will continue to leverage its expertise in complex chemistries and R&D to deliver sustained performance and enhance value for all the stakeholders.

That ends my opening thoughts. I would now request our CFO – Mr. Ketan Vyas to share financial highlights for the period under review.

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Ketan Vyas: Thank you, Dr. Harin. Good evening everyone and welcome to the Q2 FY24 earnings call. I will take you through the key financial highlights. Please note that these are on a Consolidated basis and based on a year-on-year comparison.

We reported revenues at Rs. 161.7 crore, depicting a growth of 9% over the last year. While external pressures, such as, inventory de-stocking, slowdown in key export markets and geopolitical uncertainties prevailed, the Company maintained its revenue momentum. It witnessed gains from recent capacity expansion, stable demand for key products and higher contributions from BuLi Chem.

Organic Chemicals saw revenue growth of 24% at Rs. 124 crore, whereas Inorganic Chemicals noted a decline in revenues by 21% at Rs. 39 crore. As highlighted by Dr. Harin, decline in revenues in Inorganic Chemicals was mainly due to historically high lithium prices in the same period last year, which has now come closer to normalised level.

The domestic and export mix stood at 69% and 31%, respectively.

EBITDA increased by 7% at Rs. 25.9 crore fuelled by an enhanced product mix and a lower RM and key input costs.

PAT saw a decline of 20%, at Rs. 7.9 crore. This was due to rise in finance costs and depreciation associated with ongoing CAPEX initiatives. Our strategic debt repayment from the recent fundraise will lead to a reduction in finance costs

in the short term.

That concludes the financial highlights.

I will now request the moderator to open the forum for Q&A session.

Moderator: Thank you very much. The first question is from the line of Noyan Vas from Union Asset. Please go ahead.

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Noyan Vas: Yes, I just want to clarify a couple of things. Just to get some sense of the Electrolytes and the salts business, are the customer approvals expected for salts in fourth quarter or are we expecting Electrolyte approvals in fourth quarter?

Harin Kanani: Hi, thanks for the question. For both, salts as well as Electrolytes, several of our customers have already approved our lab-based samples. And for the salts, in Q4, a part of the section of our Phase 1 of electrolyte salts (facility) has already started some trial production and is likely to stabilise by December. Similarly, the second phase also will be ready by the end of December with some trial production. So we expect by Q4, we will start getting approval for the salts.

Similarly, in Q4 we are also expecting the electrolyte facility to be ready. And some of the customers may want to audit this facility. We already have some non-binding MOUs in place for some trial quality which companies want us to produce. And we expect by Q4 (FY24) or Q1(FY25), our electrolyte sales also can start from the 2,000 metric tonne electrolyte line. So earlier we were going to make 1,000 tonnes, then 5,000, then 10,000. But looking at the current demand scenario, we have decided that instead of 1,000 (we will) directly do 2,000 metric tonnes at our DAHEJ-SEZ site. And then from 2,000, we will directly go to 30,000. So this 2000 metric tonnes per annum line will be installed in Q4. And either Q4 current financial year or Q1 next, we will start to see revenues coming in from there.

Noyan Vas: Okay. And just to clarify on working capital. How much are we expecting it to, because considering the fact that we are now starting off this new business, how should we see working capital move closer at the end of the financial year? And what should be the steady state going forward?

Harin Kanani: So I think, you know, again, the last six months have been very, very volatile. We had made some plans, but the demand has been much lower as compared to what we had expected. This has affected our plans to improve working capital amount. So if you look at our last year's performance in the first six months, the working capital was, significantly the operating cash flow was negative. In the second half, we were able to do a positive cash flow and overall for the year while it was

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negative, there was an improvement. Similarly, we will aim in the second half of the current year also to improve operating cash flow. However, things are very volatile. Of course, our aim remains that as business is stabilised, we would like to go to around 120-130 days on net sales basis inventory, which we had; and the debtors between 60 to 90 days and creditors around 60 to 75 days, what used to be Neogen's normal working capital cycle. And then as we hit full utilisation levels and have bigger molecules improve upon that. We will try to achieve these numbers. But just with the kind of volatility we have, we have not been able to execute our plans fully. You would though expect an improvement in the second half as compared to the first half, just as we had in last year.

Moderator: Thank you. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Yes. Hi. Hi, Dr. Harin. Hi, Ketan. So my first question is on battery chemicals. It is good to hear from you that from 10,000 MT, you are planning to raise your capacity to 30,000 MT. And also in your indigenously developed Electrolyte business, you are expanding capacity from 1,000 to 2,000 MT. What gives you this confidence? Is there any agreement signed (with any customer) , or are there chances t

hat you

believe agreements will be signed for such a huge capacity?

Harin Kanani: Sure. There are three aspects. Our own Electrolytes, which we have to start, where we have increased from 1,000 MT to 2,000 MT. We have talked to three to four customers who are now quite certain that in 2024 calendar year, they are going to start their cell production, may be at a half a giga/one giga kind of a level. So we are seeing a clear demand. And we have one international customer where the demand is not very large, but they have already signed an MOU and they are just waiting for their production line to stabilise. So once that happens, you know, they will basically be needing this.

This gave us clarity on 2024, with three to four customers, very keen to start working with Neogen. So we are very sure that between them, 2,000 MT, that is

just two gigawatt hour. So we thought with this bare minimum capacity (of) two

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gigawatt hour, we should have to basically take care of the initial demands of this customer.

Now, the larger demand, which is basically what we are building with Mitsubishi technology. We have again seen two or three large giga players make significant advances. So we keep talking to them about what is the status of their equipment, how they are doing. At least two of them are very confident to start in 2024 towards second half and ramp up in 2025. And the third one also is likely to start sometime towards the end of 2025 or early 2026. So with these guys who are coming up with giga capacity and scaling up, and so far, the work has been going more or less as per their plans. We are more confident that the demand for the Electrolyte, at a large giga scale, is going to come to India and the demand will start. Further, we have seen many international players also wanting to come to India. So as we get into 2026-27, some of the international customers also may start having demand for their plants in India.

Again, if we are ready with a 30 gigawatt hour, we can do a very seamless approval with a track record of these. The last consideration in this decision is that whatever initial design considerations and discussions we had from MUIS, we felt that instead of 10,000 tonnes, when we go to 30,000 MT, the capex does not become three times, right? There is a significant saving when we do further scale-up. So by doing that our capex efficiency per tonne improves. And therefore, our ability to be more competitive improves. So I think with all these considerations, we made a decision to directly go from 2,000 to 30,000 tonnes.

We have seen in the interim that 2,000 MT is really needed. It depends on exactly when 30,000 MT starts and when the giga factory scales up. So if needed, the 2,000 MT, we might scale up to three or four, but we feel they should take care of the early demands of the customers and the 30,000 MT will come on time to take care of their larger requirements.

The last bit is on the salts side, where originally we had said we will start with 400 tonnes. This may be delayed by a couple of months, but it is starting. And we have

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seen tremendous interest in that facility. We had said that we will increase this to 1,000 metric tonnes in Dahej. That plan remains on schedule. There is no change in that. The expansion which we were going to do in the greenfield, where we were going to add another 1,000 MT, that we have now changed to 3,000 MT, and this is largely depending on the demand that we saw from customers in Japan, Korea, Europe, U.S. Almost all geographies are very keen to have a non-China Electrolyte salt supplier. So what was our plan B is becoming almost like plan A. Especially the U.S. requires this in 2025 when they are not allowed to use Electrolyte salts from China. Therefore, we have ramped up from 1,000 to 4,000 MT, which can take care of the initial demands of these international customers. And to be honest, this dem

and keeps evolving. We keep having customer visits. Every month we are meeting new customers or new customers are visiting our demo facility. And most of them have gotten confidence and are now further discussing more concrete action plans. This gives us confidence to increase both the Electrolyte salts and Electrolyte capacity. Sorry, we gave a bit longer answer, but I hope it clarifies the thought behind (our decision) .

Nilesh Ghuge: No, thanks, Harin. Thanks for the detailed answer. But can you just throw light on the capex front? How much capex will you incur? Any ballpark number?

Harin Kanani: We have doubled our Electrolyte salt from what we had said earlier, and our Electrolyte capacity, we have (increased) three times. So, if you just go ballpark, just on scale, it will be sometimes two and a half to three times - between two and a half to three times when we are doing this. But like I said, because there are efficiencies involved, it has to be lower. So we are expecting somewhere between two to two and a half times of what we had said earlier, which was about Rs. 450 crore. But the exact number we will be able to tell you once Mitsubishi finishes their design. Once we have the design (which is) expected (by) December. So hopefully before the February call, we will have more clarity on that and we will be able to give you the exact capex number. But the current estimate is between two to two and a half times, so somewhere between, let us say, for Rs. 450 crore, from Rs. 900

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-1,100 crore, somewhere in that range. But the exact number we will be able to give once we have the Mitsubishi design finalised.

Nilesh Ghuge: Okay. And as you said, that for a huge capacity, as you mentioned, that for a 30K TPA, two, three large significant players are coming. They are planning to ramp up in FY25. So at what stage is the approval process with the large gigawatt power, the Electrolyte battery manufacturers? I am not talking about the small ones (but) the large ones.

Harin Kanani: For the large guys, we have been providing them with samples. Like I said, some of them have been testing our samples for almost more than a year. Some of them sometimes have to struggle because they were dependent on their technology partner. But now two of them have already evaluated our samples and they are now working with their technology partners for their final approvals.

And one of them, we are still working with them and their technology partner because the technology partner is not willing to share the recipe. So we are working on somehow how we can give comfort to their technology partner to share the recipe with Neogen. So once that happens, we can submit the sample. I feel we have enough time. And one good thing about it is that it is just a question of the recipe. Most of the customers are quite convinced that with the plant being made by Mitsubishi design, they do not have a question or worry about the quality of the electrolyte being made. So they just feel it is just going to be a procedure. So we are just discussing more on the other aspects – on the timing, on the size, minimum volume commitment, what kind of formula pricing we can have and stuff like that. So those are the major discussions. And in some cases, how do we get the recipe from their technology partner if they are not willing to share and how can Neogen help them find a solution around that. All of them fortunately have said that they want localisation because they have all realised that Electrolyte is going to be very complicated to directly import.

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Nilesh Ghuge: Okay. So just one clarification. You said that you have already supplied the samples. You are working with those customers since last one year. But we signed this contract with the MUIS just six months back. So I am just confused.

Harin Kanani: No. So we were making samples on our own. And earlier the proposal was that, we were going to supply to them the Electrolytes from that 1,000, 5,000, 10,000 MT plant, correct? But we are already making samples in our – so we have a lab facility where we can make 200 kg of Electrolytes per month and from that facility we keep submitting samples.

Nilesh Ghuge: Okay. And what kind of involvement Mitsubishi has while marketing these products? Are they completely involved? Do they come along with Neogen Chemicals while marketing this product? Or they are just a technology supplier as far as this whole process is concerned?

Harin Kanani: As I said, in the agreement, one part is the Electrolyte. How to make Electrolyte, and the technology of the plant, which is what they are giving to us. Basically we are the end user of that. So there is no marketing of that. But they are also approaching some of these customers to convince them to use Mitsubishi recipe. So that is the second bit where, like, there are some customers whom we have contacted, and there are some customers who are already in contact with Mitsubishi. So basically, together, we are making it - trying to convince these customers to use a Mitsubishi recipe and share the advantages of Mitsubishi recipe. But, again, that is something which is an ongoing process. Some of them may start with their existing tech provider recipe and then switch over to Mitsubishi. But some of them right from the beginning may use Mitsubishi. So that is something which the customers are evaluating.

Nilesh Ghuge: Okay. And, Harin, let us say as of now, there could be N number of recipes available with Mitsubishi or may be in the market. With evolution of technology, suppose there could be some recipes come up over the next, let us say, five, 10 years. Will Mitsubishi help us, or can Neogen go back to Mitsubishi and get those new recipes from them? Is there such a kind of a clause in your agreement?

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Harin Kanani: So we are already actively working in a way where if a customer has a particular cell design, we are gathering all the information going to Mitsubishi and then Mitsubishi will recommend to us which kind of recipe would work best for the customer. That is something which we are currently doing. And, like I said, the second bit on the recipe agreement...the final details and the clauses of these are being worked out. That is a separate agreement about technical support and recipe, which is still being

discussed. But we both are actively working until all the details and the contours of those will get worked out.

Nilesh Ghuge: Okay. And my second question is on our organic chemical business. So organic chemical business grew by about 25% Y-o-Y. However, if I break up between the, or I knock off the BuLi Chemicals revenue from this quarter - 50% growth can be attributed to BuLi Chemicals. So did the traditional business - organic business - grew just about 13%? What percentage of this growth is volume driven? I am talking about the traditional organic business, ex- BuLi Chemicals.

Harin Kanani: Yes. The traditional business in volume terms has grown more. It is just that some of the rates, like especially because of bromine, have gone down. And we have seen even higher rates of this in lithium. Even though there is a volume increase, but because of the significant reduction in lithium prices, we have seen reduction, because last time this business was lower. But the main impact that we are having, see we are guided for Rs. 800 - 900 crore kind of revenue. And in that, we said if the lithium prices are softer, it will be closer to Rs. 800. And when we are thinking of Rs. 800, we have to think of last year's revenue not as Rs. 680, but Rs. 600/Rs. 610, which is what it would have been if the lithium prices would have remained stronger. So again, Rs. 610, when we wanted to do that Rs. 800, our organic should have been at Rs. 150 crore per quarter by now. But the fact that bromine prices have reduced that

, and the other raw material prices also have reduced, so the de-growth because of that, and also the lower demand is why we are still not at a full utilisation level. This is the impact that we are having, that ideally organic should have been at, if the rates remain same, if the demand remains same, it was Rs. 150 crore plus BuLi Chem somewhere around Rs. 10 crore, Rs. 15 crore. So that is Rs.

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160 crore/Rs. 165 crore. Let us say around Rs. 165 crore odd is the max potential of the organic chemical. Against that, we have just done Rs. 124 crore.

That is where we are heading, and we need to do a better job. And we are working very hard. Of course, the markets also need to improve. But from our side, we are trying to work on more molecules. We started working a little bit more aggressively on the flavours and fragrance side, and are trying to go back to some of the older molecules, which we have not done for quite a while, and see if we can get some of this business. So this is something which we are trying, and let us see what best we can do with the demand that we have in the next six months.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes. Hi. Good evening Dr. Harin. Thanks for taking my questions. Just had two - three of them, if you don't mind. One was, I really wanted to get your thoughts on this whole noise about solid-state batteries that is going around in the world markets in the recent past. Toyota has spoken about some technology that is fairly imminent, apparently. So in that context, how do you see the technology adoption shaping up in this industry in EV batteries in the coming years? And in terms of our marriage with a particular technology, do we have the flexibility to change in case technology changes? How do you see this whole shaping up?

Harin Kanani: Generally most of the people who are working with batteries and on the EVs, one of the primary concerns for them is testing. And especially when you are talking of EV testing in a real-world kind of an application. And, the safety of the battery. The solid-state batteries are still very nascent. There are many technologies.

Technologies are getting finalised. Yes, Toyota has done some tie-up, and they are quite confident. And they might do a lot. But most of the time, the way this technology will spread is, like, you launch one model in one particular geography. Then you take it to more models. Then you take it to more geographies. And then, after the innovators start, everybody else comes. So most of the people, be it

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scientists, be it industry veterans, none of them see solid-state becoming a significant play before 2030.

The other thing about the solid-state is also going to be the cost of manufacturing and the technology for manufacturing. While you can make small, but large-scale production of these is still a big challenge. So therefore, until 2030, some people say 10 years, some say 2030, solid-state will not be very significant. If at all, they are saying it will be more for where you want a higher-range or a higher-cost kind of model. We also have looked at what is required in solid-state. Of course, right now, we just have our plate full just with the traditional one. But, like, in our R&D

moment, some of our solid additives, which we are seeing strong demand for Electrolytes, these are set. We will also be ready whenever solid-state batteries come. But for a large-scale adoption, it is still time - seven to 10 years.

Abhijit Akella: That's great to hear. Thanks for that. Also, one other thing I just wanted to check was, in Europe, for example, there are some concerns that EV adoption itself is may be lagging behind the original expectations because of various reasons. May be in a place like India, it could even be because of, absence of, a shortage of charging infrastructure, etceter

a. So in that context, how do you see the adoption curve shaping up in India in the coming years?

Harin Kanani: What most people, when they estimate, they say 30% penetration, for example, in India and by 2030, and globally, may be between 35% to 40%, by 2030. This is the number which most of the people, be it the mining companies or the other trade estimates which I have seen. So this is a number which fairly everybody believes in. If I actually add up the OEMs or the battery makers' numbers, they are actually going much higher than this. So if I just add up - I met all the Indian battery guys, and somebody said capacity X, somebody said Y - if I add all of that, the number is actually two times of that. But even if we go with this, this is something which is what has been based upon, and I think that is not a very difficult number. I mean, I do not know, but one of the numbers which I recently saw in three-wheelers, we are already in new car sales, new three-wheeler sales, we are already at 80%-plus kind of numbers which are estimated for the current year. So I personally still do

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not see this as a big challenge to that 30%. If the 30% become 25%/27%, it would still not make a very big impact, because especially for India, we are starting from zero. So if we are at that 30%, 150 gigawatt hour, the electrolyte demand is going to be 150,000 metric tonnes. So it will just basically change the decision that when we go from 30 to whatever - 50/60/70 next - what will be the speed of that? So it is something which is what I need to consider when we are doing future capex beyond this 30%.

Abhijit Akella: Perfect. Just one other thing. On the quarterly numbers, we have got some 20% odd growth in organic and 20% odd decline in inorganic. Would it be possible to just share the volume versus price breakdown in each of these roughly, if that is possible.

Harin Kanani: With the product mix we have, you know, it becomes very challenging, but, I can say both, from our utilisation levels as well as the volumes that I see, we have a volume increase, but we are not able to give you exact percentage volume increases because the product mix keeps changing so much. So it is very difficult to compare. Like, you know, if I am selling 10 tonnes of one-stage molecule versus 2 tonnes of eighth-stage, how do you compare volume? So that is why it is a bit more challenging to do. But overall, the way we see it, there was a significant decline in the raw material rates. So that is there. And in spite of that, then we have given 24%. So if I were to look at a volume growth, effectively, it is more than 24% in the organic. And just for inorganic, you know, in case, like, if this helps you, so this year, we basically have done around...Rs. 39 crore against Rs. 49 crore. But just a year before, when the prices were normal, it was Rs. 22 crore. So if you look at our FY22 Q2 numbers, it was Rs. 22 crore when lithium price was more or less normal. We are almost double of that. If you remove last year, when the prices were very, very high, we are still double of that. That is a good growth, and we are seeing good interest in companies internationally, which want to have Neogen as a backup source.

Abhijit Akella: Perfect. Perfect. That is helpful. Just one last thing.

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Moderator: Sorry to interrupt. We request you to please rejoin the question queue for follow-up questions. Thank you. We have the next question from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Thank you for taking my question. First of all, I just would want to confirm the capacity expansions which you mentioned. So Lithium Salts, you said you were expanding from 2,000 MT to 4,000 MT, and Electrolytes is from 10,000 to 32,000 MT with the MUIS technology and Lithium Salts with your own technology. Is that right?

Harin Kanani: That's right. Just a clarification in that 32,000 MT. The 2,00

0 MT will be with our

own and the 30,000 MT is with the MUIS.

Jason Soans: And Lithium Salts from 2,000 MT to 4,000 MT. Is that right?

Harin Kanani: Out of that, 1,000 MT will be in our existing site and 3,000 MT will be in the greenfield site.

Jason Soans: Okay. And you also mentioned about capex. Of course, initially we had a plan of Rs. 450 crore of capex before the MUIS agreement. Now, you alluded to that the capex will be probably around Rs. 900 crore to Rs. 1,000 crore. And this will completely take care of the entire expansion. Is that right? So Rs. 900 crore to Rs. 1,000 crore of capex for the 30,000 MT?

Harin Kanani: Yes, right now it is just an estimate because I am (not) able to give you the exact number. But what we are saying is, my expectation is between 2 to 2.5 times for this. So it is somewhere between Rs. 900 - Rs. 1,100 crore - is what I said. So in that range is what we are expecting, more or less.

Jason Soans: But that is for the entire expansion, right?

Harin Kanani: For everything, yes.

Jason Soans: For everything, for everything. Okay, sir. And sir, just would want to know, you did speak about getting a lot of traction from a lot of customers - Japanese, Europe,

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Korean customers. Now, again, in the current scenario, we are also seeing a lot of Chinese dumping in a host of other chemicals. So I just wanted to know from, of course, de-risking is one thing, and China Plus One is a theme. But just when you look at from a long-term, do you see some competition coming in from China, pressures on Electrolytes, since you are adding a lot of capacity in that sense, and China probably will be one of the most cost-competitive producers that is a well-known fact. So how do you see this picture shaping up in the long-term?

Harin Kanani: There are two parts. One is Electrolytes for India, and Electrolytes salts for the world. When we are talking of Electrolytes for India, we feel here localisation has two benefits. One is just the complexity of handling Electrolytes, ISO tanks internationally is very, very complicated. And sometimes the quality also gets degraded. Worldwide, these Electrolytes are always made locally. So if I take the biggest Japanese producer, which is MUIS, they also went and set up plants in each and every continent. If I look at some of the Korean electrolyte producers, they are also setting up plants in all the parts of the continent, rather than just have one large plant from where they will supply.

So therefore, you know, the competition, if at all comes, they have to come to India and set up a plant. And right now, no one has come. Now if anybody comes, they will be a little bit delayed. So right now, that is the reason why if a Chinese guy has to come, set up a plant in India, that is when they will be able to really compete with us. I am not saying they cannot do it, but that is the way. And with today's scenario, it is very difficult even for them to come set up a plant here, set up all the supply chain in here. That is one part.

The second is because we are making, starting just what is coming out of mine and we are doing all the value addition in India. Therefore, the companies which are PLI beneficiaries for whom the local value addition is a key criteria...we are able to take care of their requirements. So this PLI benefit, the need for localisation; and the third thing in electrolyte is basically that the customer wants a knowledge partner because cost-wise, it is not that much, but the criticality of this is very important. So having a Mitsubishi, Su-1 technology, we working with them for the last one,

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one and a half year, hopefully also working to give them a recipe which will improve their self-performance. So I think all of these make our electrolyte play very strong. Now, we will be able to take care of the Chinese competition. I am not saying we will not be completely affected by them. I

mean, they will be there. But what I am

saying is that we will have at least a significant market share, especially for India Electrolyte demand.

Now the second bit is Electrolyte salts, for which we are basically targeting the world. Now in this, there are only two things we can support. One is de-risk from China. And the second is that the US has put a very strong trade barrier in the form of IRA in which they have said that to ensure that supply chain is not concentrated, as per the IRA rules, there are foreign countries of concern and from these countries, your critical mineral cannot be processed and coming. Therefore, most of the cell producers or Electrolyte producers who are part of the US value chain, want to have a salt alternate or additive alternate, which is free of China. Not only

just my Electrolyte salt, but even my raw materials, which I am buying, also have to be completely free from China, all the way up to the mine. I think this is a strong message. These are the two things which are generating a lot of interest. So as long as this continues, this is where Neogen can add value. What we have also gotten as feedback is that while of course, sometimes China prices are very low but outside China, India has been one of the good destinations and a very competitive destination where, with our background, we can add capacities faster. Other geographies where the salt alternate - Korea and Japan - it takes a little bit longer to add capacity. I think this is a strong point which is attracting most of the customers. And they are very, very keen to work with us.

Jason Soans: Okay. Thanks a lot, sir. Just finally...

Moderator: Sorry to interrupt. We request you to please rejoin the queue. Thank you. The next question is from the line of Sabyasachi Mukerji from Bajaj FinServ Asset Management. Please go ahead.

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Sabyasachi Mukerji: Hi, thanks. Thanks for taking my question. I have two questions. First is, on the working capital situation and we are still not being able to generate positive OCF. And the kind of capex burden that we are seeing close to, you mentioned Rs. 900 crore to Rs. 1,100 crore. How do we plan to fund such a huge capex? Will some of our partners help us? Will they partially fund? And how are you looking at it and what would be the timeline of this - capex amount of Rs. 900 crore to probably Rs. 1,100 crore?

Harin Kanani: Yes. This timeline - it gets over second half of FY26. So it is whatever is remaining FY24/25, and may be two or three quarters of FY26. It is going to be spread over seven to eight quarters. But we hear you, and one of the reasons what we have done is we have raised this additional Rs. 253 crore, which will partly give us some breathing time till the regular business stabilises. And we are quite confident. It is just these last six months have been very, very difficult, whatever we plan on one molecule, but suddenly the demand in that goes away like even BuLi Chem also when we started. That is also stabilising now. So there are also some of the biggest customers who basically were the biggest customers for Livent. So the time we have bought it, we have zero demand. In spite of that, in the first quarter itself, we were able to add revenue more or less in line with what can be good revenue. We were also able to break even in the first quarter itself in spite of the top customers not being there, our samples were still getting approved. There are a lot of things happening, but in the second half we will try to improve on that. But over the next seven/eight quarters, we will keep evaluating. We are very sure about the business that, we are again very sure, that we do not want to do any of this at a new risk. So our target remains at 1.25 debt-equity ratio. Anytime we feel we need to raise more funds or we need to evaluate options with partners who would like to fund this together, we will remain open to that. And we will

also keep watching how the

Pharma and Agro will improve. Most of the people I have talked to expect Pharma to start improving from Q4 of the current financial year. And we have also seen signs of some of the customers' interest. But we will see whether that is sustained all the way till the end of next year; how the whole next year pans out. But we will

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keep evaluating options where it is needed to make sure that our cash flows are basically being managed.

Sabyasachi Mukerji: Sorry, just a follow up here. The entire 30,000 tonnes of capacity in Electrolyte and 4,000 tonnes of salt capacity, we are aiming to be done with by the end of CY25? Are we gunning for that?

Harin Kanani: Yes. You mean calendar year 25, right?

Sabyasachi Mukerji: Yes. Yes. Yes.

Harin Kanani: Yes. So that is currently the target. Again, the 30,000 MT we will basically see phase out some of the sections. So it will depend on the final. By the time we get there, we will see if the demand is still lower or if India, in case there is any delay, we can figure it out further. But currently we are preparing ourselves to complete it by calendar year 25, basically by second or third quarter of FY 26. Because we expect by calendar year 25, at least three to four giga companies getting ready for scale up. And we also see some of the international guys who would like to come in 26. So if we are ready in calendar year 25, then we can be their supplier from the beginning.

Sabyasachi Mukerji: Got it. My second question is, we have seen a sharp increase in employee expenses

this quarter. I think the run rate was somewhere around Rs. 12 crore/ Rs. 13 crore. It has gone to probably Rs. 17 crore/close to Rs. 18 crore. Have we done some top level hiring in the battery chemicals business? And what would be the stable run rate going ahead?

Harin Kanani: It is two/three things. One is the addition of BuLi Chem. As you would remember, we acquired BuLi Chem towards the end of May. So in the previous quarter, it was there only for one month, but there were around 50-odd employees which got added. So there is some jump in it because of that. And the increments which we did, these were also done in the second quarter.

We are now getting ready to start building teams for BuLi Chem. Of course, some of it is right now more project related and capitalised, but other leadership teams

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also will start. So we will do that. I do not have an exact/absolute number, but our safe target is around 7% to 8% of the revenue. What is right now working is that, like I said, we should have been doing our organic at around Rs. 150 crore/Rs. 160 crore, if everything was going right as per our plan. So that is a little bit delayed, hitting the peak utilisation level. We keep planning our recruitment as much as possible to basically remain within a reasonable number. But ultimately on a stable basis, we are looking at, at least for now, whatever historic was 7%/8% of the net sales as an employee expense.

Sabyasachi Mukerji: So does it change - the Rs. 140 crore/Rs. 145 crore of EBITDA number that we are probably targeting for FY 24 - do you still stick to that number?

Harin Kanani: Our FY 24 was Rs. 800 crore - at around 18%. Again, it looks a little bit difficult for us to do Rs. 800 crore at 18.5% today. Just because if you look at the first six months, we have done hardly around Rs. 335 crore. And the run rate becomes very high for the remaining two quarters. And at least Q3, I am not expecting a very large jump. So Q3, we will see slightly better contribution coming in from , BuLi Chemicals, because the other pharma customers are now coming and we are also expecting international approval.

And Q4, we will have battery revenue kick-in. But it looks a little bit difficult to get to that Rs. 800 crore kind of number. The number that we had on a stable lithium price. Right now the way it looks, somewhere in the rang

e of Rs. 700 crore/Rs. 725

crore would be a good number unless we see a very sharp recovery in Q4. Again, we still want to try our best to reach that. But the way the last six months have gone, that Rs. 140 crore number looks a little bit of a challenge at present.

Sabyasachi Mukerji: Got it, sir. Thank you. All the best, that is it from my side.

Harin Kanani: Thank you.

Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

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Anirudh Shetty: Thank you for the opportunity. Sir, my first question is, in our battery chemical business, particularly given that lithium prices are so volatile, is it fair to assume that our profitability will largely be immune to this? Because whatever contracts we enter into with our customers, we will lock in the raw material price beforehand and so in a way we will hedge ourselves. Is that a fair assumption to work with?

Harin Kanani: Yes, with a slight correction. We will not lock in the lithium price, but it will be basically some kind of an Index-based price. And we will have a back-to-back price reset clauses based on Index prices.

Anirudh Shetty: Got it. And given that prices can be volatile, margins might be a bit misleading because the sales realisation, moves in tandem. So if one just looks at your business on a per-tonne basis, then what is the right - for Electrolytes and electro-salt business separately - what is the right gross profit per tonne, or the right EBITDA per tonne that one should look at as the most steady-state number?

Harin Kanani: Well, there are two things. You are right that the percentages will keep varying because of two things. One as you said, was the lithium price and the other raw material prices also can have bottlenecks and therefore the price can fluctuate significantly. The other thing is, as your volumes ramp-up, as I explained earlier, when you increase your capacity 3x, your capex does not go 3x, right? So as the volumes go, there is also going to be some price changes which has happened because of volumes. So the way I am seeing at least this business is more going to be driven by what are the ROCEs that you are able to generate. Because ultimately, as you have capex efficiency, your competitors are also going to have capex efficiency. And what any good businessman would do is to basically protect the

ROCE and try to get as much maximum market share while protecting the ROCE. So I think this is a business where ROE and ROCE, are going to be the key factors. We would like ROCE to be upward of 20%. We like to model and try to get prices of ROCE above 20%. But as I have said in the past, for Electrolytes, at least, today there is no buyer, there is no customer in this business. And if you look globally, the way the electrolyte prices are in China, the way the prices are in Europe, Japan, and US, the cheapest and the costliest, there is 2x to 3x difference in the Electrolyte price.

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Part of it is also the performance. So sometimes if you have a very high performing battery, customers might give you a higher price depending on the additives. So that is why, if you have a very good recipe from Mitsubishi which is benefiting our customer, it can really help us.

So I think we will see where the market comes. But at least on the Neogen side, our intention would be to try to get a 20%-plus kind of an ROC. Let us see. Only once the market really stabilises, we will be able to say where exactly it is going. But I would say, more than per tonne or more than percentage, it is the ROCE which is going to drive this business. This is my own assumption.

Anirudh Shetty: Fair enough. And is 20% post-tax? Is that a fair understanding?

Harin Kanani: No, I have thought of it as pre-tax.

Anirudh Shetty: Okay. And just a follow-up to the earlier question around the solid-state batteries and everything. My broader question is

, what do you think is actually a technology

risk to our business, our battery chemical business, keeping in mind that there are certain changes that we can do in our formulation to keep up with changing technologies like solid-state batteries. Under what situation do you feel that there is a technology risk which we cannot adapt to?

Harin Kanani: See, the only technology risk is, I told you that, for example, solid-state batteries are going to take seven years/10 years. And this is what the rest of the world is thinking. Again, the way it will work is, I mean, there will be a new technology which can come. But will it, that technology, will it take away 100% market share of batteries within the next two years? That's not possible with the amount of investment which is happening. So we are right now very safe other than solid-state batteries. Whatever, whenever you require a liquid Electrolyte, whether it is a sodium ion, whether it is a lithium ion, may be tomorrow even flow chemistry, vanadium, all of those with slight modification of my plant, the skill set that we have, how to remove metals, how to make it very pure, less than one ppm impurities, how do we control moisture, how do we pack and transport this, how

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do we keep them stable, how do we test the performance of this battery...all of these skill sets that we have is always going to be useful.

Now, when we think of solid-state batteries six years or seven years down the line, that is really the scale question, that as it adopts, you stop increasing capacity on the electrolyte, liquid electrolyte, and start putting more capacities of the solid. So the way I see it, if you are talking of a 10-year, 20-year period, we have to keep watching the market, keep adding Electrolyte capacities beyond this 30K, and when we do that beyond 30K MT, whenever I am doing from 30 to 50, from 50 to 70, etcetera, that is the time every time I will have to ask myself that how long is this going to be sustainable.

And in parallel, I will also have to start building solid-state batteries. In fact, if you have seen Electrolytes are catching up. I mean Mitsubishi made liquid Electrolytes 30 years ago, right? There are some other Korean companies which have made it 15 years ago, 20 years ago. As compared to that, we are just going to start making it. So there is one decade/two decades. So with the knowledge that we have, with the connections that we have, in solid-state, we hope instead of decades, we are talking of a couple of years, right? So we will be ready much in time. So how our liquid Electrolyte capacities will scale and how our solid-state will scale, that is something which will depend on how the technology adapts. And again, the amount that we are investing, even in a worst-case scenario, there is going to be at least 30 gigawatt hour of Electrolyte requirement, whether it is India or somewhere else. So it is not something that you worry about. In my view, it is more a question of, it is something which you will consider when you are scaling up your plants, whether it is liquid and solid. And yes, as and when solid comes, you will be ready for it.

Anirudh Shetty: Got it. And just one final question. You know, I just want to understand...

Moderator: I'm so sorry to interrupt. We request you to please re-join the queue for follow-up questions. Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

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Rohit Nagraj: Thank you. The first question is on the supply chain. Electrolyte salt to Electrolyte formulation. And all the components or all the raw materials required for the same. How are we placed for the entire supply chain? And given that you also alluded to the US, where the IRA regulation is changing. So if we were to supply these Electrolytes to a US-based company, all the supply chain has to be completely away from China or given that they have the l

argest reserves of the rare earth metals plus other key starting materials, how are we going to tackle this? And from the capacities perspective, are we already in talks with the suppliers from supply continuity perspective, given that there may be other players who also would be looking at simultaneously putting up capacities? Thank you.

Harin Kanani: First of all, when you are thinking of IRA, we are not talking about Electrolytes. We are only talking about Electrolyte salts. Electrolyte salts fortunately require - because we are starting from scratch and doing things - it basically requires just three or four raw materials. And again, depending on - I am talking about right now multiple salts - most of these salts, like lithium is one of the key one in that, Neogen has been buying lithium China-free for last 30 years. We have good relationship with these guys and we have already talked. And because Electrolyte takes relatively lesser quantity of lithium, as compared to cathode material or something, the quantities or the volumes which we are talking about, our lithium suppliers are very happy. They are ready to get into long-term agreements. Even now, it says that we need a customer who gives us a back-to-back assurance because they would want a minimum quantity guarantee. So if a customer gives me a minimum quantity update, I can go and get a minimum uptake lithium and we can tie into that. The other raw materials are also required for lithium salts. We have worked out with our existing suppliers with whom we have been working for the last two/three years. We have multiple sources and they can be China free. Right to the level of the mine. So we can meet the international IRA requirements when it comes to lithium salts, which is relevant from an IRA perspective. When it comes to India's demand of Electrolyte, the salt, whatever we have said remains true. We can be completely China free. For the solvent and the additives,

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most of the lithium additives one-by-one, we are making on our own because that is also something which is needed by the international community and requires to be IRA compliant. So we do not have a challenge there.

Some of the things which you mentioned like rare earth...thankfully rare earths are not required for Electrolyte, any raw material anywhere. So we do not have that dependency on China. We do have dependency for solvents needed for Electrolytes because while we have European and Japanese and Korean sources for that, sometimes the capacity is not enough. And we have to rely on China. Although, there are Indian companies which have already taken lead. This is basically petrochemical kind of molecule who have plans to basically put capacity in next two to three year period.

And we have built such capacity that even if the Indian guys can make a technical grade, purifying this to battery grade is something which we can do on our own. So that even if the Indian companies can make technical grade, we can again develop them very quickly. This is where we are. There is a dependency on the solvents of the Electrolytes on China at present, but other than that we also have a backup. But like you said, if there is a shortage, the backup capacity for the solvent is relatively lower. So that is when still more work is needed. And we are working with potential Indian partners for that already.

Rohit Nagraj: Good. Good to hear that. Second question is on the competition in the domestic market. So unfortunately, basically may be my knowledge is less. We hear only about the listed companies which are currently involved in the Electrolyte and Electrolyte salt, opportunity and segment. But there could be - from your understanding, there could be other unlisted or other people who also would be working in the similar space. So do you see that there could be a greater amount of competition from the other people who are also working in a similar space

and targeting a similar set of clients, may be domestically or internationally? I mean, just your thought process on this, maybe my understanding from the industry perspective is relatively limited.

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Harin Kanani: Yes. Even whatever we have seen and one of the reasons why we also increased capacity. So I think, we have also not seen, especially when we are talking of Electrolytes. You have also not seen any significant other players who are coming other than me and few of the other companies which have already announced, like the listed companies which have announced their electrolyte plans.

We have so far not seen other companies come in for Electrolytes. Again, we have already been supplying this Electrolyte. So we already have a head-start. We already have been working, trying to work with the customers for the last one/one and a half years. We also now have Mitsubishi's license. So I think we have done enough to at least make sure a decent market share for Neogen. At present, other than me and one more company, I do not see any other companies which have actively shown interest or which have actively done something.

Whoever comes now will be a little bit late, in my view, to take care of the initial demands of these customers. But this is my view. And I think even with that, at least we should be able to get a decent amount of market share. I would say broad range - anywhere between 25% to 40% - at least in the initial year, is what I am seeing.

And that has been the basis for my judgment to really set up this capacity.

Rohit Nagraj: Sure. Sure. That is really helpful. Thanks a lot for answering the question. Best of luck. And Diwali wishes to you and your team. Thank you.

Harin Kanani: Same to you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now hand the conference over to the management for closing comments.

Over to you, sir.

Harin Kanani: Thank you, all the participants for joining the call. I hope we were able to address your queries. If you have any further questions, please feel free to reach out to our investor relations team, and we will address them. Thank you once again, and we look forward to connecting with you again in the next quarter and wish you all a

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very happy Diwali with your family. Please take some time off and enjoy. Thank you and have a great day ahead.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Note: The transcript has been edited for clarity. Although an effort has been made to ensure high level of accuracy, it may contain transcription errors. The Company takes no responsibility for such errors .

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2024

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February 19, 2024

BSE Limited
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Scrip Code No: 542665 National Stock Exchange of India Limited
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Mumbai – 400 051

Company Symbol: NEOGEN

Sub.: Q3FY24 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q3FY24 Earnings Conference Call held on February 12, 2024.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/>.

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q3 FY24 Earnings Conference Call Transcript
February 12, 2024

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals' Q3 FY '24 Earnings conference call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing

“*” and then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki. Thank you and over to you, sir.

Nishid Solanki: Thank you. Good afternoon, everyone and welcome to Neogen Chemicals' Q3 FY '24 Earnings Conference Call for analysts and investors.

Today we are joined by Senior Members of the Management Team including Dr. Harin Kanani – Managing Director, Mr. Anurag Surana – Director and Mr. Ketan Vyas – Chief Financial Officer.

We will commence the call with the opening thoughts from the Management Team, post which we shall open the forum for Q&A, where the Management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer:

Certain statements made or discussed on today's conference call could be forward looking in nature. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q3 FY '24 Investor Presentation, which has been uploaded on the stock exchange. I would now like to invite Dr. Harin Kanani to share his perspective. Thank you and over to you, sir.

Dr. Harin Kanani: Thank you, Nishid. Good afternoon, everyone and thank you for joining us on Neogen Chemicals' Q3 FY '24 Earnings Conference Call.

We released our Quarterly Results on Friday and subsequently distributed the earnings presentation. I trust you have had a chance to go through them. I will be

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guiding you through the performance highlights, important developments and updates on expansion initiatives after which Mr. Ketan Vyas, our CFO, will walk you through the financial performance.

Our performance during the period under review was marked by a sustained weak demand environment, influenced by recessionary trends in few geographies. This, along with persistent inventory, destocking, ongoing conflicts in the Middle East and Red Sea crisis, collectively hindered the momentum, leading to a sharp correction in the prices of the raw materials.

Both our key end-user industries, agro and pharma, continued to be under pressure, barring select products that remained stable. In the light of this situation, I believe we have performed satisfactorily while preserving our base volumes and then managing at least a small volume increase.

This achievement was aided by the resilience of our business models coupled with active engagement with customers and partners. We are beginning to observe a gradual demand recovery in the pharma sector and select pockets in agro and anticipate this trend to gain momentum in the future.

On consolidated basis, our performance appears weak, primarily due to two factors. Initial expenses CAPEX linked to our battery materials arm Neogen Ionics, where contribution is yet to come, and one-time impact on BuLi Chem and a little bit on Neogen due to liquidation of high-cost inventories in lithium, in addition to subdued demand for products linked to agrochemicals and pharma.

Our standalone performance on the other hand exhibited slight improvement as we navigated through the sector uncertainties. For Q3 FY '24, our revenue stood at Rs. 167 crore, while EBITDA came in at Rs. 26 crore and PAT at Rs. 6 crore. Mr. Ketan Vyas will provide a detailed overview of our financial performance.

Moving to our Segmental Performance:

In Q3 FY '24, Organic Chemicals revenue reported a decline of 5% mainly on account of a year-on-year drop in bromine and other RM prices, which, when adjusted, would have increased our revenue by Rs. 12 crore.

Likewise, Inorganic Chemicals revenue declined by 30% year-on-year due to steep fall in the prices of lithium raw material which otherwise would have been higher by Rs. 23 crore if we compare to the same period last year.

Let me now share an important development:

Neogen Ionics Limited, a 100% subsidiary of Neogen Chemicals, recently completed land acquisition totalling approximately 2,64,285 m² in Pakhajan, Dahej PCPIR, Gujarat to establish a world class state-of-the-art battery material facility.

This greenfield site will be our largest facility dedicated solely for battery materials and new future business opportunities. Here we will set up electrolyte plant using manufacturing technology license from MUIS, Japan and electrolyte salts and additives plant based on Neogen's indigenous technology.

The MUIS team has completed the design of the plant and accordingly now we are preparing ourselves to start construction of the plant. We expect permissions to be

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received by March and by March or April we expect to start construction of the 30 KTA Electrolyte plant. This plant is expected to be operational in the second half of FY '26.

Coming to our Existing Expansion Initiatives:

Our battery material project is progressing well and is adhering to the schedule and advancing with the plant design using MUIS, Japan technology. Construction is also expected to begin shortly thereafter.

Let me provide you with some more specific updates:

In our existing business, brownfield expansion of Specialty Organic Chemicals by 60 m3, out of which 31 m3 was already commissioned till Q4 FY '23 and remaining 29 m3 will be commissioned during FY '25 depending on business needs.

In the Battery Material business:

In the new capacity of 400 metric tons per annum for lithium electrolyte salt and additives, trial p

roductions have already commenced stage wise and final check and tests are currently ongoing. We expect customers' approvals to start coming through by the end of Q4 FY '24 and start revenue by the end of Q4 FY '24 - early Q1 FY '25. The 2,000 metric ton electrolyte manufacturing facility at Dahej using our indigenous technology is also scheduled for commissioning by the end of Q4 FY '24. Furthermore, we propose to expand our lithium electrolyte salts and additive capacity at Dahej SEZ to 2,500 metric tons in phases, which will be operational during FY '25 to cater to immediate demand of electrolyte salts and additives in the international market.

At our new greenfield site at Pakhajan, Dahej PCPIR, we will set up the 30 KTA plant using MUIS technology and 3,000 metric tons of electrolyte salts and additive plant using our indigenous technology. The aggregate CAPEX for all these capacities set to come online in FY '24 and beyond will be close to Rs. 1,500 crore and will translate into peak revenue potential ranging from Rs. 2,500 crore to Rs. 2,950 crore depending on lithium prices.

These investments will be done in a phased manner and funded through a mix of debt, internal accruals and recently raised equity. Once operational, these projects will drive us into a rapid growth trajectory in the sunrise sector of lithium-ion battery materials, leveraging our first-mover advantage over competitors.

Our aim is to become the most dependable player by maintaining consistent product quality and ensuring timely supply. This will establish Neogen Ionics as the market leader for electrolytes in India for EV applications. While this remains our effort to strengthen the existing business continue, we continue to make deep inroads in advanced intermediates and custom synthesis and manufacturing by leveraging our skill set and customer relationship.

This along with increased contribution from BuLi Chem will anchor our performance going ahead as now we are able to onboard new customers in India as well as in the international market on top of the existing customers of BuLi Chem, who after a brief period of six months of low demand are now starting to consume N-Butyl lithium on a regular basis.

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I will conclude by saying that India remains an attractive destination for global majors with promising sectors, prospects in the medium to long term. Our sound understanding of market nuances, unique value proposition and unwavering commitment to innovate will set us apart, fostering our growth potential and delivering value to the shareholders.

That ends my opening remarks. I would now request our CFO – Mr. Ketan Vyas to share financial highlights for the period under review.

Ketan Vyas: Thank you, Dr. Harin. Good afternoon, everyone and welcome to Neogen Chemicals' Q3 FY '24 Earnings Call.

I shall now take you through the "Key Financial Highlights":

Please note that these are all on a consolidated basis and based on year-on-year comparison.

We reported revenue at Rs. 164.4 crore depicting a fall of 12% over last year. The quarter witnessed declining raw material costs and the resultant realizations albeit on steady volumes. BuLi Chemical revenues moderated on the back of slowdown in pharma and agrochemical. Organic Chemicals saw a revenue decline of 5% at Rs. 129 crore whereas Inorganic Chemicals noted a decline in revenues by 30% at Rs. 35 crore.

As stated by Dr. Harin, this was due to a significant fall in prices of both bromine and lithium, excluding which the overall revenues for Q3 would have been higher by Rs. 35 crore.

EBITDA was lower at Rs. 20.4 crore, reflecting the impact of higher employee costs and other expenses related to ongoing expansion initiatives around Neogen Ionics. This was in addition to liquidation costs of high-cost inventories in BuLi Chem. That said, the gross margins were largely maintained. In line with the moderated o

perational performance, PAT came in lower at Rs. 1.1 crore. This includes the impact of higher finance costs and depreciation coupled with one-time tax charge incurred owing to transition to new tax regime. This means our effective tax rate from next year will be lower.

The domestic to export mix stood at 78% to 22%. On a standalone year-on-year basis, our Q3 revenue came in at Rs. 167.4 crore vs. Rs. 186.3 crore. EBITDA was at Rs. 25.8 crore vs. Rs. 30.1 crore and PAT was at Rs. 5.8 crore vs. 14.7 crore. That concludes my initial remarks. I will now request the moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Manish Gupta from Solidarity Investment Advisors. Please go ahead.

Manish Gupta: I just wanted to check a few numbers with you. Our gross block at the end of FY '23 was roughly Rs. 400 crore and the CAPEX that we are doing in FY '24, FY '25 and FY '26 is about Rs. 1,500 crore. So, barring any new projects we announced, roughly by the end of FY '26, will we have a gross block of approximately Rs. 1,900 crore? Is that approximately right?

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Dr. Harin Kanani: Yes.

Manish Gupta: Now, sir, on our existing gross block of Rs. 400 crore you do help us by giving revenue numbers, but the challenge is that because these revenue numbers are so strongly linked to lithium prices and bromine prices that it becomes a bit complex for us to interpret. It would be useful if you could guide us with a range for what is the peak practical capacity utilization? Rs. 400 crore of gross block will roughly translate into how much EBITDA and at what practical peak capacity utilization?

Dr. Harin Kanani: Sure. We always try to give you a range that with lithium prices variation, what is the fluctuation that you see, what is the range in the revenue which can happen and similarly EBITDA ranges.

But let's say if we take a case, so on a Rs. 400 crore, as we had guided earlier, we can have a revenue potential of around Rs. 950 to 1,000 crore, sorry, Rs. 1,050 crore and let's say with whatever is our understanding now of BuLi business, we feel with the same CAPEX or with slightly incremental CAPEX, we can get more revenues from BuLi.

So, we can say around Rs. 1,000 crore of revenue we can earn and till we reach the full utilization level, our target would be to achieve at least 18% (+/-1.5%) kind of a EBITDA range. So, let's say around Rs. 180 crore and let's say to consider the plus or minus range, that's somewhere between Rs. 170-200 crore EBITDA on the full utilization level in the base business.

Manish Gupta: So, now if we say that, let's just work with a round number of about Rs. 180 crore. I do understand the range you are talking about. Would it be fair to assume that when we reach peak utilization on the Rs. 1,900 gross block, our pro-rata EBITDA for the company would be Rs. 1,900 crore divided by Rs. 400 crore multiplied by Rs. 180 crore - roughly in that range? Would that be broadly similar? Because bulk of the incremental CAPEX is actually happening in battery chemicals or do you think the EBITDA, there would on a pro-rata basis might be lower or slightly higher than the base business?

Dr. Harin Kanani: Yes. So, as I have said earlier, in the battery business, basically we are looking more, from a ROCE concept. So, that business is going to be driven more with the lithium price and even other battery materials also will fluctuate depending on supply demand.

I mean, what we have seen is the prices of solvents and lithium what they were a year ago or year-and-a-half ago versus today have seen a lot of fluctuations. So, we look more from a ROE, ROCE point of view. Again, the EBITDA there was more like 15% to 18% depending on lithium price fluctuation.

So, broadly speaking yes, even if you take the revenue potential which we have

given you of Rs. 2,500-2,950 crore. So, on Rs. 2,500 crore, you can assume about 18% - again plus or minus 1.5% - kind of an EBITDA. That will translate into a total EBITDA of about Rs. 450 crore plus....around Rs. 600-650 crore.

I have just done mental math here; but basically, you can take Rs. 1,000 crores at 18% and another Rs. 2,500 crores at 18%. So, beyond that it will be a pass-through and of course, as we reach full utilization levels in FY '26, our target would then be

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to do better product selection in our base business and then try to improve our EBITDA margins in the base business.

Manish Gupta: My third question, sir, is that while the electrolyte is a new business for us basis discussion with your technology partner, what is the typical life of these electrolyte plant?

Dr. Harin Kanani: Life, so the battery, the electrolyte plant which was established in Japan I think two or three decades ago, that is still running. The plant which was set up in the U.S. eight, nine years ago is also still running. They keep making improvements as the customers' recipes become more complicated or need modifications, but generally the plant will run for a long period of time.

Manish Gupta: And sir, how do you propose to depreciate these?

Dr. Harin Kanani: I'm sorry, I don't have a very accurate answer on that. I mean, it would be on similar lines of what we have. But as of today, I don't have an accurate number. I don't know if, Ketan, in our models, if you have taken depreciation, if there is a percentage depreciation you are taking, if you can add. But I don't right now have an exact number or a decision on that currently.

Ketan Vyas: No, we don't do on a percentage basis. We do on the life of the asset, which we await to get confirmation from the technical team.

Dr. Harin Kanani: So, currently, are you using a particular number? Between 10 years, 15 years, 20 years?

Ketan Vyas: We do about 15 years, odd.

Manish Gupta: And the last question, if I may, sir. Right now, we haven't announced any CAPEX for the cathode, the LFP cathode.

Dr. Harin Kanani: Yes.

Manish Gupta: But I wanted to ask that- For a minute, if we assume that Neogen will not be participating in this opportunity, I wanted to understand that players who are getting into the LFP cathode, how will they source the lithium? Will they themselves start with lithium carbonate and refine it or will they be looking to source lithium salts needed for the LFP cathode from a player like yourself?

Dr. Harin Kanani: As we have said in the past also that Neogen has not announced any capacity in lithium cathode, but we have capabilities around lithium cathode, both our own developed technology as well as in partnership with international customers. So, let's say maybe not as reputed as MUIS because when it comes to cathode and LFP and some other cathode chemistries, very few companies have worked on this outside of China. But we do have this technology.

The main reason why we have not done is, because our customers are making several choices. Will they do NMC or will they do LFP? If they do LFP, would they want to import or would they want to make it in-house? And then some of them, because cathode is a very large contributor, they also consider when they want to make in India, whether they want to make it in-house or buy from a company like Neogen.

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Because there is not enough demand clarity like we have with electrolyte and electrolyte salt, we have not moved up with the CAPEX or any plans around that. But we do have visibility and our only condition is that, for cathode we will move ahead only when we have a very firm, binding contract or a kind of joint development or a joint plan. Some such situation is only when we will basically venture into a cathode area. The way we have currently moved into electrolyte and electrolyte salt, we would not move into the cathode, again

, just because there are multiple options.

Whereas for electrolyte, there is a strong clarity that it has to be local, people want to buy from us and most of the companies are not going to make it themselves. So, this was just the clarification on your cathode comment about Neogen.

Basically, Manishji, to answer your question, Neogen has worked in battery materials, in the cathode material, but we will basically proceed in cathode material only when we have a strong business clarity and a very committed customer clarity. In electrolyte, we have that clarity now. We also have that strong need of localization.

So, that's why we have proceeded further on electrolyte.

And just to answer specifically your question about where they will source the lithium from...so the lithium mining majors generally make lithium carbonate and lithium hydroxide battery grade. So, depending on the technology which you are using, in such a case, you would buy carbonate and hydroxide directly from them. At least in lithium, to the best of our understanding, most of the companies would do that.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just on the inventory write down first, would it be possible to share a number regarding how much is actually being written down?

Dr. Harin Kanani: I think in BuLi Chem, not a write down, but basically, what happened in BuLi Chem is that we acquired the company in May 23. And in June, there was a very strong demand both from pharma and agro sector. So, we imported the raw material which is lithium metal and other materials required for making n-Butyllithium.

This material came through by August or September. But that is when the specific customers with whom we were working, their demand had gone down significantly, or they had already entered into some contract. And last quarter, the lithium prices instead of being above stable lithium price, they actually went below stable lithium price. So, basically, we had to then sell this material at lower cost which is today's market cost.

Because of this timing mismatch - by the time we ordered, the material came, and we were able to sell (because of the startup related conditions, we were building that inventory) - there was a charge of around Rs. 4.5 crore to Rs. 5 crore is what in our estimate we lost. Just because of the price fluctuation on lithium. So, that was on the BuLi side.

And also, as I explained, lithium had gone to stable price. So, we were able to manage the journey of lithium from \$15 to all the way up to \$80 and then back to \$20-25 which is supposed to be the stable lithium carbonate price. But today those prices have become half of that.

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On Neogen's side also, we had around Rs. 2.5 crore losses, which were because of the price dropping very fast. We had an option either to wait longer for prices to recover. But since we didn't see serious price recovery happening immediately, we decided to go ahead and sell at what is today's market price. So, there was a Rs. 2.5 crore hit on Neogen and around Rs. 4.5-5 crore hit on BuLi because of this lithium price fluctuation.

With the majority of high price inventory already factored in, there will be some bit of impact of this on Q4, but Q1 onwards, that is, the next financial year onwards, we should be back to normal and you will not see too much of further erosion or impact because of lithium price fluctuation.

In BuLi also, we have a regular set of customers who are getting established. It's not that we are building up inventory to support. It will be more a pass-through. So, whatever material comes, we think we will have better pass-through, and we will be able to better take care of this in the coming financial year.

Abhijit Akella: No, that's really helpful. The other thing was on the CSM business. Will it be possible to share some update

on how the business has been progressing? If it's possible to share a split between the three components of the base business, that would be helpful; and then, specifically on CSM, how are we progressing in terms of relationships and molecule development and that sort of thing?

Dr. Harin Kanani: For us, the CSM business has done well. It's now already contributing almost like 14% to 15% of our revenue. Our goal was to move from 10% to 20%.

However, in the advanced intermediate segment, we see a little stronger competition from China on the pharma side. The advanced intermediate and CSM together are still at about 30% whereas we had targetted to reach up to 40%. This is the exact contribution.

Now in terms of the relationship, the positive news has been that more and more agrochemical companies have already now approved Neogen. We did the first trial campaigns for them, and we have now done more than 9 or 10 different molecules for different agrochemical companies. The demand for these molecules can be as low as Rs. 10 crore to Rs. 15 crore just to start the relationship to as high as Rs. 50 crore per annum kind of revenue potential. So, that's the good news.

The difficult news is that in the next year most of them don't have a very large demand. So, while the number of relationships have increased, the number of molecules have increased, but still we don't have a very good clarity at least in the

first half of the next financial year. So, we are again hoping that beyond Q2, these existing relationships that we have built or the approvals that we have done will start contributing as the customers will start planning their 2025 calendar year demand in the second half and that is when if the agro recovers, then we have a good way to increase our revenue contribution from CSM business.

Further, as we had mentioned, we also now have several projects into flavours and fragrance segment. So, these are also now moving along as well as some non-agro, non-pharma, non-flavour specialty application kind of molecules. So, these are also now contributing. Whatever agro we were not able to get because of weaker demand, flavour and fragrance and other industries have to some extent supported.

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When agro comes back, it will help us to make our CSM and advanced intermediate business stronger.

Finally, our goal was that once Dahej site gets commissioned, we will start talking to the large five agrochemical companies in Europe and U.S. Most of these discussions have been initiated. They have also started their evaluation work. Of course, there is a bit of a slow down because of lack of demand or lower demand from their side. But still they have recognized the capabilities that we have in bromination chemistry, Grignard chemistry and now that we have proven 7-8 different molecules of multi-stage synthesis as well as the synergies which come with this n-Butyllithium. In fact, those projects where there is n-Butyllithium use, we have seen maximum interest. So, I think all of these, once the agro demand will pick up will really benefit us.

Abhijit Akella: And just one more point to clarify regarding our strategy in the CSM business. Do we intend to focus only on commercial scale molecules or like some other peers in this industry, we intend to get into the relationship right at the stage of, say molecule development early on during the R&D or early commercialization and ramp up the relationship from there? How would our thought process be?

Dr. Harin Kanani: So far, all the work which we have done is more on the commercial manufacturing side - basically developing commercial business and focussing our R&D efforts on that. However, we are also in the process of expanding our R&D lab in Karakhadi. This capacity will come online sometime in the next financial year. Once we have this additional CAPEX, part of this especially in pharma, what we

have seen is that

sometimes it helps if you start this relationship really early on. So, we will also maybe offer a little bit of our R&D capabilities of that, but it will not be for revenue but more to start the relationship early so that we can have a better pipeline. So, that is the only difference. Otherwise, our focus still remains on more commercial. And in terms of revenue coming in, the revenue will largely be from the commercial manufacturing activity.

Abhijit Akella: And one last thing from me. On the Battery Chemicals Business, there has been some sort of growing amount of news reports regarding somewhat of a slowdown in the adoption of electric vehicles. In that context, how do you see the industry progressing? Is it probably rolling along as per your original expectations or are things moving a little bit slower than you expected? And with regard to your projects commissioning timeline plus maybe what others have announced, how is the situation looking in terms of timelines in terms of demand?

Dr. Harin Kanani: So far whatever we have seen, I mean, we still feel that the India demand continues to grow. See the fact in India is that there is already a demand which is not being met because today we are not manufacturing the cells. There is already a strong demand which would have existed today for battery materials if there was a cell manufacturing capacity. So, most of the cell manufacturing capacity in India as we had stated earlier remains on track.

In 2024, we will start to see some cell manufacturing happen like the 1 or 2 GW hour level projects will make that start and then they will basically ramp up in early 2025 and then a few more will come in the second half of 2025. So, if you go to 2026, my estimate is, we will at least have 4 or 5 projects, 4 to 5 plants which are basically

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working at a GW hour levels and by 2026 I also see that the ones which will start in 2024, scaling up their operations.

From a timing perspective, our electrolyte plant starting now will take care of the initial GW hour plants which are coming up in India as well as some international and some non-EV customers and some electronic battery customer demand as well. So, we will start with that in 2024, which is basically FY'25 and then their initial ramp up also, we will take care of it from Dahej. Our target remains that in the second half of

FY'25, some time around December 2025, one quarter before or after, is when we expect the 30 KTA plant to come. So, I think it will be a perfect time that in 2026, when the majority of these customers are ramping up and more new plants are coming online, we will be ready from the beginning to take care of them for their electrolyte needs.

Similarly, you would have observed in our opening remarks that the international battery material demand, non-China because of IRA and because of heavy dependence on China, alternate source to China, remains strong. So, there is a very strong interest in a non-Chinese electrolyte salt and additive demand, and this is why our original plan was to increase 400 metric tons to 1000 metric tons and then from 1000 metric tons directly go to 3000 metric tons. But we had to increase the capacity to 2500 metric tons to take care of the demand before our new plant comes up. So, in fact the way we are seeing the demand for electrolyte salt and additive come in it's actually getting preponed as compared to what we had originally estimated. I think electrolyte demand remains on track. And I think overall, if we talk of just EV and energy storage, we feel there is a bit of slowdown mostly in China and of course there is a little bit of challenge which people have seen in the US, but still the EV numbers continue to grow in all the regions and I think the commitment of majority of the automakers also still remains and the non-EV, which is basically energy storage application is still picking up till

the models get set around that. So, that is also still the demand as the world moves more and more towards renewables they will basically need more energy storage.

So, I think more or less we feel our electrolyte demand, the way we see it, remains on track. The electrolyte salts and additives we have actually preponed and added some more additional capacity. That has also been one of the reasons why the estimated CAPEX numbers are higher. That is based upon the final design that we received from Mitsubishi and there is the additional salt capacity which we needed to have because we see the electrolyte salt demand getting a little bit preponed in the international market.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Sir, first of all, just wanted to confirm - did you mention that, on a gross block of Rs. 400 crore, just considering stable lithium and bromine prices, we were able to do revenue of Rs. 1,000 crore with an EBITDA margin of 18% and then same thing you mentioned that for Battery Chemicals Business with an EBITDA of 18%, there is Rs. 3,000 crore revenue potential. Is that right? That is what you mentioned?

Dr. Harin Kanani: 18% on Rs. 2,500 crore, on the lower side.

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Jason Soans: 18% on Rs. 2,500 crore and on the base business side Rs. 1,000 crore with an EBITDA of 18%, right?

Dr. Harin Kanani: Correct and (+/-1%) is what we take in that both.

Jason Soans: And sir, just wanted to know - we have spoken about this before - that in terms of, realizations, probably we are looking at a number for electrolytes, probably something in the range of \$5 to \$10 per kg. Just wanted to know in terms of electrolytes as well as lithium salts what are you taking as an average realization considering a stable or an average lithium price? I just wanted to know what the realizations are you taking in your calculations for both electrolytes as well as lithium salts?

Dr. Harin Kanani: The electrolyte realization is somewhere around \$10, and it will depend on the recipe, because each customer has a unique recipe, so it is very difficult to give one single price. Also, like I said, there is one price in China, there is one price in Japan, there is one price in US and all of these are varying quite a bit. So, what will be India's price depends on the volume. It will change as the volumes will increase; but again as we said, the electrolyte business is mainly going to be ROCE driven and at least we see ROCE of 20% plus. That is the basis of our assumption. So, actually EBITDA number is like a derived number, but ROCE is what we are targetting because as you keep increasing higher capacities, you can afford a lower price based on the ROCE that you are doing.

Jason Soans: So, \$10 per kg is what you are working with currently, of course and lithium salt, sir, in dollars per kg?

Dr. Harin Kanani: Again, there are multiple salts, and the range would be around \$27-\$28 to \$35.

Jason Soans: And sir, just in terms of electrolytes, lithium salts, how are the traction on the ground with customers like Ola, TVS, Panasonic, etc.? How are the negotiations with the customers? Could you give us some colour on ground, how is the traction going on?

Dr. Harin Kanani: We are having very good conversations with all of our customers. Of course, we have been giving a few kg samples to these customers for almost last now 15 months. Some of these have started a larger trial. They are also now buying, 100 kg - 200 kg of electrolyte volumes. Most of them, at least two or three of them are expected and actually are after us to ensure that our facility will be ready by the end of the current financial year. This is because they are expecting trials of their commercial plant to start in the first half of FY'25. We are on track basically to deliver that and our facility will be ready so that we can give them the initial

trials. They have visited Neogen and whatever quality systems of Neogen they have seen or the quality of electrolytes they have seen, they are very happy with that. Also, now with MUIS we give them the option that if they want to try MUIS recipes, we can work with MUIS to suggest to them recipes which can improve the performance of their cells. So, this is also taken very positively and most of these customers remain engaged.

In fact, what we are seeing is that even more new OEMs in India who are planning in future, two-wheeler and four-wheeler vehicles, they are also engaging basically when they want to consider the option of making the cells in India. This is in the Indian market. Internationally, when we are talking of electrolyte salts, we are

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working with several customers and they are visiting our sites and are taking our samples. Some of them have already approved our samples from either R&D or the early production samples from the trial production runs. So, we are also seeing a very positive feedback both on the salt in the international market as well as the future potential Indian electrolyte customers.

Jason Soans: And, sir, if you could just explain electrolytes have of course to be sourced locally...what is the impediment or the hurdle to so that it cannot be exported? And lithium salts - those can be exported. Is my understanding correct? Could you explain?

Dr. Harin Kanani: If you look at Mitsubishi, when they started in Japan and set up a plant there. Similarly, when their customers moved to US, Europe or China, they also set up a plant in US, Europe and China instead of just setting up more capacity in Japan and ship. The main reason in this is that electrolyte requires very low moisture content, very low acidity, very low impurities, and some of them have additives which require temperature below 10 degrees. So, if you think of tanks which are required for transporting this across the world, the cost of such a tank and the cost of transportation, and sending these tanks to the customer, bringing them back, and especially if you have multiple customers with multiple chemistries, making sure that you deliver on time whatever particular recipe they require. This is more complicated and that is why in terms of the performance and the quality of the electrolyte, it is always preferred that the electrolyte is made locally.

Now the volume of the salt that you are sending is usually between, if it is a salt, it is between 10% to 15%, and if it is an additive, it is between 2% to 5%. So, the quantum of salt that you need to shift as compared to the quantum of electrolyte reduces. The second thing in this is that this does not require low temperature and the shelf life is longer. It still requires moisture free conditions, so it requires a specialized packaging, but the volume of it is lower and the fact today also remains that 90%-95% of the salt is in China. So, people are actually used to buying from China and then making the electrolytes locally.

Therefore, when we offer a salt, the question that remains is that instead of importing from China, I have to import from India. That is why we are not making a very big change from what is already being done. That is the reason why salts are easier to export to the international market whereas electrolytes are usually made locally. Therefore, we are not targeting very large export markets in electrolytes as well as the fact that we are also not seeing most of the Indian customers relying on imports totally to get the electrolytes into India on a large scale on a sustainable basis.

Jason Soans: We have seen specialty chemical companies, we have seen a weak underlying demand, which is driven by driving down raw material prices and hence realizations as well, especially with Chinese competition, especially with generics, etc., being very intense and they are driving down intermediate prices also. So

just in your sense, do you think we have bottomed out? Probably we can see a gradual recovery from here on in the global markets. What is your sense on the entire pricing? Then of course with the falling prices, our absolute EBITDA definitely has gone down. That

has been the story of this. I just wanted to understand in your sense, how is it? Do

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you see that the prices, realizations having bottomed out and a gradual recovery from here on or is there more pain still left?

Dr. Harin Kanani: What we have seen is that in pharma, there are some customers who are doing okay and there are some customers who have already recovered, and there are still some customers who are recovering. There are some categories like antiretrovirals or some specific large molecules, even related to heart related ailments, they are seeing that there are still inventory corrections happening and the demand is still coming up; whereas there are some segments, more in specialty, more in niche pharma that have already recovered.

On the agro side is where we have seen more of a challenge where people are still not getting visibility. Of course, our supply chain is in the international markets, especially in Japan and in India basically people who are working with innovators. So, most of these are guiding us that it will only be in the second-half of the calendar year when they will start looking at 2025 demand which is when agro will improve upon.

Also, in terms of raw material prices, we really feel that most of the people had predicted a stable lithium price, which is slightly higher than the previous 30-year-old average. The 30-year-old average is at around \$12 to \$15 of lithium carbonate and most of the people were predicting that \$20 to \$25 will be a long-term stable price of lithium. Unfortunately today the lithium prices have gone towards being historically low or historical low average of \$10 to \$12. We don't see further decrease because, if that happens, more and more new-age mining companies or the newer mining companies, certainly those based out of Australia, will not be able to sustain it for a long period of time (and would start) reducing the supply. Anyway, this is what is our belief that it should not go further down, if at all, maybe 10-15%, but not a very large decrease from today and because the prices have gone down so much. By 2025-26, when there is again revival, and more battery production will come in non-China market, that is when you might see another lithium price jump. This is anyway my estimate but let us see how the markets proceed.

I think our EBITDA is bearing this particular lithium factor and the fact that we have not yet reached full utilization the way we have targetted. We feel that, more or less, on our EBITDA margins we have still done a decent job of protecting them. It is just that this \$25 to \$12 was something which took us by surprise; our customers held back and especially the BuLi situation because we were just starting. It came at a little bit at a wrong time when we were not fully ready, but going forward we will be able to manage it better.

Moderator: Thank you. The next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: My first question is more of a clarification question. Last quarter we had revised our expansion for the electrolyte salt from 2000 metric tons to 4000 metric tons. I heard you saying basically 2500 metric tons something, I am really not sure about it. Can you please reiterate the same?

Dr. Harin Kanani: Sure. The 4000 metric tons was broken down into 1000 metric tons in our Dahej facility and 3000 metric tons in the greenfield facility. Now because we see a stronger

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demand of the salt that 1000 metric tons is being increased to 2500 metric tons and we are seeing 3000 metric tons still in the new greenfield facility, which remains constant. So, the total is now becoming 5

500 metric tons. So, what we had increased from 2000 metric tons to 4000 metric tons, now stands increased to 5500 metric tons. The increase is basically coming in our Dahej facility because the customers are not able to wait till our new facility comes online. So, we are using the existing land available in Dahej to increase this capacity.

Yash Shah: So, basically, the rest of the 600 metric tons, it was expected to come by the end of the next quarter. Now since we have increased it to 2500 metric tons, when is that expected to come since you have increased the capacity on the brownfield side?

Dr. Harin Kanani: Our 400 metric tons, like I said, all the trials and everything have started. That is, the commissioning, we are having several phases. 1000 metric tons that maybe we will have 1500 metric tons and then ultimately 2500 metric tons. So, our target is at least 1000 metric tons and 1500 metric tons to come online in Q2 or Q3 and 2500 metric tons by the end of Q4. So, by the end of the next financial year, we would be at total 2500 metric tons and it will be in phases. So, 1000 metric tons will come first, then

there is another particular plant getting added which will increase it to 1500 metric tons and then 2500 metric tons. All of that will be happening in the next financial year and then that will take care of the FY'26 requirements of our customers. And then another 3000 metric tons will get added in FY'26 that will basically take care partly of our own electrolyte requirement and partly take care of the additional requirements of our customers.

Yash Shah: Sir, my next question was on the base business. Now as we have mentioned before that we had a Rs. 36 crore impact on the current quarter, so now if you just look at the numbers which were there in the last year same quarter, we will ideally touch Rs. 200 crore and that will be ideally at the same amount of volume. So, just really wanted to understand, since agro makes about 60% to 65% of our base business, which end user industry did you see this demand from and also in which geography?

Dr. Harin Kanani: Just to clarify that Rs. 200 crore you have calculated is when the lithium prices were at its highest. So, again that was the peak volume and of course on a full utilization, we will cross that, but today we are not there. The plants are not fully utilized. The second clarification I wanted to make (is that) for us, pharma was always higher. It is 50-60% and agro was around 20-25%. So that 20% to 30% is a bit lower which has been right now made up by pharma and like some business which I told you - flavour and fragrance and some non-pharma non-agro. So basically, other industries. So, that has made it up.

Yash Shah: And any particular geography, like is it Europe or US, Japan, if you can?

Dr. Harin Kanani: No. So currently especially our agro business as you know, was mostly international and even in India it was linked to the international. So, that is where you have seen our exports have gone down significantly. Mainly driven by that as well as the fall in lithium prices. So, it is mostly, we have done more of pharma customers – we have done molecules which we were normally not doing, but we have done those molecules in this quarter to make up for the shortage in the demand. So, mostly it is pharma generic India.

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Yash Shah: And sir, one last question, I just wanted to understand what is our current gross debt and with this expansion coming in, what do we target as gross debt to EBITDA ratio or the debt to EBITDA?

Dr. Harin Kanani: Our gross long-term debt today will be somewhere around Rs. 150 crore and working capital will be around Rs. 200-250 crore depending on which period of time you are basically looking at. I am sorry I don't have the number for long term and maybe in the next call we will prepare, and we will give you an update on that or you can send us an e-mail and if it is not n

on-public information, we will try to share it with you.

Moderator: Thank you. The next question is from the line of Anirudh Shetty from Solidarity Investment Advisors. Please go ahead.

Anirudh Shetty: Sir, when we look at our Battery Chemical Business, the assumption of margin behind that ROCE of 20% upwards is actually 18%. Just want to understand that unlike our bromine business where we have a long-term history, the business model is more established, this is more of a recent business, economics still are evolving. So, I wanted to understand the basis behind our assumption of 18% and also there are two segments - electrolyte and salt - so if you could just give some colour on what is the implied margin for electrolyte and salt, respectively?

Dr. Harin Kanani: The basis for our assumption is that we are looking at, if we are doing an investment, we are taking the risk, if we are the first mover and to be able to justify the risk and the investment, this is the bare minimum that we need. Now when we put that bare minimum number and arrive at our selling price, because you put all your cost, your depreciation, interest, then you will put this number and arrive at a cost. And what we have seen is that when we put that cost, let us say when I am talking of salt we are expensive as compared to China, but we are cheaper as compared to Japan and Korea, which are the next two available options.

So, then we are confident that look, this is something which if somebody says I want a non-China price or in fact if we are looking at more stable - because right now the China prices are very depressed because of overcapacity, but if I were to put the old lithium prices and if I were to look at stable salt prices in China, we are more or less tracking that. That is the reason why we feel confident enough that this is something which we will be able to use, we will be able to get.

Similar situation in terms of electrolyte. When we put this number in our models, look at the electrolyte prices, what we feel is that when I am looking at the price, we are somewhere lower than the prices which are let us say prevailing in Japan or Korea and within the range of the lowest and the highest Chinese prices. So, we feel like if

the remaining markets are also able to sustain that and this is what we have done. So, therefore, this is business. Again, there is no buyer, there is no seller of this in India today and this is a fragmented, more geographically concentrated market, the way we have seen it. So, therefore, right now this is the basis of our assumption. Anirudh Shetty: And right now there is no local manufacturing, lot of it is being imported. Would it be fair to assume that a lot of imports are coming from China and at certain scale, would it be fair to assume that as a local supplier, there would be some PLI benefits as well? Would we be cost competitive versus China at a cell level or will there be requirements for some anti-dumping duties to bridge the gap?

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Dr. Harin Kanani: You are saying at the cell level?

Anirudh Shetty: Yes.

Dr. Harin Kanani: I think this is a question you have to ask my customers - cell manufacturing. Most of them are confident enough that they should be able to; because what we have seen worldwide and I think if you see some international reports also, while the cell manufacturing cost has dropped in terms of dollars per kilo, whatever has been dropping, but what people are commenting is that majority of the scale benefits are already achieved. For example when somebody was making only 10 MW hour or 100 MW hour. From there, you went to 1 GW hour. So, the savings that you do when you move from 1000 to 1 Giga is substantial. Then from 1 GW hour people started going to 5 GW hour or 10 GW hour and then from 5 GW hour and 10 GW hour now. Today people talk of plants which are 20-30 gigawatt hour. So, as you start going to this scale, as long as you started d

esigning your plant at 10 giga, 20 giga and multiples of those, what I have got the feedback is, beyond that the scale benefit is not that much. So, then you are basically driven simply by what is the material cost, what is the efficiency with which you are operating, which will make 10%, 15% kind of a difference. I personally believe, majority of the scale benefits that we needed to get, we have got. The Indian companies are also talking of, at least their initial plans are, all 10 giga, 20 giga and some of them are even considering an ultimate 50 or 100 giga kind of volumes. So, I am confident that they will be competitive against China in a fair competition.

Now, I personally feel the PLI benefit will help them get to that scale and after that, if the fight remains fair, then I think they will be able to manage well. If it is unfair, then you need something like anti-dumping duty protection if somebody decides to just dump like crazy and we have seen China do that. In China...even in pharma markets and in the other markets, that is where the Government would step in if it needs to help. I feel they are quite committed to protecting the Indian companies on that level.

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: I just have one question, Sir. Just building upon the previous discussion that you we're having with respect to the amount of GW hour capacity that is rather going to be built up over a period of time. But I am slightly looking at it from a myopic perspective. From let us say for CY'24 or CY'25. I think your anticipation was that we will have close to half a GW, maybe 1 GW, or a capacity in India in this year and then it will start doubling up exponentially over a period of time. In the current scheme of things, sir, in your discussion with your customers on the same account, especially in domestic battery manufacturing where we are mostly going to sell electrolytes, what is the progress there and how exactly do the sale get generated – is it that it goes into a testing phase wherein our pilot plant will be occupying more capacity towards that particular demand and then it takes maybe a year's time to ramp it up from 0 to 1 GW hour, so that time frame is essentially something that I am curious to understand if you can explain both these things?

Dr. Harin Kanani: Sure. The way this will work is that our principle has been, we have to be ready when the customer is ready because if they want electrolyte and if I don't have a plant to

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make electrolyte, then basically we are forcing them (to import) even if they don't want to import, correct? So, if you look at what Neogen has done; so there were several customers in India who for last 15-18 months had developed the capability to test, make the cells in the lab like those few 100 cells, 200 cells. So, we were also ready with our facility. And even up to 10,000 cells etc., kind of a demand when they wanted, we were able to basically give them the few 100 litres of electrolyte. We were the only Indian company which was able to do that for the last let us say 18

months. Most of these customers have either bought the material to make their initial cells or send the material for evaluation to their international partners, who can evaluate.

Now, next what will happen is, as these people set up their giga plants, they will also need electrolyte to support the giga. And as I said, 1 GW hour depending on NMC or LFP is somewhere between 500 to 1500 metric ton. So, the 2000 metric ton capacity can support up to 4 GW hour of NMC cell production in India or 1.5 GW hour of LFP or on an average 2 GW hours of cell production can be supported by our existing facility. And this is the facility which we have from now till September or December 2025. So, will India at least make 2-3 GW hour of cells by December 2025? To me the answer is yes.

With whatever is happening today, they will be at 2-3 GW hour per month if you are thinking of around 0.2 giga per month kind of a production which can be supported by my existing plant. In fact, if they really ramp up well, I might even have to increase this. I mean till the bigger plant comes up, I may have to increase this 2000 metric tons to 3000 metric tons or 4000 metric tons, but with the basic infrastructure in place that can happen relatively quickly. We will be ready for that if it is needed.

I think that will take care and I personally feel that once they start giga production in 2024, in 2025 they will start stabilizing and there will be more people who will come online in 2025. In 2026 is when the guys who will stabilize in 2025 would jump and make the 5x jump in 2026 and the guys who are stabilizing in let us say 2024, 2025 who are starting they will also have some initial requirement in 2026. So, 2026 is when we need that Mitsubishi plant to come online.

We will keep watching, how they are progressing and while the Mitsubishi plant - we already finished the design; they have already shared the final design numbers like estimation of what is it that we will need - so we have also completed that. We are in a very advanced stage of talks with some of the lenders who want to give us a very long term (finance). They also looked at this as a priority long term project finance mode. They are also giving us preferential terms so that we can manage our debt service coverage ratios and things like that. So, what I feel is that if we look at the 2030 number of 150,000 metric ton electrolyte demand, I personally feel that will happen by 2025. Will my 2000 metric tons run at full capacity? My guess is yes. So, if I am starting in, let us say, March 2024, and let us say 18 months or 21 months, if I am reaching full utilization levels, I will be very happy with that. The 30 KTPA plant, I still believe if it starts in end of 2025 which would be FY'26, full utilization of that might happen in FY'28 or FY'29.

Archit Joshi: So, this year we are not expecting any battery capacity to come online, right?

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Dr. Harin Kanani: No. The salt is coming online. Already, trials have started and if everything goes well before March, we will start at least making some trials sales. So, that is our internal target to at least start some battery sales before March 2024.

Archit Joshi: Sir, not ours, I was talking about the GW hour capacity in India for this year, any visibility on that?

Dr. Harin Kanani: When you say this year, in FY'24 or FY'25?

Archit Joshi: Let us say CY'24 - this calendar year

Dr. Harin Kanani: No. I still have, there are battery capacities which should come online in calendar year 2024. At least whatever I have seen so far, they will not be fully optimized, they will not be running at full capacity, but they will start manufacturing cells in the current financial year, I mean in the calendar year 2024.

Moderator: Thank you. The next question is from the line of Manish Gupta from Solidarity Investment Advisors. Please go ahead.

Manish Gupta: Sir, just wanted to ask for in this entire CAPEX programme, would you now need to raise any more equity?

Dr. Harin Kanani: As of now, we feel what we have raised is sufficient enough. The banks also, the financial institutions with which we are working with are also satisfied with the amount of equity that we have raised. So, it is not a necessary condition, but whether it is a desirable condition or not, and when, between let us say now till 2026. So, that is the question we will take a look at. That will depend on how fast and how aggressively the base business will recover, how BuLi will start contributing and how exactly we are phasing in the electrolyte salt and electrolyte capacity. So, we will keep a watch on that. Again, it is not a necessary condition, but if it is a desirable condition considering market cond

itions, we will take a view on that as the year progresses.

Manish Gupta: Just a follow up on this stuff that you have mentioned that you are comfortable with the debt to equity of 1.25, but if we were to look at a lot of our earnings are perhaps going to be more back ended, more FY'28 and FY'29, right? What is the debt to EBITDA number that you will be comfortable with say going into starting FY'27?

Dr. Harin Kanani: FY'27?

Manish Gupta: Yes, because that is when your Battery Chemical Business will really start contributing to that is the build-up phase, so if it is a Rs. 1,500 crore CAPEX programme and you are not going to raise anymore equity, the amount of debt in the business relative to the earnings or the EBITDA might really expand. So, what is the number you are comfortable with on debt to EBITDA?

Dr. Harin Kanani: Ideally, we want debt to EBITDA to be below 3, but like I said, for a certain period of time like as long as we have comfort in terms of the repayment schedule. So, like DSCR and those numbers also become more relevant. What is the interest you are going to cover etc.? So, I think, ideally we want it to be below 3. We know for a certain period of time it will be high. So, that is a call that we will have to take at that time. That is the reason why I told you that it is not that we are close to taking equity. We have the necessary equity. If we want a desirable equity, that is something we will keep evaluating.

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Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to the management for closing comments.

Dr. Harin Kanani: Thank you, all the participants for joining the call and for your very interesting and insightful questions. I hope we were able to address your queries. If you have any further questions, please feel free to reach out to our Investor Relations team and we will address them. Thank you once again and we look forward to connecting with you again in the next quarter.

Moderator: Thank you. On behalf of Neogen Chemicals, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

The transcript has been edited for clarity. Although an effort has been made to ensure a high level of accuracy, the Company takes no responsibility for transcription errors, if any.

Call: May 2024

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May 9, 2024

BSE Limited
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Scrip Code No: 542665 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol: NEOGEN

Sub.: Q4 & FY24 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q4 & FY24 Earnings Conference Call held on May 2, 2024.

The transcript is also being uploaded on the company's website at
<https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited  
Q4 FY24 Earnings Conference Call  
May 02, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Neogen Chemicals Limited's Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal to the operator by pressing "\*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon everyone, and welcome to Neogen Chemicals' Q4 FY24 Earnings Conference Call for analysts and investors. Today, we are joined by senior members of the management team, including Dr. Harin Kanani, Managing Director and Mr. Ketan Vyas, Chief Financial Officer.

We will commence the call with the opening thoughts from the management team, post which we shall open the forum for Q&A where the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward-looking in nature. The actual results could vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q4 FY24 earnings presentation, which has been uploaded on stock exchange websites. I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you, sir.

Harin Kanani: Thank you Nishid. Good afternoon, and warm welcome to all participants on the call. We are here to discuss the Q4 FY24 earnings performance of Neogen Chemicals. I would like to commence by sharing my views on the performance, key developments, expansion initiatives and strategy, while our CFO, Mr. Ketan Vyas, will take you through the financial highlights.

Fiscal year 2024 was a landmark year for Neogen Chemicals marking the initiation of an expedited growth journey, where we laid a strong foundation to energize India's rapidly evolving EV ecosystem. To fuel our future success, we have undertaken several strategic initiatives this year, such as, acquiring BuLi Chem, securing a licensing agreement with MUIS Japan, raising capital through a preferential offering and enabling Neogen Ionics' expansion with land acquisition. The dedication and focussed

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efforts of the Neogen family team members have been instrumental in achieving these goals, and I would like to thank them for their contribution and being a part of this dynamic journey.

Moving to our performance for the year, we traversed through a tough operating environment characterized by cheap imports, inventory corrections, geopolitical tensions, and logistical disruptions. We demonstrated resilience amidst these global challenges by harnessing our agile business model and robust manufacturing expertise. That being said, I am pleased to share that we sustained/ increased our base volumes in certain cases by adding new customers and through cost improvement initiatives.

Let me quickly summarize the key financials. For Q4 FY24, our consolidated revenue stood at Rs. 200 crore, while EBITDA came in at Rs. 36 crore, higher by 10% year-on-year, translating to EBITDA margin of 18%. Profit after tax stood at Rs. 17 crore, up 18% year-on-year. Mr. Ketan Vyas will share more insights on the financial performance.

Turning your attention to our segmental performance, in Q4 FY24, organic revenues reported a growth of 22%, while inorganic revenues declined by 53%. Both bromine and lithium raw material prices significantly declined during the year. However, we were able to maintain our performance trajectory due to higher volumes across various product categories.

Now before moving to our expansion initiatives, let me share one important development. Based on the recommendation of our Board, we will file for amalgamation of BuLi Chemicals with Neogen Chemicals as now most of the customers have registered transfer from Livent to Neogen's ownership. There are additional synergies here due to common exposure to pharma and agrochemical customers, internal use of organolithium in Neogen and by product recycling and further, this will also lead to lower administrative costs, lean and cleaner structure.

Coming to our expansion initiatives, we are making rapid progress in establishing our greenfield battery materials project. The plant design using MUIS technology is ready, and we have started issuing POs for activities related to construction work of the plant. Construction including related utilities is expected to start soon, keeping us on schedule to inaugurate this facility by second half of FY2026. The CAPEX of the total upcoming capacities at all sites is around Rs. 1,500 crore, and I am glad to inform you that we have already tied up majority of funds through existing bankers to fund this through project finance route. In the interim, our initial commercial capacities of electrolyte and lithium electrolyte salts will cater to the immediate needs of our customers.

For the 2,000 metric ton electrolyte, mechanical work is complete and the trial production has already commenced. For 400 metric ton lithium salts plant, 200 metric ton per annum is already commissioned, and the first approved material has been shipped to the customers. For remaining 200 metric ton per annum, trial production has already commenced, and we have already started construction work for expanding this capacity to 2,500 metric ton by the end of the current financial year.

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We started shipping small batches of lithium electrolyte salts to global customers and electrolytes to local customers and the response with respect to product quality is awaited. Several domestic as well as international customers have visited and approved the facility and we are now awaiting approval of the commercial products manufactured at the site.

The opportunity size for both electrolyte in India and lithium salts in international markets remains promising. In addition to the PLI advantage, there

are additional 7 to 8 non-PLI players, who have also announced significant battery capacities to come online over the next 3 years. For salts as well, the demand for non-Chinese lithium salts remains strong and is projected to grow at a healthy pace by 2030. At present, there are only 2-3 active manufacturers of Lithium Electrolyte Salts outside China. Lithium battery manufacturers, electrolyte producers want a China-free/China+1 kind of supply chain due to implementation of IRA in U.S., other regional policy initiatives and security of supply. This represents a potential market for Neogen Ionics, which will drive faster installation of lithium salt capacities ahead of required to support the electrolyte salt demand in India.

Our growth going forward ahead will be driven by:

- Augmenting the capacities of both organic and inorganic chemicals
- Higher focus on CSM and Advanced Intermediates through portfolio expansion
- Expanding our capabilities in adjacent complex chemistry, including organolithium chemistry and lithiation chemistry
- Making deep inroads into the Battery Materials segment and
- Leveraging our strong R&D expertise to introduce innovative offerings

I will now conclude by saying that the ensuing year appears more promising considering the current pace of recovery. Our objective is to leverage our core strengths across various chemical domains to consistently enhance value for all our stakeholders.

That ends my opening remarks. I would now request our CFO, Mr. Ketan Vyas, to share financial highlights for the period under review. Over to you, Ketan.

Ketan Vyas: Thank you, Dr. Harin. Good afternoon everyone, and welcome to Neogen Chemicals' Q4 FY24 earnings conference call. I will take you through the financial highlights. Please note that these are on a consolidated basis and based on year-on-year comparison.

In Q4 FY24, revenue stood at Rs. 200 crore and for FY24, it came in at Rs. 691 crore. Despite substantial decline in raw material prices, notably bromine and lithium, we managed to sustain/ increase our base volumes, as mentioned by Dr. Harin.

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In Q4, our battery materials also contributed to this performance through initial sales of lithium electrolyte salts. Organic chemicals saw revenue growth of 22% to Rs. 169 crore in Q4 FY24, whereas inorganic chemicals reported a decline of 53% to Rs. 31 crore. In FY24, organic chemicals grew by 17% to Rs. 543 crore, whereas inorganic chemical revenues came in at Rs. 148 crore. The domestic and export mix for FY24 stood at 73% and 27%, respectively. EBITDA increased by 10% to Rs. 36 crore in Q4 FY24. And for FY24, it stood at Rs. 110 crore.

Higher employee costs were primarily attributed to acquisition of BuLi Chemicals and setup of Neogen Ionics. However, despite this increase, we managed to maintain our operating EBITDA for the full year, resulting in an EBITDA margin of 16%. EBITDA margin for Q4 FY24 stood at 18%. Profit after tax for Q4 FY24 stood at Rs. 17 crore, higher by 18%, while the same came at Rs. 36 crore for FY24. PAT performance was lower due to high depreciation and interest expenses linked to ongoing capital expenditure within the battery material divisions. We utilized the proceeds from preferential allotment in Neogen Ionics to improve working capital and reduce high-cost debt. These actions underscore our commitment to prudent financial management and long-term value creation.

On consolidated basis our net debt, after including current maturities of long-term debt, stood at Rs. 381 crore in FY24. The Board of Directors has recommended a final dividend of Rs. 2 per share, that is, 20% of the face value for FY24, subject to shareholders' approval.

That concludes my initial remarks. I will now request the moderator to open the forum for Q&A session. Moderat

or: Thank you very much . The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: So, the first one was actually with regard to the working capital. It seems to have increased quite significantly one more time at year end. So if you could please just help us understand the reason for this? Is it something to do with unsold inventory at BuLi Chem or is there some other reason for this?



Harin Kanani: Yes. So, as regards to our inventory situation, as we said, when we started this year, we were basically planning for a full utilization of organic production (facility) for a long time. We also saw a dramatic change in the demand on the agro side. So basically, this, along with the fact that when we acquired BuLi Chem, there was almost 0 inventory; and now BuLi Chem business has also taken off significantly. So, the combination of all these basically increased both inventories.

And when we think of debtors, as you saw that usually, our exports are 40% to 50% of our revenue. And when we have exports, usually, the payment terms are better or we have factoring mechanism which are available. Whereas when we are doing business domestically, especially generic market, since majority of our business and export was agro, which was in fact significant as well as there was some impact on the pharma business also in export market, we had to compensate that through more business in generic which is where you know the payment terms are a bit longer and the realizations take longer, which is what affected the debtor side.

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Again, as we said, this was a very challenging year where we started with one objective, and then we had to do course correction many times to respond to the market. Over the next 2 years, as we achieve full utilization levels, some of our new products start getting approval, there will be significant improvement, especially in terms of number of days. The inventory that we have, the debtors we have, can support Rs. 1,000 crore of a revenue, that is, may be Rs. 250 crore of revenue per quarter. We are basically aiming for that to achieve by the end of at least the next financial year so that we are on track to get a Rs. 1,000 crore plus kind of revenue from Neogen Chemicals in FY26 as we have targetted earlier.

Abhijit Akella: Got it. That's helpful. The other one was Dr. Harin, there was this announcement by a small NASDAQ-listed company regarding some licensing deal they have entered into with Neogen with regard to battery separators. So, if you could please just help us understand what the company's thought process is on this front and whether that's an area where we intend to move forward in the future? Also, is there any synergy with our existing lines of chemistry for that?

Harin Kanani: Sure. This company has basically developed some technology, which is for separator, and it is very early stage. So, they just have a very small line where they make the separator which in combination with a specific type of electrolyte can give very good performance at a high temperature.

As you all know, in India, the temperatures are much higher and in most of the world, the batteries were tested only at 25 degrees Celsius. The whole world is now getting ready that these batteries will be used in India, Africa, Latin America, Middle East, where the temperatures are going to be higher. This is a company which has developed a separator, which in combination with electrolyte can give improved battery performance at high temperatures.

So, we were very keen that ultimately, as India starts first-generation technology, where majority of this is basically coming from what has been tested in the international market. As they get into second-generation India-specific design, this technology, if it works at a commercial scale,

ale, along with the

electrolyte design that we have for it, together can give batteries, which are most optimized for India.

That's the partnership. We are using some of the trials, small quantities, which they have made, we are offering to all the Indian customers. So, they recognize that Neogen has a good reach for all these customers, and we can offer that combination of different separator along with the relevant electrolyte.

So that combination our customers are testing. Most of them will not be used in their first generation of cells, but in the second generation. So right now, it is an exclusive distribution agreement, and if in future, any customer likes the design and wants to use it at a commercial scale, then we can also have a potential joint manufacturing activities. But currently, there is no revenue guidance, which I can give. It is just technology. If it works at a commercial scale in our customer trial as well, then it has a potential to have a very unique offering, specifically for India and can solve the high temperature issue of India. That is why we entered into this deal with them.

Abhijit Akella: Got it, sir. Just one last thing, if I may, before I get back into the queue. Two parts to this actually. One is, now that we commenced shipments of the salts, are the realizations we are making in line with our expectations? Let's say, in the range of \$20 to \$30 a kilo, is that still in that ballpark? That was one.

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And the other thing was just on the balance sheet. There's been a significant increase in both other financial liabilities and other non-current assets. So, if you could please just help us understand what that might be due to?

Harin Kanani: Yes. The realization that whatever pricing we are seeing is looking into that range. Of course, Neogen has also partly intermediate of that. Some of it is the intermediate sales, some of it is the final product

sales. But yes, it is in that range of what we are talking, what we are expecting so far. Also, some of the discussions which we are having with the international customers, which are, as I said non-binding MOUs or some purchase agreements or something like that, pricing formula based. There also, it seems that the realization remains in the range of \$20 to \$30. And all are basically lithium-linked kind of reasons.

I am not sure what you mentioned about the other financial assets. Some of these are related to, I don't know if it is in standalone, then part of it is also related to the investments which we are making, plus which is happening between Neogen and Neogen Ionics. Neogen Ionics was established just last year, and we had to wait for some regulatory clearances before which some of the investments could directly be made by Neogen Ionics. Now all the future investment directly will be done by Neogen Ionics, but because of that, some of them are associated with that. But may be subsequently, when we share our detailed financials with all the schedules, you will get more clarity around that.

Moderator: Next question is from the line of Manish Gupta from Solidarity.

Manish Gupta: I had four questions. My first question was on Neogen Ionics. There's a lot of excitement about the renewable energy opportunity in India and people putting up wind and solar. I wanted to understand, sir, that, are we in discussions also with these guys for their storage requirements and whether these guys are going down the lithium route or the sodium route? And whether in our business plans, this segment is also of interest or will our plans will really be for the EV manufacturers in India?

Harin Kanani: So, Manish Ji, for the 160 gigawatt hour guidance we had given for India's electrolyte demand, roughly around 120 gigawatt of that was estimated to be EV and another 30 gigawatt to 40 gigawatt was likely to be

for the solar and wind energy storage and just overall, what is called as grid level energy storage kind of business. That has been a part of our plan and projections from the beginning. And this is one area where, if it really picks up, then you can have a positive surprise because EVs, you can say, okay, maybe 30% penetration, you have a good amount of estimate of how much number of EVs, which are going to get sold and at a 30% penetration, you can calculate relatively quite accurately as long as that 30% penetration number holds, the battery requirement of that. But renewable and solar are still developing fields. Depending on how fast these pick up and make logical sense. If the renewable energy contribution has to increase, then, that is where that 30/40 gigawatt hour that we estimated can go even higher.

Having said that, we don't directly discuss with them. I mean, this is basically an opportunity for battery makers. And I do know that some of the battery maker customers that the cell and the battery producers

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who we are talking to, that they are also see this traction and they are planning more and more contribution or sales coming from the renewable energy side as well.

Finally, your question about sodium. Yes, there are some people who are thinking of sodium for renewable energy as a potential. But so far, most of the renewable energy storage people are considering lithium as chemistry. And some of the calculations that we have internally done, only if lithium prices remain at a very high level, then sodium will become attractive. Otherwise, most likely lithium should continue.

In my view, lithium prices, the level which lithium prices have to be, it is very difficult for lithium prices to sustain that levels. Personally, I think that lithium will be the main driving technology. However, in case it comes to sodium also, at Neogen with its existing facilities with few modifications we can make Lithium Electrolyte Salts. And I think you require almost very limited modification to make the electrolyte formulations for the sodium and battery also. I hope this answers all your questions.

Manish Gupta: Yes. So, this answers my first question, sir. My second question was that under the U.S. Inflation Reduction Act, there is a clause where they want a lot more local manufacturing. Is my understanding right that, you can shift the intermediate of the salt and they will do maybe the last step of that and that will qualify under the Inflation Reduction Act. Is that understanding, correct?

Harin Kanani: Partly correct. Just a little clarification. There are two criteria of Inflation Reduction Act. One says, how much value addition you have to do locally; and the second says what is the percentage which you cannot do with countries of concern. So basically, whatever we supply and when they bring the final electrolyte there, whatever we supply will be considered as the import. So even if the final formulation is made in U.S., our imports will still be considered as an import at the final cell level calculation. However, as we know, electrolyte is around 10% of the cell cost and the electrolyte salt will be somewhere around like 4% to 5% of the final cell cost. So, at even battery pack level, it would be hard to meet 3% to 4% kind of a level. Because of that, it will remain into the things which you still have to import. Therefore, it is not going to create a big challenge from IRA perspective, if the salt is still getting imported from, say, India. They need it from India for that non-China and non-foreign countries of concern part. So that is where basically Neogen's offering becomes attractive for IRA compliance. Of course, ideally, they would have wished that it helps them with that value addition also, but that's little bit in the future. And still if there is so

me, I think, 15%, 20% leeway, which they have. So most of the OEMs or electrolyte producers feel comfortable buying the electrolyte salt from India. So, their requirement is more non-China than local.

Manish Gupta: But sir, I mean, I'm just curious like why would they not buy this thing from, say, Mexico? There's a lot of automotive components that are going into Mexico now. Why would they want to import this thing from a geography so much farther away?

Harin Kanani: If Mexico can make at the same prices, then yes. If they can get quality and reliability, they would prefer that. I agree with you there. But the fact today is that there is no manufacturer there. There is no person with the lithium expertise there. There is only one company which has made just an

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announcement that they will set up a plant in U.S., but again, no strong headway there. So again, from the timing perspective, from the long-term perspective, can they get everything from U.S., the amount of quantities that they need. This is a tough chemistry. You require somebody who understands lithium well, do all the purification there, like understanding, having experience of that, also being able to handle fluorine chemistry. So, if Mexico can offer this kind of combination of competitive rate and expertise which would be very close to China, then that would be preferred over Neogen. But so far, they don't have a credible option and definitely not an option which can take care of the entire U.S. demand.

Manish Gupta: Okay. Great. So sir, based on now your latest visibility, any broad guidance for what the battery chemical business could do in FY25 and FY26?

Harin Kanani: The capacity that we have, right? So let us first talk about FY25. The capacity that we have, can produce roughly around Rs. 250 crore. The capacity we have and what we are setting up during the year, in FY25 we can do around Rs. 250 crore/Rs. 300 crores capacity is online. But we think that we will have a full utilization level, in FY26. So in FY26, we will have a minimum Rs. 250 crore to Rs. 300 crore revenue. On top of that, the capacity which is coming online during the year and coming in FY26, will also contribute. So it will be something more than that, but it is a little bit too early for me to say exactly how much it will be. And similarly, for FY25 also, we are ready to do a revenue of around Rs. 200 crore/Rs. 250 crore in the current year also. The electrolyte demand will take some time. So, majority of my customers are saying towards the end of Q2 or early Q3, their trial production would begin for cell production. So that is when the electrolyte demand would pick up.

And electrolyte salt also, we are just shipping out or started shipping out some trial production in the last quarter. Some will happen in this quarter. So that will start picking up. With their approvals maybe towards the end of Q2, Q3, you will really see major contributions coming at Q2, Q3. So, I would guess the number would be like Rs. 100 crore plus. But a little bit early for me to give you a more precise number for this year.

Manish Gupta: Yes, sir. And my last question, sir, was, in the existing business. Have we signed up any more contracts on more downstream, value-added projects?

Harin Kanani: What do you mean downstream value? There are only two things we do here. One is electrolyte salt and another is electrolyte.

Manish Gupta: Sir, I meant the bromine business.

Harin Kanani: We have not signed up contracts. But yes, we have initiated with maybe 4 or 5 companies, what we say, early-stage contract manufacturing. As we said, we wanted to work with bigger customers. So, we have started in agrochem space. We started projects with them. We have also started two or three projects in agrochem space - new ones. One of them is a combination of bromi

ne plus N Butyl lithium.

So, we have signed up for projects where this combination is critical. And we have also signed up with 2 more pharma projects. But they are a little bit long term in nature, like they are clinical trials, Stage 3

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kind of molecule. All of these will start contributing in a meaningful way beyond FY26. Up to FY26, our existing pipeline itself is sufficient. All will help us beyond FY26 to continue the growth trajectory.

Moderator: The next question is from the line of Parth Mehta from Vallum Capital.

Parth Mehta: First, if you can help me, what would be your capacity utilization numbers for FY24 and the Q4 quarter? And for organic chemicals and inorganic chemicals separately.

Harin Kanani: So now include three categories - Bromine Derivatives, Advanced Intermediates, CSM as well as BuLi Chemicals. All four were there. As we saw in Q3, we had a bit of a challenge because of the price fluctuation in lithium metal and having lower demand on the BuLi Chemicals. We are very happy that we recovered from that. The organolithium itself contributed to almost Rs. 17 - 18 crore to our revenue even with a lower lithium price. Again, this was still not full utilization. So I would say, at a utilization level, roughly, in the organic space, we are at around 60%- 65%. In the lithium space, we are almost at

around 75% to 80%, which is very close to the peak utilization levels that we have. Of course, the revenues were lower, but if you look on a volume basis, we were about 4%/5% better in this quarter as compared to the last quarter - I mean previous year, same quarter - just because of the price differential. That is why you saw Rs. 66 crore become Rs. 35 crore. I think inorganic chemicals is close to full utilization levels. Organic chemical is at around 60% - 65% kind of utilization levels overall. Our inorganic chemical is almost close to 75% - 80% utilization levels. At organic chemicals, we are at around 60% - 65% kind of utilization levels, and we still have room to grow further there. And battery materials we are just starting.

Parth Mehta: Great, sir. Just if you could help me with volume growth for this quarter and full year. I think, this quarter, you mentioned 4% to 5% volumes; for the full year?

Harin Kanani: For inorganic chemicals, it was 4% to 5%. I think full year was also close to 4% to 5%. Again, for us, it is very difficult to do metric ton to metric ton level because of the product mix. But the way we look at it, that if the same prices, which were there today were given in our last year or last quarter, what is the revenue, which would have been different. So similarly, vice versa, when we do that, we see a volume growth of around 5% to 10% in the inorganic side. And on the organic side, we see almost 25% to 30% for the full year.

Parth Mehta: Great, sir. And if you can help me, we have set a target of reaching 40% revenue contribution from CSM business. So where do you currently stand? And as last quarter, you had mentioned we are somewhere around 30%, you are still on 30%. So, when do we see reaching 40% contribution?

Harin Kanani: I think 40% contribution is in our CSM and Advanced Intermediates together. So Advanced and CSM together is going to be 40%. What we said 40% is going to be of bromine derivatives and 20% is going to be inorganic lithium salts on a stable lithium price. So there also the breakup right now stands 50% and 30%, out of which 15% was CSM and 15% was Advanced Intermediate. And I think the idea is to have 20% - 20%. This is an area where we expect that the future growth as we reach Rs. 1,000 crore by FY26, you will see more contribution coming from Advanced Intermediates and CSM business. So, by

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FY26, we would be at 40% from Bromine Derivatives, 20% CSM, 20% Advanced Intermediate and 20% Battery Materials, that is, Inorganic Lithium Salts, non-battery within Neogen. So that is the breakup which we are targetting.

Parth Mehta: Okay. Great. And sir, in last quarter, you had mentioned we are facing some challenges in the agro and pharma side. So what is the current situation? Is the current situation improved? And if not then, when do we see it improving?

Harin Kanani: On the pharma side, my view remains the same. In specialty pharma, which are not very bulk like statins or like your sartans or anti-retroviral. Those kind of pharma we have seen normalization and some of them are now even growing very well. Fortunately, we were part of some of these value chains. If you might also recall, we had signed a long-term agreement with one innovator customer for supplying intermediates to their APIs. That business is also doing very well and growing very fast. That is taking care of some of the business which we are losing out on lower demand from our traditional bulk pharma customers.

Agro, we have still not seen...we have seen some increase in April in the bulk pharma. So we started seeing maybe after March, the inventory correction has happened and you see a little bit of uptick in even the bulk pharma. So sartans kind of revenue also has started increasing, where it is too early to call out whether it is just for inventory, they are building up inventory after controlling it in March or whether it is going to be long term. So, we will take a view of that.

Then agro side, the interest for non-China remains very strong. As I said, we started working with two or three more customers in say, 3 to 6 months, who want to have an alternate to China, so that interest remains high, but we have not seen volumes come up. Most of them are saying that 2025 is when they will have their demands, calendar half of 2024. Maybe towards September, October, they might start releasing POs for their '25 requirement. Agro, we are still expecting in the second half to start contributing.

Parth Mehta: Okay. Great. Sir, just the last one, if you can help me, what would be the current bromine and lithium prices?

Harin Kanani: We can't give you...lithium prices touched their lowest and they have just started increasing again. But we are still below what I call is a long-term sustainable price of lithium. So I don't know how the industry develops, but my expectation is over let us say, next 2 years, you will see an increase in lithium price. And depending on how fast demand growth comes, you might again see crazy lithium prices in FY26 or FY27. So that's on the lithium. And bromine also has reached its bottom price and has started increasing slightly or at least stabilizing. We have not seen further decrease on either bromine or lithium in the last one year.

Moderator: Next question is from the line of Archit Joshi from B&K Securities.

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Archit Joshi: Sir my first question on the expectation of doing somewhere close to Rs. 300 crore of revenues through Battery Materials in FY26. And sir, obviously, some rough calculations. If I look at it from the realization range that you gave, would it be fair to assume that we would be able to service around 2.5 to 3 gigawatt hours of battery capacity in India basis, the Rs. 300 crore revenue that we are expecting?

Harin Kanani: Yes Archit. The electrolyte 2,000 metric tons can take care of 2 to 4 gigawatt hour, depending on whether it is LFP chemistry or NMC chemistry. NMC, it can support up to 4 giga. If it is LFP, it is closer to around 2 giga is what on the electrolyte side. So that is something which can happen. And on the electrolyte salt side, we have basically 5,500 metric tons, which will be fully available for FY26. So that

can support, let us say, around 30 gigawatt of final electrolyte production and then battery is made out of that. So on electrolyte salt, for FY26, we will have a 30 gigawatt hour capacity available. And on the electrolyte, it will be around 2 to 4 gigawatt hour capacity. So roughly, you can say 80%, 90% of the salt, of course, this is just beginning of FY26. And then in FY26 in the second half, our Pakhajan site will also come online. So then overall electrolyte capacity available for FY26 will be even higher. Because when that comes in, in the second half, I can support 30 gigawatt hour more. So if you go to the second half of FY26, we will have a capacity to serve upto 30 gigawatt hour on electrolyte side and up to 30 - 35 gigawatt hour on the electrolyte salt side.

Archit Joshi: Sure. Got it. Got it, Sir. Lastly, small bits on our expected books. Sir, we have recently in the Board meeting approved a Rs. 500 crore infusion through CCDs. Is that expected in FY25 immediately? And what will that entail into - an incremental debt? Is there any other debt than the CCDs that you are infusing in Neogen Ionics? And if you can give us the peak debt that we might go to in FY26 also?

Harin Kanani: So in terms of CCDs, this is a request basically from our bankers. We are very fortunate that our existing bankers have extended to us 10-year/12-year term loans, especially for our Pakhajan site, where majority of the CAPEX we are doing. We have received a 12-year term loan with moratorium for 2 years on interest, then 1 year on principal and then a gradual repayment over 9 years. So these were very strong preferential terms that we got.

And the equity portion, the bank requested directly as an equity, but we didn't want to put everything as at-par equity. So the CCD was a way for us to basically put up equity or, quasi equity into the Ionics. Again, this is an enabling resolution up to Rs. 500 crore. We will be doing it gradually over 3 years of time. And even our existing investment, which is either in terms of transfer of some assets or in terms of transfer like intercorporate deposits. So even now so far, we have already invested around Rs. 220-odd crore. So out of that Rs. 500 crore, Rs. 220 crore would be the investment which we have already done, which will be converted into the CCD subject to shareholder approval and all the formalities are completed. So that is basically the reason behind that.

Archit Joshi: So sir, and the peak debt number in FY26, sir? What might be?

Harin Kanani: In FY26, out of the Rs. 1,500 crore CAPEX, around Rs. 1,150 crore would be the debt which will come from outside. Again, this debt not only includes direct CAPEX, but under the terms, they are also

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funding GST, which we can't use, the initial working capital, the interest for the 2 years. So, everything together will be Rs. 1,500 crore. Of which around Rs. 1,150 crore will be funded by our bankers. And this will be all at Neogen Ionics level, so it will not be on Neogen. At Neogen level, we feel whatever is our current debt will remain stable as we may infuse a little bit more depending on how much we generate versus how much we infuse.

There might be a slight increase in working capital utilization, which today, like we have a working capital limit, which can support up to Rs. 400 crore. So maybe some of that might get eventually used as we put our own money and do infusion, let's say, into Neogen Ionics. So, I would say Rs. 1,150 crore there and maybe what we have another Rs. 350 crore here; maybe another Rs. 100-odd crore more, so at Rs. 450 crore. So somewhere around Rs. 1,500-odd crore over the next 3 years.

Archit Joshi: Sir, I was speaking of net block, which has been increased by around Rs. 140 crore, and we have another CWIP of close to Rs. 110 crore. And our CAPEX numbers,

as you mentioned previously that we are

expecting to be, with the 30,000 plant that we are expecting to commission and capitalize by FY26.

The balance seems to be around Rs. 1,200 crore/Rs. 1,300 crore of incremental CAPEX infusion. So sir, if you can give us net as to what might be the CAPEX you are expecting in FY25? And what would be the balance left then at FY26? That would be my last question.

Harin Kanani: I think, we are expecting another Rs. 400 crore to Rs. 500 crore in FY25 and the balance will be coming in FY26.

Moderator: Thank you. The next question is from the line of Bhargav from Ambit Asset Management.

Bhargav: Sir, my first question is that on the revenue size of about Rs. 700 crore. Clearly, the CAPEX of Rs. 1,500 crore is a sizeable sum. So have we sort of decided that we will go ahead with the entire CAPEX or will we have some milestones, which we will monitor and take a slightly risk-adjusted approach for this CAPEX?

Harin Kanani: You are absolutely right. That is something which I would have also been happier if I had to do this CAPEX over 3 years, 4 years time, instead of 2 years time. But the situation demands this way. But we are watchful. As I mentioned, our first facility from where we can supply electrolyte salts and electrolytes, we are sending this approval. So in the next 3 to 6 months, we will start having approvals. And for the electrolyte business also in next 3 to 6 months. As I said, end of Q2 and early Q3, some of the Indian customers are also starting their electrolyte facilities.

So, we will keep watching both, how the international electrolyte salt approvals are progressing as well as how India electrolyte demand is developing. In India, mostly, we feel it is a demand issue depending on how well the Indian battery industry starts manufacturing cells. And if required we can slowdown and we can moderate our CAPEX accordingly. So we will be watching it very carefully. Please be rest assured, there will be milestones. For example, we can delay some of the equipment deliveries or do some of the investment in the electrolyte module depending on where there is a slowdown, in electrolyte salt or electrolyte. We will keep watching that.

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Bhargav: Secondly, sir, this IRA Act in the U.S. is likely to be passed in 2025. But in the event that there is a delay in passing of that, then how does it impact our exports revenue that we are targeting? Is there a plan B in place?

Harin Kanani: The IRA Act has already been passed and that is already implemented. So this is one clarification I wanted to make. The second thing is, yes. So, the plan B is the capacity, which I just answered in Archit's question earlier where I said the capacity for the electrolyte salt is 30 - 35 gigawatt hour and the electrolyte capacity is 30 gigawatt hour. So, if we feel that anything which is happening in the U.S. market, which is adverse, in such a case we can go slow on the 3,000 metric ton electrolytes salt facility which we are going to do in our Pakhajan site. And then we can build it gradually if we are not looking at the international market and if we are looking only at the India market. So therefore, plan B is India electrolyte market, where we feel we have the maximum rights to win. Being one of the first mover, having MUIS technology and already having relationship for and already having supplied electrolyte for the trial productions of the customers for the last 15 - 16 months.

Bhargav: And is there any government support expected to protect the domestic manufacturers in the event there is any dumping from the foreigners as far as electrolyte or salt is concerned?

Harin Kanani: There are two levels of protection. One is the people who have bid for the PLI scheme. And today, that is basically Ola and Reliance and who are already selected and w

ho are active. And there is also a

separate follow-on PLI, which has just been concluded and the applications are under process. These companies have to meet certain value addition criteria if they want government subsidy which is very sizeable. To meet that value addition criterion, the electrolyte salts, electrolyte have to all be produced locally. They are incentivized that 'if there is a small difference, please buy from India'. Otherwise, you lose out on subsidy, which is almost 25% to 30% of the cost of the cell production. So, this is one incentive for the companies which are having PLI. Then historically, in our interactions with government policymakers, they said that once they see any component being made in India, they are ready to increase custom duties and have protective custom duties to support the local industry. So currently for, cell manufacturing on cells, there is very low custom duty.

As cell manufacturing will come online, the policymakers have said they will put custom duties on that. And similarly, as component manufacturing will start, then they have promised custom duties.

Internationally, such duties are in the range of 15% to 25%, U.S. being highest. So on top of the IRA, they have also put 25% duties on imports of the electrolyte and other components from China. So similar protection, we are also expecting in India. Once the manufacturing here is stabilized, the manufacturing of cell production will also start.

Bhargav: And sir, lastly, if we succeed on utilizing the salt capacity, but we struggle on the electrolyte capacity, then what could be the difference in terms of return on capital employed that we can expect only from the salt utilization vis-a-vis the electrolyte utilization?

Harin Kanani: I am just guessing that if the electrolyte utilization -- saying electrolyte utilization struggle meaning, India is not manufacturing enough cells is your concern. Am I right? Is that correct?

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Bhargav: Yes.

Harin Kanani: Okay. So in the case where India is not able to make enough cells and therefore, there is less local electrolyte demand, there are two options. One option remains that there is some cell manufacturing starting in other geographies also where there is no electrolyte producer or no electrolyte producer is going there very fast. So, we can offer in such international market with Mitsubishi's permission. As long as we are not conflicting with them, we have that option also available with us.

The second option, worst case scenario, even that doesn't happen. And if you have no electrolyte business coming. If we see that happening, first of all, we would also graduate the investment which we are doing. So, we would not do the entire Rs. 1,500 crore. Some of the paraphernalia like our ISO tank filling capacity, drum filling capacity, our storage tanks...the CAPEX of these can be modulated and we don't have to do everything upfront, if the demand doesn't come.

So with that, and after we would have done and then we have a surprise or something like that, we would have at least 14% or 15% ROCE in the battery business. If just the salt happens and electrolyte happens at a partial level. Although the way my customers are making progress, for me, it is a little bit difficult to believe that India will not be able to make 30 gigawatt hour of cells by 2028, which is what we are targeting.

Moderator: The next question is from the line of Jason from IDBI Capital.

Jason: Sir, my first question was just relating to your base business which has been soft. Q3 also was pretty weak. Now you have mentioned that pharma and agro, we are seeing some green shoots there. Now I just wanted to know in terms of the BuLi Chem acquisition and the lithiation chemistry, which we added to our skill set, does that help us give a strong boost to this busi

ness? Should we see a strong boost to the base business from this acquisition?

Harin Kanani: Yes. Thank you so much for your question. To answer your question, I am really excited with the BuLi Chem acquisition that we did and how it can help us in our base business. There are three aspects of this. As I have mentioned earlier, one is this base business. It will support our Advanced Intermediate and CSM, because we have a very unique combination, somebody who can make organolithium compounds, somebody who can combine it with bromine derivatives. And when we make and do the combination, we have lithium, which comes out as a by-product, which we can again recycle back to our non-battery lithium business.

So that is a combination which is very unique in the world and whenever we want to innovate for our customers, they simply love this idea, especially when they know lithium price is going to fluctuate. So at that time, with the recycling, we can reduce that and they really like that part.

Also, there are many customers and very few suppliers of N Butyl Lithium as a whole. Again, this is a business which is normally done locally. And there are only two or three companies in the world which are basically lithium mining companies, which also were doing organolithium business. This is the first

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time, we are one of the significant companies which has a plant, a proven plant with 17 years of track record which can manufacture these organolithium compounds. That has allowed us to also enter many pharma, like specialty material customers, even semiconductor customers. It has increased Neogen's visibility to a larger group of companies in the international market. So I feel, over the next 3 to 5 years, this will play a very big role - just selling N-butyl Lithium and the organolithium compounds as well as doing the combination. I think both opportunities are very exciting for Neogen.

Jason: Sure. And sir, in terms of battery chemicals, the margins which we are expecting should be in line with our existing 16%/17%? Or do you see scope for more upside on those levels?

Harin Kanani: For the Battery Materials, what we feel is, it is basically going to be ROCE-driven business. So therefore, a bit like right now, if I think of a stable lithium price. At that stable lithium price, we expect that, around 16% kind of margin basically works out based on the ROCEs. But again, incrementally also when we will go beyond this capacity, it is something which is going to be driven by ROCE. Where we can really get better margins is, if we give something which improves the performance of the customer. Now that we are doing in partnership with MUIS. As we were discussing in earlier question that a combination of a specific kind of electrolyte along with a specialty kind of a separator can improve the performance of the batteries or the cells for the end user. When we do that, we earn the right of getting higher EBITDA. Otherwise, again, it is a ROCE-driven business. And I think if we do a 20%-plus kind of ROCE for this kind of scale, I think that would be a very good outcome. EBITDA level, I think, will work out at around 16% or so.

Jason: Sure, sir. And sir, I just want to ask you if you could provide a breakup in terms of end user industry. For example, our whole market - of course, battery chemicals is different - in terms of our whole end-user industry - pharma, agro chem, engineering, etc. - how would that breakup be? And I also want, you had shared this earlier, but I sort of missed it. You had mentioned about the bromine compounds, the AI, the CSM and the organolithium, what breakup is it currently? And what do you aspire it to be? So, I would want both of these breakups if you could provide that.

Harin Kanani: For the breakup based on our categories, what we today are at around

50%/55% on bromine derivative, around 30% on our Advanced Intermediates and around 15% to 20% on the lithium chemicals. We feel by the time we will reach full utilization levels, we would be around 40% on bromine derivatives, another 20% on Advanced Intermediates, another 20% on CSM. So together, Advanced Intermediates and CSM would be 40% and around 15% to 20% would be the non-battery lithium compounds. This is a non-battery business breakup.

In terms of industry, the industry, usually, it is 50% to 60% is pharma; agro is usually around 20% - 25%; engineering around 10% to 15% and remaining 5% to 10% is other industries. That is the normal case. Currently, because agro is low, agro is like almost close to 10% or below 10%. And consequently, the pharma segment is a little bit higher - close to 70%/75%.

Jason: Sure, sir. And just one last follow-up, sir. You had mentioned the lithium salt is around 4% to 5% of the cell cost. Is that right?

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Harin Kanani: Yes. Electrolyte is between 8% to 10% of the final cell cost and electrolyte salt is between, depending on the price of lithium, 40% to 60% of the cost of the electrolyte. So at the cell level, it becomes around 4%, 5%. At the battery pack level, it will be somewhere around 3% to 4%, or 2.5% to 3.5%.

Moderator: Next question is from the line of Rohit Nagraj from Centrum Broking Limited.

Rohit Nagraj: My first question is on the 2,000 metric ton electrolyte and 400 metric ton lithium salt. For both these we have mentioned that the electrolyte salt we have already shipped the material. And on the electrolyte front, the trial production has commenced. So what is your understanding in terms of the approval process and commercial supplies for both these facilities? And when do we expect maybe optimum level of utilization given that everything goes as per plan in terms of the approvals, and the battery manufacturing maybe from domestic or from the international players?

Harin Kanani: Sure. If we think of electrolyte salts, we feel that in Q1 we will be shipping out trial volumes. It has in fact just started. And in Q1 also, we will be making trial production, 2 ton, 5 ton kind of supply for the electrolyte salt. And with that, we should start seeing permissions come by the end of Q2.

Again, some customers will be a little bit higher, some will be lower. So, by the end of Q3 and Q4, we expect that this 400 metric tons will be used fully. And as more capacity will come online as we go from this journey of 400 to 2,500 metric tons in different phases, different sections, the capacities will come online, they can start contributing in the second half of the year. This is on the electrolyte salts.

On the electrolyte, it is more geared by how fast cell manufacturing comes up in India. Our understanding is that initial one or two customers should start towards the end of Q2 and early Q3, and if they start even at a bare minimum, like 1 gigawatt hour kind of capacity, depending on how fast they stabilize. Q4 of the current financial year or Q1 of FY26, we should be seeing full utilization level of our electrolyte plant.

Rohit Nagraj: Fair enough. That's helpful. Second question is just in terms of the INR 1,500 crore of CAPEX from FY24 to FY26. If you can provide a broader breakup across the electrolyte salt, the legacy business, the electrolyte through MUIS and the newer Pakhajan facility?

Harin Kanani: I am sorry. There is too much information here, which I am not able to share because of confidentiality and several other reasons. But broadly, if I were to say that there are four components of this. One is the investment in land, which is not only for today but also for future. And when you buy land, you have to do the initial facilities wherein you have to take water connections, pollution permissions, power connectio

ns. So basically, it is land and common infrastructure. That is one segment.

The second segment is going to be 3,000 tons of salt. Third segment is going to be 30,000 tons of electrolyte. And as I explained earlier, based on the request from our bankers, they have also included in the Rs. 1,500 crore interest during this period as well as the non-usable GST and our working capital contribution, etc. So, all of that together is the INR 1,500 crore.

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Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to the management for closing comments.

Harin Kanani: Thank you, everyone, for joining the call. I hope we were able to address your queries. If you have any further questions, please feel free to reach out to our Investor Relations team, and we will address them.

Thank you once again, and we look forward to connecting with you again in the next quarter.

Moderator: Thank you very much. On behalf of Neogen Chemicals Limited. That concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

The transcript has been edited for clarity. Although an effort has been made to ensure high level of accuracy, it may contain transcription errors. The Company takes no responsibility for such errors.

Call: Aug 2024

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August 16, 2024

BSE Limited
Department of Corporate Services
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Dalal Street, Kala Ghoda, Fort, Mumbai 400 001
Scrip Code No: 542665 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol: NEOGEN

Sub.: Q1 & FY25 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q1 & FY25 Earnings Conference Call held on August 8, 2024.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q1 FY25 Earnings Conference Call Transcript
August 08, 2024

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, sir.
Nishid Solanki: Thank you. Good evening everyone, and welcome to Neogen Chemicals' Q1 FY25

Earnings Conference Call for analysts and investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director and Mr. Ketan Vyas – Chief Financial Officer. We will commence the call with opening thoughts from the Management Team, post which we shall open the forum for Q&A, where the Management will be addressing queries of the participants. Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on today's conference call could be forward looking in nature. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q1 FY25 earnings presentation, which has been uploaded on the stock exchange websites. I would now like to invite Dr. Kanani to share his perspectives. Thank you and over to you, sir.

Dr. Harin Kanani: Thank you for joining us on our 1st Quarter Earnings Call for FY25. As always, I begin by sharing my views on the performance and strategy, while Mr. Ketan Vyas, CFO will take you through the financial highlights.

Neogen Chemicals has demonstrated a strong start to the new year with healthy improvement in both top line and profitability matrices. Despite easing pressure, the business landscape was still marked by challenges including low China demand and price, economic uncertainties and supply chain disruptions.

In response to weak global agrochemical markets, we strategically shifted our focus to non-agrochemical applications which offered more stable demand. We overcame severe logistic hurdles through robust supply chain management, solidifying customer ties. Both BuLi Chem and Neogen Ionics have made positive contributions to the consolidated performance.

Let me quickly summarize the key financials for Q1 FY25. Our consolidated revenue stood at Rs. 180 crore, higher by 9% YoY while EBITDA came in at Rs. 31 crore, an increase of 10% translating to EBITDA margin of 17.1%

. Profit after tax stood at Rs.

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11.5 crore, representing an increase of 18%. Mr. Ketan Vyas will share more insights on the financial performance.

Turning your attention to our segmental performance, in Q1 FY25 organic revenue growth stood at 17%, while inorganic revenues declined by 14%. Both bromine and lithium raw material prices significantly declined during the period. But for this fall in bromine prices, the organic revenues would have been higher by Rs. 14 crore in Q1 FY25. Likewise inorganic revenues would have been higher by Rs. 27 crore if it were not for the steep fall in lithium prices.

Moving on to our expansion initiatives, the initial capacities of both lithium electrolyte salts and electrolyte are up and running. Out of 400 MTPA capacity of electrolyte salts and additives, we have commissioned 200 MTPA and started shipping commercial quantities to international customers based on approvals received. Out of 2,000 MT electrolyte plant, 200 MTPA has been commissioned and trial quantities have been dispatched to three customers. Their approval is underway.

Customer feedback pertaining to product quality and efficiency has been favourable so far. As a result, we are hosting many domestic and international clients to our facility for product inspection and approval processes. These capacities will cater to the immediate needs of customers and will also provide valuable market insights. With respect to our Greenfield battery chemicals facility using MUIS technology, I am glad to share that we have achieved financial closure for bulk of the CAPEX with favourable terms. Construction work has already commenced and we remain on track for strategically commissioning this facility in FY26 aligning with upcoming battery capacities in India. We anticipate two major battery manufacturers to start production this year and are engaging with them in long-term electrolyte supply contract discussions. Our strategic hiring in battery chemicals is nearly complete and close to 70-80 employees are on board focussing on project execution alongside ongoing phase-I production.

We continue to see strong demand for non-Chinese supply of lithium salts and electrolytes from derisking standpoint and have accordingly initiated discussions through MoUs, pricing commitments with international customers.

In a boost to Indian battery manufacturers, (the government has) exempted critical minerals, such as, lithium from custom duties. This is expected to help reduce production cost of batteries and consequently the overall price of electric vehicles and will also make Neogen's electrolyte more competitive.

We remain positive on electrolyte opportunity in India. As one of the first Indian companies to supply commercially produced, meeting global standard electrolyte,

we are pleased to contribute to India's vision of becoming a self-sufficient lithium-ion battery manufacturing hub.

Our future growth strategy centers on scaling up organic and inorganic chemical operations with high emphasis on CSM and advanced intermediates. Our R&D focus on innovation coupled with strategic push into battery chemicals will be instrumental in achieving this.

Neogen also forayed into semiconductor material supply chain during the last quarter, developing some specialty gas products as well as liquid products required for semiconductor application. While navigating present macroeconomic challenges, we remain optimistic about the Indian chemical industry's long-term exponential growth prospect. We intend to harness this potential and create enduring value for our stakeholders.

That concludes my opening remarks. I would now request our CFO – Mr. Ketan Vyas, to share financial highlights for the period under review.

Ketan Vyas: Thank you, Dr. Harin. Good evening everyone, and welcome to the Q1 FY25 Earnings Call. I will take you through the key financial highlights. Please note that these are on a consolidated basis and based on YoY c

omparison.

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In Q1 FY25, our revenues increased by 9% to Rs. 180 crore. Despite challenging operating conditions, this growth was volume driven, primarily due to higher contribution from non-agrochemical products amid with weak pricing.

Organic chemicals saw 17% revenue growth reaching Rs. 142 crore, while inorganic chemicals experienced a 14% decline in revenue, totalling Rs. 38 crore. As explained by Dr. Harin, the revenues would have been higher, but for the decline in prices of both bromine and lithium raw materials. Revenue mix between domestic and export was 73% and 27%, respectively.

EBITDA rose by 10% to Rs. 30.8 crore. The increase occurred despite higher employee costs and other expenses aligning with capacity expansion initiatives at Neogen Ionics. Margins were maintained at 17.1% and were supported by operational efficiency even though there was continued pricing pressure across key products.

Profit after tax came in at Rs. 11.5 crore, an 18% increase. This strong operational performance was further enhanced by lower tax rate. Depreciation and interest expenses are expected to rise due to accelerated capital expenditure in battery chemicals.

That concludes my initial remarks. I will now request the Moderator to open the forum for the Q&A session.

Moderator: We will now begin the question-and-answer session. Our first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Dr. Harin, to start with a couple (of questions) on the battery chemicals business.

One is what is our line of sight into the new battery capacities coming up in India over the next 12 to 18 months? So far we have heard announcements from may be three major battery makers, Ola, Exide and Amara Raja. But have not heard much from the others here at least as far as I am aware. So, how do you see the capacity coming up in India and will you have the confidence that we will be able to sell out our 30,000 tons by the scheduled timeline of say H2 FY26 or could there be a need to may be delay it a little bit to match with the customers' plans?

Dr. Harin Kanani: Thanks for the question. As you mentioned, for the electrolyte we already have three battery manufacturers - Ola, Exide and Amara Raja and as you mentioned, they are likely to start in the current year and next financial year. On top of that, there was also Reliance, which is expected to start in the next financial year, and also there will be Lucas TVS a little bit later down the line. From the point of view of achieving 30 KT full utilization level, the main target was FY28. So, by FY28, we also expect that there will be JSW and Tatas, both of which have also announced their intention to get into battery manufacturing. At least one of them or both would have started. And we also expect some smaller battery manufacturers who are making for electronic application as well as home usage and some niche applications. Some of them would start in the current financial year and some would start by 2025-26 calendar years. So, we feel confident that our target to reach full utilization level by FY28 or FY29. That continues to remain, and we are on track to do that. I still feel that we will need more than 2,000 MT capacity in FY26. So, by second-half of FY26, we would need at least 5 giga or 10 giga kind of electrolyte support. That is my expectation. At least for now, it looks like we would be on track to bring the electrolyte capacities on line in the second half of FY26. So, that would be still on track, and we do not see any reason to delay so far.

Abhijit Akella: And then on the pricing front, China electrolyte prices are somewhere in the ballpark of \$3 a kilo I believe at present. So, how do we negotiate the pricing with our customers, what sort of discussion do we have around there?

Dr. Harin Kanani: I would not like to discuss specific numbers because when you go to China also,

there is a range of electrolyte prices depending on the quality and the formulation that you are actually looking at. And the second point is China price would be in China. So, you would also need to consider and factor in whether those electrolytes can be brought to India, and when they come to India, you know what would be the
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final delivered landed prices of these. And in some cases it is very complicated just from the logistics point of view, especially when your volume becomes thousands of metric tons, it becomes very complicated to just manage the logistic. So, just from the criticality point of view, also like you would have to basically make sure that the electrolyte would have to be supplied from India.

So, I think when we are discussing with our customers, even our customers know that prices in China will fluctuate. They are more keen to understand that after accounting for all the raw material price fluctuation, the contribution which Neogen is bringing in, what is that and is that competitive across what they see internationally. And so far, the answer to that has been, yes. We have also done many simulations for our customers. The Chinese price also goes through crazy lows and crazy highs. So, overall, when they look at a three-year, four-year kind of point of view, having a more stable formula driven price is much better than just spot buying of something as critical as the electrolyte. Most of the customers have also acknowledged that and they have seen that and that is basically driving the discussions.

Abhijit Akella: With regard to the salt sales into the international markets, any sort of feelers from your global customers regarding whether there would be any change in their plans in the event of a Trump presidency? Could there be some changes to the Inflation Reduction Act or just some changes to the battery demand outlook or something like that, if Trump administration came to power?

Dr. Harin Kanani: As far as the talks I am having with the customers, at least most of the customers are looking at Neogen. Of course, as an IRA fulfilling act, but they are also looking at decoupling from China and having an alternate to China. So, some of the agreements which we signed with these customers, while the volumes are not committed but the prices - again formula-driven prices - using the same rationale that we have seen earlier and even though they are currently much higher as compared to China, they understand that India has its own dynamics and outside China, they still see Neogen as one of the cheapest source. So, they are more focussed on that. Neogen being the cheapest source outside China, they would like to engage and at least buy certain amount of their quantities from them. So, we have not seen them reduce the numbers or the demand that we were talking of. We still see them interested in buying from Neogen as an alternative.

So, I think the initial electrolyte capacity which Neogen is setting up - of 5,500 MT - initially would be internally consumed. The question is not whether that capacity can get filled. The question is how fast would we have to increase depending on what percentage of volume we will get in the international market. Because, as we have shown in our presentation also, the demand in the international market for salt is very high. If we can maintain our position to be the cheapest source outside China and more and more customers see value in having Neogen as a completely China-free supply chain, IRA compliant and in absence of even IRA, basically as a backup source for their supply chain surety, how many customers see the value and how fast you would have to add more capacity beyond what we are currently planning is the question. But again, the first capacity has to come online. We need to give confidence to our customers that we can make on a large scale, the quality and at the cost which we are currently estimating an

d then the discussions can go forward from there.

Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Basically, I know you have given some plans in terms of the funding for the battery chemicals business, but just now so that the funding you have got the closure, just wanted to understand, I believe we had Rs. 1,150 crore debt funding plan for the whole CAPEX of the battery chemicals. So, just wanted finer details on that. I believe the EMI will start hitting from FY27 after the moratorium ends. I also believe that you have got around Rs. 9 billion term loan from SBI as well. So, some finer details on

that would be helpful.

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Dr. Harin Kanani: Basically we received from SBI for especially our Pakhajan Greenfield site, we have already received the funding and it has a two year moratorium and it has a 10 year repayment; in that also the first two years no interest, no premium, no installment, then after that one year only interest payment and then after year three, you start paying the installment back and that too it is graduated, so in a sense that it is not like 10% every year. In the initial years it would be around 4%, 5% and then some of it will be back-ended. So, it will be kind of ballooning. The repayment would start around the time when the electrolyte and salt plant would be close to running at full capacity and again till the time the project completes, there is a complete moratorium on all the interest payments, etc. Similarly, we have tied up with another of our existing bankers for our expansion activities which are ongoing in Dahej where we have a 10-year period where the first year is like a moratorium because that facility will start producing faster and then similar terms as SBI where you start paying installment after another year and then some of the installments are also back-ended and not uniform.

Jason Soans: So, basically what I understand is, there is this SBI term loan of around Rs. 9 billion and the other one should be of Rs. 2 - 2.5 billion. Is that the right understanding?

Dr. Harin Kanani: Out of Rs. 2.5 billion we have already secured around Rs. 1 billion and another Rs. 1.5 billion is under discussion.

Jason Soans: Two loans of Rs. 9 billion and Rs. 2.5 billion are there, right?

Dr. Harin Kanani: Nine and one. So, it is 10; Rs. 1.5 billion is under final round of discussion.

Jason Soans: Just wanted to understand also, of course battery chemicals is a very crucial business for us. Now I just wanted to know along with the discussions, whatever the initial discussions we have, how far do you think we are from signing a concrete long-term contract with these battery manufacturers, which will probably secure a lot of volumes for us in the electrolytes business. So how far do you think we are from that point?

Dr. Harin Kanani: As we discussed earlier, there are two or three customers who would be basically needing electrolyte, in the current - this and next financial year. I am talking of the larger giga scale, as Mr. Abhijit mentioned, Ola, Exide and Amara Raja. All of them have a commitment that they want to localize. We have been strongly engaging with them. Especially, in case of Ola, they also mentioned us in one of their news releases and we have also worked with them for last many years developing different recipes with them. So, we work very closely with them. Of course, we are still awaiting. Any giga scale production will go through first small 1,000 cell trial, then 10,000 cell trial, and then may be one trial run in the giga plant and then based on the outcome of that, we can start discussing long term contracts. So, in the next 18 months, we should be able to convince two out of three or three out of three customers to basically sign up with Neogen and get into long-term agreement for electrolytes.

Jason Soans: And sir, I just wanted to understand that you r

ecently have incorporated a subsidiary

in Japan. Just wanted to know what is the rationale behind that, what are you looking at from that subsidiary?

Dr. Harin Kanani: We are very fortunate that we are able to hire a very senior level person who has many years of experience leading a Japanese agrochemical company in Japan as well as in India. So, he is helping us with all our strategy and our business development activities. We felt with the number of interactions which we are having in Japan for battery materials, then also for our CSM business and some other initiatives related to n butyl lithium, some semiconductor related project we needed a dedicated Japan team. The main role (of this team) is to develop under the leadership of this senior person, a Japan team, which can then work more closely with the customers. For example, earlier some very senior level meetings would happen once in three months or once in five months and either me or Mr. Surana is visiting Japan. Now, follow-up visits can be done by our Japan team almost on a monthly basis. So, some of the things which would take six months, nine months

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would now happen in three months, six months and also the customers feel more confident having the Japanese present. This is the main role of the Japan subsidiary.

Jason Soans: In terms of what we are recently hearing, volume sales in EV, there is a slowdown happening, probably sales for hybrids, plug-in hybrids probably are on the growth path, people are looking at - charging to be an issue, range anxiety, all these things are there. So, just wanted to know from your perspective how are you looking at it if there is some delay in these capacities coming online. Could you please give your perspective on this?

Dr. Harin Kanani: From whatever discussions I have had so far, we have to look at it in two ways: one is the international business for salt and the local business for electrolyte in India. So, when I am thinking of the electrolyte salt business in the international market, what I am seeing is, there already exists a market which is far bigger than the capacity that we are putting for our salt. So, it is just a question of proving ourselves, proving that we are the best back up to China that they can have, and then depending on that, what would be that market share which you can get. IRA is one of the driving factors, but in addition to IRA, just having a backup to China, which is having the lowest difference compared to China is also of interest. So, when I am thinking of the international business, the existing capacity with which what we are starting is just to prove that we can make the salts at scale at commercially competitive prices, which are attractive to the customers and then depending on how fast the EV market will develop, how much percentage of market share we can get in the international market, we will decide how fast we grow beyond the existing 5,500 MTPA capacity. So, when I am thinking of that, I am thinking the factors which you mentioned like range anxiety, plug-in hybrid versus pure EV, I mean these are the things which will play out and that will determine how fast we will grow beyond the initial 5,500 MT salt capacity which we are installing. Now, when you think of India market, I personally feel that in India, like the energy storage, specially for renewable there is a very good opportunity. Of course, EV is there, and we are seeing that two wheelers and three wheelers there is very large and very fast penetration that continues and we still are at a very low contribution to the overall sales. In two wheelers, we are around 4% - 5% and in four wheelers we are at only about 2%. So, I feel as more and more products come to the market, more and more customized products will come. I feel there is still a lot of room for EV to grow. And on top of that, we have the energy storage demand. We have seen the Government also become

more proactive giving the grid level energy storage projects. They used to be around 100 MW hour, then they ask for bidding of 500 MW and now there are some giga level bids also which are happening. So, more and more renewable solar energy will also require this battery storage. So, we will have to again watch that depending on how well EV is accepted, will we see 150,000 MT kind of electrolyte demand in 2030; will it be 120,000 or will it be 250,000? I mean the jury is still out on that and I think we will have some idea on that in one or two years' time. Again, for me this is more a question of beyond FY28. What is the demand which we are looking at and how soon we need to increase capacity, depending on how this plays out.

Jason Soans: Just wanted to know sir, broad revenue, EBITDA, PAT for BuLi Chem if you can give for FY24 and what is the outlook on that going ahead?

Dr. Harin Kanani: BuLi Chem has mostly one product. So, for confidentiality reason I do not want to give exact EBITDA numbers there, but I would like to say that, our BuLi business has stabilized. In fact, Q1 was better than earlier and in Q2 also we are seeing a very good order book where we feel we will be fully utilizing its capacity. We also got in-principle environmental clearance. So, as we see one or two quarters more with a very limited CAPEX, we have an ability to increase capacity also at least two times by just some debottlenecking. So, I think so far, the way BuLi has been progressing, we are very happy with the progress. Not only in India, but we have already started shipping our products to Korea and Japan, which were the first markets we had identified and we are also seeing positive interest from Europe as well as US. Also,

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in addition to the traditional pharma and agro business which BuLi India was doing before we acquired it, we have also been able to improve our quality where it can now be used for semiconductor applications also in Japan and Korea markets. So, I think overall it is moving positively, and we feel it will contribute well in the current financial year. As we had also given a target of Rs. 50-100 crore at full utilization levels, we feel in current year it will contribute in that range, at least Rs. 50 crore and I would say closer to between Rs. 50 and 100 crore, but closer to Rs. 70 crore or higher by the end of the year.

Moderator: The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: I just have one question and specifically you mentioned about renewable power earlier which also seems a prospect for electrolytes and salts being a use case application. Sir, I think from what we have heard in the last few months - may be quarters - that the scale of ambition of the Government at least in renewable power seems to be far higher in terms of CAPEX and even the private CAPEX over here has been quite high and that having a use case in renewable power also becomes

a big enough area for electrolytes to be put in use. What would be the scenario over there, I mean, the batteries you can use in solar and wind may be, are they fully imported? Why are we not participating for those application areas given that the pace of CAPEX over there is may be much faster than what is happening on the EV battery side. What would be your thoughts on that?

Dr. Harin Kanani: Archit, yes, I mean I agree with you and whatever I have also heard in trade conferences, we are seeing Government being very active and also they have realized that more renewable energy can come only with storage. So, storage is a very critical component of that. In fact, some of the battery trade shows that we used to go to, now we are seeing some of the solar people come here because they want to understand because battery is becoming a very critical component for renewable energy also to be successful. Having said that, this was always the plan. So, even

in the 160 GW hours (capacity) that we have projected, which was estimated by industry body, around 40 GW hour was already planned to be for energy storage. Again this was the estimate of two years back. I do not think people have put a revised number that how much it will be by 2030, but I think once a lot of policy measures which the Government is discussing to support that, once the industry gets clarity on that, we will be able to say whether the 40 GW hour can further increase. But to clarify, there is already a plan for that, but again, whether it can exceed that, that is something which we need to still see.

Also, I think even in case of Reliance they have shown that they wanted to use this because of their zero-carbon target and again their use case also was energy storage. Now from our side, it is almost the same thing. In fact, most of the people will use LFP-based cells because they are cheaper. There are some small variations on the cathode and anode side, but electrolyte in-principle remains the same, only the additives can be a little less complex or something. So, basically our facility can take care of renewable energy and also energy storage demand of battery cells.

Archit Joshi: Just a follow up on the same thing. How is the supply chain working out to be over there? Because I am sure that there is a lot of money being poured in these projects already, they also must have had some plans with respect to storage and all. So, how are they dealing with it right now given that there is no particular battery manufacturer in India?

Dr. Harin Kanani: Same ways as whatever EVs are doing today - that they import the cells and then the batteries are assembled here and there are a couple of companies which are specialized in that and there are some which are even specialized not only in assembling the batteries, but also put all these batteries together in a container and that becomes a module which is then supplied to as a energy storage model. There are some companies which are also specialized there. The expectation is that as India's cell manufacturing picks up and again, I am not very sure of Ola because they have their own internal consumption and how much they are planning for energy storage. But clearly for Exide and Amara Raja or Reliance, or even Lucas TVS - for all of them, energy storage is one of the markets which they would definitely look at.

Moderator: The next question is from the line of Aniruddha Shetty from Solidarity Investment Managers. Please go ahead.

A Shetty: I had two questions. My first question was a follow up to the last question around hybrid vehicles. Just wanted to understand this more simply. Typically between an EV and a hybrid vehicle, how does the consumption of electrolyte change? I know it would be different depending on the model, but just as a rule of thumb how different is that?

Dr. Harin Kanani: What we know is that at least some of these hybrids use the anode carbon along with LTO, so lithium titanate. And when they use that, the electrolyte consumption per GW hour actually increases. So, at least some of the models of these hybrids, in the past, we said that the NMC battery would require 500 MT per giga, LFP somewhere between 1,200 to 1,500 MT per giga, hybrid battery, specially at least some of the designs which are popular would use somewhere between 1,500 to 2,000 MT per giga. But this is based on my understanding and is theoretical. We have not yet talked to anybody who is specifically making this type of cells within India. We have so far not seen activity to make cells specifically for hybrid in India. So, I have not been able to double check this number.

A Shetty: The second question was more on the balance sheet side. If you could share some colour around how our net working capital situation has evolved since the last quarter?

Dr. Harin Kanani: It has been improving. Overall, we have been operat

ing cash flow positive in the 1st

Quarter and as of now. Well, you will get to see more numbers in September, but we are on a stable and improving trend, it is not becoming worse.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead sir.

Abhijit Akella: The custom duty cut. Does that apply to imports of lithium carbonate and hydroxide as well or is it only for the pure metal itself?

Dr. Harin Kanani: Actually, it is the reverse; it applies to lithium carbonate and lithium hydroxide.

Abhijit Akella: So, it is a straight saving in our raw material cost?

Dr. Harin Kanani: Yes, yes. So, in the international market, it does not make so much of a difference because anyway we would have advance licence because ultimately it is getting exported. But when we are selling it locally to that extent our cost goes down.

Abhijit Akella: And just the other thing was slide 20 of the presentation mentions that the organic revenue would have been higher by Rs. 14 crore adjusted for the decline in the bromine price. So, does that mean that instead of Rs. 142 crore, it should have been Rs. 156 crore for the quarter, is that how we should interpret it?

Dr. Harin Kanani: The values given there are that if the same selling price was applicable today, I guess it is also bromine as well as market conditions. So if I was selling product at Rs. 120 earlier - and I am just saying as an example - if I am selling today at Rs. 110, so that delta was basically transferred, then the revenue would have been Rs. 156 crore and similarly in case of battery. Battery is where I mean the inorganic lithium is where you can see bigger where if the same lithium prices existed as what we sold in Q1 FY24, it would have been Rs. 27 crore higher. Volume wise, in the case of organic, the growth is bigger and in case of inorganic also there is a volume growth. But just because of the lower prices, either it is shown as a lower growth, or decline in the revenue numbers.

Abhijit Akella: So, the numbers would have been Rs. 156 crore in organic and Rs. 65 crore in inorganic?

Dr. Harin Kanani: Correct. It is the same rate as we had in Q1 that were applicable last year. So, I think we were already seeing lithium prices declining and then Q2, Q3 was where they

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bottomed out. Now, they are stable. So, I think in two, three quarters you will have this impact, then depends on what lithium does and how the bromine and organic molecules contribute.

Abhijit Akella: On the CSM business, if you could please give us some update about how things are looking there? I know there has been destocking and all of those things, but you have been in discussions with several customers. So, how is that coming along? And by when could we see some traction in that business?

Dr. Harin Kanani: In spite of all these challenges that we see and lack of demand from some of the agro CSM customers, we did a good job of contribution from CSM and contract manufacturing. So, we are still able to maintain upward of 15% of revenue. Our target is to reach 20% of the revenue in CSM business.

What has helped us? As I explained earlier, we have flavours and fragrance; and we also started diversifying. We have some more pharma projects, some more flavours and fragrance projects and we also started diversifying into some other applications, such as, something which is used in engineering, something which is used as a starting material by other specialty chemical companies like to make a specialty polymer or something and also something in semiconductor. All of these together, these projects are exciting and helped us maintain the CSM at 15% level. We hope that as these projects develop further and also once the agro demand comes back, we will hope to cross around 20% target that we have for sure by next financial year. If the agro business comes back well in the second-half, then may be even in th

e

current financial year we can get 20% contribution from CSM.

Moderator: The next question is from the line of Ayush Rathi from Aditya Birla Money. Please go ahead.

Ayush Rathi: Sir, you seem to be on track with a lot of battery business plans, which is really a positive thing. I actually wanted to understand if you could give some insights on the pricing scenario, like do we see a plateau forming or prices are still firming up or how volatile are the prices right now in the current financial, if you could just give some colour?

Dr. Harin Kanani: If I look at our inorganic chemicals, which are mostly lithium-based compounds, we saw raw material prices hit their bottom and now they generally trade in a narrow band of around \$10 - \$12 or \$13, so let us say \$11.5 +/- \$1.5 for last one or two quarters. Lithium, which is the base material, and I think our customers also who are waiting for the prices to bottom out have now realized that this is the bottom and we have seen the demand again come back. So, we have seen some increase in our

sales price but more or less it has stabilized now and we feel from here, as the lithium prices will increase then the prices can go up. My analysis also says, that in the long term, the current price of lithium is unsustainable, because this is the price at which the old mining companies can make profit, but the new mining companies cannot. So, if they stay at this level, you will see some of the new miners stop production which would reduce the supply and then you will again see the prices go up. So, that is my expectation. Now whether that happens within one year, in two years, depends on many things. But this is my expectation on the lithium side.

In terms of organic chemicals, I think the input prices were also going down. Prices of bromine, solvents, petrochemical, compounds, they were all reducing. That was one part. But the bigger part also was that, China, where there is excess capacity when the demand is less, they tend to dump. Some of the places we have seen like the delta between raw material and the final almost disappear. So, they are selling at RMC kind of price levels but what we have seen is the lowest has already happened about a quarter ago. Now they are stable, or they are slightly increasing, not yet a rapid increase, but seems to have seen the bottom pricing on the organic side.

Ayush Rathi: One basic question I wanted to ask. Recently, the Government has reduced customs duty on lithium. By any chance, do we see any prices of our end products which is

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electrolytes going down? If you could just explain the unit economics, does it affect our margins?

Dr. Harin Kanani: Basically I use this lithium carbonate to make lithium LIPF6 or other electrolyte salts, and then that electrolyte salt gets into formulation. Again, directly at a formulation level, in terms of weight, only 15% is electrolyte salt. And if you consider lithium carbonate, the contribution of that would be even lower, because the electrolyte salt has lithium and something. So a 7.5% decrease at the electrolyte level gives me a very small reduction like a couple of percentage points, but again when you are doing volumes like 30 KTA it is the percentage that matters and this is something which is positive for us where we can import lithium carbonate without paying any duty. So, that makes our LIPF6 and our electrolyte more competitive.

Moderator: The next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir, my first question was regarding our inorganic segment. Adjusted for the lithium prices fall, we would have had a volume growth of somewhere between 45% to 50% YoY in this quarter in the inorganic segment. And then the previous year sir, we closed at 75% to 80% of utilization. Do we have enough capacity for the rest of the year, in this segment, is my first question?

Dr. Harin Kanani: Yes.

Yash Shah: Anot

her question which I had was, we mentioned a couple of times on the call that we are trying to position ourselves as China Plus One, be the next cheapest alternative outside China. If you had to quantify in terms of the similar quality we supply to China, what will be the price differential? In some ways you can quantify that?

Dr. Harin Kanani: Yes, I mean we do say we are the cheapest outside China, but we also say that if you take a three-year or a four-year view, we will also add more value as compared to China. And we have done some calculations that if somebody had entered into a formula-based pricing with Neogen four years ago when lithium went very high, very low, they were using the same formula at which we are currently selling LIPF-6 or the agreements which we have gotten into with international customers as compared to the spot China market price, they would have made more money by paying us higher for some portion of the time because when they pay us high, it is like X, but when China increases price during shortage, it is crazy high. So, overall, we still add more value to them. So, it is not just saying that, "Oh! We are the best, cheapest source outside China". Of course, if you wanted to do the hedging, that is where it helps because let us say other suppliers also have added value. That is why there is a supplier in Japan as well as in Korea. But we could have added more value because our cost is lower compared to them. In terms of percentage, it is difficult to say because like I said, China has crazy low crazy high, which one I compare? There are times when we are 30, 40, 50% more expensive, even 60% more expensive and there are times when we are one-third the price of China, if I just apply this formula price versus the Chinese spot prices.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: My question is on the CAPEX for our organic, inorganic segments. As you mentioned, while answering previous question that you have sufficient capacity for

organic, but any plan to put up an expansion in organic and inorganic capacity in FY26-27?

Dr. Harin Kanani: On the organic side, we have capacity, till Neogen reaches around Rs. 1,000 crore. Neogen standalone, which is about Rs. 1,000 crore in which organic contribution would be somewhere around Rs. 700 to Rs. 750 crore. So, we already have capacity in place for that. And we still will hit that number of Rs. 175 crore of organic production and you can see we are still far away from that. Till that time, we have capacity.

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We also feel that after we reach peak utilization level at least in the current scenarios instead of immediately adding more capacity, we would like to stabilize the products, get better product mix and use the same capacity may be with some small debottlenecking or small CAPEX to contribute more. So, I think if we maintain our target that by FY26 Neogen reaches its full utilization level we reach Rs. 1,000 crore and then FY27 we debottleneck and get another 15% odd revenue growth. So, till FY27 most likely, unless there is some very large project and you never say never, but at least in our current plans, we would just like to continue with the existing capacity, use it to the fullest and optimize the product mix and the capacity utilization. So most likely FY27 is where we would consider organic CAPEX to take care of our growth in FY28 and FY29. But I think FY25 and FY26 most likely no significant organic CAPEX. As I mentioned in one of my earlier answers in BuLi, we do see scope for increasing the capacity because there our expectation is based on order book, this year we will start hitting full utilization of the capacity which we had estimated, and with the environmental approval which has come in, we still have to do some more stages of processing of that. But once we get the approval, may be by second-half, we

may look at further increasing the BuLi capacity. But it is just an incremental debottlenecking type, so it will not require too much of CAPEX from our side on the organic side.

The inorganic side, in our existing facility, just by debottlenecking, without significantly making a new investment, we will be able to add more capacity. So, it is something which I am not planning. But, yes, once we start hitting Rs. 150, 200 crore, a quarterly number of Rs. 50 crore plus on a stable lithium price basis, that is when we will start considering whether we need to slightly increase lithium capacity.

Nilesh Ghuge: And secondly, on our electrolyte business, you do say that, you have already sent samples to your customers and customers will sign may be probably in FY26 a long-term contract for the supply of electrolyte. So, just for my understanding, is it like that the customers are waiting for our commercial facility to be commissioned and then get the product with the quality and the purity of the electrolyte and then they will sign contract, is it like that?

Dr. Harin Kanani: First of all, a clarification. I said in FY25 or FY26 but we can sign some contracts this year also. In my view our facility is there. Especially if I am thinking of the large giga customers, our facility is there before they start. So, we are ready for them. It is just that they need to use our electrolyte once in the plant, get confidence and then based on that they can go ahead and sign the contract. Also, there are two kinds of contracts. One says, I will supply to you, you will buy from me, and the second says you will buy XYZ quantity minimum, and I will supply maximum so much. So, for the second type of contracts to happen, you need to also have a volume clarity on the sides of the customer. So, these giga factories as they ramp up their production and their production stabilizes, then they will have a better view.

Moderator: The next question is from the line of Sabyasachi Mukherjee from Bajaj Finserv Asset Management Company. Please go ahead.

S Mukherjee: First question is could you talk about this semiconductor opportunity that you mentioned in your remarks? What are these products exactly, is it exports opportunity or domestic opportunity as well. How big could be this opportunity?

Dr. Harin Kanani: Basically, there are three types. The organolithium compounds which we are making in BuLi, find usage to make other chemicals, which are then used in semiconductors. We would be like a Tier-2 supplier in case of a semiconductor chip manufacturing facility where we would supply this organolithium to somebody who would then make the chemical which would go into semiconductor. So, this is one opportunity we have. On top of that in our organic synthesis, we have made a specialty gas of a purity of 99.99% and higher which is used for semiconductor manufacturing. So, we have some projects which are under contract manufacturing model where we make these products for the international market.

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And the third is there are some organic chemicals which we are making with very

high purity versions of that without the metal content will be used for making certain kind of chemicals for semiconductor. So, again that would be a Tier-2 kind of a supply situation. So, we feel like battery materials, we have an opportunity to be a Tier-2 supplier in the international market, learn from that and then hopefully when semiconductor manufacturing comes in India, we can use that partnership and try to see if we can forward integrate and be a Tier-1 supplier in India. That is something which will take time, but we have just made some start. We have these three engines, one is organic molecules required for semiconductor manufacturing, organolithium compounds and the specialty gases of very high purity for semiconductor application.

S Mukherjee: Still, it is early days, but we have made a breakthrough here.

Dr. Harin Kanani: Yes. It will be a few crore getting into a few tens of crore in the current financial year. We are just starting with that and then we will see how we can ramp it up and make it more significant going forward.

S Mukherjee: Second question is on the mention of Rs. 900 crore to Rs. 1,000 crore by FY26 (that you mentioned) in the Press Release as well as in the management commentary in the presentation. This is for the standalone piece, right?

Dr. Harin Kanani: Standalone business.

S Mukherjee: And if I were to break it down to organic, BuLi and inorganic, it would be somewhat close to Rs. 700 crore to Rs. 750 crore for organic? How does that stack up if you can just...?

Dr. Harin Kanani: I would say Rs. 700 crore to Rs. 750 crore for organic, around Rs. 100-odd crore for BuLi and another about Rs. 150-odd crore for inorganic.

S Mukherjee: And on top of that, Battery Chemicals should be contributing around Rs. 250 crore to Rs. 300 crore in FY26, right?

Dr. Harin Kanani: The capacity which are coming online in the Brownfield in Dahej in this year itself can contribute around Rs. 200 crore to Rs. 250 crore. On top of that, the new capacity will contribute more, and on top of that the Greenfield site will come online in the second-half. The existing capacity can contribute Rs. 200 crore to Rs. 250 crore, but Rs. 250 crore is the bare minimum, plus the new capacities which we are adding by the end of the year they will contribute and plus the Greenfield site will contribute in the second-half. It should be more than Rs. 200 crore to Rs. 250 crore. How much more, please give me some time to tell you, may be by the end of the current year.

S Mukherjee: Just a follow up here. Once our electrolyte facility is up and running the smaller one and the Greenfield one comes probably sometime in, let us say September or by December of 2025, the salt capacity will be consumed internally and by that time we will also have some more salt capacity coming up for the international markets. So, what would be the ballpark salt revenue, and electrolyte revenue, any number you have in mind?

Dr. Harin Kanani: Like I said, give me some time to give you that number. I have not got the total number, it will be Rs. 250 crore plus additional salt capacity as well as from the Greenfield site. Just to clarify for 30 KTA we would need around 3,000 ton to 4,000 tons of salt, but we do not expect in the first year to use 30 KTA. Salt capacity will also be available in the beginning more for the international market and we will see how we are progressing in international market in the salt and then as electrolyte gets fully utilized by FY28; accordingly we can either keep adding capacity or divert more capacity for India usage.

S Mukherjee: One thing, does this Rs. 200 crore that you are saying we can do in FY25 itself coming from salt?

Dr. Harin Kanani: No, I said the capacity we have in place which is currently undergoing stabilization that on a full year basis can contribute to Rs. 200 crore in FY26. This year we are not getting full utilization because approvals all that will take time. But all of it will be

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approved so the electrolyte and the salt capacity, i.e., 2,000 MTA, 400 tons should give you somewhere close to around Rs. 200 crore along with the increase in capacity to 1000 what we are estimating and then additional thing which will come by end of the year that will may be take some time for approval. So, that is why beyond Rs. 200 crore to Rs. 250 crore some contribution coming from the Brownfield, some contribution coming from Greenfield, but too early to tell exactly how much.

S Mukherjee: Any initial readings on what could be the margins from salt revenue or is it too early?

Dr. Harin Kanani: In the past also we have said that we expect like ROCE of 20% and also we are targetting, depending on price of lithium somewhere around 16% to 17% kind of EBITDA m

argins. So far whatever contracts we have signed, we seem to be on track to basically achieve that in salts. So, in salts, we have more visibility because technically if all the contracts that we have signed, if all the customers take the full volume, our entire capacity can get fully utilized just for salt. So, we have clearer visibility on salt. On the electrolytes, as I explained as the Indian players start their electrolyte manufacturing activity, we will have better clarity on margins here.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the Management for closing comments.

Dr. Harin Kanani: Thank you everyone for joining the call. I hope we were able to address your queries.

If you have any further questions, please feel free to reach out to our Investor Relations team and we will address them. Thank you once again and we look forward to connecting with you again in the next quarter.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. Although an effort has been made to ensure a high level of accuracy, the Company or the sender takes no responsibility for such errors.

Call: Nov 2024

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November 21, 2024

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Scrip Code No: 542665 National Stock Exchange of India Limited
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Company Symbol: NEOGEN

Sub.: Q2FY25 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Call Transcript of the Company's Q2FY25 Earnings Conference Call held on November 13, 2024.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Enclosure: As above

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Neogen Chemicals Limited
Q2 FY25 Earnings Conference Call Transcript
November 13, 2024

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Limited's Q2 FY25 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, Mr. Solanki.

Nishid Solanki: Thank you. Good morning, everyone, and welcome to Neogen Chemicals' Q2 FY25 Earnings Call for analysts and investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director, Mr. Anurag Surana – Director and Mr. Gopikrishnan Sarathy – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A where the management will be addressing queries of the participants.

Before we commence, I would like to share the standard disclaimer. Certain statements made or discussed on the conference call today may be forward-looking. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q2 FY25 earnings presentation, which has been uploaded on the stock exchange websites. I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you and over to you, sir.

Dr. Harin Kanani: Thank you, Nishid and thank you all participants for joining us for our 2nd Quarter Earnings Call. Seasons greeting to everyone. Hope you had a joyous Diwali with your family. Wishing everyone a very Happy and Prosperous New Year.

As you know, we have appointed Mr. Gopikrishnan Sarathy as the Chief Financial Officer of Neogen Chemicals. We welcome him to the new role and wish him the best. I will be sharing my views on performance and strategy while, Mr. Gopikrishnan will take you through the financial highlights.

Neogen Chemicals achieved a robust performance during the period under review, demonstrating resilience and strong execution. This came amidst a challenging

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market landscape characterized by weak demand, oversupply situation, geopolitical tensions and inflation which impacted industry's pricing power as well as profitability. Neogen's performance was driven by volume gains registered in the base business with additional contributions from BuLi Chemicals and Neogen Ionics. This achievement is a reflection of our team's commitment to excellence, their ability to innovate and adapt to changing circumstances to deliver results.

I will now present a concise summary of the key financial figures for Q2 FY25 on a consolidated basis. Our revenues grew by 20% YoY to Rs. 193 crore while EBITDA came in at Rs. 35 crore, an increase of 33% YoY. This translated to EBITDA margins of 17.9%, an increase of 180 basis points. Profit after tax stood at Rs. 11 crore, representing an increase of 30% YoY. As informed, Mr. Gopikrishnan will share more insights on the financial performance.

Now, shifting your focus to the segmental performance, in Q2 FY25 organic chemicals' revenues reported a growth of 34%, while inorganic chemicals' revenues declined 24%, mainly due to lower lithium prices. Both bromine and lithium raw material prices experienced a steep decline during the period under review as compared to the same period in the previous year. Adjusting for this fall, the organic revenue would have been higher at about Rs. 186 crore in Q2 FY25, while the inorganic revenues would have been higher at Rs. 55 crore during the same period.

I will now provide an update on our expansion activities:

1. New capacity of 400 MTPA for manufacturing lithium electrolytes, salts and additives: We have already commissioned the first 200 MTPA and initial approval of the material that we have shipped to the customers has already been received and the volumes in this area will start growing in Q3 and Q4. For the remaining 200 MTPA, trial production and optimization of the processes are currently ongoing. We have already had some customer site visits who have approved the facility, but further, more rigorous approval process is currently ongoing.

2. Plant for manufacturing the 2,000 MT of electrolyte at Dahej facility: We are implementing phased commissioning strategy here and in the first phase, 200 MT has already started with which we now have approved more than four customers at the commercial level. In Q3 and Q4, as our customers ramp up their cell production volumes, we expect our electrolyte volumes also to get ramped up. Both these will be fully online and get approved before the end of the current financial year.

3. By closely collaborating with our customers, we have jointly developed and exchanged multiple recipes of electrolytes with different lithium salt combinations. In the process, we have also gained valuable insights on the technological capabilities and market trends. We are committed to maintaining stringent quality standards and adhering to strict safety protocols. The positive feedback from our customers validates our commitment to delivering high quality and efficient products. Our

business development team has been actively engaged with domestic and international customers, hosting them for onsite inspections and approval visits.

4. About the Greenfield battery material facility using MUIS technology, with the financial closure secured, we have already initiated construction, and the project is
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progressing as planned. We have started civil construction at the site and our partner, Mitsubishi, has started the plant construction at their end. So, both are meeting the targeted deadlines. We have a dedicated team in place to expedite the completion of the project. Several large battery manufacturers are expected to start operations soon and we are progressing with long-term contract discussions. We are phasing the commissioning of this facility in FY26 as per our original plan. There is still a strong demand for th

e non-Chinese products, coupled with ongoing discussions and MOUs that we have, which basically secures the international salt business expected from this site.

We believe India's expanding EV industry presents a significant opportunity for the electrolyte markets. The work which Neogen has done both, domestically as well as internationally, we are seeing a lot more interest coming both from local as well as international customers. And as the country strives to achieve its EV adoption goals, the demand for high quality, locally sourced electrolyte is expected to surge. With the work we have done in last two years, we are in the right position to take care of this demand. Consequently, we are committed to making long-term investment to secure our future growth and success.

Our growth strategy is focused on scaling up our organic and inorganic chemical business. Also, we are seeing good progress in our CSM business. Of course, we are waiting for improvement on the agro demand for this business to develop further. Navigating the current global economic landscape, Neogen Chemicals is demonstrating resilience, embracing innovation and staying focused on delivering value to our stakeholders.

That concludes my opening remark. I would now request our CFO, Mr. Gopikrishnan Sarathy to share the financial highlights for the period under review.

G. Sarathy: Thank you, Dr. Harin. Good morning, everyone and welcome to Q2 FY25 Earnings Call. I am delighted to be part of Neogen Chemicals family and look forward to contributing to its future success.

As stated by Dr. Harin, I will take you through the financial highlights. Please note these are all on a consolidated basis and the comparison is on Y-o-Y basis.

In Q2 FY25, our revenue increased by 20% to Rs. 193 crore, driven by higher volumes in core business along with incremental contribution from BuLi Chemicals and Neogen Ionics. Organic chemicals (business) witnessed 34% revenue growth YoY at Rs. 164 crore, while inorganic chemicals (business) revenue declined by 24% to Rs. 29 crore. The revenue for both could have been higher but for the decline in the raw material prices during the quarter.

EBITDA rose by 33% to Rs. 35 crore, led by higher plant throughput as well as better operational efficiencies. EBITDA margin remained healthy at 17.9% even in this weak pricing environment and the startup related cost at Neogen Ionics.

Profit after tax came at Rs. 11 crore, an increase of 38% year-on-year. This was in line with strong operational performance. The increased capital expenditure in battery chemical segment is expected to result in higher depreciation and interest cost going forward.

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The domestic and export mix during the quarter stood at 74% and 26%, respectively. That concludes my initial remark. I will now request the moderator to open the forum for Q&A Session.

Moderator : We will now begin with the Q&A session. The first question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: So, first, with regard to the CAPEX numbers for the first half, in the consolidated cash flow statement, I think we can see a number of about Rs. 140 crore odd. How much of this would have been towards the battery chemicals segment and what should we expect on a full year basis for CAPEX for the overall consol company? Is it tracking in line with the timeline given that we have to spend Rs. 1,500 crore may be in less than a year now to commission the Mitsubishi plant?

Dr. Harin Kanani: Yes, the CAPEX that you see is mostly for battery materials and while Rs. 150 crore is in the first half of it, totally I think we have spent around Rs. 350 to Rs. 400 crore in the battery material space, out of Rs. 1,500. Some of this was already sitting on Neogen's balance sheet, which was then transferred. So, therefore when you are looking at a consol number that transfer you do not s

ee. But in the battery material space overall, we have already invested around Rs. 350 odd crore to Rs. 400 crore. We feel we should end the year somewhere around Rs. 700 – Rs. 750 crore CAPEX of the total Rs. 1,500 crore which we are targeting this year and then the balance would come in next year. Also, the way we are constructing it, Mitsubishi is constructing the main plant, so that sets kind of as an advance and they have already started construction on their end, and then the entire plant will be built there and then transferred together. So, that is going to be a big chunk which will come in the next financial year once that plant is ready. But from our side, the investment on that is already progressing.

Abhijit Akella: Also, on the subsidiary revenue breakdown for this quarter, would it be possible to just split it out between Neogen Ionics and BuLi Chem if possible?

Dr. Harin Kanani: Broadly speaking, I would not like to give a specific number because these are one product kind of companies. But when it comes to what you see, the total difference, I would say the Neogen Ionics is still in single digit crore and the balance is basically from BuLi Chem. But we have seen significant improvement in BuLi Chem. Q1 and Q2 from a battery material point of view has been more or less similar - single digit crore.

Abhijit Akella: And just one question with regard to the environment in the US now. I believe the Trump administration had indicated plans to revoke the Inflation Reduction Act if it came to power. How do you see the risk over there in this scenario?

Dr. Harin Kanani: What we have seen and what our experience has been when we have talked to the customers. Of course, the discussions with the customers were before the election results, but there was always this possibility, and we had heard about it. The feedback which the customers have given is 'look, even if IRA is there or no, we still need this, especially in the electrolyte salt business because just to have a second backup, because 95% of it coming from China is something which we are not comfortable with. They continue to take the view that are you the best source outside China? This is one question. Then the second question which they have seen is that like I said, if they look at last four years, with the formula pricing which we have, they

would still have been better off than buying in the spot market from China. So, these are the two decisions.

Separately, they have also commented that so much amount of investment also which has happened related to IRA driven investments and that too in so many states where there is a very strong support for Trump, that they feel it is going to be very difficult to completely unwind IRA. There might be a few variations or changes around that, but mostly they feel there will be some form of IRA with some modifications still continuing. This is the view from our customers, but so far as our investment is concerned, they said, 'Harin, don't stop. We need more', and they even encourage us to think of some other molecules. So, anything which doesn't require a presence in the US, they are telling 'Neogen, please consider these options.'. So, their interest remains and is still very high. Recently, we had visits from them and during their visits also they were satisfied with the progress we are making and given us more confidence to challenge ourselves to do even more than what we have currently planned.

Abhijit Akella: From the perspective of the second half of this year, with the salt volumes ramping up, I am not sure how the traction with regard to the commissioning of battery capacity is going from large guys, like Ola and Exide; but in the context of whatever you see, do you still believe that Rs. 100 or Rs. 150 crore of battery chemical revenue is possible for this year FY25?

Dr. Harin Kanani: No. For battery chemicals, we had guided for this current

year around Rs. 75 crore

to Rs. 100 crore range. And what we still feel - again it depends a little bit on the electrolyte ramp up - but what we see is somewhere, let us say between Rs. 50 crore to Rs. 75 crore. I will be honest. The first six months, the approvals have taken longer time for the new site, especially for some of the salts. So, based on that today what I am looking at is the best for this particular year for battery would be somewhere around Rs. 50 crore to Rs. 75 crore. But next year or the year after, I

don't see any change.

Moderator: Next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Dr. Harin, you mentioned that the volume growth was very robust in your core business. My estimate suggests that it is close to about 50% Y-o-Y basis. So, can you tell me which category of products has shown such high growth - is it in advanced intermediates or lithium derivatives, bromine derivatives or in CSM?

Dr. Harin Kanani: For us, when you are comparing, we have seen good growth in lithium derivatives because if you see the corrected numbers, we have seen almost a 30% - 40% increase on the lithium side. Of course, you are not seeing it just because the lithium prices are one-third and even our consequent per metric ton prices are less than half. We have shared in slide 20 of our presentation what the number would have been if the prices would remain the same.

In case of organic, the main contributor is going to be the BuLi Chem because we were just starting with our BuLi Chem plant at that time and now we are almost running at full capacity. So, those have been the main drivers. In our organic production, right now, the major improvements that we have seen is the non-agro CSM and also the bromine derivatives. We have a few bromine derivatives which were used in a molecule, which was getting approved by the innovators. If you

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remember, when we did our Dahej site expansion, we said we had signed one long term contract, a five-year contract with a pharma customer to whom we are going to be supplying bromine derivatives? As the molecule gets more approvals, the demand will also grow. So, I think that business is improving quite a bit. I think bromine derivatives is doing a good job. In terms of non-agro CSM, we had a target to reach around 20% CSM, but in the last two quarters we are already at 15-18%. We want to reach 20% by next year, but we are already at 15-18% in spite of a lower demand from agro. The agro demand not being there, the CSM that we have done (is) for semiconductor (business) or what we are doing for our flavors and fragrance and some specialty polymer and other specialty materials. Fine chemicals have also done well; lithium salts have done well.

Advanced intermediates, which we basically sell in the market, that is still the area and agro is the other area where in advanced intermediates, the Chinese competition and slightly lower demand in bulk API is still something which we need to improve upon. The agro CSM has not picked up this year, although we are doing several projects which we had done last year and now the customers will start planning their 2025, especially the Japan customers. They start their planning from October onwards. So, by January we will have Japanese agro chemical demand. That will give us an idea about how that CSM is going to work out. We will get clarity on that. And the advanced intermediates is another area where we still need to work. Nilesh Ghuge: As you mentioned that BuLi Chemicals has already reached its peak utilization. So, the benefit out of that, as we have the entire chain of bromine right from lithium derivatives to extraction of lithium technology. Are we getting benefit out of that? These salts regeneration of lithium and getting lithium back?

Dr. Harin Kanani: Yes. We have already started recycling the lithium, which was being given out

externally and that is helping us increase some of the lithium volumes. Some of the businesses where we used to have the price pressure because we are able to do this recycle, we have been able to increase volume even though the lithium prices are depressed. So, I think that benefit is coming. You are not seeing it fully, like I said, because of the depressed lithium prices, but otherwise, that is something which is already helping us.

Nilesh Ghuge: The second question is on the margin. We can see more than 200 bps improvement in EBITDA margin if I compare that with the last year. Is it largely because of correction in product prices or is there an increase in absolute level per Kg EBITDA for the products?

Dr. Harin Kanani: I think it is largely driven by this price fluctuations. Last time it was a bit lower, because lithium prices were on the higher side. On an absolute the margin was okay, but per metric ton, I mean the percentage EBITDA was looking a little bit lower. Now, lithium prices have also corrected. Last one or two quarters, even after lithium price correction, there was a lot of Chinese pressure and utilization levels were lower. So, as you know, last two quarters BuLi Chemicals has been making profits. That is something which is basically helping us and overall, those were the drags. Even now the battery is still not broken-even. We are just into few single digit crore as I mentioned and the expenses are still there with the production and everything going

on. So, I think we will still see improvement in the margins as you see better utilization levels. But largely it is just lithium price corrections which are giving you percentage improvement in the margins.

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Moderator: Next question is from the Arun from Avendus Spark. Please go ahead.

Arun: Dr. Harin, the first question is on the working capital performance during this first half. We have seen moderate improvement in the working capital. Can you just indicate, is it seasonal or is it a permanent reduction? How we can expect this working capital to further reduce over the next couple of quarters?

Dr. Harin Kanani: We had already targeted that by the next financial year we wanted to reach around 130 - 140 days of net working capital on a net sales days basis. And what we are doing right now is, we said, we had done maximum investment that was needed for working capital, in terms of inventory, in terms of debtors and we needed to work very hard to improve upon that. So, I think that trend has already started, and we would like to maintain that. Again, every quarter because we are still ramping up in a very variable kind of scenario's, we are seeing improvement in our demand especially on the pharma side and sometimes they are also coming very suddenly. So, we have to continuously keep shifting and adapting ourselves. But I think this will all stabilize and we continue to maintain what we had said that by the end of the next financial year when we have full utilization levels, we have Rs. 1,000 crore, our working capital will stabilize and go back to historical Rs. 120 - Rs. 140 crore and beyond that Rs. 1,000 crore when we go is when you will start seeing improvement over that because then we will have more mature molecules or CSM business will have stabilized. So, we can expect working capital improvement beyond that in FY26/FY27.

Arun: When we ramp up battery chemicals, should we expect a similar kind of working capital days from that segment so that means that will drag certain working capital on an overall basis?

Dr. Harin Kanani: Right from the beginning, what we expect that battery business is a very different business in the sense that we have fewer customers, we have fewer products, we have fewer raw materials, they are dedicated plants. That is where we can basically engage in working capital very well. The only variable there would be that some of the customers are very large and they

would want longer payment terms. But what we are hoping is that with such large customers we should be able to get factoring or invoice discounting or some kind of financial arrangement. So, again this is going to be Gopi's expertise area that we are going to depend upon. Even if our customers want a long credit, we can maintain our working capital cycle with a good financial arrangement. But at least from an inventory point of view, what we can say is that we can contribute and we can control 75 to 90 days and hopefully reach a situation where debtors and creditors basically balance each other out. Our target is a 90 days kind of working capital cycle against 120 to 140 in Neogen's base business. We target around 90 days for the battery business. Again, we are just starting with this business, but this is what we feel we can achieve.

Arun: Secondly, you said that BuLi Chemicals is already near full utilization. Any chance that with the capacities fungible with the other facilities that we have and we can make BuLi Chemicals products given that it seems to be in demand. Can we utilize some of our other facilities and manufacture BuLi Chemicals related products there or we will need to put some kind of a Brownfield expansion there?

Dr. Harin Kanani: BuLi Chem is a very dedicated and a special plant. Because of its hazardous nature, it is very unique. So, unfortunately it is not fungible. The good news, however, is that we can increase capacity at that site. We have a capacity to grow up to five times.

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We have already applied for environment clearance and have already received Centre's approval on that. Now, we are working at the state level approval and fortunately, with a very small CAPEX, 2x capacity increase, we can do because this site had maintained the same capacity over a long period of time and they had done some cycle time improvements and debottlenecking over time. So, around 50% to 100% increase in the capacity can happen as soon as we get the environment clearance and the necessary permissions for the increase. And then we would have to do a Brownfield to go from 2x to 5x. That is still a further view, but I think up to 2x that we are trying to secure and now that we have got the Center's approval, if we get the state approval, in the next three months or so, if we are able to do that, then for the next year we would have almost a 2x capacity available.

Arun: If you go up to this 2X kind of approval, would you revise your guidance of Rs. 1,000 crore revenue potential for the base business, and if yes, what would be the indicative figure for that?

Dr. Harin Kanani: For BuLi Chem, depending on the lithium price, as we had indicated, the revenue will be somewhere between Rs. 50 to Rs. 100 crore on that X capacity. 2x would also be Rs. 100 to Rs. 200 crore kind of revenue potential depending on the price of lithium. With the way the price of lithium is moving, it is going to be closer to Rs. 100 – Rs.125 even at the 2x capacity. So, it is not going to change significantly. That 1,000 at the max would change to 1,050, but with all the other things happening in the agro world, etc., I would like to keep that Rs. 50 crore as my buffer and I would like to still maintain Rs. 1,000 crore. Let us first get the environment clearance, let us see how the agro recovery is and then we will see next year if we need to revise our projection on the base business. Also, as you might have seen earlier, we had requested for merging BuLi Chemicals with Neogen Chemicals. So that applications are also going online and most likely by the end of the current financial year, we expect BuLi Chemicals to become part of Neogen, because it is similar to the base business. That is why we wanted it to be part of Neogen. Then we would have just two entities - Neogen and Neogen Ionics. Most likely in the next financial year it will become a part of our standalone results.

Arun: Final

ly, on the battery chemicals, you said in your opening remarks that a few of your customers are going to start the plant. This is in which geography? And also what kind of a battery capacity that the customer is putting up on aggregate level, how many GW hours? That will be very helpful sir.

Dr. Harin Kanani: Basically, what I meant is that the electrolyte business for India, which is basically all the battery plants which are coming up in India. As we know, Ola has already started production and they are ramping up as well as few other smaller battery makers with 100 MWh, 50 MWh, 250 MWh, they are also starting and they are ramping up and then of course Exide and Amara Raja would be targeted at some sort of start and a ramp up in the next financial year. So, what I meant was our electrolyte ramp up is basically based upon Ola, Exide, Amara Raja and other battery makers who are planning how that capacity is coming on line. So, that is mentioned. The salt business that we are doing internationally, the capacities are existing there. The capacities are running together into hundreds of GWh kind of levels. The only question is that of shifting from Chinese source to Neogen as a source. So, that is the shift which needs to happen. As our capacities get approved like I mentioned in my call, some of the basic infrastructure, the quality system, these things are approved, but in

battery there is a more rigorous system where once your process is completely optimized, that is when they will come and do an audit where it is a parallel audit. You are doing all the production in front of them. That rigorous audit is something which is pending for a few of the clients and once that happens, then the volumes will start ramping up there.

Arun: And post rigorous audit that you are talking about, after that, again, there will be a few more months for us to get the first contract or is it like...how does this process happen?

Dr. Harin Kanani: The contracts are already in place with some of them. What is remaining is the PO. So, the contract is there, the pricing, the volume, everything is decided. Once you clear all those audits then the POs start flowing and that is when you start doing the shipment. So, from the audits to shipping, shipping time will not be too long.

Moderator: Next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: First, on your comment on the plant inspection that we have been seeing. One, is it for the electrolyte from the domestic players or largely from the salt manufacturers globally wherein you were commenting on the extended rigorous audit?

Dr. Harin Kanani: Each company has its own, but yes, both have the same procedures.

Ankur Periwal: But from procedural or ramp up perspective, are we closer to seeing a ramp up or product approvals on the salt side and how has been your status of discussion with the domestic players for electrolytes in terms of plant approval and other things?

Dr. Harin Kanani: I think electrolyte side also, with the four customers which we mentioned we work with, some of them have already taken trials, they have used our electrolyte in their cell manufacturing facility, and some have seen satisfactory performance. Now they are ready to place bigger volume orders. So, there the main bottleneck is all the approvals, whatever they need from our side, we are more or less ready. There are some comments or improvements which the customers have requested, which we have overcome and we are doing the improvement like we do in any pharma audit

also. So, it is a very similar level. There, the main challenge is that they are also increasing their cell-manufacturing capacity because all the smaller ones, the bigger ones, they are just right now in the trial production phase. So, as their trial production becomes regular production, our electrolyte volumes go higher.

Ankur Periwal: And you also c

ommented on the new recipes and the new learnings that you had while working on these trials with the customers. What exactly, if you can substantiate that? Are these learnings more on the larger number of recipes that you could have done or is it a new salt or more efficiencies? Your thoughts?

Dr. Harin Kanani: Basically, earlier we were focusing on how we make electrolyte of the best quality, so the process of manufacturing. Now, as we work with more and more customers with different kinds of cell designs, we are getting a deeper understanding into that (as to) for a certain cell design which electrolyte becomes better. Again, here also we have a collaboration with Mitsubishi. When a customer wants, we can bring in Mitsubishi also together and then Mitsubishi, Neogen and the customer together help design the electrolyte for the customer. Some of the customers have already completed their first-generation cells and now they are working on the second generation and the third generation cells. So, that is where we are now being a part, right from the beginning to help them design. What the electrolyte should look like which will give them the best performance especially in India kind of a scenario where

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India is a high temperature region. So, some of the electrolyte designs have to be optimized for India and in the beginning, everybody is basically trying to make whatever their technology partners were making, except for a few who design their own. But like in the next generation, people want to design their own unique electrolytes, and we are basically partnering with them to basically help them develop those electrolytes. So, that is the learning that you had. If you have this kind of a cathode, you have this kind of a binder which is the additive which works better or does not, if you want to improve charging what kind of electrolyte additive can help you, but it will create the other problem. So, depending on what the customer wants, how we can optimize. And again, we also have Mitsubishi help here. So, with some of the customers we are working together and designing together these electrolytes.

Ankur Periwal: On CSM side, you did mention a target of 20% for the next year and we are already at probably 15-17%. Given that agrochemical is still sort of slightly subdued here and you mentioned you have got good traction from other sectors. Can this growth be slightly more front-ended or maybe the ramp up in this business could be sharper? And secondly from the capacity perspective, where are we in terms of ramping up this business to may not be 120, maybe even higher number from a growth perspective?

Dr. Harin Kanani: Sure. When I am 17-18%, that is like a run rate of around Rs. 100 – Rs. 200 crore. So, when we are at 1,000, first of all that becomes 250 and that itself is like a 25% growth. You still have to grow this business by 25% and then also another to catch up on that 2% to 5%, you would need still another 30-35% increase over what we are doing today just to meet our target next financial year. I think we have already a capacity for that and I think we have shared earlier that we feel once we reach the full utilization level, with some debottlenecking, this site itself, our existing capacities can give us still 15-20% more with better utilization of all the assets. So, we might have to do some debottlenecking CAPEX kind of thing, but we feel FY26, we can be at that Rs. 1,000 crore and FY27, the base business can bring somewhere around Rs. 1,150 – Rs. 1,200 crore kind of revenue. We will give you a more exact number next year. But this is what we can target and we will see.

Right now the way I am seeing it, till we see the light at how the advanced intermediates in the generics space plays out, we want to just basically say okay, our better CSM numbers are just a backup for advanced intermediates, because from chemistry point of view those advanced in

termediates which are the multi-stage chemistry and the CSM which is also a multi-stage chemistry that basically is fungible like reactive capacities is what we are basically using there. So, we will use it as a backup. But what I feel is that with the slowness of the agro and for us also to understand the semiconductor and utilize our capacities fully, if we are in a position where we have too much of capacity, too much of demand and less capacity, we would also like to optimize our product mix slightly for better margin or better working capital cycle.

So up to FY27 unless something dramatic comes, my view is that I want to focus

more on stabilizing this business, making it more efficient from margins, working capital, product mix points of view, and then FY28-29 is where all the work which we have done on this, will basically allow us to the kind of rapid growth we are seeing in battery. I don't know the same level, but like the long-term view of the CSM to have single customer who can give you significant hundreds of crores kind of revenue of

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business. So that is something I am looking at the ramp up happening from FY28 onwards. And by that time we feel battery also would have stabilized. So, from bandwidth point of view, from a cash allocation point of view, we see the rapid growth in the battery in FY25-26-27 and this is the time when we stabilize our base business like BuLi Chemicals gets completely utilized even hopefully the 2x capacity, the synergies of that start playing out and based on that with the agro, pharma and the other industries like semiconductors, aroma, CSM will see where we are adding most value and then we use that particular customer or that particular industry as a focus for further growth in the base business beyond FY27.

Ankur Periwal: Just if you could remind us, FY26 our target was 20% CSM share. What was the same number for FY27?

Dr. Harin Kanani: FY27 we have not. Like I said, we have so far said only Rs. 1,000 crore for FY26. For FY27, it is just bottlenecking to becoming Rs. 1,150 to Rs. 1,200 crore using the same capacity is what we are targeting. Right now, let us just keep 20% as the target. The main CSM push or significant move will happen when we set up specific plan for a specific molecule. Once your single molecule is Rs. 150 crore - Rs. 200 crore, you can have a plant, one single plant which is doing only one or two molecules kind of an MPV. Right now, our one single plant is doing 30 products, 40 products. So, we want to basically move on to Rs.100 crore plus kind of molecules beyond FY27. So, that is what will basically drive the CSM growth beyond that.

Ankur Periwal: Just two book-keeping questions, if I may. One is on the pricing of lithium and bromine. While year-on-year, obviously there is a decline, even on a QoQ front, there is a further dip, or are prices largely stable now?

Dr. Harin Kanani: Mostly stable. I think bromine has started firming up a bit. Lithium is, I would say (has been moving) within that one month, half a dollar, less half one dollar, one dollar more. Just in that noise level, but no strategic shift or change in lithium. What we know is, this is historically low. A lot of lithium miners are consolidating or deciding their strategies going forward. What we are seeing is worldwide overall GwH, even after some of the slowdowns and some of the closures, are still growing significantly. So, I would say, again you will see some lithium price correction in the next two financial years.

Ankur Periwal: Lastly, for this quarter in our standalone financials, the other overheads have sort of dipped by 10% odd. We were largely stable in that range for the last probably three quarters, but this quarter there is a dip. Anything specific to read in there?

Dr. Harin Kanani: I am sorry I have not looked very closely into that. But other than some product mix, I cannot think of any specific reason for

that. Let me just look at a little bit more

closely and maybe in future calls, if there is a specific reason beyond... sometimes there are some provisions which you had kept, and those provisions are adjusted or some reasons beyond that. If there is something, I will let you know. But otherwise most likely in my view, it is just some of the provisions which we had kept were on a higher side, which were corrected or some of the expenses between Neogen Chemicals, Neogen Ionics and BuLi Chemicals are now a little bit more accurately bifurcated because they have some common facilities. So, other than that, there should not be any major reason.

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Moderator: Next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Sir, I just wanted to understand, I mean, we did talk about the business, but I mean really, what has been happening here is the pricing side of it still remains weak. But considering that also just wanted to understand, I mean I understand that there has been some discussion, but we are still sticking to that base business guidance of around Rs. 9.5 to Rs.10 billion by FY26?

Dr. Harin Kanani: Yes, Rs. 950 to Rs.1000 crore. We are sticking to that.

Jason Soans: In terms of the realizations, we have spoken about the realization for salts to be around \$28 to \$35 per Kg and electrolytes around \$8 to \$9. I understand that coming from a non-Chinese perspective, always have negotiation going on compared to the

Chinese pricing and so on. Just wanted to understand, I mean of course also looking at the exports market, electrolytes, domestic, so how are the negotiations going on in terms of benchmarks for Chinese pricing? Just wanted to understand that, because clearly that will move the needle a lot. So, just wanted to understand how are those negotiations playing out?

Dr. Harin Kanani: First of all, the negotiations when we are having with the customer, we are basically saying, look, lithium prices are going to fluctuate and that is something which we cannot control. So, the numbers you said were like closer to stable lithium price what we are expecting between \$20 to \$25. Right now, that price is almost less than half of that. On top of that, you have other raw materials which also contribute in electrolyte, which are at their historical low. So, the topline remains maybe numbers would change, but both me and my customer are more concerned with what is Neogen's cost of production, our contribution, our ROCE. So, I am basically protecting my ROCE and the customer is also more concerned with Neogen's overall operating costs. So, negotiations are around that. In fact, the customers work in two ways. If they are talking to four guys they say okay, this is the lithium price, what would be your price. You tell me that. Or they would say okay, other than lithium, what is your contribution? And the feedback that you constantly received is that outside China, either they say you are the lowest or you are the second lowest. So, that is why all the customers keep talking to us and even the contracts that we have already entered into.

So, as I explained in some of my previous answers, we already have contracts in place. Once the approvals come through, based on that contracts, the POs will start flowing. So, in this also the margins have been optimized and even I said some of the recent customer visits also I checked that okay, this was something six months ago, is that still the case. So yes, still, that is the case where they feel that for the salts where we had entered into contract, we are still the number one or number two lowest outside of China. So, that is what basically they are focusing on. With Indian customers, we have not yet entered into long term contract. But for a reference check, customers can tell us, okay, this is the price in China, but electrolyte is something that everybody acknowledges, that ideally you

want to make it locally.

There are a few companies in the world who have tried internationally for smaller volumes, but when you get into larger volume, it is just too complicated. So, basically, they are looking and we being very fair that we do not want to take a very extraordinary margin just because they want local, etc., because we know ultimately they also have to compete in the international market with the Chinese cell prices.

So, we have been very fair, and we are basically targeting to protect our 20% ROCE,

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which we feel something like the risk that we are taking is what we deserve. So far, again, we have not entered into any long-term contracts, but the smaller volume businesses, we are trying to close at around this price. But again, we will have a better answer on this once we enter into any long-term contracts for the electrolyte, which is so far not there. But so far, we have not received a very strong pushback on when we have given our conversion price at a 20% ROCE.

Jason Soans : But clearly there will be probably a downside to those realizations which I mentioned.

Dr. Harin Kanani: Yes, but again by the time the plant starts, if lithium is back, it could be higher also, it could be lower also, right? The selling revenue will depend upon input cost, but the ROCE that we are targeting or the absolute EBITDA that we are targeting, that remains unaffected.

Jason Soans: And I just wanted to also understand, you did mention that battery chemicals revenue for FY25, you expected around Rs. 50 crore to Rs. 75 crore. For FY26 would you want to probably give any guidance as such, for battery chemicals revenue?

Dr. Harin Kanani: Yes. We had shared in the past that the capacity that the 400 ton and 2000 metric ton which we feel will be fully approved in the current financial year. So that itself can give us around Rs. 250 crore of revenue. So, that was the bare minimum with which we would start with. On top of that we are increasing our salt capacity from 400 MT to 2,500 MT. So, those capacities will come online and in the second-half those capacity also will get approved. So, we would have something additional coming from there and our Pakhajan unit also is expected to come in the second-half of next financial year. So, in FY26, we said Rs. 250 crore is base plus additional revenue from the increased capacity and plus Pakhajan maybe last quarter depending on how long the trials and approvals happen. So, that is why we have said it could be somewhere around Rs. 400 crore to Rs. 500 crore. A more precise number we can give, but it will be at least that much is what we feel. And then once we have more

visibility on these approvals of the additional facility as well as more visibility on electrolyte ramp up in India is when we can give you more precise number if it can be more. But my sense is at least Rs. 400 crore to Rs. 500 crore and then maybe more.

Jason Soans : Sir just wanted to understand one last thing. We were looking into Rs. 15 billion CAPEX and last time you said for the debt component you have tied up around I think Rs. 9 billion with SBI and the remaining Rs. 1.52 billion was under discussion. So, has it been tied up or we are still under discussion? Could you give an update on the debt status, basically the loan process.

Dr. Harin Kanani: Yes. So, what we need for Pakhajan is fully tied up and on top of that, what we need for Dahej where we are increasing the capacity. Partially that has already been tied up and remaining is in the final stages. Let us say another close to Rs. 1 billion is almost tied up and remaining is in the final stages of discussion. We had to also undergo rating independently for Neogen Ionics, so that process is getting completed and post that in this quarter we are expecting to close that. But we are not stopping work for that. We are also putting our own money to make sure that there is no delay there. The w

ork will continue there.

Moderator: Thank you. The next question is from the line of Rohit Nagaraj from Centrum Broking Limited. Please go ahead.

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Rohit Nagaraj: So, first question, probably a naive question. In terms of the electrolyte recipes that we are giving to the battery manufacturers. Generally, the battery manufacturer will have a single vendor for such recipes or there will be multiple vendors and if there are multiple vendors then would it be generally that the top vendor will get maximum share, and it goes down reducing for the second or third vendor?

Dr. Harin Kanani: No. Generally what happens is in case of battery historically what we have seen is many battery companies like to work with a single vendor. Some battery companies work with two vendors. But when they work with two vendors, what they do is that if they have 4 different cell types one vendor is giving them two or three cell type and another vendor is giving them one cell type. So, usually they divide it on a cell type basis. Normally it is very rare that for the same cell as I am just saying hypothetically that if there is electrolyte maker which is making...GM has three car models and Ford has 3. So, he is making electrolytes or batteries for them. So, he is making six different kinds of batteries. And in that six different kind of battery, let us say in three or four batteries he is using one particular electrolyte maker and for another two, he might use another. So, when they try to work with multiple, they generally try to work that for one single model design, they would basically work with one electrolyte maker. Then maybe they have a second-generation cell or third-generation, or a different application cell, they might use a second. But normally for one specific, they do not usually do multiple vendors.

Rohit Nagaraj: So, just an allied question to that. When we are approaching the battery manufacturers domestically or internationally, they are probably giving us the opportunity for the newly developed batteries or the existing ones. I mean particularly in case of say international markets where they already have the manufacturing in place.

Dr. Harin Kanani: Electrolyte is only domestic market. So, Neogen's focus for electrolyte is only domestic, whereas electrolyte salt is international. The recipes come into play only for the electrolyte which we are offering in the Indian market. And as you know in Indian market, almost everybody has their own new design, either their own design cells or some technology collaboration through which they will be getting. So, that is basically the India case. So, it is broadly for the new cell production which they are starting.

Rohit Nagaraj: And second, again coming back to lithium prices and bromine prices. Given that the pricing remains at the same level and even if there is fluctuation, you mentioned from the battery perspective our per kg margins or the ROCE threshold will not change. Will it be the same situation even for the base business because we have seen that in certain time zone the prices are up or down, there is an impact on absolute EBITDA or the EBITDA margins.

Dr. Harin Kanani: No. Historically when lithium prices went crazy high and then crazy low, our absolute EBITDA was more or less protected except for one or two quarters. The percentage looked lower when lithium prices were very high, but from absolute EBITDA point of view, I do not think we had an issue. Sometimes we had an issue when there was very strong price correction, especially in the case of lithium there was one quarter where there was a very strong price reduction and customers were holding back and

then ultimately specially when we had taken over BuLi Chemicals, and we had imported expecting a very high demand with a new business and then it sharply corrected. So, that is where we had to take an inventory hit. But otherwise in lithium, Page 15 of

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we are very mindful that we are controlling...have a back-to-back POs so that we can maintain absolute margins. Historically other than BuLi Chemicals, we have not seen inventory hit which we had to take, and we were able to protect absolute EBITDA. Of course, a little bit what we have pressure on absolute EBITDA is in our advanced intermediates and bromine derivatives with Chinese competition. They are giving very low price so in the international business also, sometimes we have to correct these prices to match where we have a Chinese competition and in domestic also advanced intermediates, we have to match that. And that is what we are basically doing over long term - looking at how it plays out. Otherwise, as we said, once we reach Rs. 1,000 crore full utilization, when we are increasing capacity, we can also try to optimize the product mix and the business which have more stable margins or more predictable margins and better working capital cycles.

Rohit Nagaraj: Just last one clarification on the guidance. FY26 base business guidance, Rs. 950 crore to Rs. 1,000 crore. For the Battery Materials, Rs. 400 crore to Rs. 500 crore. Does it include BuLi Chemicals as well? And if you can just spell out for FY27 also, what could be the guidance for base as well as the battery materials?

Dr. Harin Kanani: Rs. 950 crore to Rs.1,000 crore includes BuLi Chem. Battery chemical as I said, Rs. 400 crore to Rs. 500 crore is a possibility. I would not call it guidance. Give us some more time for that to happen. But we see a very strong possibility of at least doing that and better and FY27, yes, our target would be to look at if we can achieve revenue of around Rs. 1,150 to Rs. 1,200 crore in the base business. And like when I say base business, BuLi Chem will include like I said, it is going to merge and become a part of Neogen. And as a business, I see it similar to the organic business that we have in Neogen. So, it will be that and that would be for FY27. And again, battery with the variability that you have, it is too early to tell you or give guidance for FY27. But it should be above Rs. 1,000 crore though how much above is something we will have to figure out depending on how the electrolyte business is developing and how the salt market is playing out. This is just a view, but a clearer guidance we can give you only in the next financial year.

Moderator: Thank you very much, ladies and gentlemen. We will take the last question from the line of Pallavi Deshpande from Sameeksha Capital. Please go ahead.

Pallavi Deshpande: In your earlier remarks, you alluded to the Indian player being competitive globally and the cell manufacturing part and that you want to support them by charging just a normal ROCE 20%. How long do you see for them to be globally competitive? Can they really be globally competitive, given that CATL is working on has a 20,000 R&D team and they are looking at using AI to get the next generation of battery materials?

Dr. Harin Kanani: Yes. There are two ways, either they get knowledge by partnership or they are generating their own knowledge. And frankly speaking, what I see is Indian battery people last 2-3 years were catching up. Once we catch up then we can really innovate. Whatever I have worked with, I am very happy and I even feel proud that some of the battery development and the expertise that we have in India is really good. Some of the Indians are also international and some of them are even willing to come back to India at even very senior levels to help India basically catch up on the world. So, after we have caught up, we will innovate. Also, in case of India most of the companies if you see also have a very strong captive consumption. For example, companies like Ola, they have their own captive consumption or Tata who has announced they will have their own captive consumption. I personally feel that Page 16 of 17

there

is going to be...and similar like Lucas TVS or JSW. So, many of these are not trying to sell the batteries and make majority of the revenue by competing internationally. There will be localization and here the performance also will matter a lot.

We can also improve performance specific to India and nobody is going to work specific to India other than Indians, right? So, that is where what we are working is that, hey! India has high temperature, which cell performance will work best in India. So, let us basically try and develop that and then once you have the performance, then you create more value out of it. So, it is not just the cost of manufacturing or the

scale. So, I think yes, India can be competitive. In fact, some of the people I have worked with in Japan, many of them feel that outside China, the best potential place to make cells globally on a long-term basis is India because like China, we have the local demand also, which can be significantly high. We have the skill set, we have the manpower, we have the expertise, and we have the land. Many of us doubt that can India make cells competitive? But the international people are looking at India as the next best base to manufacture cells long term once we have caught up with the world and once, we have the initial start. So, this is the view, and I strongly believe that.

Of course, we are not just part of India, so we are also taking care of international requirements. We are also into international supply chain as well as Indian supply chain. That also gives us a lot of good insights. Just recently in our last Board Presentation I was summarizing companies with which Neogen is working. So, we have worked with now in different forms more than 30-35 companies in India which have either plan to make cells or are planning to make cells at different scales and we have worked with more than 40-45 companies internationally in different aspects of battery material supply chain. So, I think last 4-5 years, being one of the early adopters in India has given us the option to both play very strongly with Indian customers who are interested as well as international customers. Now whatever work we have done in the last 2-3 years, we have to basically achieve the results from that in the coming three to five years. And that is just the beginning. What we are talking 3-5 years, 30 GW hour is what we are currently targeting in electrolyte. That is peanuts of 3,000 GW hour that the world is going to be. So, I think there is still a lot of room for growth for India as well as companies which are in the battery material supply chain.

Pallavi Deshpande: And the second was on this the partnership because a lot of them are working with partners. So, Ola here is going on its own. The Mitsubishi partnership does that benefit Mitsubishi or how are they managing, I just need your thoughts there.

Dr. Harin Kanani: I didn't get your question clearly

Pallavi Deshpande: How fair a chance to compete with somebody like an Exide and Hyundai partnership and how does it play overall? And like you mentioned, the capacity will be such that they will need to export around 50% is what they can use themselves, given the size of capacities that they are putting up. So, they will have to compete globally very soon, I guess we just wanted to understand your thoughts around with the competitive dynamics in India.

Dr. Harin Kanani: I think in your question, there are two parts. One is getting technology from outside better or making your own technology? Both have their pluses and minuses. When you get technology from outside, you are getting many years of their experience.

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When you do your own, you create your knowledge. And I think most of the Indian companies which basically tied up with outside, they have also developed their own R&D. So, even if you look at Neogen, I mean we knew 85-90% of the stuff but we tied up with Mitsubish

i to get the remaining 15% catch up so that we have the most efficient technology available with us. So, that is basically the combination but if you look at the scale of investment with somebody like Ola did for R&D, it is much higher than as a percentage of revenue or as an absolute number also. So, I think those are both approaches which can basically work together, but ultimately we will have to catch up with the world.

There are different ways of catching up with the world. One is to spend a lot of money on R&D on your own. Second is to tie up with someone and do your own R&D and then over a period of time, you internalize that knowledge, then you build on that. So, I think we have all taken, depending on the time at which we started, different approaches to gain knowledge and catch up and then build on that.

And again, when you look at internationally, one fact remains that the whole world is going to say, hey! the whole world cannot depend on China for cells. So, just as what we said for electrolytes salt, they are also going to say outside China, who is the person who can give me the lowest cost cells. So, the main question is, one you can say can you compete against China. And the second question again outside China, can you be the best source and then over a period of time what is the gap between China and you. Is it a 10% gap, is it 25% gap, it is 50% gap? Even today in the US, there are 25% duties or if we see even in Europe in EVs, I think 40%, 50% kind of duties. So, if your gap is within that, then you have a right to play and I do not think we will be so bad because again lithium prices are almost similar for a Chinese company or an Indian company. Nickel, cobalt, whatever materials costs are quite

similar. So, as we grow our scale becomes 10s of giga and 100s of giga will narrow the gap with the Chinese quite a bit where India will be seen as a viable option.

Moderator: Thank you very much, ladies and gentlemen. We will take that as the last question.

I will now hand the conference over to the management for closing comments.

Dr. Harin Kanani: Thank you everyone for joining the call. I hope we were able to address your queries.

If you have any further questions, please feel free to reach out to our Investor Relations team, and we will address them. Thank you once again and we look forward to connecting with you again in the next quarter.

Moderator: Thank you very much. On behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. Although an effort has been made to ensure a high level of accuracy, the Company or the sender takes no responsibility for such errors.

Call: Feb 2025

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February 9, 2025
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Scrip Code No: 542665 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol: NEOGEN

Sub.: Q3FY25 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Conference Call Transcript of the Company's Q3FY25 Earnings Conference Call held on February 3, 2025.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/>.

Kindly take the same on your record.

Thanking you,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q3 FY25 Earnings Conference Call Transcript
February 03, 2025

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Limited's Q3 FY25 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you.

Nishid Solanki: Thank you. Good evening everyone, and welcome to Neogen Chemicals' Q3 FY25 Earnings Conference Call for analysts and investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director,

Mr. Anurag Surana – Director and Mr. Gopikrishnan Sarathy – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A where the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward-looking statements. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q3 FY25 earnings presentation, which has been uploaded on the stock exchange websites. I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you, Dr. Kanani.

Dr. Harin Kanani: Thank you, Nishid. Good evening everyone, and welcome to our Earnings Call for Q3. Before I commence, I would like to wish all of you a very Happy New Year 2025. I hope you have had an opportunity to review our Quarterly Results Presentation. As always, I will start by providing an overview of our performance and strategic direction, followed by our CFO, Mr. Gopikrishnan, who will detail the financial results.

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We have delivered an impressive performance in the period under review with 22% growth in revenue and 71% improvement in EBITDA. This performance is attributed to the hard work and dedication of the entire team, as well as the effectiveness of our strategic initiatives. It came on the back of some challenges which we had in the previous year in the same quarter. The key drivers of this year's growth are strong ramp up in BuLi Chem and sustained volume gains in our base business, both in organic products as well as in inorganic products. Notably, higher top line was achieved despite the depressed pricing environment and ongoing global headwinds, demonstrating our ability to effectively navigate market and fluctuations.

The robust recovery was also fuelled by new product launches and a focus pursuit of export opportunities. This success underscores our commitment to innovation and expanding our global footprint. Underlining our business model's responsiveness, we have strategically adopted to the persistent slowdown in agrochemicals by proactively shifting our focus to other end use sectors like semiconductors, flavours and fragrance, select industrial custom synthesis manufacturing opportunities, diversifying revenue streams and capitalising on emerging market trends.

Now, before providing an update on the expansion initiative, let me share some important developments:

■ Honourable National Company Law Tribunal has approved the amalgamation of BuLi Chemicals India Private Limited with Neogen Chemicals. With this, BuLi Chemicals stands merged with Neogen Chemicals effective 31st January 2025. Therefore, the standalone results you see include BuLi Chem. This is expected to streamline operations, reduce cost and enhance Neogen's market position in pharma and agrochemicals.

■ BuLi Chem saw significant progress this quarter. It broadened its product offerings with introduction of new lithium products, further enhancing its profile in the market. In a key strategic move, we expanded our reach by commencing exports to EU, Korea and Japan, opening new avenues for growth. Adding to this positive momentum, BuLi Chem received EC approval for its brownfield expansion, paving the way for increased production capacity and further opportunities. These of course, will happen after we receive final clearances from the regulatory authority.

I will now provide an update on the expansion initiatives:

- New capacity of 400 metric tonnes per annum of lithium electrolyte salts and additives at our Dahej and 2,000 metric tonnes of electrolyte at Dahej;
 - Trial supplies and initial approved materials have been shipped to customers.
- A phased commissioning strategy is underway to meet India's growing battery materials' demand, aligned with incoming battery capacities in India.

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- The Indian ACC battery manufacturing ecosystem is gaining momentum, with one major manufacturer already in trial production at a giga scale and several other expected to commence operation at a giga scale within next two years. There are also several small Megawatt hour level capacities which have started and Neogen has actively started working with them on approvals. This growth will drive demand for locally sourced electrolyte and lithium salts.

- In line with this, we are discussing and establishing long-term partnership with battery manufacturers for electrolyte supply. We have also submitted our samples for electrolyte salts to our international customers. We have submitted the data based on our production and now we are awaiting their final approval for the audit, after which we can commence international salt sales on a more active basis.

Update on the Greenfield battery materials facility using MUIS technology:

- This project is rapidly advancing, having achieved full financial closure. Civil work is progressing quickly with 70% of the civil work and design work completed. Modul

ar plant development is underway at our international partner. And equipment assembly and installation is in progress. Key equipment and machinery are expected from MEC by the second-half of calendar year 2025, after which planned installation will accelerate. So we are on track to start commercial production in FY26.

- Of the total of Rs. 1,500 crore CAPEX that we have envisaged, around Rs. 419 crore has already been deployed till Q3 FY25, and we remain on track to start commercial production here by FY26.

Looking ahead, we are particularly excited about the progress of Neogen Ionics and its lithium salts and electrolyte projects. The Indian SEZ battery manufacturing landscape is rapidly evolving, and we are also seeing strong Government support in policy to support faster adoption of EVs as well as battery storage systems. In order to boost domestic manufacturing, the recent budget has also added some more capital goods for EV manufacturing in the list of exempted capital goods, which will further speed up this process.

Similarly, the customs duty on many lithium products, on the lithium carbonate remains nil, and recycling is being encouraged. This will significantly reduce overall production cost and encourage innovation in lithium and battery value chain.

Based on our current momentum and promising outlook, we are confident in achieving our FY26 revenue guidance of Rs. 950 to Rs. 1,000 crore on standalone business and beyond FY26, the rapid scale up of both lithium salts and electrolyte will be the primary drivers of our consolidated performance.

In conclusion, Neogen Chemicals remains committed to long-term growth strategy.

We are undeterred by short-term market fluctuations and are focussed on capitalising on emerging opportunities to generate sustained value for all our stakeholders.

We are confident that our strategic investment, agile business model and dedicated team will deliver continued success in the years to come.

That concludes my opening remarks. I would now request our CFO – Mr. Gopikrishnan Sarathy to share financial highlights for the period under review.

G. Sarathy: Thank you, Dr. Harin Kanani. Good evening everyone, and welcome to the Neogen Chemicals' Q3 FY25 Earnings Call. I shall now take you through the key financial highlights. Please note that these are all on a consolidated basis and analysis is based on year-on-year comparison.

We are pleased to report a strong recovery in revenue, reaching Rs. 201 crore, marking a 22% growth. This was boosted by volume growth in base business and healthy contribution from BuLi Chem, which is now a part of the Neogen Chemicals standalone.

Organic revenue for the quarter stood at Rs. 177 crore, reflecting an increase of 36%, while inorganic revenue witnessed a 29% decline amounting to Rs. 24 crore. Both bromine and lithium raw material prices experienced a sharp decline during the quarter on a year-on-year basis. Adjusting for this fall, organic revenue would have been higher by Rs. 34 crore in Q3 FY25, while inorganic revenue would have been higher by Rs.13 crore during the same period.

EBITDA grew significantly by 71%, reaching Rs. 34.6 crore. This was driven by improved plant utilisation, operational efficiency and lower employee cost. Despite pricing pressure, the consolidated margin remained strong at 17.2%.

Our Profit After Tax came in at Rs. 10 crore. This was steered by strong operational results coupled with favourable base effect due to one-time expenses recognised in Q3 of previous year.

The ongoing CAPEX in Neogen Ionics led to increased depreciation and higher interest expenses on a consolidated basis.

The domestic to export revenue mix for the quarter stood at 65% to 35%.

This concludes my initial remarks. I will now request the moderator to open the forum for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the Q&A session. We will t

ake our first

question from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath: Good evening, Dr. Harin. Thanks for the opportunity. So, Dr. Harin, you mentioned in your opening remarks that one of the customers is in the trial period of manufacturing electrolyte. So, without naming the customer for salt, can you also give the status of construction of other key potential customers' plants and what stage of construction or near construction and what is our state of qualification with each of these customers?

Dr. Harin Kanani: Sure. One of the customers has started manufacturing in their giga factory. And in parallel, the second customer is also likely to start sometime in 2025. There are at

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least two more customers who are likely to start by 2026, and another two by the end of 2026/early 2027.

So, if we think of the end of 2026 kind of scenario, we expect at least 5 giga factories; the capacities they are targetting is between 5 giga to 30 giga range, and the fifth one would perhaps be starting by 2027.

Now these are giga scale kind of customers. On top of that, there are smaller companies which currently have planned like 100 mega or 1 giga kind of an ultimate because these are other capacities, such as, for mobile phones, laptops, some drones, and some very specific lithium and battery applications, more niche applications which these guys are targetting. So, these customers also remain in contact with us and many of these customers have just started consuming.

Now for some of the customers, one challenge which they are facing is that they got technology from an international partner, and some of them don't have the electrolyte recipes with them. So, you know, at least their initial demand, unfortunately they are forced to buy from the international supplier in very small quantities, but they are actively looking (for alternatives)... they are facing a lot of hurdles - many times the material comes but if they are not able to use it quickly, then it degrades. This creates issues in their performance. We are right now working very actively with them to help them give an alternate electrolyte composition which is performing, at least in our test, similar or better (than the material they are currently using), so that they can switch over to Neogen. So, we feel gradually this switchover should start happening, and these smaller capacity customers will be permanent customers for our 2,000 KTA production in Dahej and the giga customers when they begin, when they require few 100 metric tonnes, few 500 metric tonnes per annum, in the beginning when they are at 1 giga or so, they will start with our Dahej and as they go to 4 giga, 5 giga, they will move to our Pakhajan facility. This is how we are looking at it.

So, as the trial production gets over, may be towards the end of Q3 and early next financial year Q1, the electrolyte volume once the giga facility starts, minimum it requires like 500 to 1,000 metric tonne per annum, so one customer itself can fill 25 to 50% of our capacity. Once that happens, we will start seeing a big jump and each customer starting the factory will give us one additional bump in our sales volume.

So, I think the way we are right now, just when these first 2 customers, the giga customers who are starting this year, they will be ready for a bigger volume beginning of calendar year 2026 and around that time, basically Q4 of next financial year, we are also targetting our Pakhajan facility to come online. So, it matches very well and the customers are also very comfortable that they know the electrolyte, they will not get stuck. So, the giga customers are happy. Wherever they need support in terms of figuring out their recipes, improving their recipes, either based on our expertise or using Mitsubishi's expertise that we are providing them. So, all

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the customers remain happy and very actively disc

uss their requirements with

Neogen.

Arun Prasath: Very helpful, Dr. Harin. Just similarly can you also help us understand about the salt customers in the export markets?

Dr. Harin Kanani: Yes. As we had said earlier, we had started the initial 200 metric tonnes per annum capacity, and in parallel 400 tonnes in which one section of that is making the intermediate and making some salts and additives on a trial basis. So, this was currently the quality which is already commissioned, and the remaining is currently getting optimised. So, the quality is also getting optimised.

Now finally we have achieved what is one of the toughest quality requirements of international customers and this data we have recently shared with our customers. They are looking at it. Once they feel that this production is stable, then they would come and do the audit and in parallel, they might do sample work from this

commercial, stable, final, optimised process.

So, once those samples get approved and we pass the audit, hopefully in the current financial year or maximum by early Q1, then they would basically start buying. Their demand is much bigger and once they approve, we can very quickly achieve full utilisation level. Therefore, we also continue to keep increasing the capacity from 400 to 2,500.

We are quite confident that majority of it will be online by June 2025 and some balance residual capacity would be ready by September 2025. We feel that the existing 400 metric tonnes, once they are optimised, once we have the customer approval, they will fully start contributing from Q1, maximum by Q2, and by Q2 next year, we would also have the remaining capacity up to 2,500 tonnes coming online in phases. So, in the second-half of it, we should have that also fully available and to support our electrolyte production in Pakhajan, additional salt capacity also, which is required to support that, that also will come online in the next financial year by Q4. So Pakhajan remains on track.

In case of Dahej, electrolyte capacities, the main challenge is that the customer demand is increasing for the electrolyte salt, we have now achieved reasonably stable production, which data we have shared. So, once we get customer approval either this quarter or next, then we will achieve full utilisation very fast.

Arun Prasath: Just one clarification, Dr. Harin. So, the export customers with whom we are engaging, one of them started their side of the plant?

Dr. Harin Kanani: Yes. These guys are already buying from China. They want to start switching from China to us.

Arun Prasath: Okay, understood. And this will be how many customers?

Dr. Harin Kanani: We just need approvals, the demand already exists.

Arun Prasath: Okay. We are talking about how many such customers, Dr. Harin?

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Dr. Harin Kanani: We have engaged with more than 20-25 customers globally, out of which four or five are active. We feel these four or five, (with whom) we have discussions or MoUs in place, can completely take our full capacity. So, we are not actively engaging (with the remaining). Our first focus is on the (active) customers. As our capacities come online and once we start regular business with them then there are other customers whom we can approach. So, currently these 4-5 customers are the ones we are working with quite actively.

Arun Prasath: Understood. And just my final question on Neogen Ionics. You talked about the formula-based pricing a couple of quarters ago on these products. Is this now fairly accepted by the customers or you are still having exposure to the spot open market?

Dr. Harin Kanani: The long-term contracts or the MoUs we have are all formula based. But, those are the customers who will, as I mentioned, once the quality approval comes, once the audit comes, that business will kick in. Till such time, we are just trying to sell in the spot market or trying to sell the intermediate. So, our sal

t as well as additive,

everything together in nine months at least we were in single digits. Now we are in double digits. So, that's good news.

Some of it is considered trial production, so will be adjusted as part of our CAPEX, but in Ionics at least we will be in double digits. Most of this is intermediate sales to our competitors in China or some not very high-quality required kind of market. The long-term formula driven market will basically kick in once those contract approvals come in place.

Arun Prasath: Correct. And in a steady state, what kind of a long-term versus spot mix that we are targetting?

Dr. Harin Kanani: Most of it will be long term because the long-term contract we have can basically take care of our entire capacity what we have planned.

Arun Prasath: Understand. Thanks for answering all the questions. I have a couple of questions more, but I will come up with the follow up. Thank you.

Dr. Harin Kanani: Thank you.

Moderator: We will take our next question from the line of Abhijit Akella from Kotak Securities. Go ahead.

Abhijit Akella: Yes. Good evening, and thank you so much. On the battery chemicals business, Dr. Harin, we previously had an expectation of doing somewhere around Rs. 50 to Rs. 75 crore of revenue this year, followed by somewhere around Rs. 450 - Rs. 500 crore next year. If you could please update us on whether you think those numbers are still on track or could there be a little bit of slippage in terms of timelines?

Dr. Harin Kanani: For the current financial year, we expect a slippage because the Indian electrolyte demand which was expected by us to pick up in the second-half is now going to

start only towards the end of the year and early next year. That was basically from whatever our battery production or the cell production which is going to happen in

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India; and on the salt side because of this delayed approval, it would be somewhere between Rs. 20 crore to Rs. 25 crore, maximum up to Rs. 30 crore for the current financial year.

The next year we are still reviewing. The upper end still remains Rs. 500 crore based on the capacity, but depending on when these approvals come in, whether we get that by the end of the current financial year or Q1 and second is how fast the electrolyte demand picks up. Depending on that, it would be somewhere in the range of Rs. 300-400 crore or Rs. 300-500 crore, which we will let you know by the next financial year, in May in the next quarter call, we will have a better visibility on that.

Abhijit Akella: Okay, got it. And just the other one was with regard to some of the financials. One was regarding the other expenses which seem to have increased quite significantly quarter-on-quarter. So, what's driving that? And if you could please also just update us on the debt position at the end of the quarter. Thank you.

Dr. Harin Kanani: Sure. I will let Gopi answer this question.

G. Sarathy: Other expenses on a quarter-on-quarter basis is on the higher side by around Rs. 7 crore. This has been largely seasonal. Even last year on a quarter-on-quarter basis, it had gone up. The main reason being one is some Diwali bonuses to the employees and also there are some major exhibitions which happened during this part of the year. These two factors, along with a few one timers, have contributed to this increase. This is something which is quite seasonal and has been there in every quarter even in the past.

Coming to the debt amount, on a standalone basis, debt has been close to Rs. 450 crore and on a consolidated basis, it is at Rs. 570 crore.

Abhijit Akella: Thank you. I will come back in the queue for more. Thanks.

G. Sarathy: Thank you.

Moderator: Thank you. Next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity, and congrats on good set of numbers. First question, Dr. Harin, is in terms of feedback

from the customers and time taken to again

rework on the recipes. Generally, how much time does it take for us to again go back to the quality that the customers are asking? And have we seen such kind of quality lapses, at least in the initial part, when we have been sampling to the customers? Thank you.

Dr. Harin Kanani: For electrolytes, we don't have any quality issues. Whatever electrolytes we have been supplied, we are doing well there. There is no challenge on the electrolyte side. Electrolyte, as you know, is basically mixing the salt along with solvents, along with additives.

What I referred to earlier was that some of the customers import the technology from a Chinese, Japanese or a Korean cell maker. Sometimes the cell makers there

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also don't know what is the recipe of electrolyte. So, till they don't know what is the recipe, we are actually helping them figure that out to find an electrolyte composition which is giving as good as what they are getting or even better. So, that is what I was referring to.

Now that process and approval depends on the customer and stringency can take any time from two-three months to even six-seven months. But so far, whenever we have submitted our electrolytes to all the customers, the quality has been good and has been well appreciated. In fact, some of them found our quality is better as compared to even some of the Korean or the Chinese electrolytes which they imported, and again they are all very keen to localise this in India, either because of their PLI benefit or it's just very difficult to import electrolyte even in small volumes internationally.

Again in electrolyte salts we have been able to achieve the quality which is required internationally. But we are trying to reach the highest quality which is required, which is the most stringent one required for some of the best customers in the world.

Now that has already been achieved. We have already shown this data to our customer and our customer is currently evaluating it. Based on their evaluation, they will further proceed. This was something which was expected but it was something which took a little bit longer for us to achieve as compared to this is the first time we were doing it and there were some learnings. We have now

incorporated those and now we are able to achieve the quality which is required. We are now waiting for the final customer go ahead where the customer will come to evaluate the final modified (process) because any change has to be validated by them. So, the final modified process or the improved process, they will come and validate, and then the commercial field can start.

Rohit Nagraj: This is helpful. The second question is in terms of the overall capacity. So, the 400 MTPA electrolyte salt additives plus 2,000 metric tonnes of electrolyte, how much of this capacity will be utilised for domestic market and how much of this capacity is likely to be for the exports market? And I understand that for MUIS electrolyte the entire capacity is supposed to be for domestic market because I think the electrolyte does not make sense to export to any other geographies because of the composition. Thank you.

Dr. Harin Kanani: Yes, you are absolutely right. The electrolyte capacity of 2,000 MTPA and 30,000 MTPA is largely targetted for the domestic market. May be some small quantity in geographies where there is no niche electrolyte producer where, small niche guys don't have an option, that's where we might export a little bit, but I would say 95% would be domestic; only 5%, if at all, would be exports in case of electrolyte. When it comes to electrolyte salt, look, we are the electrolyte maker. So, we will be the internal consumers, and rest of all will be exports for the international market.

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So, we are having 400 now, which is going to become 2,500 by next financial year, and then it is going to become 5,500 by the e

nd of next financial year.

So, all of this, except for whatever is the electrolyte internal consumption will be sold in the international market and between 4-5 customers which we have mentioned, they can pick up this entire quantity. So, their consumption is there for this entire quantity. It will be mostly exports. And then as our electrolyte demand in India continues, most likely in the future, we will have to add capacity both, you know, to keep meeting the increasing demand of the international customers as well as our increasing internal consumption.

Rohit Nagraj: Yes, this is helpful. Thanks a lot, and all the best.

Dr. Harin Kanani: Okay, thank you.

Moderator: Thank you. We will take our next question from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes, sir, thanks for taking my question. Sir, my first question is, sometime back, you did mention that steady-state realisations for electrolytes, I believe, was around \$8 to \$9 per kg and lithium salts from \$28 to \$35 per kg. I understand that, but you know what's happened in the interim is battery grade lithium carbonate has witnessed a steep decline. It's gone from around \$15,000 per tonne to around \$10,500 per tonne around that, and that's in that range itself. So, just wanted to know with the raw material price seeing such a sharp decline, what would the steady-state realisations for both these products be?

Dr. Harin Kanani: I still believe that, when I recently spoke to lithium companies, they expect, the stable lithium price to be between \$15 to 25 per kg. what you mean as a steady-state. The current price is not sustainable because majority of the new miners are not able to make money. So, if the situation doesn't change, you know, they will stop production and then you will have another supply side shock.

So, steady-state, people expect to be between \$15 to \$25, \$20 being the average lithium carbonate or lithium hydroxide price, and the range is what we had given is keeping in mind \$15 to \$25 per kg lithium carbonate price range. So, all the guidance we had given, we had given based on steady-state, not based on large numbers. So, they continue.

And yes, if the price remains what it is today, then, may be electrolyte could be cheaper by about \$1/\$1.5 per kg. Depending on, not only lithium, but other salt and solvent and other additives demand, prices are also lower. So, depending on that, we again don't worry too much about that because we are more focussed on the absolute EBITDA or absolute ROCE is what we basically focus on.

So, that remains our guidance and that remains our main focus. So, depending on price fluctuation, EBITDA percentage or those numbers can change, but our CAPEX doesn't change because of that except slight working capital adjustment. But otherwise majority of the investment remains the same and therefore the absolute EBITDA or margin that we are targetting also remains the same.

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Jason Soans: Yes, sure. Actually, my question was just emanating from the fact that, you know, if the (prices of) raw material decreases, then the absolute EBITDA also...if the realisation comes down, the absolute EBITDA also goes down. That could hamper

some of the positions. But you are saying that probably you expect the lithium carbonate prices to revert back to main levels going ahead and so fair thing.

Dr. Harin Kanani: And also, the contract is such that, the raw material price increase or decrease is a pass through. So, while the percentage will change, per kg or per dollar, whatever our contribution that we are looking for, that does not change. It only changes that we have projected that when we do 30 KTA plan, what will be my operating cost, what will be my utilisation levels? So, as long as I am able to achieve those operational numbers, the absolute EBITDA will not change.

Jason Soans: Yes, sure. Okay. So, my next question is, you have again s

poken about it. I

understand that electrolytes, they need to be domestically procured as it's not feasible to transport (it) being voluminous in nature. But again, just from this perspective that, you know, raw material prices, lithium carbonate, they have seen such a sharp decline. So, do you see a significant risk from China import or predatory pricing for this - for the electrolyte?

Dr. Harin Kanani: Like I said, even some of the customers who are currently getting small volumes from China or Korea because of the reasons I explained to you earlier, they are all very actively getting, even if they are running a 10 Megawatt or a 50 Megawatt hour plant, still it's such a big headache that they are actively working with us to localise it. So, it is a big pain. Also, there are many hidden costs when you bring it and suppose if the material has gone bad, either your performance of the cell goes bad or you have to discard the electrolyte which is also not very easy to do by the way. Because of that people do want to change and so that remains a very clear view. Already China is doing predatory pricing, but when we look at our 30 KTA and we look at China, then we look at further logistic costs in bringing those containers, and sending them back. And then if you further factor in customs duties which are expected to come in beyond 2026. So, I think when you factor all of that in, most customers can clearly see value in a local supplier.

Jason Soans: Okay, sure. And finally, just wanted to ask from a related standpoint only. Now in the two wheelers and the Olas, the bikes etc., I believe this fully imported battery packs are being imported from various players like LG or Panasonic. This fully imported battery packs are being imported from China or from whichever geographies, most of them China. Could that be a risk? I mean, if fully imported battery packs continue to be imported at a cost-effective price, could that be a risk to our battery chemical business by any chance?

Dr. Harin Kanani: Just a clarification. Most of the companies like Ola etc., are not importing full battery packs. They are importing cells and the battery pack is mostly made internally. Some of them might be importing battery pack, but most of the battery packs get made in India. Only the cells get imported. In both the cases, the main issue is, would these companies directly import cells and not make it in India. There

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are two parts. One is, there is a PLI so that was the whole reason for PLI where at least there is Ola and there is Reliance, two of whom have very large 20-20 giga kind of support from the Government. So, this is one aspect. Then in the past, the Government was very clear that once cell production will start in India, there will be customs duties. There will be BIS standards. Those kind of things will come. Right now they are not there because there are no manufacturers to take care of the requirement. I think that is what is something which is very clear to all cell producers that the Government definitely wants localisation.

On top of that for many of Indian customers if you look, for example, Tata has internal consumption. They have plant Tata Agratas. Ola has its own Ola Gigafactory. Then so many of these have internal consumption. So, even from a strategic point of view, batteries are the new engines of vehicles. That is where your performance from one car to another car changes and that is one of the key factors. Most of this, even from the strategic, from innovation, from design point of view, they want to internalise it. That's the reason why, as I mentioned, there are at least six or seven companies actively working to set up capacities, ranging from minimum 12, 13 giga to 30 giga in the next three to four years. And I think none of them are worried about sales coming from China at a very low cost. Of course, they want to reduce the gap, they want to be as competitive a

s possible. At the same time, they

know something is required for local production. There's a very clear Government policy and mandate and also their own requirement to localise it.

Jason Soans: Sure, thanks for answering all my questions.

Moderator: We will move on to the next question from Archit Joshi from Nuvama Institutional

Equities. Please go ahead.

Archit Joshi: Hi, Good evening and thanks for the opportunity. Earlier we said that over the next, may be 2-3 years, we do expect Gigafactory in the range of somewhere around 5 to 30 Gigawatt hours. I just wanted to understand while these Gigafactories are being set up for the first time in India by most of them. I think some of them already have it, but a large part of this will be by newer companies and new capacities. So, while they put up the capacity, how is their own ramp up time? I am sure there's going to be a learning curve involved in that. And while they ramp up their capacities, how does it affect our own demand dynamics, including the ones that you mentioned before, the ones may be you are importing already and unable to figure out what kind of recipes to use in the existing set of battery cells and we're trying to figure out how to replace them or to create an equivalent grade of what they are using. What challenges do we foresee in the OEMs who wish to ramp up the capacities over the period of let us say 3 to 4 years?

Dr. Harin Kanani: Each battery maker will have their own learning. And like I said, one of the approaches, that when they are learning in the initial smaller volumes, we can take care from Dahej and as their volumes stabilise and become bigger, we can take it to Pakhajan. So Dahej becomes a more flexible startup plan, but Pakhajan, hopefully the newer site that we have, is fully ramped up and is directly working

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with customers where we have very strong clarity of demand and can work with a lot of clarity and with good operational efficiencies. Each customer is aware of these challenges. They keep some time; they keep some learning time for that. And when the first factory happens in India and after that when the second happens, third happens, within country also lot of knowledge and the learning which keeps coming in which helps make the second one better than the first, third one better than the second and so on and so forth. So, I am sure we will do a better job there. Of course, each customer has their own strategy like one of the customer is going to have a whole set of team which will be running their plant for 6 months. So, the experienced guys will come and they will run the team here for 6 months. There are many such strategies to reduce the time lag and I see in 2025 the demand will depend on that (and) may be in the first half of 2026. But after 2026 second half there will be ramp up happening from existing guys which will be more predicted because when somebody starts with 1 giga, may be the first giga is tough but then 1 giga to 5 giga is smoother and 5 to 20 is even further smoother. So, I think there will be ramp ups which will be happening which will be more predictable. So I think yes, we will have some pain in 2025 and 2026, but I think second half of 2026-27 onwards we should be good and with the giga factories which are coming and the position in which Neogen is, we are quite confident to achieve...FY28 or FY29, the guidance which we have given for full utilisation of our electrolyte plant because you can appreciate. I mean it's only going to be able to serve 30 giga, if all these 6 or 7 customers are coming at 10 giga plus kind of volume that is something which will be very easy to fill by FY28, worst case FY29, the way we had predicted.

Archit Joshi: Sure sir. I have got a few more sir. Second one on long-term contracts. I mean that at least envisage as on date, with the kind of movements that we have seen in lithium carbonate and lithium hydroxide, prices

are stable probably for now. We have seen a haywire cycle of that, may be in the past, during COVID. Of course, it might be completely abnormal at that point in time due to various reasons. But these contracts, ideally I think the endeavour will obviously be to have our per kg or per tonne margin protected. How do we foresee these kind of challenges while we speak to our customers for a higher volume sale to a particular OEM? Any understanding of this particular design with the long-term contracts?

Dr. Harin Kanani: No. So I think at least customers, especially the ones which are OEMs, who have self-consumption internally, they prefer this model because they know lithium prices and commodity prices are going to go up and down and just think if you are an auto maker or something, you have seen steel prices also fluctuate and this is what they like. When they work with their Tier-1, Tier-2 vendors, they want those vendors to have a pass through on the material cost. And basically, focus on efficiency in the conversion cost or things like that. So, I think that's a model especially where you have internal consumption of the cell. Those customers really appreciate that and they are okay with it. So, I think we have not seen so far, any challenges. For some we have already signed MoU. While we have not started

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getting the POs, the MoUs or even contracts that we have signed, in those

contracts, the raw material prices are a pass through. With others with whom we have not yet signed a contract, because the customer demand is crystallising, as a principle they also expect a pass through pricing. We have also shown data that if you go back 4 years and you have a pass through price versus you have a spot price, actually in the pass through price, the customer saves money because in the spot, you go with crazy lows and then you go with crazy highs. So the crazy highs more than make up for the crazy lows. On a stable basis the pass through is good for the customer because they have seen that they can get more value out of it and they save money over a 3 year, 5 year kind of time and that's what most of the OEMs are looking for. We have had success so far in whatever 2-3 contracts we have done. And the other people are not averse to that logic. So, I don't see a big challenge there.

Archit Joshi: Sure, sir. I have got two very short ones. I will squeeze both of them into one question. So, first, your thoughts on IRA. Is the narrative coming under threat by any chance, given the incumbent residents and import tariffs that we are incurring. Second, this Rs. 300-Rs. 500 crore revenue band that we are speaking of on the Neogen Ionics business for the next financial year, how would that split be in terms of salts and electrolytes? That's it from me. Thanks a lot.

Dr. Harin Kanani: On IRA side, each Government will decide on their own what is the best? So, if you look at from policy on one side, there is a discussion about IRA getting changed, modified and on the other side there's also a threat to put more customs duties on China than what are already in place. We have basically asked our customers; what do you feel about it? And they said, IRA or no IRA - I am talking of the international customers - just from a supply security point of view also, we want to have an alternate because we can't depend 95% on China. And many customers are even 100% dependent on China. So, they definitely want an alternative. My view is that considering the consumption which my customers have and the contracts which they have done, none of them have said that I am going to require less. So, I think whether IRA or whatever modified avatar of that or once the dust settles after whatever customs duty modifications, etc., happen, the customers definitely want it. Depending on how finally, how the IRA looks like and how the customs duties look like that will just mean how fast we need to grow our sa

It capacity for the international market. So, the speed and how much more are the questions. What we are planning today is in my view, question irrespective, and that's what the customers like even in our pharma, agro, we kept using China-Plus-One kind of turn and our existing capacity is the bare minimum required; may be even on a China-Plus-One you would need more. If there is a stringent IRA, then you would need much more, so that's my view on that. It's a little bit difficult. The Rs. 300 crore to Rs. 500 crore, the range of how much will be salt and how much will be electrolyte, it depends again, as I said, on one of the variables is how much electrolyte will be needed from India. We have a model where it can be 50:50 - 50% domestic and 50% (imported). But most likely I expect salt will be heavier. We will have more
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contribution from salt, but again let me give you more colour on this in our next call once I have more clarity from my customers.

Archit Joshi: Sure, thank you. All the best.

Moderator: Thank you. Next question is from the line of Bhargav from Ambit Asset Management. Please go ahead.

Bhargav: I was just looking at your PPT which says that in electrolytes, you started supplying this 200 tonnes to four customers. But as against that, the electrolyte salt capacity commission is also 200 tonnes. So, is it fair to say that we are using external salt or everything is captive when we are supplying this electrolyte?

Dr. Harin Kanani: No. The salt that we have, 200 tonnes, will require only 40 tonnes of the salt. Again, we are also not using 200 tonnes fully. So, yes, we are selling. The salt capacity is still additional. So, if you say in terms of giga term, the 200 metric tonne electrolyte is 0.2 gigawatt hours of LFP, NMC kind of mix. And 200 tonne of salt is approximately close to around 2 giga. So, we still have extra salt capacity. And that is how we will be in this year and next year because this additional salt capacity is targetted for the international market.

Bhargav: So, this 100% electrolyte which we are supplying, we are using our own salt, right? That's fair to assume, as of now?

Dr. Harin Kanani: We are still using some international salts, but that is mostly for one customer who wants to have a backup. Second, we also retain the flexibility that if the international salt demand is much more, we can use for India purpose where there is still not IRA. So, I think we are approving some other international sources as well.

But yes, the intent is to use maximum internally, for internal consumption and then only if there is additional required, we will import.

Bhargav: And in these trials which we are giving to four customers, you mentioned that we need 4 to 5 customers to fill our capacity for electrolytes. So, these four customers whom we are supplying, is that part of the four or five potential customers we are looking to supply for filling our full capacity?

Dr. Harin Kanani: No. These 4 to 5 customers are for completing our 30 KTA plant. We don't need 4, 5 customers may be; but yes. But those are different because some of them have not yet started.

Bhargav: Okay, so these four customers essentially are sort of fairly small customers.

Dr. Harin Kanani: Yes and for the trial requirements of the Giga factory.

Bhargav: Because then, I was just wondering, how do we scale that up to in FY26 because if we are still not supplying trials, then (are we) confident that we will reach that Rs. 300 to Rs. 500 crore of revenue which we are guiding for '26?

Dr. Harin Kanani: Yes, so again, we'll give more details, but like I said, the Giga factory is likely to start regular production by the end of this quarter, early next quarter and also more customers are approving us. Then in the second half of the year, the second giga factory is also expected to start. All this will help us with the electrolyte demand

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and on the salt side, as

we keep adding, the 200 metric tonnes will become 400 and then will become 2500 by the next year so that will allow us to add more salt capacity. And in Q4 the existing Giga customer will also start ramping up as well as the new Giga factory also may have started or would be ramping up, so together we expect between 300 to 500 MT.

Bhargav: And lastly, the gestation - from trial to commercial sale - would be how long?

Dr. Harin Kanani: In case of electrolytes we are already working with some of the customers from the beginning. So, then it's very smooth because when they are at kg level they approve us in kg, when they are at 10s of kg, then 100s, then 1000s. So, then as their capacity is ramping up right from the beginning, they are using us. So, then it's very smooth and most of the customers we are working are in this way. So, for electrolyte, we don't see a separate gestation period for approval. Sometimes they do tell us to send it to their international partner. Then it will depend upon the cell - between 3 months to 6 months for the approval.

Bhargav: Great, thank you for answering all my questions and all the best.

Moderator: Thank you. We will take our next question from the line of Sabyasachi Mukherjee from Bajaj Finserv AMC. Please go ahead.

S. Mukherjee: Yes, thanks for the opportunity. Dr. Harin, my first question is, on the international customers. I believe in the last call itself, you mentioned that we have already supplied the trial samples. I believe there is a slight delay in the approval process. By when can we expect the commercials to come in?

Dr. Harin Kanani: As I explained earlier, we expect may be in Q4 or early Q1, we should start getting approvals. Then the commercials can start. So, next Q1 or maximum by Q2, you can see the salt volume to start increasing.

S. Mukherjee: Okay and any specific reason for this delay or because of the change in administration in the US or something like that?

Dr. Harin Kanani: No. Like I said, just we had to achieve stable production. When I say stable, I mean continuous batches with uniform quality for the electrolyte salts. We had met for normal international customers, but what we wanted was customers who have the most stringent demand. Those we have just started meeting. So, for those we also had to optimise our production processes a little bit. And now with the data, the customer will restart the qualification process with this modified because any change you do in the process, they have to audit, approve, everything again. So, that's where we currently are.

S. Mukherjee: Got it and whenever this Pakhajan facility comes online, will there again be fresh approval process or how does it work?

Dr. Harin Kanani: Yes, the approval process will be again fresh so that side also needs to get approved, but that's basically factored in the time when we said we will start by the end of 2026. So, we expect that trial production will happen. Electrolyte I think might be a bit faster because, as I said, existing customers in India will graduate from here to

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there but for the salt, we will have to again see. Of course, we are now more aware of the quality, the modification in the processes have already happened. But again, it is a new site. So, currently we estimate that we would have trial production and approval by the end of the next financial year.

S. Mukherjee: Got it. Second on the domestic electrolyte. In the presentation on the commentary

I see that you have mentioned the major ACC factory manufacturers have already started trial production. Any colour on the timelines with their interaction with the specific customers that when probably they'll ramp up and they will take our electrolyte?

Dr. Harin Kanani: They are already taking our electrolyte, they need to take more of it. And as I explained earlier, we expect may be end of the current quarter, early next quarter, their ramp up should happen

to closer to giga scale. So, when that happens, then the volume of the electrolyte being sold to them will increase.

S. Mukherjee: Lastly, Dr. Harin, on the base business, when we expect the next set of CAPEX both, on the BuLi Chem as well as the legacy part of the business?

Dr. Harin Kanani: We will be presenting our budget proposal to the board in some time. Once the board approves, we can share more numbers. We are seeing good demand in BuLi.

So, I think that's one area which we are going to discuss. By the way, it's no longer BuLi. It is now technically Neogen Patancheru plant. So, in Neogen Patancheru plant, we are considering CAPEX for increasing the capacity, but we are discussing internally with our customers and once the board approves we will update on the same. Similarly, in our Dahej and Karakhadi facilities, we are just doing some debottlenecking or for some different molecules, some specific equipment is needed, but no major CAPEX or capacity increases.

S. Mukherjee: Gopi sir, if you can disclose the 9-month cash flow from operations number, that would be helpful.

G. Sarathy: Generally, cash flow is not given in December quarter. The only thing I can say is, it is substantially improved from what you saw in the September quarter. So it is on an improvement track. We are maintaining the improvement you saw in the 6 months; that continues.

Dr. Harin Kanani: But at a very accelerated rate.

G. Sarathy: So, it's continued in 9 months also.

S. Mukherjee: On the inventory thing, the elevated inventory level that we saw last year those things are in place? That's one concern that I have.

G. Sarathy: See, basically since we have not disclosed the balance sheet in this quarter, it will be difficult for me to tell you those things. The only thing I can tell you is working capital days have substantially improved. It is very much in line with the guidance we had given last time. There has been a substantial improvement in the working capital days.

S. Mukherjee: Okay, thank you. That's all from my side.

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Moderator: Thank you. We will take our next question from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Hi, Harin. My question is on your standalone revenue guidance. You mentioned that you will reach to about Rs. 950 to Rs. 1000 crore in FY26. If I look at the current run rate of nine months, that means about 25% to 28% Y-o-Y growth in FY26 on standalone business. Can you tell me from which end user industry you see the demand because I hope this number is based on the normalised lithium and bromine prices.

Dr. Harin Kanani: Yes. Currently the lithium and the bromine prices are a little bit on the lower side. We expect by next financial year, these prices will come back a little bit. I mean even if they become normal, there will be some contribution which is coming from there because as we showed, as compared to last year, of course, last year if you look at 9 months, lithium price still was elevated. So there is still a delta from there. I think some will come but majorly we are seeing a good demand. What we had said, pharma has improved significantly. We are seeing good demand for organolithium. We are seeing bromine derivatives also do well. Agro has just started. So, in Q3, there was some agro contribution, some more we are expecting. So, we feel agro will also recover. And as you said earlier, we have taken several steps in FNF and some other projects as well as CSM business for flavour and fragrance and some industrial. So, overall, with that, we expect that we will be able to target Rs. 950 to Rs. 1,000 crore. Of course, if the lithium prices and bromine prices remain where they are today, may be they will be in Rs. 900 to Rs. 950 crore range, but on an absolute EBITDA basis, Rs. 950 crore whatever we say, 18% plus minus 1-1.5%, is what we are expecting. Now depending on lithium and bromine prices going up

and down, it can be slightly lower, slightly higher.

Nilesh Ghuge: Okay. And my second question is on your CSM business. What was the CSM business contribution in 9 months FY25? How is the traction in this business? And

if you can talk about the long-term contracts, large scale contracts with the Japanese and the US based pharmaceuticals and other things?

Dr. Harin Kanani: The CSM business is at close to around 14% of our overall revenue. On a quarter-on-quarter basis, it's fluctuated between 12% to 15% in the current financial year. Again, we are targetting that in the next year, we can take it between 15% to 20%. This is actually Contract Manufacturing business. So, in line with what we are doing, only depending on how agro improves, whether it will be agro heavy or whether...I mean right now we still have agro, pharma, flavour and fragrances as well as some industrial and semiconductor. So, all five categories are contributing to that 12% to 15% business. But many of these are just trial productions which we did this year and the previous year. So, I think next year may be some of them will start stabilising and the year after we should see even further growth in that. But right now we are focussed on next year. We will be above 15% - 15% to 20% - would be CSM contribution is what we are expecting. I think the Bromo derivatives will today be at around 50% and as a percentage may remain between 40% to 50%. Advance
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intermediates are little bit of a weak area which might be 15% - the ideal target is 20% - but right now it's closer to 10%-12%. That depends on how China situation changes because right now there's a lot of dumping happening both, at API level which reduces the generic API production in India and also some intermediates where they sell very low. That's something which we need to watch on the advanced intermediates side but we are taking steps how actively BuLi can do the organolithium business slightly more than 5%. Like we had said, Rs. 50 to Rs. 100 crore with the current run rate, we might be able to do slightly better than that. So, that might contribute slightly more than 10% to make up for it. And the inorganic lithium will be between 15% to 20% is what we expected. So, I think more or less the only area (in which we have) a little bit of concern is the advanced intermediates, mostly because of low Chinese prices of API and intermediates which they are dumping in India. I think that remains the only area of concern. I think that all other segments should be doing well. And industry-wise, pharma is doing good. We are seeing growth in semiconductor application, flavour and fragrance. Agro, we see slight improvement, started a little bit, but we still have to wait a little bit more to figure out how strong the recovery will be in the next year.

Nilesh Ghuge: Thanks, Dr. Harin for answering my questions.

Moderator: Thank you. We will take the last question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Thank you so much. Just a couple of quick follow-ups. One is on BuLi Chem. Will it be possible to share some metrics regarding the performance this quarter? I believe there has been some improvement.

Dr. Harin Kanani: Yes. In BuLi also, we have seen growth. This year, particularly this quarter, even EBITDA was slightly better, but overall if you see, it's still that 18%, plus or minus 1%-1.5% range, which I keep telling you which depends on lithium price and other factors. So, I think BuLi is now already reaching full utilisation levels like in Q3, even Q4 is expected (to be) full. We have already got the center permission, EC has been received. We are just awaiting local approval. So, once that happens, we are on track to double our capacity with very small CAPEX. And that will allow us to grow this even further in the next financial year.

Abhijit Akella: So, will it be possible to share the revenues

for this quarter and the YTD?

Dr. Harin Kanani: Ideally, BuLi has only one or two molecules. So, if I share revenue of that, it's almost revenue of that molecule. And we'd like to keep it as a mixed basket. It becomes direct information on how much exactly we are selling. But whatever we have said at full utilisation, it will be between Rs. 50 to Rs. 100 crore. So, we remain in that range, even for the current financial year. And next year we will be closer to Rs. 100 crore or even exceed the Rs. 100 crore, if the approvals and everything comes in.

Abhijit Akella: Got it, thank you. And the other one was on battery chemicals business. Will it be possible to share the YTD revenues from battery chemicals we have got?

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Dr. Harin Kanani: Together, now we are into double digits in the YTD numbers. More than Rs. 10 crore and our guidance overall is at around Rs. 20 to Rs. 30 crore in the current financial year. So that's what remains the target for the current financial year. By the way some of this revenue is from trial production so that might not be recognised as revenue. The actual final balance sheet number could be a little bit lesser, but if I look at the actual sales which have happened, they are in that range.

Abhijit Akella: Okay, got it. Thank you so much and all the best.

Moderator: Thank you. I would now like to hand the conference over to the management for

closing comments. Over to you sir.

Dr. Harin Kanani: Thank you all for participating today. We hope we were able to answer your questions. Our Investor Relations team is available for any further questions you may have. We appreciate your time and look forward to speaking with you again next quarter. Thank you.

Moderator: Thank you. On behalf of Neogen Chemicals, conclude this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: The transcript has been edited for clarity. It may still contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: May 2025

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May 26, 2025

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Sub.: Q4 & FY25 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings
Conference Call Transcript of the Company's Q4 & FY25 Earnings Conference Call held on May
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The transcript is also being uploaded on the company's website at
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Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
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Q4 FY25 Earnings Conference Call Transcript
May 19, 2025

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Limited's Q4 FY25 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you.

Nishid Solanki: Thank you. Good evening everyone, and welcome to Neogen Chemicals' Q4 FY25 Earnings Conference Call for analysts and investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director; Mr. Anurag Surana – Director and Mr. Gopikrishnan Sarathy – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A, where the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward-looking statements. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q4 FY25 earnings presentation, which has been shared earlier and uploaded on the stock exchange websites.

I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you sir.

Dr. Harin Kanani: Thank you, Nishid. Good evening everyone, and welcome to our Earnings Call for Q4 and full year FY25. We appreciate your taking the time to join us today to discuss our financial performance and provide an update on our strategic initiatives.

I will begin with a review of our performance for Fiscal Year 2025. I am pleased to report that we concluded the year on a positive note, achieving 13% revenue growth and 24% improvement in EBITDA.

This performance is satisfying as we accomplished it against a difficult global industry backdrop, which led to weak pricing trends as well as a fire incident in Neogen Chemicals which happened towards the end of the quarter. Despite these

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headwinds, we did observe some pockets of domestic demand resilience that helped partly mitigate the impact. Our ability to deliver amidst these challenges was an outcome of our agility with which we swiftly navigated (the crisis) by pivoting towards product applications with favorable demands like Semiconductor, Flavor & Fragrance, and select opportunities in Ag-Chem, Pharma, and Industrial CSM, among others.

During the quarter and full year, both organic and inorganic chemical segments demonstrated steady volumes. While global pricing remained a factor, our ability to capture greater market share through increased volumes underscored the strength of our product offering and operational efficiency.

Now before providing updates on expansion initiatives, let me share some important developments:

■ On March 5, 2025, a fire occurred at Neogen Chemicals, Dahej facility which impacted our main manufacturing plant, MPP-3, warehouse and tank farms. While there were no injuries or casualties, production at the plant had to be suspended. We are fully covered by insurance for both, asset damage and business interruption. To mitigate the impact, we have already shifted production of certain products to our other sites, subject to customer approvals and construction has commenced for the replacement plant at an adjacent location within the same site which will be operational by Q4 FY26. While this incident has necessitated a revision of our FY26 revenue guidance of Rs. 775 crore to Rs. 850 crore, we are taking all necessary steps to restore normalcy and minimize disruption.

■ Following EC approval for brownfield expansion, we have more than doubled the capacity of BuLi Chemical Facilities at Patancheru, Hyderabad from 120 metric tonnes active to 300 metric tonnes active through de-bottlenecking. This enhances our manufacturing capability for critical organolithium compounds which are essential reagents in the

production of complex pharma, agrochemical and semiconductor intermediates.

■ In another major development, we are incorporating a wholly-owned subsidiary of Neogen Ionics, namely, Neogen Morita New Materials Limited, subject to the name approval by ROC. The objective is to address growth opportunities in lithium-ion battery material space, especially related to electrolyte salts needed for internal consumption for electrolytes as well as to meet global market demand. In addition to this, Neogen Ionics Limited is in advanced discussion with Morita Chemical Industries Company Limited of Japan for formation of a joint venture company in India. And to facilitate the same, Neogen Ionics is in the process of formation of this wholly-owned subsidiary. Shifting our focus to strategic growth drivers, I will now provide update on expansion initiatives:

■ New capacity of 400 metric tonnes per annum of lithium electrolyte salts and additives, and 2,000 metric tonnes of electrolyte for Dahej.

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■ For salts, 200 metric tonnes per annum capacity has been commissioned with the first approved material already shipped to the customers. Trial production is ongoing for another 200 metric tonnes per annum. Further expansion of salts includes 1,100 metric tonnes to be commissioned by September 2025, and another 1,000 metric tonnes by March 2026

■ For electrolyte, 2,000 metric tonnes has been fully commissioned. A major ACC battery manufacturer has commenced trial production and commercial production is expected to begin by Q1 or Q2 FY26, and our initial capacity is well aligned with their requirement

Update on Greenfield Battery Materials facility using MUIS technology:

■ Construction is moving swiftly with civil work erection and engineering phase nearing completion. The modular plant is also nearly completed with structural work substantially finished. Concurrently, equipment assembly and installation are a

iso nearing end. Major equipment has been assembled by MUIS and is expected to arrive on site by Q2 FY26, thereby accelerating plant installation. Based on this progress, we remain on track to commission the facility by March 2026 or earlier. This project will fast track our entry into high growth lithium-ion battery material segment, crucial for India's EV and energy storage industries. By becoming a domestic manufacturer at scale, Neogen can capture substantial market share, reduce India's import dependence and leverage our first mover advantage with proven global technology. This strategic move not only diversifies our revenue streams and enhances our value proposition, but also positions Neogen as a critical supplier within the advanced battery supply chain, contributing to further growth and profitability.

Though FY25 had its difficulties, the future of Neogen Chemicals looks promising. We are strategically positioned to capitalize on our profound expertise in multiple chemistries to fuel sustained growth. Our approach involves a dual focus - continued emphasis on higher value specialty chemicals in which we excel and significant new impetus from our developing lithium-ion battery material segment. Overall, we are confident in our ability to continue to deliver value to our shareholders through strategic execution, innovation and unwavering commitment to operational excellence.

That concludes my opening remarks. I would now request our CFO, Mr. Gopikrishnan Sarathy to share financial highlights for the period under review. Gopikrishnan Sarathy: Thank you, Dr. Kanani. Good evening everyone, and welcome to Neogen Chemicals' Q4 & FY25 Earnings Call. I shall now take you through the financial highlights. Please note, all the numbers are on consolidated basis, and are based on year-on-year comparison.

For FY25, our revenue stood at Rs. 778 crore, higher by 13%. This was driven by strong volumes in the core business, including BuLi Chem. This growth came in spite of soft pricing environment as well as unavailability of our Dahej plant for 25 days in the month of March 2025. Neogen Ionics reported a revenue of Rs. 12 crore for FY25. The revenue would have been higher, but for the fire event which led to loss of finished goods inventory.

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Organic revenue for the year stood at Rs. 666 crore, reflecting 22% increase, while inorganic revenue stood at Rs. 112 crore. Lower bromine prices on a year-on-year basis impacted the revenue trajectory in Organic Chemicals. Had they remained stable, Organic revenue for FY25 would have been higher by Rs. 81 crore. Likewise, lithium prices also witnessed a decline on a year-on-year basis. Adjusting for this decrease, Inorganic revenue would have been higher by Rs. 16 crore in FY25.

Further, EBITDA stood at Rs. 136 crore, grew by 24%. This was driven by operating leverage from higher volume and supported by our continued focus on cost optimization. As a result, EBITDA margin improved to 17.5% in FY25, an increase of 160 basis points over that of FY24. PAT for FY25 stood at Rs. 35 crore, down by 2%. PAT was impacted by the exceptional items charge of Rs. 14 crore for the damage caused to certain PPE, inventory and estimated cost of incidental charges due to the fire incident at our Dahej facility.

Let me also give you a quick summary of Q4 FY25 financials:

For Q4 FY25, we recorded a revenue of Rs. 203 crore, while EBITDA came in at Rs. 36 crore. PAT stood lower at Rs. 2 crore, primarily due to the exceptional factors related to the fire incident explained earlier.

For FY25, we incurred a total CAPEX of Rs. 470 crore in Neogen Ionics, out of the total of Rs. 1,500 crore planned. As of FY25, our total debt stood at Rs. 566 crore, while our networth remained strong at Rs. 789 crore.

With this, I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much

h. The first question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Okay, so first a few book-keeping questions. If I look at the working capital side, we have seen a significant improvement there, led by both inventory as well as payables being higher. Your thoughts on what could be a sustainable number on the overall basis in individual inventory as well as payables?

Dr. Harin Kanani: As we have said, when we were planning to hit full utilization in FY26, we basically were targeting 140 to 150 days of inventory, and between 75 to 95 days of working capital of the debtors, and similar number we wanted to target on the creditors side, so that our debtors and creditors are balanced, and we reach around 140 - 150 days of total working capital cycle.

Long term, beyond reaching full utilization in FY26, we would like to bring this down to around 110 to 120 days. This is on a standalone basis. And in Neogen Ionics, we are targeting to keep it below 90 days. So, on a consol basis, we would be below 100 days is our long-term target over the next 2 to 3 years.

Ankur Periwal: Sure. And just on the payable side, the sharp jump for the year-end was more a timing issue, and we should be back to that 80-90 days average as you suggested, right?

Dr. Harin Kanani: That's right. Basically, our intention is to ensure that our debtors and creditors are more or less balanced, and we will keep making business decisions and operational decisions to improve the inventory part.

Ankur Periwal: Sure, that's helpful. The second question is on the net block. We see a Y-o-Y reduction in net block, and there is a jump in the advances as well, which to my mind

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is because of the insurance bit. So, have we written-off the entire gross block there for the new asset? Just trying to understand the accounting treatment.

Dr. Harin Kanani: Yes. May be Gopi can answer this question better.

Gopikrishnan Sarathy: We have written-off the asset to the extent it has been damaged, and the balance utility section, ETP section, admin building, NIL block, all those which have been good have been continued as is, because they are in good condition. Only the MPP-3 and the warehouse have been written-off.

So, the accounting treatment is simple. Basically, as per accounting standard, since the loss has impacted both, the inventory as well as PPE, to the extent it is damaged, I need to recognize the loss. And to the extent we can recover, we have to recognize an insurance claim, which is also elaborated in our notes to the SEBI accounts. So, that's what we have done.

Ankur Periwal: Sure, and the construction of this plant should be done by mid of next financial year.

Dr. Harin Kanani: No, we have given a 9 to 12-month target. So, from the incident, if you look at the fire note that we have circulated, we are targeting for this plant to come on line by Q4 of the current financial year. So, next year we expect the plant to be fully

available.

Ankur Periwal: Sure, thank you. And just lastly, on the battery plant ramp-up, any customer approvals that we are looking at as well as the timelines, both at the domestic as well as from the global customers, if you can share your thoughts.

Dr. Harin Kanani: We had visits post the fire because the customers wanted to assess. So, they came and they saw that the battery plant was not affected and the operations here were continuing, except for some inventory we lost, because we had a common inventory storage. So, some raw material and finished goods inventory we had lost, but other than that the plant was running okay. So, both were satisfied.

And on the India Electrolyte side, it depends on the Indian demand ramping up. So, we are just waiting for our customers' demand, we are fully ready. And the progress which we are making in Pakhajan is also in such a way that in 2026, as we have discussed in

earlier call, 4 - 5 giga factories would be starting and we should be able to take care of all of their 2026 demands. So, I think Electrolyte business will depend only on the demand side.

And on the salt side, the customers have visited. They have seen the plant, and they said we wanted to do a very detailed audit. So, they have basically planned the detailed audit in the beginning of the second half of the year, and the final approval they are expecting by Q3. So, sometime in Q3 is where the commercial shipment should start.

They have also looked at the progress in Pakhajan. The Pakhajan salt site also we are targeting by Q4. So, mostly the revenue contribution from there will start coming from next year onwards.

The progress which we are making in Dahej for the salt was appreciated by the customers and they, with whatever geopolitical happening, they have asked us to fast track the capacity increase to 2,500 tonnes there, because they want to reduce their dependence on China, starting end of the current calendar year. So, basically Q3 financial year onwards, they would like Neogen to start shipping, and Q4 is where they expect major ramp up there.

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As the Indian cell makers' demand increases, we are ready to completely take care of their demand for electrolytes, and they have almost qualified the plant. Only some additional trials are needed, but otherwise there is no challenge on the electrolyte side.

Ankur Periwal: Great, sir. Just one clarification. The ramp up on the salt side, Q3 onwards is largely for the global customers and India is already there. Is that right in that sense?

Dr. Harin Kanani: Salt is only global, right, because otherwise its internal consumption.

Ankur Periwal: Yes, yes. Okay. Fair enough. That's it from my side. Thank you. All the best. Thanks.

Dr. Harin Kanani: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Naushad Chaudhari from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhari: Hi. One question on this fire incident. Out of Rs. 360 crore of loss, how much is for the inventory?

Dr. Harin Kanani: Approximately Rs. 160 crore to Rs. 180 crore would be inventory-related, and the balance is the physical assets.

Naushad Chaudhari: Okay. Second, in the Battery Chemical business, a lot has changed in the last two-three years in terms of overall economics of the business. I have heard your explanation. But in capitalism, no commodity we have seen in the world can have such a huge disparity for a very long period of time, for a short period of time. One country can have different price, other can have different. But over a long period of time, things have to get at equilibrium. So do you think from the point where we had started versus today, the economics of the business has completely changed versus what we were expecting? And we need to rethink how we should see this business?

Dr. Harin Kanani: Thanks for the question. I fully agree with you that over a period of time, most of the countries will have to come to more reasonable numbers which are the right numbers. And we have seen that, if you look at a 4-year, 5-year data of China, there are times when they go very low, but then they go very high basically to make up for that. And then sometimes, there is a period when it's average. So I fully agree with you.

Our view today and most of the people's view today is that because China set up very large capacity thinking of a very bullish not only China trend, but also international trend. Therefore, they kept the prices lower. And if they sustain at this level, we have already started seeing some of the companies, they are the smaller,

weaker players, to start exiting the market.

And we believe eventually, and also the demand is not growing, especially outside China at a rate which was estimated. But overall, what we have seen is the demand is still growing. En

ergy storage is also one very strong growth area which has emerged. And overall, once the demand and supply match out, we expect the prices will become more reasonable and would be higher as compared to what it is today. It is across the value chain. If you look at the price of lithium, if you look at the price of electrolyte salts, or you look at the price of electrolytes.

Having said that, we are right now in two businesses. One is electrolytes for India, and second is electrolytes salts for the international market. Whenever we look at electrolytes in India, we feel because one, there is a necessity that this has to be local. And even if you were to think as compared to international parity, at the same

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apple to apple, so let's say we are talking 10 KTA to 10 KTA demand or 50 KTA to 50 KTA or 1 KTA to 1 KTA, we feel our price is very much close to what the international price is, the landed cost, if you were to consider. So I think that's very much in line.

If you look internationally, yes, today the salt prices are very low. And we believe these are not sustainable. But the premise there was, are we the cheapest source outside China? And that still remains true that outside China, we remain one of the key cheapest sources.

And with whatever is happening, all the international companies, if you think of within EVs the contribution of the battery; within that you think of contribution of electrolytes, and then you think of contribution of the salt, and that too lithium is something which is anyway a pass-through. So if you think of the manufacturing cost of the salt as a contribution, it's very low in the overall EV or a battery price, but it's very critical. So in case if tomorrow there is any disruption on supply from China, definitely they need a backup source.

So I think we still have that space of a backup. As I told you, even the customers who visited, their question was, Harin, how can you bring up the capacities faster, and not any concern? So they really have that concern. So we feel there's a very strong demand for a non-China supply, and we qualify for that.

Naushad Chaudhari: See because tomorrow your customer also have to fight with somebody for the market. And today, because of the unavailability and discomfort, they might be in aggression to get the new suppliers on board. But eventually, because there is no case study that the one commodity which is not very so difficult to make, can trade at very differential price versus in some other countries. There are many commodities which cannot be transported, but it has to have some parity. So maybe eventually when your customer starts facing this competition, one has to match that. So apart from customers looking for China Plus One, is there any other advantage we Indian players have, which can help us to get the required ROCE from these projects?

Dr. Harin Kanani: Sure. One is China Plus One. Second is the business model. Because historically the way China works is go very low, very high. They don't work on a price plus model. In fact, if you ask them for a price plus model, their price also comes very close to where our prices are.

On top of that, I think these are two factors. And you might have heard recently in our announcement that we have made significant progress in getting into a JV with one of the Japanese companies. They are in this business for the last 30 years. They have two plants in China. They are already making in China. And they have made in China and supplied for last 30 years against Chinese competition in China.

We will have some of the benefit of their 30 years of experience. Their quality is supposed to be among the best, when it comes to electrolyte salt. So we now have advantage of a better quality, which leads to better performance of the final electrolyte, and the battery is made out of that.

On top of that, you would also have experience,

which will allow us to further

compete in a very aggressive market. And again, you are right that the China price today is very low, but we have faced similar situation in Specialty Chemicals, in Pharma. There are many intermediates for which China reduces the price and then

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they increase the price. We have sustained against Chinese competition for many of our pharma molecules by having more steady, fair price and giving that option where the customer makes more money over 4-year, 5-year period, once this price is basically recalibrated. So it's a different quality, different price model, and criticality. Everything together makes us still attractive for the customer.

Naushad Chaudhari: Sure, I have a few follow ups. I will come back in the queue. Thank you.

Moderator: Thank you. The next question comes from the line of Abhijit Akella from Kotak Institution Equities. Please go ahead.

Abhijit Akella: Yes, good evening, and thank you so much. First, would it be possible to just share with us the revenue breakdown for the full year Fiscal 2025 please, in terms of Bromine Compounds, Advanced Intermediates, and then the CSM business?

Dr. Harin Kanani: Yes. The Bromine Compounds basically contributed to roughly around 55% of the revenue; and the Advanced Intermediates and CSM together were roughly around 25% of the revenue. Then I think the Inorganic was around 15% of the revenue; and the BuLi was around 10% of the revenue.

Abhijit Akella: Okay. I think it's gone to about 105% actually. So that's fine. Maybe yes, some rounding error somewhere. So just to clarify, the Neogen Ionics business is part of organic or inorganic, in the way we presented?

Dr. Harin Kanani: (Blank Audio) (0:28:30) .. Rs. 12 crore. It would have been higher because majority of the salt shipments, we were planning in the end of the quarter were impacted. So normal quarter would have been somewhere between Rs. 5 crore to Rs. 8 crore additional is what we would have achieved, had the fire not happened.

Abhijit Akella: So Neogen Ionics is part of organic or inorganic?

Dr. Harin Kanani: Inorganic.

Abhijit Akella: Got it. Okay. And also just one sort of book-keeping thing. The Rs. 12 crore revenue for the full year, whereas the difference between consol and standalone revenues is only about Rs. 4 crore. How do we reconcile that?

Dr. Harin Kanani: Some of the raw materials till we directly got approvals, Neogen used to import and then share it, that is, transfer it to Neogen Ionics. So, it's gross.

Abhijit Akella: Okay. Got it.

Dr. Harin Kanani: Yes. I have the revised numbers with me. Gopi just pulled up. So 44% was Bromine Derivatives; around 31% was Advanced Intermediates and Contract; 11% was Organolithium, BuLi; the Inorganic Lithium Compounds was 11%; and the Battery was about 1%.

Abhijit Akella: Thank you. On the Battery Chemicals business, last quarter you had mentioned a revenue target of somewhere around Rs. 300 to Rs. 500 crore for Fiscal 2026. Does that still seem feasible, given the fact that it seems that the Salt approvals are taking maybe a quarter or two longer than we previously thought?

Dr. Harin Kanani: Yes. Rs. 300 to Rs. 500 crore looks now closer to Rs. 300 than Rs. 500 depending on the approvals.

Abhijit Akella: Okay. And also the delay is because of the fire in any way or is it just something to do with the customer schedule?

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Dr. Harin Kanani: I think a little bit of both, because for example, the customer was planning, but then the fire happened. So what happens is before their expert teams come for validation, they sent a pre-team to look at the situation, then they come. So maybe like a quarter delay because of that.

Abhijit Akella: Got it. Also for Fiscal 2027, is there any rough number you have in mind? I know it's very, very far away, and it depends on the market, but any rough number

we could

work with, for revenues, Battery?

Dr. Harin Kanani: Again, internally what we are targeting is, it has to be a 4-digit number. We did single digit last year, we did double digit this year. The target is in the current year, we want to do three digits and the year after four digits. But again, it depends on how much electrolyte market share we get. So that is one of the criteria and how the salt volumes ramp up. The capacity will be there to do Rs. 1,000 crore plus revenue, but how much Rs. 1,000 crore plus is something that we need to decide.

Abhijit Akella: All right, fair enough. I have just one last thing from my side and I will get back in the queue for more. One is just this investment with Morita, any sort of size in terms of CAPEX or something that we would have in mind. And on the margin side, while we have guided to the Rs. 775 to Rs. 850 crore revenue from the base business for FY26, any dent on the margins, because of maybe moving the production around within our plants or somewhere outside as well?

Dr. Harin Kanani: On the first bit, the CAPEX. Basically what will happen is that the salt capacity that we are planning, especially the Pakhajan salt capacity of 3,000 metric tonnes, this will basically be transferred to the joint venture, the subsidiary company. So the overall CAPEX would remain more or less the same.

We are doing the exact alignment of Morita's technology with Neogen. We have already done quite a bit. And based on that, we have even modified some of our existing plants. But the exact overall impact would be done, let's say, as we conclude the JV, and we will then know the exact change, whether positive or negative on the site. But we will basically see what is the total CAPEX.

Overall, the capacity plan remains the same. And the 3,000 tonne, which we are setting up in Pakhajan, and maybe future salt capacities, would be done by this subsidiary JV company. That is what we are targeting.

More or less, we feel it should be similar to what we have guided. The total CAPEX of Neogen Ionics in the battery space will be Rs. 1,500 crore. But as we conclude our discussions and once we have aligned completely, then we will be able to see if there is any revision on the overall CAPEX, and the breakdown on how much will remain with NIL and how much will go in the JV. This we will provide at a later date. In reference to your second question about margins, broadly speaking, the margin should follow the same trajectory, except as you said, we will have to move around production or do some bit of outsourcing wherever it's permitted. Some impact of that. That should ideally be covered by the business interruption, like the loss on profit policy that we have for insurance, because of any additional costs. The only thing is from an accounting point of view or from an insurance point of view, I don't know when we will be able to recognize that, because normally the loss on profit policy gets completed once the reinstatement is over, because then you know exactly how much profit you lost. Most of that will happen either in Q4 or in the next financial year, we will know. Any margins that we miss, we should be able to cover NEOGEN "

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through that. But I don't know on a quarter-on-quarter basis how it will move. Overall, if we think of it, once you have taken that into account, the 18.5%+/- 1.5% at the Neogen level, we should have that. And Neogen Ionics will be ROCE driven.

Abhijit Akella: Thank you. That's very helpful. I will get back in the queue for more.

Dr. Harin Kanani: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Arun Prasath with Avendus Spark. Please go ahead.

Arun Prasath: Thanks for the opportunity. Good evening, Dr. Harin. My first question is something around this Morita JV. Can you just help us understand why we entered into a JV in the first place? Because it wasn't there in

the past. So what is the need at this point of time? What is it we are trying to do, this JV, which we couldn't do it earlier? And what would be the CAPEX contribution from the JV partner, and all those things? Those details can you just help with?

Dr. Harin Kanani: As I explained earlier, Morita Chemicals is a 100-year old company, based in Japan, and for the last 30 years they were making LiPF₆ in China, and they have been making it consistently, competing against China, in China. They are supposed to be the best in the solid LiPF₆ technology, even within China. And we felt that as we grow to 3,000 tonnes, and then when we think of, from a future point of view - somebody who has done this business internationally. All the electrolyte makers of the world - in Korea, China, Japan - have used their LiPF₆. That makes the approval process for a broader customer base much faster. They also have experience of which customer has which tendency, which customer expects more stable price and benefits. So that also is going to be beneficial. Also having worked on this for almost 30 years, their quality systems, their process systems will be better as well as the safety systems to handle AHF at such a large level, all of this experience which they are bringing. It is the same thing as Mitsubishi. We can make the Electrolyte, but with Mitsubishi we can do better. Similarly, with Morita's help, we can do better. Their technology is superior and when we are talking of higher salt because before it was electrolyte and salt was only for our own internal consumption and then we said, okay we can do international business, but when we want to make salt as a focused business area, then somebody who has done it for last 30 years will add a lot of value.

Almost all non-China customers, the three Koreans and the two Japanese electrolyte makers, whether they are doing business in US or not, they have used their LiPF₆. So we basically can work together and also get some capital which is coming in a

strategic form. That also helps. And they are constantly updating the technology so the speed with which we can also update technology and keep track on that. So we felt this was something which we were discussing for a long period of time, and we felt just as when we did Mitsubishi. It gave a lot of comfort to our customers. The same thing we felt is that this is also something which can give us superior technology and as a joint venture partner, even more than just license technology. Having considered all of these, this was something which we discussed for a long period of time and because it was a joint venture, many things we needed to align. So it took its time. But we feel it will really consolidate because now you have somebody who has the China experience, who has all the customer approvals and with the same technology, we are making in India a non-China base. So it will be one of the lowest cost outside of China is what we feel and if the China price is same, NEOGEN "

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where we are doing a fair pricing, we can even match basically same as Chinese technology and prices on a fair comparison.

Arun Prasath: Okay. So, out of 5,500 tonnes, 2,500 tonnes will be based on our own technology and 3,000 tonnes will be on the Morita JV, right?

Dr. Harin Kanani: Sorry, the 2,500 tonnes is basically some bit of salt and also additives. So this JV is specifically for electrolyte salt. Majority of the 2,500 tonnes is going to be with the additive part, which is what we will be doing and even the salt part there. While the plant is partly already designed or partly already constructed and remaining under construction, we will try and Morita will also support us on improvement there whatever we can, but the new plant will be built from scratch completely as per their technology. So whatever salt we are doing, the main salt LiPF₆ that will be directly exactly Morita Technology or

with the help of improvement suggested by Morita

Technology. The additive continues to be our own technology and electrolyte 2,000 metric tonnes in Dahej is our own technology. The 30,000 tonnes in Pakhajan will be basically Mitsubishi Technology.

Arun Prasath: Right. Dr. Harin, just again, I am coming back to this. So I am sure we would have been discussing this with Morita for a long period of time. Throughout the last year, we were very confident of making the salt with our own R&D capability and tech. So what pushed us towards this JV? Is it customer feedback or is it that the commercials are now much better? Just wanted to understand that the decision-making part of getting into this JV.

Dr. Harin Kanani: We were discussing with them on technology collaboration or JV almost the same period of time since we started Mitsubishi discussion. This is something which we were discussing for the last 2.5-3 years because we knew that this would be beneficial. So it's the same thing like electrolyte. We can make on our own. There is no change in that, but we can do better with their experience. This is something which we were discussing but as against the technology licence they were very clear in the beginning because they also needed a non-China facility, but you understand that technology licensing is one decision, and a joint venture is a bigger commitment and a bigger decision. So, it took us longer for this to happen. In the past also, if you remember, 3 months - 6 months or even 9 months ago, we felt that we have some balance equity which we need, but our preference is through strategic. We always felt that these kind of JVs where we get strategic money are beneficial for us because we get commitment from them and then we are doing it together. So this is not something which was decided in 3 or 6 months, it took us a bit longer than Mitsubishi to get it to conclusion.

Arun Prasath: This JV is 50-50 control or 51-49? How we should understand this?

Dr. Harin Kanani: It will be significantly controlled by Neogen. It will be much more than 50% for Neogen. So, majorly Neogen control. The exact percentage we'll share. So it will largely be owned by Neogen, majority control and above.

Arun Prasath: Understood. And secondly, on the guidance you provided, Dr. Harin, it's Rs. 300 crore which falls under the lower band. It seems even if we start by the end of Q3, only from salt, if you have to make Rs. 300 crore for this year, utilization should be much higher, right? It cannot be a very phased-wise increasing utilization, probably north of 70%-80% utilization should be there in FY26. Then only we can get this kind of revenue.

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Dr. Harin Kanani: This is not from salt, that is total. Rs. 300-500 crore was total. So it's electrolyte and

salt, everything together.

Arun Prasath: But electrolyte, we are not looking to export during this year.

Dr. Harin Kanani: No. Rs. 300-500 crore is the total guidance we had given for Neogen Ionics.

Electrolyte will be from India's requirement. As you know, one gigafactory is now getting streamlined. The second one is likely to start by the end of the year. And another, at least one more, will start before/in the Q4 financial year. We are expecting at least three customers requiring electrolytes and so the demand of these three as well as salt in the second half together should be able to do. We had initially guided Rs. 300 to Rs. 500 crore. Now it looks a little bit closer to Rs. 300 crore.

Arun Prasath: Any rough breakup in Rs. 300 crore between salt and electrolyte revenue?

Dr. Harin Kanani: Let me get back to you on that, but I think approximately we had targeted around Rs. 150 to Rs. 200 crore of electrolyte and Rs. 150 to Rs. 200 crore of salt.

Arun Prasath: And the electrolyte part depends upon the local manufacturers' readiness?

Dr. Harin Kanani: That's right.

Arun Prasath: Understood.

Dr.

Harin Kanani: Most of these will be more in the second half as compared to the first half.

Arun Prasath: Understood. On the export side, we spoke about the customers who need to do the field audit by Q2. This we are talking about a couple of customers or multiple customers. How should we look at it and the nature of these customers also can help us understand, are they battery manufacturers or OEMs? If it is battery manufacturers, do they need further approval from the OEMs? This kind of details please help us understand.

Dr. Harin Kanani: Whatever we are doing, at least in the US market, is battery manufacturer plus OEM. They are both aligned on this. So it will be actually electrolyte maker, battery makers and OEMs.

Arun Prasath: Okay. So basically battery manufacturer is the one who will be taking the final shot of giving the approval?

Arun Prasath: Whatever the approval given by the battery manufacturer, that stands final irrespective of what the OEM feels?

Dr. Harin Kanani: No. I am just saying everybody's aligned with this. That's the only thing I am saying.

Arun Prasath: Okay, but our customer is battery manufacturer not the OEM.

Dr. Harin Kanani: Anyway, you know, I would not like to specify more here. We would of course be selling it to the electrolyte makers. But we would have several electrolyte makers, the battery makers, the OEM, everybody is aligned.

Arun Prasath: Understood. This field audit is the final step in the overall approval process or is there anything else apart from this as well?

Dr. Harin Kanani: Basically post field audit, actually battery manufacturing trials would start.

Arun Prasath : Okay, that is approximately how long it will take?

Dr. Harin Kanani: They will do the field audit. There will be a large scale trial in actually making the batteries out of that and any additional trials that people want, the customers would like to do.

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Arun Prasath: Okay, so all this can be completed by when?

Dr. Harin Kanani: The target is to complete it in Q3.

Moderator: Thank you. We have the next question from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archi Joshi: Hi, good evening. And thanks for the opportunity. I have a few on Morita and the JV that we are working on right now. So the first one is when the MUIS deal had happened, I think we were proposing that there will be a mix or rather, a good mix of some recipes that we will get from MUIS, and which will also be supported by our technical expertise in making the electrolytes. And now it seems as we have indicated that Morita will be taking care of the salt bit, MUIS will be taking care of the electrolyte bit and we obviously will be more like a manufacturer or executor of all this at the end of the day. So it seems like a good trinity in the making of three, three companies working together. Has this all been worked out well because the salts that you probably would have made earlier would have had some discussions with MUIS with regard to what grades and purities that you will be providing and now with Morita coming into the picture. Does that change anything materially? Anything that you might want to comment on how these all three of us will work together?

Dr. Harin Kanani: We have demonstrated our ability to do that. We have sent samples to customers who have approved them. We have made electrolytes for last now 2.5 years and none of this is from the Mitsubishi plant. We are using Mitsubishi because we feel we can learn from their three decades of experience and Mitsubishi started one of

the founders of making electrolytes in Japan. Similarly, Morita is one of the founder person in the LiPF₆ or electrolyte salt. So we are very happy that both of these guys have trusted Neogen and you know, while it's not public but you know they're both from Japan, they've worked together in the past. So the customers...our

existing

customers also, they now have even more confidence. Just as before we were having, but Mitsubishi gave added confidence to the customer. So now Morita coming on board gives more confidence especially to future customers. So one of the advantages of having Morita is because they have used Morita quality LiPF₆ for especially Japanese and Korean electrolyte makers, they have used it for decades. So they bring that confidence also along. And not only that, very deep understanding of China market having played in China for last 30 years and competed in China against Chinese for the last 20-30 years.

Archit Joshi: Just the pricing bit we were discussing earlier. I think I was reading somewhere that electrolyte prices now ranging somewhere between \$9.5-\$10. And I think what I heard from you before, Morita does have this experience of manufacturing and selling in China, which I am presuming that will be far more cost competitive. And that's what brings them to our table with regard to their manufacturing expertise. But would that still be low enough in terms of the cost of manufacturing or production? Or at this price point of dollar realization when electrolytes prices have fallen so much, we would additionally need some Government support going ahead? Now that we already have PLIs and all these things in place, would the ancillary companies like us who are into battery chemicals or battery materials, at these price points that we were discussing earlier with an earlier participant, because the business dynamics have changed and stuff like that. Do we think that Morita's technical experience would in itself bring so much capabilities to reduce the cost or do you think that more Government intervention is required?

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Dr. Harin Kanani: First of all, you asked about whether Morita can help us reduce the cost. They use better technology and the better technology that we have. Whatever is done, when you think of manufacturing costs in China and manufacturing costs in India, that is always going to be different. And again, our stated goal and Morita is aligned with that goal, that we should basically target 20% ROCE on the business. So, whatever benefits which we can bring will pass on to the customer but again we don't want to commit to a specific price point, but yes with 30 years of experience that will definitely help.

Second point is in none of our business, we have basically expected or planned based on Government support. So we are not basically banking on any Government support or subject to a Government support the business model is possible or not. As you said very clearly that in electrolyte, we have to supply locally, we will supply, at one of the lowest costs available in India, good quality, international quality electrolyte and we have seen positive customer feedback on our not only the quality of electrolyte but also on the transparency and the business model. While electrolyte salt is mostly for the international market what we are going to do with Morita as well as our own internal consumption. So I think with having Morita with 30 years of experience gives us lot of confidence. And as I explained earlier to Arun's question, we are not waiting. This is not something which has triggered in last 6 months, 9 months. It's something which we were discussing for the last 2-2.5 years. But it just took longer time because a joint venture is a much bigger commitment as compared to a technology licence. So it just took us that much longer for everything to fall in place.

Archit Joshi: Sure, that answers a lot. Thank you. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B&K Securities.

Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Again, apologies for harping on the same issue. So first, in terms of the 400 MTP capacity which we had worked on in terms of

electrolyte

salt, then the next about 2000 tonnes of TPA capacity and now the Morita

Technology which will again give us some capacity from LiPF₆. All these three products are different and how is the user dynamics for all these three products?

Dr. Harin Kanani: What we basically have was electrolyte salts and additives and some intermediates of electrolyte salt and we were totally planning 2,500 tonnes in Dahej which was a mix of additive and electrolyte salt and the intermediates and we were planning 3,000

metric tonnes in our Pakhajan facility which is only for electrolyte salt. The additives and the electrolyte salt are basically very similar. They are lithium compounds. We have to purify lithium, then we have to make some basic simple lithium salt like lithium fluoride, lithium chloride. And then from lithium fluoride or chloride or a very high purity lithium carbonate, then we basically go and we make the electrolyte salt or electrolyte additive. The difference between additive and electrolyte salt is just how much it gets used. So usually the electrolyte salt is used between 10% to 15% in the formulation. The additive is normally used between 1% to 3% so that's the only difference but otherwise your end customers are the same and the dynamics remain the same. The pricing for the additive is a little bit higher and slightly lesser number of people make the additive as compared to the electrolyte salt. So these are the different dynamics of the two.

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Rohit Nagraj: So the 2,500 metric tonnes salt and additive would be different than LiPF₆ which will be with Morita?

Dr. Harin Kanani: No. LiPF₆ is also included in the 2,500 tonnes. We started making salt and additive both and salt as our own electrolyte plant comes up, we will need more capacity. So salt, we are increasing capacity in Pakhajan because the international demand of this is much higher. So if we are doing in Pakhajan, we can quickly ramp up. In case of additive, we are already setting up in Dahej. Right now we have not announced any capacity increase of additive in Dahej. If we see the demand increasing, the volume increases to the level where we cannot support at Dahej and we need to go to Pakhajan, then we have environment approvals also in Pakhajan to make the additive.

Rohit Nagraj: Got this. Second question on the numbers. So, for FY26, our legacy business will have about say Rs. 800 crore of revenues and an additional Rs. 300 crore from battery chemicals. So effectively about Rs. 1,100 crore+/- . What could be the EBITDA margin that we are looking for? And slightly similar question for FY27. Given that the affected plant will be up and running, we will obtain close to maybe Rs. 1,100 crore from the legacy business. And you said about Rs. 1,000 crore, which is the aspirational number from the battery chemicals. So effectively about Rs. 2,000 crore of revenues for FY27. So in both the years, what is the kind of margins that we are looking at the EBITDA level?

Dr. Harin Kanani: So, for FY27, I can give you clarity faster. As you said, there will be a full utilization of our new facility because it will be fully available. And demand-wise, you're already seeing a demand of around Rs. 1,100 crore. So, FY27, we will target somewhere around Rs. 1,100 crore of revenue. At full utilization level, that EBITDA should be 18.5%+/- 1% is what we target in our base business. For the Rs. 1,000 crore+ revenue, when I say it's not the number, I am just saying, it will be something more than Rs. 1,000 crore. It's too early for me to say because we need to understand how the electrolyte demand in India basically pans out and that'd be clear as we get closer towards the end of the current year. But the exact EBITDA percentage will depend upon many factors like utilization levels, what are the lithium prices. So, there we have given guidance at full utilization, the revenue of Rs. 2

,500 to 2,900 crore at

20% ROCE. Depending on the price of lithium, EBITDA ranges on a lower side 15%-16%, on the higher side going upwards of 20% depending on but for our Rs. 2,500 to 2,900 crore kind of revenue projection which was at a normal lithium price, the EBITDA percentage margins were in 16% to 18% kind of range. So that's on FY27. On FY26, as I explained earlier, Rs. 775 to Rs. 850 crore, the revised revenue projection due to fire what we have given, normal EBITDA margin would have been 17%-18% but like I said because of the impact of fire, and we have to do operations at different plants some bit outsourcing...so combination of that there will be some impact on the margin that should partly get covered by our loss on profit. But whether that will be applied in the current year or that will be applied in the next year depending on the insurance system and accounting policies, that's something which is not very clear to me.

Rohit Nagraj: Fair enough. Just one question from the modelling perspective. In terms of capitalization of assets or investments during FY26, what are we looking at? There will be one capitalization which will happen because of the plant reconstruction and in between the projects which are likely to be getting commissioned from the salt

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side. So on a broader basis, how much amount of assets will be capitalized just to get a perspective on what could be the depreciation amount.

Dr. Harin Kanani: Yes. Totally we are expecting the whole, all the lithium CAPEX is likely to be completed by March 2026. So that's around Rs. 1,500 crore will be capitalized. And on the plant side, we are expecting whatever is the replacement value of this. The loss was around Rs. 170 crore. So somewhere around Rs. 200 to Rs. 225 crore as a replacement value is where you would have a full capitalization.

Rohit Nagraj: And what could be the mode of funding for this entire CAPEX?

Dr. Harin Kanani: We are at a very advanced stage of completing the procedure for insurance policies. The funding for the MPP-3 and our insurance is on a reinstatement basis. So any additional CAPEX everything will be taken care from the insurance outflow. For any temporary funding needed, our banks have suggested that they can give us some temporary loan. But mostly it will be from insurance. And on the battery side of it, it is already tied up that the equity we had raised as well as the bank term loans, so long term loans which we have from both our phase one and phase two. And on top of that, now we will also have the JV partnership. So some money will also come in from the JV partnership contributions. All these will be the mode of funding for the battery.

Rohit Nagraj: In terms of FY26 exit, what is the kind of debt that we are looking at? And I understand that probably for the MPP3, there would not be any debt because whatever insurance claim comes in, probably we get topped off with the investments that we are making. But excluding that on the battery chemicals and plus the working capital front, what is the exit rate that we are looking at?

Dr. Harin Kanani: We have seen at Neogen Chemicals, you would have basically similar debt levels at present. Total debt would be around Rs. 400/Rs. 500 crore, including working capital of around Rs. 450 odd crore at the Neogen level. And at the battery, Neogen Ionics level, roughly around 70% is funded by the bank. So, totally from Rs. 1,500 crore - 70% of that - so, somewhere around Rs. 1,100 to Rs. 1,200 crore would be funded by that.

Rohit Nagraj: Sure. That's all from my side. Thanks a lot for answering all the questions and all the best.

Moderator: Thank you. We have the next question from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Good evening team. Just one bit of question on this CAPEX. As you mentioned that around Rs. 1,100 to Rs. 1,200 crore will be funded thr

ough debt. For FY25, you have already incurred CAPEX of about Rs. 470 crore on your Pakhajan greenfield facilities. In this Rs. 470 crore, how much was the debt part?

Dr. Harin Kanani: Gopi, do you have the number?

Gopikrishnan Sarathy : Yes. Basically, the debt is in two parts. One is the CCD, which is equity contribution, which is already gone. And I have another around Rs. 150 crore to be drawn for the project loan.

Dr. Harin Kanani: So I think basically Rs. 150 crore is from the debt.

Moderator : Thank you. Our next question is from the line of Jason Soans with IDBI Capital. Please go ahead.

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Jason Soans : Yes, thanks for taking my question. I just wanted to understand...earlier you have alluded to...we have a really, really good improvement in the working capital, which has reduced quite dramatically. Now I understand there must be definitely a big impact of the fire in it as well because you said the inventory, etc., gets written off as well. So I just wanted to understand if you have done some analysis excluding the fire, what measures have we taken, something with the suppliers or something like that to improve our working capital? Just excluding the fire event, because that will be a one-off thing. And just would want to know what is the sustainable impact of this?

Dr. Harin Kanani: Yes. Excluding fire, as you have seen, we have done certain things to basically work on our debtor cycle as well as our credit cycle. So that has already happened. And you're also more mindful this year because as I told you the year before, we were just ramping up our production and in between we had to change from working from one set of customers to another set. When agro slowed down, we had to move to pharma and other industries. So this was some changeover that we had to do. Other than that, even after you take the fire impact, you can see that overall there is an improvement. I think largely still, we basically maintain the stock levels at a similar level. And even after impacting for fire, in terms of number of days, etc., and our

debtors and creditors both improved. Together we were able to do better. I think as I explained in one of the earlier questions after long term, we want to have a policy in place where we can at least manage debtors and creditors so that they can balance each other and by securing better credit terms and funding products and for the stock and the inventory business is working so that we have larger molecules, more visibility. Over a period of time, we can improve that.

Jason Soans: Sure. Thanks for that. And I just wanted to...you do speak about 20% ROCE in your battery business, but are you working with some kind of steady state realizations for salts and electrolytes? I mean, if I am considering the lithium prices, the low lithium prices, just would like to understand if you're working with some steady state realizations for both the products?

Dr. Harin Kanani: We have done business for the last 40 years with Thermax to make lithium bromide and with some other customers for the lithium salts which are for the non-battery market. So in this, what we have seen beneficial both from a customer point of view and our point of view and to sustain a long-term relationship is to have lithium as a price through. Almost all non-China customers really appreciate that because they know we are not making price, money on lithium price fluctuations and that is something which is very transparent, and we are mostly working on what is Neogen's efficiency on conversion. So, this is the way we have done it and the salt business that whatever agreements we have signed where we have basically kept 20% ROCE of course subject to Neogen hitting the manufacturing cost and the operating cost targets. The consumptions have to be correct, the yields have to be correct. But if we get whatever we have targeted correct, then we can basically e

arn the right to

get 20% ROCE on the salt business. Electrolyte, so far we have not yet signed contracts, but majority of the pricing discussions with the customers are on a very transparent basis. As we increase capacity, we will keep reducing per metric tonne margin because my CAPEX per metric tonne is going to reduce. So I think this is really appreciated by the customer and is one of the differential factors when we work with both local as well as international customers. So there is no number which I can predict on the realization because lithium price fluctuation affects significantly, NEOGEN "

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especially salt. Electrolyte, the impact is a bit lower because the lithium content per kg, consumption there is much lower. But in today's scenario, all the other raw materials in electrolyte also are depressed prices. So we pass that on to our customers because we don't want to play on price differential in one market versus other on RM. We want to basically earn our margins through our technology, through the processes, and through controlling cost in the right direction.

Jason Soans: So, totally both the businesses you will basically targeting ROCE of 20%?

Dr. Harin Kanani: Correct, yes. That's the target. In salt, we have been able to already conclude as volume is not 100% confirmed contracts. Whatever price understandings that we have, pricing mechanisms that we have concluded, they basically ensure the 20% ROCE. For the electrolytes, we still because the customers as they get closer to their ramp up. But in principle, that concept is accepted by the customers that everything else has to be priced through. And we need to discuss mostly on Neogen's contribution part.

Jason Soans: Sure. And I just wanted to understand the gross block has reduced. Is that only because of the fire? Or is there any other reason?

Dr. Harin Kanani: That's the only reason, fire.

Jason Soans: And you mentioned that Neogen Ionics has a topline of Rs. 120 million. But when you do a simple minus to minus, the subsidiary revenue is around Rs. 40 million. So what explains the difference?

Dr. Harin Kanani: I explained to an earlier participant that there were some raw materials which were needed which were initially bought by Neogen because Neogen could get credit as a lithium and then they were transferring it to Neogen Ionics. So this you will see in a 3 month, 6 month, 9 month also; but now as Neogen Ionics stands on its own, the business becomes regular then the customers, the suppliers will give directly credit to them. So there are some inter-company transfers which is what explains the Rs. 8 crore.

Jason Soans: Okay. And so just lastly wanted to understand, you mentioned Rs. 300 crore for battery chemicals in FY26. Is that a sort of a guidance? Are you guiding for in FY27 Rs. 1,000 crore for battery chemicals?

Dr. Harin Kanani: Yes. So we have already guided for Rs. 300 to Rs. 500 crore guidance on battery chemicals as we discussed in our call. We will still look at a Rs. 500 crore number

but yes, based on the discussions we had on our call, it looks closer to around Rs. 300 crore is what we are saying. Across the first half, we will be able to give you a better idea.

The second is just a number, it will be more than thousand but the guidance, more specifically as a guidance we will let you know maybe as we get closer, once we have clarity on India battery market, as well as once the supply starts to our customers.

Jason Soans: Thank you so much for answering all my questions. Thank you.

Moderator: Thank you. That was our last question, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments.

Dr. Harin Kanani: Thank you all for participating today. We hope we were able to answer your questions. Our Investor Relations team is available for any further questions you

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may have. We appreciate your time and look forward to speaking with you again next quarter. Thank you again.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Disclaimer: The transcript has been edited for clarity. It may, however, contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: May 2025

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May 26, 2025

BSE Limited
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Scrip Code No: 542665 National Stock Exchange of India Limited
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Sub.: Q4 & FY25 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings
Conference Call Transcript of the Company's Q4 & FY25 Earnings Conference Call held on May
19, 2025.

The transcript is also being uploaded on the company's website at
<https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q4 FY25 Earnings Conference Call Transcript
May 19, 2025

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Limited's Q4 FY25 Earnings Conference call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you.

Nishid Solanki: Thank you. Good evening everyone, and welcome to Neogen Chemicals' Q4 FY25 Earnings Conference Call for analysts and investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director; Mr. Anurag Surana – Director and Mr. Gopikrishnan Sarathy – Chief Financial Officer. We will commence the call with opening thoughts from the management team, post which we shall open the forum for Q&A, where the management will be addressing queries of the participants.

Before we commence, I would like to share our standard disclaimer. Certain statements made or discussed on the conference call today may be forward-looking statements. The actual results may vary from these forward-looking statements. A detailed disclaimer in this regard is available in Neogen Chemicals' Q4 FY25 earnings presentation, which has been shared earlier and uploaded on the stock exchange websites.

I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you sir.

Dr. Harin Kanani: Thank you, Nishid. Good evening everyone, and welcome to our Earnings Call for Q4 and full year FY25. We appreciate your taking the time to join us today to discuss our financial performance and provide an update on our strategic initiatives.

I will begin with a review of our performance for Fiscal Year 2025. I am pleased to report that we concluded the year on a positive note, achieving 13% revenue growth and 24% improvement in EBITDA.

This performance is satisfying as we accomplished it against a difficult global industry backdrop, which led to weak pricing trends as well as a fire incident in Neogen Chemicals which happened towards the end of the quarter. Despite these

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headwinds, we did observe some pockets of domestic demand resilience that helped partly mitigate the impact. Our ability to deliver amidst these challenges was an outcome of our agility with which we swiftly navigated (the crisis) by pivoting towards product applications with favorable demands like Semiconductor, Flavor & Fragrance, and select opportunities in Ag-Chem, Pharma, and Industrial CSM, among others.

During the quarter and full year, both organic and inorganic chemical segments demonstrated steady volumes. While global pricing remained a factor, our ability to capture greater market share through increased volumes underscored the strength of our product offering and operational efficiency.

Now before providing updates on expansion initiatives, let me share some important developments:

■ On March 5, 2025, a fire occurred at Neogen Chemicals, Dahej facility which impacted our main manufacturing plant, MPP-3, warehouse and tank farms. While there were no injuries or casualties, production at the plant had to be suspended. We are fully covered by insurance for both, asset damage and business interruption. To mitigate the impact, we have already shifted production of certain products to our other sites, subject to customer approvals and construction has commenced for the replacement plant at an adjacent location within the same site which will be operational by Q4 FY26. While this incident has necessitated a revision of our FY26 revenue guidance of Rs. 775 crore to Rs. 850 crore, we are taking all necessary steps to restore normalcy and minimize disruption.

■ Following EC approval for brownfield expansion, we have more than doubled the capacity of BuLi Chemical Facilities at Patancheru, Hyderabad from 120 metric tonnes active to 300 metric tonnes active through de-bottlenecking. This enhances our manufacturing capability for critical organolithium compounds which are essential reagents in the

production of complex pharma, agrochemical and semiconductor intermediates.

■ In another major development, we are incorporating a wholly-owned subsidiary of Neogen Ionics, namely, Neogen Morita New Materials Limited, subject to the name approval by ROC. The objective is to address growth opportunities in lithium-ion battery material space, especially related to electrolyte salts needed for internal consumption for electrolytes as well as to meet global market demand. In addition to this, Neogen Ionics Limited is in advanced discussion with Morita Chemical Industries Company Limited of Japan for formation of a joint venture company in India. And to facilitate the same, Neogen Ionics is in the process of formation of this wholly-owned subsidiary. Shifting our focus to strategic growth drivers, I will now provide update on expansion initiatives:

■ New capacity of 400 metric tonnes per annum of lithium electrolyte salts and additives, and 2,000 metric tonnes of electrolyte for Dahej.

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■ For salts, 200 metric tonnes per annum capacity has been commissioned with the first approved material already shipped to the customers. Trial production is ongoing for another 200 metric tonnes per annum. Further expansion of salts includes 1,100 metric tonnes to be commissioned by September 2025, and another 1,000 metric tonnes by March 2026

■ For electrolyte, 2,000 metric tonnes has been fully commissioned. A major ACC battery manufacturer has commenced trial production and commercial production is expected to begin by Q1 or Q2 FY26, and our initial capacity is well aligned with their requirement

Update on Greenfield Battery Materials facility using MUIS technology:

■ Construction is moving swiftly with civil work erection and engineering phase nearing completion. The modular plant is also nearly completed with structural work substantially finished. Concurrently, equipment assembly and installation are a

iso nearing end. Major equipment has been assembled by MUIS and is expected to arrive on site by Q2 FY26, thereby accelerating plant installation. Based on this progress, we remain on track to commission the facility by March 2026 or earlier. This project will fast track our entry into high growth lithium-ion battery material segment, crucial for India's EV and energy storage industries. By becoming a domestic manufacturer at scale, Neogen can capture substantial market share, reduce India's import dependence and leverage our first mover advantage with proven global technology. This strategic move not only diversifies our revenue streams and enhances our value proposition, but also positions Neogen as a critical supplier within the advanced battery supply chain, contributing to further growth and profitability.

Though FY25 had its difficulties, the future of Neogen Chemicals looks promising. We are strategically positioned to capitalize on our profound expertise in multiple chemistries to fuel sustained growth. Our approach involves a dual focus - continued emphasis on higher value specialty chemicals in which we excel and significant new impetus from our developing lithium-ion battery material segment. Overall, we are confident in our ability to continue to deliver value to our shareholders through strategic execution, innovation and unwavering commitment to operational excellence.

That concludes my opening remarks. I would now request our CFO, Mr. Gopikrishnan Sarathy to share financial highlights for the period under review. Gopikrishnan Sarathy: Thank you, Dr. Kanani. Good evening everyone, and welcome to Neogen Chemicals' Q4 & FY25 Earnings Call. I shall now take you through the financial highlights. Please note, all the numbers are on consolidated basis, and are based on year-on-year comparison.

For FY25, our revenue stood at Rs. 778 crore, higher by 13%. This was driven by strong volumes in the core business, including BuLi Chem. This growth came in spite of soft pricing environment as well as unavailability of our Dahej plant for 25 days in the month of March 2025. Neogen Ionics reported a revenue of Rs. 12 crore for FY25. The revenue would have been higher, but for the fire event which led to loss of finished goods inventory.

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Organic revenue for the year stood at Rs. 666 crore, reflecting 22% increase, while inorganic revenue stood at Rs. 112 crore. Lower bromine prices on a year-on-year basis impacted the revenue trajectory in Organic Chemicals. Had they remained stable, Organic revenue for FY25 would have been higher by Rs. 81 crore. Likewise, lithium prices also witnessed a decline on a year-on-year basis. Adjusting for this decrease, Inorganic revenue would have been higher by Rs. 16 crore in FY25.

Further, EBITDA stood at Rs. 136 crore, grew by 24%. This was driven by operating leverage from higher volume and supported by our continued focus on cost optimization. As a result, EBITDA margin improved to 17.5% in FY25, an increase of 160 basis points over that of FY24. PAT for FY25 stood at Rs. 35 crore, down by 2%. PAT was impacted by the exceptional items charge of Rs. 14 crore for the damage caused to certain PPE, inventory and estimated cost of incidental charges due to the fire incident at our Dahej facility.

Let me also give you a quick summary of Q4 FY25 financials:

For Q4 FY25, we recorded a revenue of Rs. 203 crore, while EBITDA came in at Rs. 36 crore. PAT stood lower at Rs. 2 crore, primarily due to the exceptional factors related to the fire incident explained earlier.

For FY25, we incurred a total CAPEX of Rs. 470 crore in Neogen Ionics, out of the total of Rs. 1,500 crore planned. As of FY25, our total debt stood at Rs. 566 crore, while our networth remained strong at Rs. 789 crore.

With this, I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much

h. The first question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Okay, so first a few book-keeping questions. If I look at the working capital side, we have seen a significant improvement there, led by both inventory as well as payables being higher. Your thoughts on what could be a sustainable number on the overall basis in individual inventory as well as payables?

Dr. Harin Kanani: As we have said, when we were planning to hit full utilization in FY26, we basically were targeting 140 to 150 days of inventory, and between 75 to 95 days of working capital of the debtors, and similar number we wanted to target on the creditors side, so that our debtors and creditors are balanced, and we reach around 140 - 150 days of total working capital cycle.

Long term, beyond reaching full utilization in FY26, we would like to bring this down to around 110 to 120 days. This is on a standalone basis. And in Neogen Ionics, we are targeting to keep it below 90 days. So, on a consol basis, we would be below 100 days is our long-term target over the next 2 to 3 years.

Ankur Periwal: Sure. And just on the payable side, the sharp jump for the year-end was more a timing issue, and we should be back to that 80-90 days average as you suggested, right?

Dr. Harin Kanani: That's right. Basically, our intention is to ensure that our debtors and creditors are more or less balanced, and we will keep making business decisions and operational decisions to improve the inventory part.

Ankur Periwal: Sure, that's helpful. The second question is on the net block. We see a Y-o-Y reduction in net block, and there is a jump in the advances as well, which to my mind

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is because of the insurance bit. So, have we written-off the entire gross block there for the new asset? Just trying to understand the accounting treatment.

Dr. Harin Kanani: Yes. May be Gopi can answer this question better.

Gopikrishnan Sarathy: We have written-off the asset to the extent it has been damaged, and the balance utility section, ETP section, admin building, NIL block, all those which have been good have been continued as is, because they are in good condition. Only the MPP-3 and the warehouse have been written-off.

So, the accounting treatment is simple. Basically, as per accounting standard, since the loss has impacted both, the inventory as well as PPE, to the extent it is damaged, I need to recognize the loss. And to the extent we can recover, we have to recognize an insurance claim, which is also elaborated in our notes to the SEBI accounts. So, that's what we have done.

Ankur Periwal: Sure, and the construction of this plant should be done by mid of next financial year.

Dr. Harin Kanani: No, we have given a 9 to 12-month target. So, from the incident, if you look at the fire note that we have circulated, we are targeting for this plant to come on line by Q4 of the current financial year. So, next year we expect the plant to be fully

available.

Ankur Periwal: Sure, thank you. And just lastly, on the battery plant ramp-up, any customer approvals that we are looking at as well as the timelines, both at the domestic as well as from the global customers, if you can share your thoughts.

Dr. Harin Kanani: We had visits post the fire because the customers wanted to assess. So, they came and they saw that the battery plant was not affected and the operations here were continuing, except for some inventory we lost, because we had a common inventory storage. So, some raw material and finished goods inventory we had lost, but other than that the plant was running okay. So, both were satisfied.

And on the India Electrolyte side, it depends on the Indian demand ramping up. So, we are just waiting for our customers' demand, we are fully ready. And the progress which we are making in Pakhajan is also in such a way that in 2026, as we have discussed in

earlier call, 4 - 5 giga factories would be starting and we should be able to take care of all of their 2026 demands. So, I think Electrolyte business will depend only on the demand side.

And on the salt side, the customers have visited. They have seen the plant, and they said we wanted to do a very detailed audit. So, they have basically planned the detailed audit in the beginning of the second half of the year, and the final approval they are expecting by Q3. So, sometime in Q3 is where the commercial shipment should start.

They have also looked at the progress in Pakhajan. The Pakhajan salt site also we are targeting by Q4. So, mostly the revenue contribution from there will start coming from next year onwards.

The progress which we are making in Dahej for the salt was appreciated by the customers and they, with whatever geopolitical happening, they have asked us to fast track the capacity increase to 2,500 tonnes there, because they want to reduce their dependence on China, starting end of the current calendar year. So, basically Q3 financial year onwards, they would like Neogen to start shipping, and Q4 is where they expect major ramp up there.

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As the Indian cell makers' demand increases, we are ready to completely take care of their demand for electrolytes, and they have almost qualified the plant. Only some additional trials are needed, but otherwise there is no challenge on the electrolyte side.

Ankur Periwal: Great, sir. Just one clarification. The ramp up on the salt side, Q3 onwards is largely for the global customers and India is already there. Is that right in that sense?

Dr. Harin Kanani: Salt is only global, right, because otherwise its internal consumption.

Ankur Periwal: Yes, yes. Okay. Fair enough. That's it from my side. Thank you. All the best. Thanks.

Dr. Harin Kanani: Yes. Thank you.

Moderator: Thank you. The next question is from the line of Naushad Chaudhari from Aditya Birla Mutual Fund. Please go ahead.

Naushad Chaudhari: Hi. One question on this fire incident. Out of Rs. 360 crore of loss, how much is for the inventory?

Dr. Harin Kanani: Approximately Rs. 160 crore to Rs. 180 crore would be inventory-related, and the balance is the physical assets.

Naushad Chaudhari: Okay. Second, in the Battery Chemical business, a lot has changed in the last two-three years in terms of overall economics of the business. I have heard your explanation. But in capitalism, no commodity we have seen in the world can have such a huge disparity for a very long period of time, for a short period of time. One country can have different price, other can have different. But over a long period of time, things have to get at equilibrium. So do you think from the point where we had started versus today, the economics of the business has completely changed versus what we were expecting? And we need to rethink how we should see this business?

Dr. Harin Kanani: Thanks for the question. I fully agree with you that over a period of time, most of the countries will have to come to more reasonable numbers which are the right numbers. And we have seen that, if you look at a 4-year, 5-year data of China, there are times when they go very low, but then they go very high basically to make up for that. And then sometimes, there is a period when it's average. So I fully agree with you.

Our view today and most of the people's view today is that because China set up very large capacity thinking of a very bullish not only China trend, but also international trend. Therefore, they kept the prices lower. And if they sustain at this level, we have already started seeing some of the companies, they are the smaller,

weaker players, to start exiting the market.

And we believe eventually, and also the demand is not growing, especially outside China at a rate which was estimated. But overall, what we have seen is the demand is still growing. En

ergy storage is also one very strong growth area which has emerged. And overall, once the demand and supply match out, we expect the prices will become more reasonable and would be higher as compared to what it is today. It is across the value chain. If you look at the price of lithium, if you look at the price of electrolyte salts, or you look at the price of electrolytes.

Having said that, we are right now in two businesses. One is electrolytes for India, and second is electrolytes salts for the international market. Whenever we look at electrolytes in India, we feel because one, there is a necessity that this has to be local. And even if you were to think as compared to international parity, at the same

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apple to apple, so let's say we are talking 10 KTA to 10 KTA demand or 50 KTA to 50 KTA or 1 KTA to 1 KTA, we feel our price is very much close to what the international price is, the landed cost, if you were to consider. So I think that's very much in line.

If you look internationally, yes, today the salt prices are very low. And we believe these are not sustainable. But the premise there was, are we the cheapest source outside China? And that still remains true that outside China, we remain one of the key cheapest sources.

And with whatever is happening, all the international companies, if you think of within EVs the contribution of the battery; within that you think of contribution of electrolytes, and then you think of contribution of the salt, and that too lithium is something which is anyway a pass-through. So if you think of the manufacturing cost of the salt as a contribution, it's very low in the overall EV or a battery price, but it's very critical. So in case if tomorrow there is any disruption on supply from China, definitely they need a backup source.

So I think we still have that space of a backup. As I told you, even the customers who visited, their question was, Harin, how can you bring up the capacities faster, and not any concern? So they really have that concern. So we feel there's a very strong demand for a non-China supply, and we qualify for that.

Naushad Chaudhari: See because tomorrow your customer also have to fight with somebody for the market. And today, because of the unavailability and discomfort, they might be in aggression to get the new suppliers on board. But eventually, because there is no case study that the one commodity which is not very so difficult to make, can trade at very differential price versus in some other countries. There are many commodities which cannot be transported, but it has to have some parity. So maybe eventually when your customer starts facing this competition, one has to match that. So apart from customers looking for China Plus One, is there any other advantage we Indian players have, which can help us to get the required ROCE from these projects?

Dr. Harin Kanani: Sure. One is China Plus One. Second is the business model. Because historically the way China works is go very low, very high. They don't work on a price plus model. In fact, if you ask them for a price plus model, their price also comes very close to where our prices are.

On top of that, I think these are two factors. And you might have heard recently in our announcement that we have made significant progress in getting into a JV with one of the Japanese companies. They are in this business for the last 30 years. They have two plants in China. They are already making in China. And they have made in China and supplied for last 30 years against Chinese competition in China.

We will have some of the benefit of their 30 years of experience. Their quality is supposed to be among the best, when it comes to electrolyte salt. So we now have advantage of a better quality, which leads to better performance of the final electrolyte, and the battery is made out of that.

On top of that, you would also have experience,

which will allow us to further

compete in a very aggressive market. And again, you are right that the China price today is very low, but we have faced similar situation in Specialty Chemicals, in Pharma. There are many intermediates for which China reduces the price and then

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they increase the price. We have sustained against Chinese competition for many of our pharma molecules by having more steady, fair price and giving that option where the customer makes more money over 4-year, 5-year period, once this price is basically recalibrated. So it's a different quality, different price model, and criticality. Everything together makes us still attractive for the customer.

Naushad Chaudhari: Sure, I have a few follow ups. I will come back in the queue. Thank you.

Moderator: Thank you. The next question comes from the line of Abhijit Akella from Kotak Institution Equities. Please go ahead.

Abhijit Akella: Yes, good evening, and thank you so much. First, would it be possible to just share with us the revenue breakdown for the full year Fiscal 2025 please, in terms of Bromine Compounds, Advanced Intermediates, and then the CSM business?

Dr. Harin Kanani: Yes. The Bromine Compounds basically contributed to roughly around 55% of the revenue; and the Advanced Intermediates and CSM together were roughly around 25% of the revenue. Then I think the Inorganic was around 15% of the revenue; and the BuLi was around 10% of the revenue.

Abhijit Akella: Okay. I think it's gone to about 105% actually. So that's fine. Maybe yes, some rounding error somewhere. So just to clarify, the Neogen Ionics business is part of organic or inorganic, in the way we presented?

Dr. Harin Kanani: (Blank Audio) (0:28:30) .. Rs. 12 crore. It would have been higher because majority of the salt shipments, we were planning in the end of the quarter were impacted. So normal quarter would have been somewhere between Rs. 5 crore to Rs. 8 crore additional is what we would have achieved, had the fire not happened.

Abhijit Akella: So Neogen Ionics is part of organic or inorganic?

Dr. Harin Kanani: Inorganic.

Abhijit Akella: Got it. Okay. And also just one sort of book-keeping thing. The Rs. 12 crore revenue for the full year, whereas the difference between consol and standalone revenues is only about Rs. 4 crore. How do we reconcile that?

Dr. Harin Kanani: Some of the raw materials till we directly got approvals, Neogen used to import and then share it, that is, transfer it to Neogen Ionics. So, it's gross.

Abhijit Akella: Okay. Got it.

Dr. Harin Kanani: Yes. I have the revised numbers with me. Gopi just pulled up. So 44% was Bromine Derivatives; around 31% was Advanced Intermediates and Contract; 11% was Organolithium, BuLi; the Inorganic Lithium Compounds was 11%; and the Battery was about 1%.

Abhijit Akella: Thank you. On the Battery Chemicals business, last quarter you had mentioned a revenue target of somewhere around Rs. 300 to Rs. 500 crore for Fiscal 2026. Does that still seem feasible, given the fact that it seems that the Salt approvals are taking maybe a quarter or two longer than we previously thought?

Dr. Harin Kanani: Yes. Rs. 300 to Rs. 500 crore looks now closer to Rs. 300 than Rs. 500 depending on the approvals.

Abhijit Akella: Okay. And also the delay is because of the fire in any way or is it just something to do with the customer schedule?

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Dr. Harin Kanani: I think a little bit of both, because for example, the customer was planning, but then the fire happened. So what happens is before their expert teams come for validation, they sent a pre-team to look at the situation, then they come. So maybe like a quarter delay because of that.

Abhijit Akella: Got it. Also for Fiscal 2027, is there any rough number you have in mind? I know it's very, very far away, and it depends on the market, but any rough number

we could

work with, for revenues, Battery?

Dr. Harin Kanani: Again, internally what we are targeting is, it has to be a 4-digit number. We did single digit last year, we did double digit this year. The target is in the current year, we want to do three digits and the year after four digits. But again, it depends on how much electrolyte market share we get. So that is one of the criteria and how the salt volumes ramp up. The capacity will be there to do Rs. 1,000 crore plus revenue, but how much Rs. 1,000 crore plus is something that we need to decide.

Abhijit Akella: All right, fair enough. I have just one last thing from my side and I will get back in the queue for more. One is just this investment with Morita, any sort of size in terms of CAPEX or something that we would have in mind. And on the margin side, while we have guided to the Rs. 775 to Rs. 850 crore revenue from the base business for FY26, any dent on the margins, because of maybe moving the production around within our plants or somewhere outside as well?

Dr. Harin Kanani: On the first bit, the CAPEX. Basically what will happen is that the salt capacity that we are planning, especially the Pakhajan salt capacity of 3,000 metric tonnes, this will basically be transferred to the joint venture, the subsidiary company. So the overall CAPEX would remain more or less the same.

We are doing the exact alignment of Morita's technology with Neogen. We have already done quite a bit. And based on that, we have even modified some of our existing plants. But the exact overall impact would be done, let's say, as we conclude the JV, and we will then know the exact change, whether positive or negative on the site. But we will basically see what is the total CAPEX.

Overall, the capacity plan remains the same. And the 3,000 tonne, which we are setting up in Pakhajan, and maybe future salt capacities, would be done by this subsidiary JV company. That is what we are targeting.

More or less, we feel it should be similar to what we have guided. The total CAPEX of Neogen Ionics in the battery space will be Rs. 1,500 crore. But as we conclude our discussions and once we have aligned completely, then we will be able to see if there is any revision on the overall CAPEX, and the breakdown on how much will remain with NIL and how much will go in the JV. This we will provide at a later date. In reference to your second question about margins, broadly speaking, the margin should follow the same trajectory, except as you said, we will have to move around production or do some bit of outsourcing wherever it's permitted. Some impact of that. That should ideally be covered by the business interruption, like the loss on profit policy that we have for insurance, because of any additional costs. The only thing is from an accounting point of view or from an insurance point of view, I don't know when we will be able to recognize that, because normally the loss on profit policy gets completed once the reinstatement is over, because then you know exactly how much profit you lost. Most of that will happen either in Q4 or in the next financial year, we will know. Any margins that we miss, we should be able to cover NEOGEN "

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through that. But I don't know on a quarter-on-quarter basis how it will move. Overall, if we think of it, once you have taken that into account, the 18.5%+/- 1.5% at the Neogen level, we should have that. And Neogen Ionics will be ROCE driven.

Abhijit Akella: Thank you. That's very helpful. I will get back in the queue for more.

Dr. Harin Kanani: Okay. Thank you.

Moderator: Thank you. Our next question is from the line of Arun Prasath with Avendus Spark. Please go ahead.

Arun Prasath: Thanks for the opportunity. Good evening, Dr. Harin. My first question is something around this Morita JV. Can you just help us understand why we entered into a JV in the first place? Because it wasn't there in

the past. So what is the need at this point of time? What is it we are trying to do, this JV, which we couldn't do it earlier? And what would be the CAPEX contribution from the JV partner, and all those things? Those details can you just help with?

Dr. Harin Kanani: As I explained earlier, Morita Chemicals is a 100-year old company, based in Japan, and for the last 30 years they were making LiPF₆ in China, and they have been making it consistently, competing against China, in China. They are supposed to be the best in the solid LiPF₆ technology, even within China. And we felt that as we grow to 3,000 tonnes, and then when we think of, from a future point of view - somebody who has done this business internationally. All the electrolyte makers of the world - in Korea, China, Japan - have used their LiPF₆. That makes the approval process for a broader customer base much faster. They also have experience of which customer has which tendency, which customer expects more stable price and benefits. So that also is going to be beneficial. Also having worked on this for almost 30 years, their quality systems, their process systems will be better as well as the safety systems to handle AHF at such a large level, all of this experience which they are bringing. It is the same thing as Mitsubishi. We can make the Electrolyte, but with Mitsubishi we can do better. Similarly, with Morita's help, we can do better. Their technology is superior and when we are talking of higher salt because before it was electrolyte and salt was only for our own internal consumption and then we said, okay we can do international business, but when we want to make salt as a focused business area, then somebody who has done it for last 30 years will add a lot of value.

Almost all non-China customers, the three Koreans and the two Japanese electrolyte makers, whether they are doing business in US or not, they have used their LiPF₆. So we basically can work together and also get some capital which is coming in a

strategic form. That also helps. And they are constantly updating the technology so the speed with which we can also update technology and keep track on that. So we felt this was something which we were discussing for a long period of time, and we felt just as when we did Mitsubishi. It gave a lot of comfort to our customers. The same thing we felt is that this is also something which can give us superior technology and as a joint venture partner, even more than just license technology. Having considered all of these, this was something which we discussed for a long period of time and because it was a joint venture, many things we needed to align. So it took its time. But we feel it will really consolidate because now you have somebody who has the China experience, who has all the customer approvals and with the same technology, we are making in India a non-China base. So it will be one of the lowest cost outside of China is what we feel and if the China price is same, NEOGEN "

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where we are doing a fair pricing, we can even match basically same as Chinese technology and prices on a fair comparison.

Arun Prasath: Okay. So, out of 5,500 tonnes, 2,500 tonnes will be based on our own technology and 3,000 tonnes will be on the Morita JV, right?

Dr. Harin Kanani: Sorry, the 2,500 tonnes is basically some bit of salt and also additives. So this JV is specifically for electrolyte salt. Majority of the 2,500 tonnes is going to be with the additive part, which is what we will be doing and even the salt part there. While the plant is partly already designed or partly already constructed and remaining under construction, we will try and Morita will also support us on improvement there whatever we can, but the new plant will be built from scratch completely as per their technology. So whatever salt we are doing, the main salt LiPF₆ that will be directly exactly Morita Technology or

with the help of improvement suggested by Morita

Technology. The additive continues to be our own technology and electrolyte 2,000 metric tonnes in Dahej is our own technology. The 30,000 tonnes in Pakhajan will be basically Mitsubishi Technology.

Arun Prasath: Right. Dr. Harin, just again, I am coming back to this. So I am sure we would have been discussing this with Morita for a long period of time. Throughout the last year, we were very confident of making the salt with our own R&D capability and tech. So what pushed us towards this JV? Is it customer feedback or is it that the commercials are now much better? Just wanted to understand that the decision-making part of getting into this JV.

Dr. Harin Kanani: We were discussing with them on technology collaboration or JV almost the same period of time since we started Mitsubishi discussion. This is something which we were discussing for the last 2.5-3 years because we knew that this would be beneficial. So it's the same thing like electrolyte. We can make on our own. There is no change in that, but we can do better with their experience. This is something which we were discussing but as against the technology licence they were very clear in the beginning because they also needed a non-China facility, but you understand that technology licensing is one decision, and a joint venture is a bigger commitment and a bigger decision. So, it took us longer for this to happen. In the past also, if you remember, 3 months - 6 months or even 9 months ago, we felt that we have some balance equity which we need, but our preference is through strategic. We always felt that these kind of JVs where we get strategic money are beneficial for us because we get commitment from them and then we are doing it together. So this is not something which was decided in 3 or 6 months, it took us a bit longer than Mitsubishi to get it to conclusion.

Arun Prasath: This JV is 50-50 control or 51-49? How we should understand this?

Dr. Harin Kanani: It will be significantly controlled by Neogen. It will be much more than 50% for Neogen. So, majorly Neogen control. The exact percentage we'll share. So it will largely be owned by Neogen, majority control and above.

Arun Prasath: Understood. And secondly, on the guidance you provided, Dr. Harin, it's Rs. 300 crore which falls under the lower band. It seems even if we start by the end of Q3, only from salt, if you have to make Rs. 300 crore for this year, utilization should be much higher, right? It cannot be a very phased-wise increasing utilization, probably north of 70%-80% utilization should be there in FY26. Then only we can get this kind of revenue.

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Dr. Harin Kanani: This is not from salt, that is total. Rs. 300-500 crore was total. So it's electrolyte and

salt, everything together.

Arun Prasath: But electrolyte, we are not looking to export during this year.

Dr. Harin Kanani: No. Rs. 300-500 crore is the total guidance we had given for Neogen Ionics.

Electrolyte will be from India's requirement. As you know, one gigafactory is now getting streamlined. The second one is likely to start by the end of the year. And another, at least one more, will start before/in the Q4 financial year. We are expecting at least three customers requiring electrolytes and so the demand of these three as well as salt in the second half together should be able to do. We had initially guided Rs. 300 to Rs. 500 crore. Now it looks a little bit closer to Rs. 300 crore.

Arun Prasath: Any rough breakup in Rs. 300 crore between salt and electrolyte revenue?

Dr. Harin Kanani: Let me get back to you on that, but I think approximately we had targeted around Rs. 150 to Rs. 200 crore of electrolyte and Rs. 150 to Rs. 200 crore of salt.

Arun Prasath: And the electrolyte part depends upon the local manufacturers' readiness?

Dr. Harin Kanani: That's right.

Arun Prasath: Understood.

Dr.

Harin Kanani: Most of these will be more in the second half as compared to the first half.

Arun Prasath: Understood. On the export side, we spoke about the customers who need to do the field audit by Q2. This we are talking about a couple of customers or multiple customers. How should we look at it and the nature of these customers also can help us understand, are they battery manufacturers or OEMs? If it is battery manufacturers, do they need further approval from the OEMs? This kind of details please help us understand.

Dr. Harin Kanani: Whatever we are doing, at least in the US market, is battery manufacturer plus OEM. They are both aligned on this. So it will be actually electrolyte maker, battery makers and OEMs.

Arun Prasath: Okay. So basically battery manufacturer is the one who will be taking the final shot of giving the approval?

Arun Prasath: Whatever the approval given by the battery manufacturer, that stands final irrespective of what the OEM feels?

Dr. Harin Kanani: No. I am just saying everybody's aligned with this. That's the only thing I am saying.

Arun Prasath: Okay, but our customer is battery manufacturer not the OEM.

Dr. Harin Kanani: Anyway, you know, I would not like to specify more here. We would of course be selling it to the electrolyte makers. But we would have several electrolyte makers, the battery makers, the OEM, everybody is aligned.

Arun Prasath: Understood. This field audit is the final step in the overall approval process or is there anything else apart from this as well?

Dr. Harin Kanani: Basically post field audit, actually battery manufacturing trials would start.

Arun Prasath : Okay, that is approximately how long it will take?

Dr. Harin Kanani: They will do the field audit. There will be a large scale trial in actually making the batteries out of that and any additional trials that people want, the customers would like to do.

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Arun Prasath: Okay, so all this can be completed by when?

Dr. Harin Kanani: The target is to complete it in Q3.

Moderator: Thank you. We have the next question from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archi Joshi: Hi, good evening. And thanks for the opportunity. I have a few on Morita and the JV that we are working on right now. So the first one is when the MUIS deal had happened, I think we were proposing that there will be a mix or rather, a good mix of some recipes that we will get from MUIS, and which will also be supported by our technical expertise in making the electrolytes. And now it seems as we have indicated that Morita will be taking care of the salt bit, MUIS will be taking care of the electrolyte bit and we obviously will be more like a manufacturer or executor of all this at the end of the day. So it seems like a good trinity in the making of three, three companies working together. Has this all been worked out well because the salts that you probably would have made earlier would have had some discussions with MUIS with regard to what grades and purities that you will be providing and now with Morita coming into the picture. Does that change anything materially? Anything that you might want to comment on how these all three of us will work together?

Dr. Harin Kanani: We have demonstrated our ability to do that. We have sent samples to customers who have approved them. We have made electrolytes for last now 2.5 years and none of this is from the Mitsubishi plant. We are using Mitsubishi because we feel we can learn from their three decades of experience and Mitsubishi started one of

the founders of making electrolytes in Japan. Similarly, Morita is one of the founder person in the LiPF₆ or electrolyte salt. So we are very happy that both of these guys have trusted Neogen and you know, while it's not public but you know they're both from Japan, they've worked together in the past. So the customers...our

existing

customers also, they now have even more confidence. Just as before we were having, but Mitsubishi gave added confidence to the customer. So now Morita coming on board gives more confidence especially to future customers. So one of the advantages of having Morita is because they have used Morita quality LiPF₆ for especially Japanese and Korean electrolyte makers, they have used it for decades. So they bring that confidence also along. And not only that, very deep understanding of China market having played in China for last 30 years and competed in China against Chinese for the last 20-30 years.

Archit Joshi: Just the pricing bit we were discussing earlier. I think I was reading somewhere that electrolyte prices now ranging somewhere between \$9.5-\$10. And I think what I heard from you before, Morita does have this experience of manufacturing and selling in China, which I am presuming that will be far more cost competitive. And that's what brings them to our table with regard to their manufacturing expertise. But would that still be low enough in terms of the cost of manufacturing or production? Or at this price point of dollar realization when electrolytes prices have fallen so much, we would additionally need some Government support going ahead? Now that we already have PLIs and all these things in place, would the ancillary companies like us who are into battery chemicals or battery materials, at these price points that we were discussing earlier with an earlier participant, because the business dynamics have changed and stuff like that. Do we think that Morita's technical experience would in itself bring so much capabilities to reduce the cost or do you think that more Government intervention is required?

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Dr. Harin Kanani: First of all, you asked about whether Morita can help us reduce the cost. They use better technology and the better technology that we have. Whatever is done, when you think of manufacturing costs in China and manufacturing costs in India, that is always going to be different. And again, our stated goal and Morita is aligned with that goal, that we should basically target 20% ROCE on the business. So, whatever benefits which we can bring will pass on to the customer but again we don't want to commit to a specific price point, but yes with 30 years of experience that will definitely help.

Second point is in none of our business, we have basically expected or planned based on Government support. So we are not basically banking on any Government support or subject to a Government support the business model is possible or not. As you said very clearly that in electrolyte, we have to supply locally, we will supply, at one of the lowest costs available in India, good quality, international quality electrolyte and we have seen positive customer feedback on our not only the quality of electrolyte but also on the transparency and the business model. While electrolyte salt is mostly for the international market what we are going to do with Morita as well as our own internal consumption. So I think with having Morita with 30 years of experience gives us lot of confidence. And as I explained earlier to Arun's question, we are not waiting. This is not something which has triggered in last 6 months, 9 months. It's something which we were discussing for the last 2-2.5 years. But it just took longer time because a joint venture is a much bigger commitment as compared to a technology licence. So it just took us that much longer for everything to fall in place.

Archit Joshi: Sure, that answers a lot. Thank you. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B&K Securities.

Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Again, apologies for harping on the same issue. So first, in terms of the 400 MTP capacity which we had worked on in terms of

electrolyte

salt, then the next about 2000 tonnes of TPA capacity and now the Morita

Technology which will again give us some capacity from LiPF₆. All these three products are different and how is the user dynamics for all these three products?

Dr. Harin Kanani: What we basically have was electrolyte salts and additives and some intermediates of electrolyte salt and we were totally planning 2,500 tonnes in Dahej which was a mix of additive and electrolyte salt and the intermediates and we were planning 3,000

metric tonnes in our Pakhajan facility which is only for electrolyte salt. The additives and the electrolyte salt are basically very similar. They are lithium compounds. We have to purify lithium, then we have to make some basic simple lithium salt like lithium fluoride, lithium chloride. And then from lithium fluoride or chloride or a very high purity lithium carbonate, then we basically go and we make the electrolyte salt or electrolyte additive. The difference between additive and electrolyte salt is just how much it gets used. So usually the electrolyte salt is used between 10% to 15% in the formulation. The additive is normally used between 1% to 3% so that's the only difference but otherwise your end customers are the same and the dynamics remain the same. The pricing for the additive is a little bit higher and slightly lesser number of people make the additive as compared to the electrolyte salt. So these are the different dynamics of the two.

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Rohit Nagraj: So the 2,500 metric tonnes salt and additive would be different than LiPF6 which will be with Morita?

Dr. Harin Kanani: No. LiPF6 is also included in the 2,500 tonnes. We started making salt and additive both and salt as our own electrolyte plant comes up, we will need more capacity. So salt, we are increasing capacity in Pakhajan because the international demand of this is much higher. So if we are doing in Pakhajan, we can quickly ramp up. In case of additive, we are already setting up in Dahej. Right now we have not announced any capacity increase of additive in Dahej. If we see the demand increasing, the volume increases to the level where we cannot support at Dahej and we need to go to Pakhajan, then we have environment approvals also in Pakhajan to make the additive.

Rohit Nagraj: Got this. Second question on the numbers. So, for FY26, our legacy business will have about say Rs. 800 crore of revenues and an additional Rs. 300 crore from battery chemicals. So effectively about Rs. 1,100 crore+/- . What could be the EBITDA margin that we are looking for? And slightly similar question for FY27. Given that the affected plant will be up and running, we will obtain close to maybe Rs. 1,100 crore from the legacy business. And you said about Rs. 1,000 crore, which is the aspirational number from the battery chemicals. So effectively about Rs. 2,000 crore of revenues for FY27. So in both the years, what is the kind of margins that we are looking at the EBITDA level?

Dr. Harin Kanani: So, for FY27, I can give you clarity faster. As you said, there will be a full utilization of our new facility because it will be fully available. And demand-wise, you're already seeing a demand of around Rs. 1,100 crore. So, FY27, we will target somewhere around Rs. 1,100 crore of revenue. At full utilization level, that EBITDA should be 18.5%+/- 1% is what we target in our base business. For the Rs. 1,000 crore+ revenue, when I say it's not the number, I am just saying, it will be something more than Rs. 1,000 crore. It's too early for me to say because we need to understand how the electrolyte demand in India basically pans out and that'd be clear as we get closer towards the end of the current year. But the exact EBITDA percentage will depend upon many factors like utilization levels, what are the lithium prices. So, there we have given guidance at full utilization, the revenue of Rs. 2

,500 to 2,900 crore at

20% ROCE. Depending on the price of lithium, EBITDA ranges on a lower side 15%-16%, on the higher side going upwards of 20% depending on but for our Rs. 2,500 to 2,900 crore kind of revenue projection which was at a normal lithium price, the EBITDA percentage margins were in 16% to 18% kind of range. So that's on FY27. On FY26, as I explained earlier, Rs. 775 to Rs. 850 crore, the revised revenue projection due to fire what we have given, normal EBITDA margin would have been 17%-18% but like I said because of the impact of fire, and we have to do operations at different plants some bit outsourcing...so combination of that there will be some impact on the margin that should partly get covered by our loss on profit. But whether that will be applied in the current year or that will be applied in the next year depending on the insurance system and accounting policies, that's something which is not very clear to me.

Rohit Nagraj: Fair enough. Just one question from the modelling perspective. In terms of capitalization of assets or investments during FY26, what are we looking at? There will be one capitalization which will happen because of the plant reconstruction and in between the projects which are likely to be getting commissioned from the salt

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side. So on a broader basis, how much amount of assets will be capitalized just to get a perspective on what could be the depreciation amount.

Dr. Harin Kanani: Yes. Totally we are expecting the whole, all the lithium CAPEX is likely to be completed by March 2026. So that's around Rs. 1,500 crore will be capitalized. And on the plant side, we are expecting whatever is the replacement value of this. The loss was around Rs. 170 crore. So somewhere around Rs. 200 to Rs. 225 crore as a replacement value is where you would have a full capitalization.

Rohit Nagraj: And what could be the mode of funding for this entire CAPEX?

Dr. Harin Kanani: We are at a very advanced stage of completing the procedure for insurance policies. The funding for the MPP-3 and our insurance is on a reinstatement basis. So any additional CAPEX everything will be taken care from the insurance outflow. For any temporary funding needed, our banks have suggested that they can give us some temporary loan. But mostly it will be from insurance. And on the battery side of it, it is already tied up that the equity we had raised as well as the bank term loans, so long term loans which we have from both our phase one and phase two. And on top of that, now we will also have the JV partnership. So some money will also come in from the JV partnership contributions. All these will be the mode of funding for the battery.

Rohit Nagraj: In terms of FY26 exit, what is the kind of debt that we are looking at? And I understand that probably for the MPP3, there would not be any debt because whatever insurance claim comes in, probably we get topped off with the investments that we are making. But excluding that on the battery chemicals and plus the working capital front, what is the exit rate that we are looking at?

Dr. Harin Kanani: We have seen at Neogen Chemicals, you would have basically similar debt levels at present. Total debt would be around Rs. 400/Rs. 500 crore, including working capital of around Rs. 450 odd crore at the Neogen level. And at the battery, Neogen Ionics level, roughly around 70% is funded by the bank. So, totally from Rs. 1,500 crore - 70% of that - so, somewhere around Rs. 1,100 to Rs. 1,200 crore would be funded by that.

Rohit Nagraj: Sure. That's all from my side. Thanks a lot for answering all the questions and all the best.

Moderator: Thank you. We have the next question from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Good evening team. Just one bit of question on this CAPEX. As you mentioned that around Rs. 1,100 to Rs. 1,200 crore will be funded thr

ough debt. For FY25, you have already incurred CAPEX of about Rs. 470 crore on your Pakhajan greenfield facilities. In this Rs. 470 crore, how much was the debt part?

Dr. Harin Kanani: Gopi, do you have the number?

Gopikrishnan Sarathy : Yes. Basically, the debt is in two parts. One is the CCD, which is equity contribution, which is already gone. And I have another around Rs. 150 crore to be drawn for the project loan.

Dr. Harin Kanani: So I think basically Rs. 150 crore is from the debt.

Moderator : Thank you. Our next question is from the line of Jason Soans with IDBI Capital. Please go ahead.

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Jason Soans : Yes, thanks for taking my question. I just wanted to understand...earlier you have alluded to...we have a really, really good improvement in the working capital, which has reduced quite dramatically. Now I understand there must be definitely a big impact of the fire in it as well because you said the inventory, etc., gets written off as well. So I just wanted to understand if you have done some analysis excluding the fire, what measures have we taken, something with the suppliers or something like that to improve our working capital? Just excluding the fire event, because that will be a one-off thing. And just would want to know what is the sustainable impact of this?

Dr. Harin Kanani: Yes. Excluding fire, as you have seen, we have done certain things to basically work on our debtor cycle as well as our credit cycle. So that has already happened. And you're also more mindful this year because as I told you the year before, we were just ramping up our production and in between we had to change from working from one set of customers to another set. When agro slowed down, we had to move to pharma and other industries. So this was some changeover that we had to do. Other than that, even after you take the fire impact, you can see that overall there is an improvement. I think largely still, we basically maintain the stock levels at a similar level. And even after impacting for fire, in terms of number of days, etc., and our

debtors and creditors both improved. Together we were able to do better. I think as I explained in one of the earlier questions after long term, we want to have a policy in place where we can at least manage debtors and creditors so that they can balance each other and by securing better credit terms and funding products and for the stock and the inventory business is working so that we have larger molecules, more visibility. Over a period of time, we can improve that.

Jason Soans: Sure. Thanks for that. And I just wanted to...you do speak about 20% ROCE in your battery business, but are you working with some kind of steady state realizations for salts and electrolytes? I mean, if I am considering the lithium prices, the low lithium prices, just would like to understand if you're working with some steady state realizations for both the products?

Dr. Harin Kanani: We have done business for the last 40 years with Thermax to make lithium bromide and with some other customers for the lithium salts which are for the non-battery market. So in this, what we have seen beneficial both from a customer point of view and our point of view and to sustain a long-term relationship is to have lithium as a price through. Almost all non-China customers really appreciate that because they know we are not making price, money on lithium price fluctuations and that is something which is very transparent, and we are mostly working on what is Neogen's efficiency on conversion. So, this is the way we have done it and the salt business that whatever agreements we have signed where we have basically kept 20% ROCE of course subject to Neogen hitting the manufacturing cost and the operating cost targets. The consumptions have to be correct, the yields have to be correct. But if we get whatever we have targeted correct, then we can basically e

arn the right to

get 20% ROCE on the salt business. Electrolyte, so far we have not yet signed contracts, but majority of the pricing discussions with the customers are on a very transparent basis. As we increase capacity, we will keep reducing per metric tonne margin because my CAPEX per metric tonne is going to reduce. So I think this is really appreciated by the customer and is one of the differential factors when we work with both local as well as international customers. So there is no number which I can predict on the realization because lithium price fluctuation affects significantly, NEOGEN "

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especially salt. Electrolyte, the impact is a bit lower because the lithium content per kg, consumption there is much lower. But in today's scenario, all the other raw materials in electrolyte also are depressed prices. So we pass that on to our customers because we don't want to play on price differential in one market versus other on RM. We want to basically earn our margins through our technology, through the processes, and through controlling cost in the right direction.

Jason Soans: So, totally both the businesses you will basically targeting ROCE of 20%?

Dr. Harin Kanani: Correct, yes. That's the target. In salt, we have been able to already conclude as volume is not 100% confirmed contracts. Whatever price understandings that we have, pricing mechanisms that we have concluded, they basically ensure the 20% ROCE. For the electrolytes, we still because the customers as they get closer to their ramp up. But in principle, that concept is accepted by the customers that everything else has to be priced through. And we need to discuss mostly on Neogen's contribution part.

Jason Soans: Sure. And I just wanted to understand the gross block has reduced. Is that only because of the fire? Or is there any other reason?

Dr. Harin Kanani: That's the only reason, fire.

Jason Soans: And you mentioned that Neogen Ionics has a topline of Rs. 120 million. But when you do a simple minus to minus, the subsidiary revenue is around Rs. 40 million. So what explains the difference?

Dr. Harin Kanani: I explained to an earlier participant that there were some raw materials which were needed which were initially bought by Neogen because Neogen could get credit as a lithium and then they were transferring it to Neogen Ionics. So this you will see in a 3 month, 6 month, 9 month also; but now as Neogen Ionics stands on its own, the business becomes regular then the customers, the suppliers will give directly credit to them. So there are some inter-company transfers which is what explains the Rs. 8 crore.

Jason Soans: Okay. And so just lastly wanted to understand, you mentioned Rs. 300 crore for battery chemicals in FY26. Is that a sort of a guidance? Are you guiding for in FY27 Rs. 1,000 crore for battery chemicals?

Dr. Harin Kanani: Yes. So we have already guided for Rs. 300 to Rs. 500 crore guidance on battery chemicals as we discussed in our call. We will still look at a Rs. 500 crore number

but yes, based on the discussions we had on our call, it looks closer to around Rs. 300 crore is what we are saying. Across the first half, we will be able to give you a better idea.

The second is just a number, it will be more than thousand but the guidance, more specifically as a guidance we will let you know maybe as we get closer, once we have clarity on India battery market, as well as once the supply starts to our customers.

Jason Soans: Thank you so much for answering all my questions. Thank you.

Moderator: Thank you. That was our last question, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments.

Dr. Harin Kanani: Thank you all for participating today. We hope we were able to answer your questions. Our Investor Relations team is available for any further questions you

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may have. We appreciate your time and look forward to speaking with you again next quarter. Thank you again.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference.

Thank you all for joining us. You may now disconnect your lines.

Disclaimer: The transcript has been edited for clarity. It may, however, contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Aug 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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August 7, 2025

BSE Limited
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Scrip Code No: 542665 National Stock Exchange of India Limited
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Company Symbol: NEOGEN

Sub.: Q1FY26 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Conference Call Transcript of the Company's Q1FY26 Earnings Conference Call held on August 4, 2025.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

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Neogen Chemicals Limited
Q1 FY26 Earnings Conference Call Transcript
August 04, 2025

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals' Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nishid Solanki. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good morning everyone, and welcome to Neogen Chemicals' Q1 FY26 Earnings Conference Call for Analysts and Investors. Today, we are joined by senior members of the management team including Dr. Harin Kanani – Managing Director, Mr. Anurag Surana – Director and Mr. Gopikrishnan Sarathy – Chief Financial Officer. We will commence the call with opening thoughts from the management team, after which we will open the floor for your questions.

Before we begin, a standard disclaimer. Certain statements made or discussed today may be forward-looking and actual results could vary. A detailed disclaimer is available in our Q1 FY26 Earnings Presentation, which has been shared and uploaded on stock exchange websites.

With that, I would like to invite Dr. Harin Kanani to share his perspectives. Dr. Kanani, over to you.

Dr. Harin Kanani: Thank you, Nishid. Good morning everyone. Thank you so much for joining our early morning Earnings Call for Q1 FY26. We are pleased to have you join us today to review our financial performance and update you on our key strategic initiatives. Beginning with our performance for the quarter.

We achieved remarkable resilience, successfully maintaining our momentum. Our diversified business model proved its inherent strength, especially as we navigated the challenge of our Dahej plant unavailability throughout the quarter due to the fire incident.

Despite these operational hurdles, and the prevailing soft pricing environment, our results were bolstered by sustained volume growth in the base business.

Additionally, initial commercial sales from Neogen Ionics for both, electrolyte and lithium electrolyte salts, began contributing meaningfully. Our ability to navigate these complexities underscores the remarkable strength and adaptability of our overall operations.

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Turning your attention to the key updates during the quarter:

■ Our recovery from Dahej fire incident is progressing swiftly. We have secured initial insurance claim with INR 50.55 crore received in June 2025 and additional INR 30 crore received in July 2025. The net claim receivable is INR 268.27 crore on a consolidated basis. We expect to realize this in due course. In addition, there will be some additional amount which we will realize, which is not determined, for reinstatement value difference, as well as for the loss on profit.

■ The replacement plant is taking concrete shape at an adjacent location. We have completed the civil foundation work and placed orders for long lead time equipment. The plant remains firmly on track to be operational by next year.

■ In another significant development, our Chairman and Managing Director Mr. Haridas Kanani will be retiring from his position effective September 30, 2025 as he completes 80 years on that date. The entire Neogen family extends its deepest gratitude for his immense contributions since founding the Company, his visionary leadership in establishing a strong foundation, and his pivotal role in making Neogen a leader in specialty chemicals while fostering a culture of excellence and innovation. In recognition of his outstanding dedication and invaluable contribution, the Board has conferred upon him the honorary title of 'Chairman Emeritus', effective October 1, 2025, ensuring we continue to benefit from his invaluable guidance and mentorship.

■ Concurrently, the Board has designated Mr. Anurag Surana as Chairman and Non-Executive, Non-Independent Director, effective October 1, 2025. This ensures a seamless transition and strong leadership and guidance for Neogen in the future.

Shifting our focus to strategic growth drivers, I will provide updates on expansion initiatives, particularly in battery chemicals segment.

■ Regarding the Greenfield facility for electrolyte using MUIS technology in Pakhajan, Dahej PCPIR, piling work is completed, civil work is significantly finished, and long-lead equipment have already been ordered and we have started receiving the same. A crucial milestone is the ongoing factory acceptance test of the module manufacturing plant at Mitsubishi Engineering Corporation manufacturing workshop site. Of our total INR 1,500 crore CAPEX, we have deployed INR 506 crore to date and remaining amount will

be deployed shortly in line with the accelerated project schedule

■ A major development is the incorporation of Neogen Morita New Materials Limited, NML for short. NML is wholly-owned subsidiary of Neogen Ionics Limited and a step-down subsidiary of Neogen Chemicals Limited. This venture aims to leverage Morita Chemical Industries which has Japan's proven technology of over 30 years of experience in producing lithium salts. These salts will be used captively for our electrolyte production and for global sales, addressing the growing demand.

Accelerating our entry into high-growth lithium-ion battery materials, vital for India's EV and energy storage, this project positions Neogen as a scaled domestic manufacturer. We aim to capture significant market share, reduce import dependence, and leverage global technology, diversifying revenue and establishing
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ourselves as a critical advanced battery supply chain supplier, driving future growth and profitability.

Despite adjusting our near-term revenue guidance to reflect current operational realities, our long-term trajectory remains robust. Overall, we are confident in our ability to continue delivering value to our shareholders through strategic execution, innovation, and unwavering commitment to operational excellence.

That concludes my opening remarks.

I would now request our CFO – Mr. Gopikrishnan Sarathy to share financial highlights for the period under review.

G. Sarathy: Thank you, Dr. Harin Kanani. Good m

orning everyone. Welcome to Neogen Chemicals' Q1 FY26 Earnings Call.

Let me walk you through our key financial highlights. All numbers are on consolidated basis, except unless called off specifically:

■ For Q1 FY26, we achieved revenue of INR 186.7 crore, higher by 4%, despite the non-availability of Dahej plant for the quarter, as highlighted by Dr. Harin Kanani. Neogen Ionics contributed INR 5.4 crore revenue in Q1 FY26, building on its previous year full-year revenue of INR 11.95 crore.

■ Organic revenue for the period stood at INR 165 crore, reflecting a 16% increase, while inorganic revenue came at INR 22 crore.

■ EBITDA stood at INR 31.5 crore, up 2% year-on-year. Despite the headwinds, we maintained a steady EBITDA attributed to favorable product mix and our ongoing cost optimization initiatives, which effectively offset the declining realization. Consequently, our EBITDA margin reached 18.8% on standalone basis and 16.9% on consolidated basis.

■ Our profit after tax largely reflected our operational performance during the quarter, coming in at INR 10.3 crore.

Moving to other key developments during the quarter:

■ CRISIL has reaffirmed our credit rating at CRISIL A with an outlook negative for long term and CRISIL A1 for short term, with both removed from the rating watch with developing implications. This reconfirms confidence in our financial stability and strategic direction.

■ Furthermore, our Board has approved raising of Rs. 200 crore through private placement of fully paid, secured, listed, rated, redeemable, non-cumulative NCD through one or more tranches. This will provide us additional financial flexibility for our growth initiatives.

That concludes my remarks. I will now request the moderator to open the forum for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankur Periwal from Axis Securities. Please go ahead.

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Ankur Periwal: First question on the salt bit. What is the status on the product approvals there, given that we were waiting for the exports' revenue ramp-up there? So, just wanted to check.

Dr. Harin Kanani: From our side, we are all ready. We are still waiting for the customer to schedule an audit. There were with whatever is happening in the U.S. currently, there were some delays from the customer side. They have not yet fixed the date. But again, we remain connected with them. And it should happen sometime soon.

Also as you are aware, our Dahej capacity ramp-up is also happening. So, I think in Q2, for around 15 days, we are also going to take a break to connect the existing plant to the increased capacity, which is likely to come by September and October 2025. But from our side, we are ready for the salt. We are just waiting for customer approvals.

And in the meantime, whatever small revenue we generate in salt, we are basically selling it to non-regulated markets. I mean, basically not non-regulated, but in, let's say, China market, where we are actually going against very strong competitors who are already present there. But that is the small revenue that we are currently generating.

So, from our side, we are ready. Our capacity increase is also coming online because, as you know, Dahej capacity is going to go up to 2,500 metric tons by March. So, ramp up of that and connection to the existing facilities is also going on there.

Ankur Periwal: Just a follow-up there. So, from a key end-user market perspective, U.S. will be bigger or Europe? And secondly, is there any change in demand or slight softness because of the tariff-led sort of uncertainty there?

Dr. Harin Kanani: So, for your first question, U.S. or Europe? U.S. is the larger market, because there is already a lot of established battery manufacturing activities which are already happening in the U.S.

Also, while there is a change in IRA, there were two subsidi

es available in the U.S.

One, IRA was for the EV maker, and there is another subsidy, I think, called as 45X credits, which are basically available to the cell makers. So, that is still available to the battery makers. And that is also significant, like between 25% to 35% of the total battery manufacturing cost. And that also has a requirement of localization and China-free supply chain.

So, what we have seen is, the interest is actually even growing stronger. Because people didn't have a clarity that post the Big Beautiful Bill, what changes are going to happen. But those were maintained and to some extent, even the non-China provision were made stricter.

So, I think that we have seen interest from the international market actually increase.

So, the combination of that, as well as Neogen forming JV, we have seen newer companies which were sitting on the fence waiting for this clarity, to now join. And now, one by one, they have started visiting Neogen.

So, before we had one or two potential customers, now we have four, five different customers who have started approaching. They are battery makers, electrolyte makers, as well as EV makers. So, all of these guys are now approaching Neogen. And some visits have already happened, and some more are happening during this quarter.

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Ankur Periwal: That's helpful. And just a follow-up there. What is the typical time lag required at your end if you want to increase your salt capacity given there is so much demand and interest coming in?

Dr. Harin Kanani: Dahej, at present, we will be at 2,500 what we are targeting. And if I have to increase a little bit, I can increase 1,000 metric ton more. And that will mostly be focused on the additives. Because, I mean, the lithium additives part - lithium salt is two parts, the main electrolyte salt as well as the additives.

So, we are basically keeping right now additive facility increase all planned at Dahej.

And the main electrolyte salt capacity is coming at Pakhajan. So, we have kept a room to add 1 KTA in our Dahej facility for the additive. And we have kept 2 additional KTA in Pakhajan.

So, when we complete the CAPEX and we have 5.5 KTA, at least 3 KTA can come in relatively quickly within say, 6 to 9 months period. And then beyond that, we will have to plan because it will be a new manufacturing block either at our Dahej or our Pakhajan site. So, 3 KTA can be added from 5.5 to 8.5 KTA. But beyond 8.5 KTA, we will have to wait maybe around 12 months to 15 months if we have to set something up.

Ankur Periwal: That's very helpful. And just a second pick on the battery plants coming in India. There are some delays. But if you can highlight the timelines on which all plants are coming and what could be the time frame that we can look at.

Dr. Harin Kanani: So, from our view, we are seeing our customer like Ola, they have announced the timeline that by September, October 2025, they want to have commercial operations like ramp up, and then another ramp up, which is expected by next March or April 2026. So, we are on track for that.

I think we have also heard publicly that Exide is also starting relatively very soon in

the second half. I think the announced date was 15th August for some trials to start. So, I think they both are on track as we had predicted in 2024. And the remaining customers like Reliance, Tata, Waaree, and Amara Raja, so they all are targeting what they have publicly announced by 2026. So, that timeline remains.

Moderator: The next question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: So, possible to share the volume growth number for the first quarter, please, maybe across the businesses.

Dr. Harin Kanani: I would say on the Organic side, the volume growth would be around 10% to 15%. And on the lithium side, there has been a little bit of degrowth in this particular quarter. So, last qu

arter, we had pushed a little bit, and Q1 is generally softer. But this time, it was a little bit softer than normal. But overall, in the demand, there is not too much of a challenge. The demand still continues. And I think by the end of the year, lithium will also make up, will have the same volumes or slightly better.

Abhijit Akella: And just to clarify, the Neogen Ionics business is included within Inorganic itself, right? The INR 5 crore odd?

Dr. Harin Kanani: That is right. Yes.

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Abhijit Akella: The other one was, just the thought process behind this NCD issue. And so, you know, what exactly is the purpose we are looking for here? Is it working capital or something else?

Dr. Harin Kanani: Basically, we still have around INR 250 crore odd amount, which is to be received from insurance. And there can be sometimes mismatch in the timings versus we want to ensure that our CAPEX plans and everything doesn't get affected.

I think there was a small interest delta. So, we thought that is worth having, but ensuring that there is a smooth, less CAPEX happening, and we are not fully dependent on the insurance money.

Overall, once we receive all the insurance money, as well as this debt considering, I mean, this is basically some additional liquidity that we want to have in the system so that we have so many CAPEXs which are ongoing so that there is no delay because of cash flow related funds.

It is just basically to keep liquidity in the system, any mismatch in insurance received or any other funds which we need to be used with so many CAPEXs which are ongoing. Overall, there is no additional need per se. It is just to keep the liquidity and just to keep the flexibility and reduce the dependence in case there is a timing mismatch with the insurance.

Abhijit Akella: So, by when do we expect to close this? That was one - the NCD issuance timeline for this. And number two, then once this is done, we have basically all our lines of financing tied up. So, for whatever CAPEX we plan plus working capital requirements, is everything in place now with this?

Dr. Harin Kanani: Everything is already in place. This is only additional just in case insurance timing mismatch. And yes, this also is likely to happen in the current month, within August, before August end.

Again, we have received confirmations from investors who want to participate in that. There are even requests for more, but we are capping it at the INR 200 crore limit, which we have kept. And all the other working capital, CAPEX for Phase-1, Phase-2, everything is already there.

Abhijit Akella: And just on the CAPEX at Pakhajan, out of 1,500, I guess INR 500 odd crore is done so far. The amount spent in Q1 was only about INR 36 crore. So, is that a normal phasing? Do you expect the CAPEX to pick up significantly in the next two, three quarters to meet your deadline of March 2026 for commissioning?

Dr. Harin Kanani: Yes. There are two things. You know, this module plan, once it shifts, so that is going to be one big expense. Once we complete the FAT, and post-FAT, we have given some modifications. So, as they complete and ship that, that is going to be one large CAPEX item, which is going to add a significant chunk.

The second point is that for our salt, as you know, our JV discussions are progressing well. Our JV partner also made an official announcement in Japan with the intention of forming the JV. Our discussions have progressed well. We are mostly aligned with the technology and only some of the finer points are now getting aligned. We expect that to happen in two-three months.

What has happened is the long lead time equipments are already ordered by my JV partner in Japan. And they have already ordered from their existing suppliers. They are kept ready. So, as soon as we conclude the JV, a large chunk of equipment will

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be ordered from there. So, more or less, we are on track

to complete by March.

Electrolyte is 100% sure.

On the salt side, we are just reviewing. Once we have the final alignment, we will know. It will be just a couple of months here or there. Depends on how the exact alignment happens. And we have clarity after that. But overall, CAPEX will happen more or less in time. Maybe slight change on the salt side, we are watching. Once we have the final JV alignment, we will be able to give the right picture on that.

Abhijit Akella: And that was actually my next question on the JV. Any further details that you might be able to share in terms of the stakes of the two partners or the total CAPEX amount and the split between the two of you, something like that?

Dr. Harin Kanani: I would like to share this once the JV agreement is done. I know the numbers, and we have agreed on that. But I think we will wait for the JV agreement to get concluded. And after that, we will share.

Abhijit Akella: Just one final thing from my side. While these auto battery capacities are still awaited in the Indian market, in the meantime, there seems to be quite a significant amount of development around energy storage, around solar, etc. So, how sizable could that opportunity be? How are you seeing things unfolding on that front?

Dr. Harin Kanani: This was something which in the past also, we had alluded to that energy storage can surprise us. And what we are seeing is, and I think you can also track that more and more people are requesting, almost now all new solar projects which are coming, they are coming with an energy storage kind of capacity which has to come online.

What I have seen is the percentage. So if you are setting up 1 Giga kind of a facility or 500 Megawatt kind of a facility, I have seen around 25% to 50% of that requested as an energy storage backup, so that you can utilize the maximum of the solar energy which can happen.

So, I think, if you look at that and if you think of 500 Gigawatt hour of solar capacity, which India wants to put by 2030, and economically also it is making such a strong sense- this number - in my view, can be like 30, 40 Giga or even higher per year basis because we are going to go to the 500 Giga by 2030. And you can have around 100 to 150 Giga battery storage requirement over the next four to five years. So, it can be somewhere between 30 to 40 Giga just for energy storage over the next three to four years.

At present, if I have the last year's number, there were around 10 to 12 Gigawatt hours of energy storage projects, which are already tendered, which will come, let's say, over a two-year period. So, around 5 to 6 Giga is on an average consumption for energy storage is already there.

Abhijit Akella: So, just to clarify, out of the total capacity that we will have in terms of electrolytes, would you expect a significant portion of it to go towards energy storage? Any rough estimates over there?

Dr. Harin Kanani: If you just think of the six people who have announced - the six people I had mentioned earlier - who have Giga factories starting till end of the next year, you have Reliance and Waaree Energy, which are completely, for energy storage, solar point of view. And both Exide and Amara Raja, partly for solar and partly for auto. So, you can say at least, 40%-50% of the capacity in terms of the number of people who are coming online is actually for energy storage. And if you actually put their Giga capacities and divide, maybe 50% or even more is for energy storage.

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Abhijit Akella: Thank you so much, Dr. Harin. I will come back in the queue for more.

Moderator: The next question is from the line of Karthik Srinivas from Unifi Mutual Fund. Please go ahead.

Karthik Srinivas: I just had two questions. One is on achieving the revenue run rate of about INR 300 crore, which we have guided the market in terms of Neogen Ionics. So, we are currently running at about INR 5 crore for this qua

ter. So, is this going to be a quick

ramp up over the next three quarters to achieve the INR 300 crore run rate?

Dr. Harin Kanani: Yes. We had guided earlier also that majority of this will come in the second half of the year. That remains still true. I mean, in the second quarter, it is not going to be Rs. 100 crore kind of number, but third and fourth quarters will be very strong.

Again, it depends on two points. How fast does the cell production come up, which will drive the electrolyte demand. And the second is once we approve, how fast will the international customers ramp up the electrolyte salt and additive purchase. Both of these based on whatever customer guidance is in the second half, so we are expecting this to largely come in the second half.

Karthik Srinivas: For this INR 300 crore, we have the orders tied up, right? So, on a steady-state basis, how much will be exports now, given that the BESS demand is picking up even in India and a lot of battery manufacturers are coming up and inquiries are lining up. So, how will be the split of exports and domestic on a steady-state basis?

Dr. Harin Kanani: Karthikji, actually, if you think of the capacity which we are ultimately setting up, which is 30 KTA of electrolyte and 5.5 KTA of the salt, what we believe is in the beginning, out of the 5.5 KTA, around 3.5 KTA to 4 KTA will be for the international market. And then the balance will be for our local consumption, and then, for our internal consumption. And then as we basically ramp up the capacity of the electrolyte, we will have to most likely add more capacity for the salt. So, it will depend on how that happens. But in the beginning, it will be more export-heavy, if we are talking of next financial year. But then as we go, maybe they will balance out. And this also depends on how international market, like, how strong policies will be put for non-China policies because everybody wants to have Neogen as a backup.

Some of the customers I recently interacted with, said, okay, even if there is no incentive, they can't depend only on China because of what they did in Anode and Rare Earth. So, they definitely want to have a backup supplier. But will we be the backup supplier or will we be the main supplier? Also depends on all the policy frameworks which are getting set up across geographies.

So, I think it is a little bit early to say, okay, three years down the line, five years down the line. But in the current year and in the next year, exports will be the main drivers. And once India picks up electrolyte- we are talking of 2027/2028, whether Indian electrolyte will be more or salt will be more will depend on how much market share we get in India for the electrolyte and how the international view is about non-China suppliers.

Karthik Srinivas: And who will be your competitor in India for the same electrolyte and this one, salt capacity?

Dr. Harin Kanani: Till now, Gujarat Fluorochemicals (GFL) is one of the companies which has announced electrolyte capacities. But we don't have the exact clear volumes on that.

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And also for electrolyte salt, they have announced capacities and intention to increase capacities in the future. This is in India. But basically, when you are thinking of electrolyte salts, you are thinking of a global market.

So, if you look at a non-China global market, you have one Company which has started in Japan, one company in Korea. And after that, Neogen and GFL are number three, number four. So, there are only four people at present outside China who can give you electrolyte salts and additives the way we are giving.

Karthik Srinivas: So, at a world level, what will be the total capacity as it stands today? We are up to about 5.5 KTA after two years, say. And what will be the global capacity today and by FY28, and how will it ramp up?

Dr. Harin Kanani: Today the world capacity is somewhere between 50 KTA to 100 KTA of the salt, and

we are 5.5 KTA. So, we will be somewhere around 5% to 10%, depending on the consumption. And I think if you go to our investment presentations, we have given some numbers already for 2030 for the international expected demand, assuming 3,000 Gigawatt hour kind of battery requirement by that time.

The main point is, out of this, if you look at non-China demand, the total non-China capacity which is available today is around 7-8 KTA. So, what we are adding is significant of that because today, 90%-95% of the capacity is basically China.

Karthik Srinivas: And my last question is on the tariffs. Given that the tariffs have been announced, so is there any impact for you or it is just status quo?

Dr. Harin Kanani: As I explained in one of my earlier replies, Karthikji, that what we have seen is that with the tariffs coming in, now there is more clarity. And while there is lesser, the IRA for the battery EV manufacturers is curtailed. But the clarity on the battery and the requirement of non-China have given clarity. So, again, customers who are sitting on the fence are now even more keen.

And with what happened in Rare Earths and to some extent, Anode and China's message that they want to restrict even LFP technology, people are now even more worried to depend on China because most of the EV makers, non-China EV makers, China is the biggest competition for them. And they are all worried if they will influence and not allow them to get either key materials or key technology.

So, we have seen international customers being more keen to have a China-free supply chain now as compared to even earlier.

Karthik Srinivas: Okay, that's it from our side.

Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: My first question, just wanted to know in terms of the base business, for both bromine and lithium side of the business, are you seeing some pickup in our verticals like Pharma, Agrochem? Or what is the pickup you are seeing, if any?

And in light of that, and I know the fire incident that has impacted the Dahej plant and all that. So, the standalone guidance, is that maintained what you have released on March 7th? Or is there some change to it? I just wanted to get some more color on the sub-segments within the base business.

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Dr. Harin Kanani: Yes, Jason. For pharma, we are seeing a very strong pickup. We are seeing good new inquiries coming from semiconductors, flavor, fragrance, and other industries as well. Agro has improved, but again still not at its full. And especially Agro, we had international business and with the Dahej plant getting affected. This year for us, Agro will not be able to contribute so much because some of the international customers we had to supply from Dahej.

Although one positive point is that in our CSM business, we have received some quite good large inquiries on the agro side for 2026, 2027, 2028 launch. So, the pipeline for the agro remains good. As the markets recover, we are there to basically capture the demand from the customers.

Almost most of the customers appreciated the speed at which Neogen communicated the fire incident, the speed at which we are rebuilding the plant and we are bringing them online, and some of the improvements we are making there. All these were taken very positively by the customers.

So, to answer your question, pharma is looking good and getting better. Other industries are also looking good and getting better. The interest, again, that China plus One mentality is, a little bit getting more active in these industries as well. And agro, the demand is slowly improving. Not a great jump, but it is doing better. We have also seen good interest on our organolithium piece. So, we have now started making more inroads once we have the capacity visibility in the international markets. That is also something which we are hoping will help us.

With all of that, we are on track to achieve what we had targeted. So, around INR. 825 crore to INR. 875 crore on the base business. Like, as you know, we had to change some of the strategies to take care of the impact on Dahej site. So, our Q1 performance was a little bit affected by that, while we are transitioning to alternate strategies and shifting molecules around. But I think we will see even further. And in spite of that, we were able to do last year's performance when Dahej plant was still there. And as we get into Q2, Q3, Q4, we should see better performance as compared to what we did in Q1. So, that is why our guidance remains the same. On the inorganic lithium side, as I explained earlier, the demand this quarter was a bit less. But I think by the end of the year, we would have caught up or we would have been slightly higher. So, that, I think, covers all the segments.

Jason Soans: And, I understand that an earlier participant did ask this, but for battery chemicals, you are seeing a good ramp up. I know you had said INR 300 crore for FY26. That could have some change. But we have good visibility in the second half. Of course, it depends on the cell capacities coming up and the lithium salts pick up as well. But we have still decent visibility for that in the second half, right?

Dr. Harin Kanani: Yes, there is. And if I see, for example, I sold more electrolyte in one quarter than I sold in the whole of last year. That is a positive sign, right? And even in last July/August, I think even this quarter, would be similar or slightly better. So, I think we are seeing ramp up. But I have to say, with the way the industry is transitioning and we are being one of the earliest battery materials player, I think maybe one of the only battery material producer who is ready with Giga facility already.

So, I request all of you to have a little bit of patience. I think what we really should be looking at because we are the pioneers or the beginners here. So, we have to mainly look at what is the scenario in 2027/2028, when we said we are going to have the

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full utilization levels. And if you look at FY27 and FY28, whatever has happened in China, the Rare Earth and the Anode, people are more interested, more keen to basically buy from India.

So, that makes our long-term business stronger, as well as our JV also has been very, very strongly appreciated by the customers. Because they get the comfort that Japanese technology in India, from whom they are buying for 30 years is like that we are the only combination who can give that.

And similarly, on the electrolyte side also, with whatever is happening in energy storage, the concern about India having enough demand is going because whatever EVs, two-wheelers, three-wheelers, four-wheelers can be a little bit slower. But you will have a bigger demand also coming from energy storage part. Also, companies like Suzuki have announced that they would also be now setting up a battery plant maybe a little bit later, 2028-29.

So, once the mainstream companies also start joining into battery and cell

production, I think all these are positive signs for good demand in '27-'28, both on electrolyte side as well as salt side. So, we will have to really keep our eyes focused on '27-'28. Try to do best in '25-'26. But I think if I look at '27-'28, we are in a very good shape.

Jason Soans: Thanks for that detailed answer. I missed, you know, you had mentioned in a response to an earlier participant. I think you mentioned two subsidy acts in the U.S. So, again, there is a lot of uncertainty on the tariffs and the IRA's impact getting reduced and the One Big Beautiful Bill and all these things.

So, how are you seeing all this playing out in the U.S.? Of course, there is a China plus One is on the up move, and that bodes very well for us. So, what are these acts, and some color on how the U.S. is approaching it amid all the confu

sion there?

Dr. Harin Kanani: Basically, IRA and the Big Beautiful Bill, both were basically focused on one very clear message, which is basically not to depend on China. So, even the parts which relate to the battery material - what I called 45X credits - even those are basically linked to having some non-dependence on China and localization. So, that's the positive message.

I think, tariff, there is no point in guessing now. We have to see when the dust settles. What is the final? And the only thing which matters is because sometimes you see some very critical things, they just completely exempt. So, they can even say that all battery material is exempt from the tariff, like they did for iPhone and sometimes for pharma.

So, we will have to see what is exempted from the tariff and what is not. And then what is the relative position between India, China and Japan and Korea? Because this is the only four places you can make.

Also, Japan and Korea, I think largely in that also what will be more important is India and China. Because Japan and Korea, even if they want to set up a large capacity, they take very long time because of permissions. So, mostly we have to see where the dust settles between India and China and whether they are exempt or not.

But for us, what is more important is that when they are giving some billions of dollars of subsidies to the cell makers in U.S., that is linked to not having supply security from China, so a supply chain coming from China and having a non-Chinese supply
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chain. So, I think that is the positive message. What is the Government's intention? And then we will keep watching there.

But as I told you, that will only make a difference whether we are a backup supplier with 20%-25% of the market or we are the majority supplier with 30%-40%-50% kind of market. That is the only difference these policies will have between the way the policy decision happens. But I think, whatever we are currently aiming, we should not have to worry for that. It is just beyond that, how fast we will grow will be clear once the dust settles on the policies.

Moderator: The next question is from the line of Arun Prasad from Avendus Spark. Please go ahead.

Arun Prasad: Dr. Harin, you mentioned in detail about how customers do not want to depend on China for a long period of time. Are they contractually locked till certain months or period or year because of which they can't buy anywhere outside from China, any of the potential customers that are visiting you, as far as you know?

Dr. Harin Kanani: No, I don't think that is basically a concern.

Arun Prasad: Okay, because despite so much, clearly it seems that they are 100% dependent on Chinese products, and we are there as an alternative. The progress in product approvals or plant visit seems to be at a slightly slower pace. One would assume that given this kind of high dependence and (that it is) important to diversify the supply chain, they would be doing it in a war like scenario, but on the ground, it seems to be moving slow. So, what explains this kind of a dichotomy?

Dr. Harin Kanani: So, the visits are happening. The discussions are happening. But like we discussed, last two-three months there is a lot of variability, which is happening on a daily basis. They are just trying to get a hang of that.

And I think the only other thing is that the real deadline for them is in 2026. 2025 is more like a comfort year for them, Okay if I start buying in 2025, then I am more comfortable. 2026 is the year where they want to basically start shifting. And for the subsidy and all that, 2027 is the year where they just cannot buy. So, as we get towards the end of 2025/2026, so they keep having some breathing room.

And at present with all the things which are happening with tariffs, they have to take care of what is happening today and juggle with that versus preparing for 2027. So, I think tha

t is the dichotomy.

Arun Prasad: Just for clarity, the planned visit will happen usually after the sample from commercial plant is received, tested, approved, and then only the plant visit happens, or it happens after the plant visit, this will kick start? How should we look at this process now?

Dr. Harin Kanani: Each customer has their own strategy. So, some of them have taken the samples, and then they will come. Some of them will say, no, first I will come, I will approve, only then I will spend time in testing the sample. So, depends on them.

Arun Prasad: And you also talked about the backup versus being a main supplier or a backup supplier. Typically, what is the volume share given to, say, a backup supplier? What is your assumption when you assume that you will be a backup supplier, becoming a main supplier?

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Dr. Harin Kanani: So, one of the customers I discussed with that, "Hey, if there was no tariff, what would you do?" That particular customer said, "Hey, I would be still 50% non-China."

And I said, "How many suppliers would you have in non-China?" He said, "I would have at least two." So, that is basically how I would come with that number of at least having 20%-30%.

Broadly, I have seen that customers don't like to have more than two or three sources. So, I think the maximum, they will have a three suppliers approved. Two or three, depends, I would say, backup would be somewhere on a lower side 10%-15%, on the higher side around 25%-30%.

Arun Prasad: My second question is on the Morita JV. You mentioned that you are yet to get aligned with the JV partner. In what areas there is still, say, a misalignment? Is it financial in nature or operational or strategic or more like a product portfolio? How should we look at this non-alignment at this point of time?

Dr. Harin Kanani: I would say, a lot of it is just the lawyer stuff, legal stuff on the language of the agreement, and they are a very strong Japanese company. So, Japanese legal way and India's legal way, kind of trying to understand that. So, that is, I think, mostly that.

And a little bit what we are doing is because they have not given us the exact final drawings, exact detail SOPs. So, as we understand that, we know the big changes we had to do, we have done. Like, the final changes that we need to do in our design to basically crystallize on the final dates, etc., those are the things which are happening in parallel.

So, when the JV agreement progresses, in parallel, we have more and more information, okay, which segment India technology is better or our Indian equipment is better, which is the Chinese equipment, or their technology is better. And then we are taking the better of the two. In some cases, we are even thinking of a third option together, that, hey, why not do this better? So, I think those kind of things are currently happening.

Arun Prasad: One last bookkeeping question, Dr. Harin. On our fire incident, we have claimed the insurance and got insurance claim for that. But what is our internal estimate for the loss of profit because of this incident?

Dr. Harin Kanani: It is very difficult because the loss of profit is going to be for a period from April to March. So, for the whole year. And basically, the loss on profit, the process starts after you reinstate the plant. So, the process of giving you loss on profit will be only after that. So, if we had a very good number, we would have put it in our estimate. But that is something, you know, it is ongoing. So, as a Company, we are trying our best to see that maximum operations are not affected. But the loss on profit will basically take into account some of the fixed overheads which you would still have. Like, what is the business which we could have done which didn't happen, and also some additional expenses we had to do when we shifted production around. So, I think it is going to be a little bit complicated. So,

we will wait for the experts to do that

after it, especially for insurance, I don't want to hazard a guess right now.

Arun Prasad: So, the timeline is basically the next financial year only when we will come to know.

Dr. Harin Kanani: Yes, loss on profit will be. If we have clarity subject to accounting rules in this year, if we can take a provision, we will take a provision. But at present, I don't have any number which I can share.

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Moderator: The next question is from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Archi Joshi: In the interest of time - I have two questions - I will bunch them up together. So, first, you had earlier mentioned that the CAPEX on the JV with Morita, that is still undisclosed. With respect to the current agreement that you have with them, beyond INR 1,500 crore of the announced CAPEX, there will be incremental CAPEX coming

in Morita or INR 1,500 is accounted for?

Dr. Harin Kanani: The existing CAPEX that we have included both the salt and electrolyte. And we are not planning unless we see right now some additional capacity. So, the only thing is that for the same capacity, when we completely align with their technology, is there something less? Is there something more? So, we would get to know that. So, that is the only thing pending. So, it is basically INR 1,500 crore. If there is any delta created because of the JV, we will know once we have the full alignment.

Archit Joshi: Secondly, on the current situation on salt and electrolyte in terms of its dollar realization or our current estimate as to what kind of profitability or ROCE we can generate, is there any estimate to it that we have calculated internally?

Dr. Harin Kanani: No. We continue to have that 20% ROCE as a target in all our discussions with our customers. As we know, the salt contracts and the additive contracts that we have basically, as long as we meet the operational efficiencies that we have targeted, we will be able to get the 20% ROCE on a full-utilization basis. So, there is no change in that. And whatever discussion we are having in electrolyte or small quantity of electrolyte also we are selling, we are keeping that delta. Of course, the plant is not utilized today, but we are keeping that long-term delta at a peak volume. This is what it will be so that we can generate a 20% ROCE.

Archit Joshi: So, this is despite the volatility that we have seen in prices of LiPF₆ or the electrolyte eventually?

Dr. Harin Kanani: Yes, because that is basically China. And we feel even at that, we are cheaper than the Japanese and the Koreans. So, like, if they want a non-China, then this is still one of the best bets in our view.

Dr. Harin Kanani: Thank you, Archit.

Moderator: The last question for the day is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: My first question, just clarification on the fire incident. The net claim receivable is INR 268 crore, and out of that, we have received about INR 81 crore, right? That is the total amount, Rs. 268 crore?

Dr. Harin Kanani: No. Rs. 268 crore is balance now.

Rohit Nagraj: Remaining?

Dr. Harin Kanani: Yes, remaining. And plus, as we said, that is from just estimating the net block and the inventory loss. But the insurance we have is on a reinstatement basis. So, when you reinstate the same capacity, any additional cost that you incur will be on top and will be reimbursed by the insurance company. And there will also be some loss on profit which we were discussing earlier. So, these are not included here. They will be in addition to that. But most of this will be towards the end of the financial year or

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something may go even next year, like the loss on profit especially, and the final bid which is above reinstatement might go in the next year.

Rohit Nagraj: And the INR 200 crore that we are raising? Is it just a

stopgap arrangement? Or is it going to stay for the tenure?

Dr. Harin Kanani: It will stay for the period for the next, I think, 2.5 years. That is approximately the period. And it will stay till all this CAPEX and everything is completed, all the insurance is completed.

Rohit Nagraj: And the second question is, we have done remarkably well in terms of the standalone EBITDA margins given that both bromine and lithium prices have been benign. If the prices increase, is there any risk to the percentage margins given that probably the EBITDA per Kg would remain more or less similar for both businesses?

Dr. Harin Kanani: Yes, in bromine, mostly we are able to manage EBITDA and the contribution or the fluctuation in bromine, even if it is high like 20%-30%, it doesn't change the percentage margin so much. In case of lithium, it is more like per Kg basis. And in the past, we have seen that when lithium went to \$70-\$80, our EBITDA margin on our aggregate basis had gone down to 16% or I think, yes, around 16%-16.5% because of that per Kg basis where on a percentage basis, we were a bit lower. So, that has happened in the past. So, if it goes to \$70-\$80 kind of level, things like that can happen.

Rohit Nagraj: That's it from my side.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Dr. Harin Kanani: Thank you for joining us today. We trust your queries have been addressed. For any additional questions, our Investor Relation team is available. We appreciate your time and look forward to connecting again next quarter. Thank you once again.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: The transcript has been edited for clarity. It may, however, contain transcription errors. Although an effort has been made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Nov 2025

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November 17, 2025

BSE Limited
Department of Corporate Services
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Scrip Code No: 542665
Debt Segment Code: 977028 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051
Company Symbol: NEOGEN

Sub.: Q2 & H1FY26 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Conference Call Transcript of the Company's Q2 & H1FY26 Earnings Conference Call held on November 10, 2025, at 5:00 p.m. IST.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

Page 1 of 19
Neogen Chemicals Limited
Q2 FY26 Earnings Conference Call
November 10, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Neogen Chemicals 'Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal to the operator by pressing '*' then '0' on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you and over to you, sir.

Nishid Solanki: Thank you. Good evening, everyone, and welcome to Neogen Chemicals 'Q2 FY26 Earnings Conference Call for Analysts and Investors. Today we are joined by senior members of the management team, including Mr. Anurag Surana, Non-Executive Chairman, Dr. Harin Kanani, Managing Director,

and Mr. Gopikrishnan Sarathy, Chief Financial Officer.

We will begin the call with opening thoughts from the management team, after which we will open the floor for your questions. Before we begin, a standard disclaimer - Certain statements made or discussed today may be forward-looking. Actual results could vary. The detailed disclaimer is available in Q2 FY26 Earnings presentation, which has been shared and uploaded on stock exchange websites.

With that, I would like to invite Dr. Harin Kanani to share his perspectives. Thank you and over to you, sir.

Harin Kanani: Thank you. Good evening, everyone and thank you for joining us for our Q2 FY26 Earnings Call. We will walk you through the performance and provide updates on strategic growth and expansion initiatives.

Operational resilience defined our Q2 FY26 performance. The temporary impact of the Dahej plant outage was effectively neutralized through a rapid pivot: Production was swiftly relocated to our alternate plants and supplemented by capacity from key outsource partners. While this strategic maneuver ensured we maintained our volume trajectory, it did incur additional temporary costs related to contingency production arrangements and plant rebuild expenses until the insurance claim is fully recovered. Some of these costs associated with loss of profit will be claimed in FY27, aligning with the planned resumption of operations at Dahej SEZ organic plant. Having said that, our core business sustained its market position and achieved stability as it navigated persistent geopolitical uncertainty and volatile pricing.

Page 2 of 19 Before the detailed financial overview by our CFO, here is a quick summary. We delivered 8% revenue growth in Q2 FY26. Gross profit improved by 16%, driven by 350 basis points margin expansion.

However, EBITDA and PAT were affected due to elevated operating costs as indicated.

Let me now share a key update during the quarter under review.

We have taken significant steps to enhance our corporate governance network framework in line with best corporate governance practices. The board has approved the separation of the roles of Chairman and Managing Director, effective October 1, 2025. We are pleased to announce the designating Mr. Anurag Surana as Non-Executive Chairman of Neogen Chemicals Ltd. and Mr. Sanjay Mehta as a Non-Executive Chairman of our subsidiary Neogen Ionics Ltd. Furthermore, we welcome Mr. TCN Sai Krishnan as Executive Director of Neogen Chemicals Ltd. on the board. These appointments, including the designation of a non-promoter family member as chairperson, reinforce our commitment to robust independent oversight.

Moving to strategic expansion initiative in battery chemicals.

Greenfield facility for electrolyte using MUIS technology at our Pakhajan Dahej PCPIR plant:

We are rapidly moving towards commercializing our greenfield plant. We anticipate mechanical completion before the end of this year and then commence trial production followed by commercial production in first half of FY27, which is April to September 2026 and electrolyte salt in H2 of FY27 aligning with the expected rollout of ACC battery capacities in India and growing non-FEOC global demand for the salt. Specifically, the additional time taken for the salt is to completely homologate the technology from our JV partner from Japan, which is what costs slightly more time.

This momentum is underpinned by recent critical approvals. A leading Indian gigascale customer has successfully completed the stringent Production Part Approval Process also called as PPAP and approved our Dahej plant for long-term commercial electrolyte supply. This is a significant milestone and we may be the only plant in India to have achieved it till now in the history. Furthermore, our quality systems have received provisional approval for lithium electrolyte salt from key international customer with final approval anticipated in Q4 FY26. We are also actively working with several other international clients who have already approved our electrolyte salt samples and final approvals are underway expected in Q4 FY26 or Q1 FY27.

These milestones validate our quality and position us as a reliable partner in the lithium ion supply chain. In a recently participated international event, we received a very positive response from international community for the joint venture because only we offer the combination of low cost from India with reliability from international technology for electrolyte salt, specifically LiPF₆, which is seen very positively by the customers.

Execution of joint venture agreement by and between Neogen Ionics and Morita Investments:

We are thrilled to announce this major strategic milestone - the formation of the first Indo-Japan joint venture in the crucial battery material space.

Page 3 of 19 This JV, formed by Neogen Morita New Materials Limited, or NML as we will describe it in future communications - a wholly owned subsidiary of Neogen Ionics Limited till now - is designed to leverage synergies and capitalize on the rapidly expanding lithium-ion battery market. NML will be dedicated to producing, developing and selling solid LiPF₆ salt, a key ingredient for lithium-ion battery electrolyte along with other related products. Typically, this facility will be the only non-FEOC compliant plant for electrolyte salt in India utilizing proven established Japanese technology offering a significant advantage in terms of cost, speed and reliability. Under this agreement, NIL will hold a minimum

of 80% ownership in NML with our JV partner MIL holding a maximum of 20%.

As you know, US lithium-ion battery cell producers must comply with foreign entities of concern (FOEC) guidelines to secure the lucrative US Government tax credits also known as 45X credits. This requires a complete transition to non-FOEC suppliers by 2027 for electrolyte salt.

Consequently, most international customers are proactively accelerating their supplier transition to non-FOEC sources throughout 2026. This phased shift is essential for them to mitigate compliance risk and ensure uninterrupted eligibility for the tax credit. Its ability to offer a non-FOEC compliant established LiPF6 technology solution positions Neogen at the forefront of this mandated global supply chain period.

We are executing a long-term strategy to evolve into a stronger technology led and agile specialty chemical leader. This strategic alliance with MUIS and Morita are key to accelerating our entry and cementing our position in the high growth battery materials value chain. Despite global economic headwinds, our commitment to volume growth, enhancing operational efficiency and driving transformative projects reinforces our confidence in achieving a robust long-term trajectory and delivering sustainable value creation.

This concludes my opening remarks. I now request our CFO, Mr. Gopikrishnan Sarathy to share financial highlights for the period under review.

Gopikrishnan Sarathy: Thank you, Dr. Harin Kanani. Good evening, everyone. Welcome to Neogen Chemicals Q2 FY26 earnings call. I will share the financial highlights. Kindly note, the numbers are on consolidated basis. Q2 FY26 revenue reached INR 209 crore, up 8% year-on-year. This growth was achieved through sustained demand and increased volume across base and also organolithium business. This mitigated the effect of the Dahej plant unavailability. Neogen Ionics contributed INR 5.42 crore to the quarter's revenue.

Organic revenue for the period stood at INR 184 crore, reflecting 12% increase, while inorganic revenue stood at INR 24 crore.

EBITDA for the quarter was at INR 30 crore. Although the gross profit held steady, EBITDA margin percentage was constrained by various factors. Some of them were: One, higher employee costs stemming from performance-linked incentives, long-term benefits and strategic new hires. Two, sharp rise in the insurance premium following the recent fire incident and increased job work and conversion costs.

Page 4 of 19 As indicated by Dr. Kanani, we expect to recover some of these expenses under the business interruption loss of profit insurance plan in FY27, once operations are resumed at Dahej SEZ's organic plant.

Neogen reported a PAT of INR 3 crore for Q2 FY26. This reflects the cumulative impact of several factors that constrained profitability, namely, higher operational costs as shared earlier, increased finance costs related to the capital deployed for inventory and plant rebuild following the Dahej fire incident, continued investment in the organic Dahej SEZ while we await the final insurance payout for the fire loss, and the initial cost of Neogen Ionics, as also, lower utilisation at Dahej plant, pending both, final approval for electrolyte salts and delayed market demand for electrolytes.

Moving to the key developments during the quarter under review:

To ensure that we maintain our growth trajectory and operational stability, we have successfully executed a private placement of INR 200 crore NCDs. The immediate availability of these funds provide us with the crucial financial flexibility to execute our ongoing growth projects. Crucially, these funds will also provide the necessary liquidity to expedite the rebuilding of Dahej organic plant. And ensuring its timely progress.

Finally, just a snapshot of our balance sheet highlights. Despite operational challenges, Neogen's financial foundation remains solid. Balance sheet is

strong, ensuring uninterrupted business continuity and providing financial flexibility to pursue strategic growth initiatives.

Standalone debt in this quarter stood at INR 722 crore and net debt was INR 595 crore. This increase of around INR 200 crore is due to the NCD issuance, which was basically raised for rebuilding the Dahej plant till the time the final insurance claim is received. Debt coverage remains healthy and demonstrated by the trailing 12-month DSCR of 2.1 times.

On a consolidated basis, total debt was INR 1,078 crore and net debt was INR 900 crore. The company maintains strong liquidity with a liquid investment of around INR 167 crore as on the quarter end.

This concludes my remarks. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Arun Prasath from Aventus Park. Please go ahead.

Arun Prasath: Dr. Harin, the first question is about the guidance on battery chemicals, especially the salt. Earlier also we indicated that we will, from 2025-26 onwards, see a lot of, maybe some of the US customers who will be starting the battery plant, will start giving orders. Now we have seen a bit of delay on that. What is driving the delay in the orders from them, at least the overseas customers, for salt? And how confident are we this time that the current guidance will stand true and we will start the plant, bigger facility also in time? That is my first question.

Harin Kanani: In our current year's guidance, there were two major assumptions. One was the electrolyte requirement for India. And, you know, when basically our Indian Giga factories such as Ola and Exide start their

production and ramp up. As you have seen, Ola just recently got their ARCI approval. So, we expect

Page 5 of 19 that, their ramp up should happen in the second half and especially in the next calendar year, 2026. So, we feel from Q4 onwards, we should see stronger demand for the electrolyte. And similarly, what we understand, for Exide also, that end of this year or early next year, they will start.

So, as compared to our earlier estimation on when these were going to start, the electrolyte in India was a bit delayed and that caused lower volumes. Although, we are still watching how the Q4 will come.

And Q4 performance of Exide and Ola demand is what we are currently looking at. And that will also determine what the final numbers look like. But as compared to what we had earlier estimated, demand to start from almost Q2, Q3 itself, electrolyte demand in India has been delayed.

In reference to the salt question, as we had discussed earlier and as I mentioned in my opening remarks, you first have a quality validation, quality confirmation and then you have a very detailed, what is called as a PPAP procedure in the auto world where they would finally give you the approval.

We are very pleased to inform that, for electrolyte, we have already successfully cleared our PPAP.

And for electrolyte salt, before PPAP, when we had our final audit, mostly we have received a provisional approval and some further suggestions or improvement in our facility were asked by the customer. Some are just software and some additional instrumentation which they want us to update and some facilities also which they want us to improve.

We expect most of this to be completed by January or February 2026 because these were some additional asks during the final audit. They have already given a provisional approval to Neogen and then based on our compliance and completion of this, either they will have just an online procedure to approve us or maybe one more visit in January, February 2026. Once that happens, then our commercial production of the salt can be sold on a regular basis.

So, today it is just trial or something like that. I think this was something which we had hoped that we would

reach by September 2025. So, basically in the first half and based on that in the second half, we would have fully available for sale.

However, based on current developments and the additional ask given by the customer, we expect that sometime in calendar year 2026, Q1 or Q2 - so basically either in Q4, FY26 or Q1, FY27 is when we feel majority of the salt demand will increase. Further, like you know, the requirement by the US Government is that in 2027 to comply for 45x credits, they need to switch to being non-FEOC compliant. So, non-foreign entities of concern supply chain and for that, most of the customers depending on their stringencies have indicated that some of them who are more cautious, they will start switching from Q1, Q2 calendar year 2026 and some who are little bit more price conscious, they would like to switch from Q3, Q4 of calendar year 2026. So, basically 2027, everybody has to switch. Before that, one quarter or three, four quarters before, that depends on, the nature of the company and how much risk averse versus cost conscious they are.

Most of the customers also are intending to switch during calendar year 2026 - some starting from Q1, some starting from Q3, Q4 depending on the internal policies of those companies. So, that is why, calendar year Q4 which becomes H2 of FY27.

Page 6 of 19 We are very confident that H2 of FY27, there will be a very, very strong demand and we should see a demand improvement in H1 FY27. But FY26 did not pan out the way we had envisioned earlier. Both, delay in electrolytes and delay in the final approval by the customers are the main causes and maybe a little bit customer desire to make the final switch in 2026 where the second half of 2025 is the contributing factor.

Arun Prasath: Understood. One follow-up on this. We spoke about the various steps in getting the approvals. Finally, we hope to get it by, say, probably January 2026. So, this, the same set of approvals, again the procedures will be followed for the Greenfield facility as well or that will be on a fast-track mode? How should we look at it?

Harin Kanani: It will be on a fast track mode because one, you know, what we feel is that this will be a facility where we are transferring technology because it will be, like the main equipment, the raw materials, the specification, all of those remain the same. So, lot of work will get reduced. Also, some of the customer suggestions will also be incorporated in the Greenfield facility. The third point is, customer also will be running on a tighter timeline because most of them want to switch in 2027. So, they would have only one or two quarters to complete the procedure. But procedure-wise, we feel it will be much faster. And while you said, that the whole facility would be ready at full capacity in H2 of FY27, some trial production will start even earlier. For example, even electrolyte, we are saying our first target was to complete everything by Q4 FY26. But mostly electrolyte, we should be even ready for trial productions and stabilization by Q1 FY27. And the salt, we are targeting to be ready by Q2 FY27. There will be some trial productions which will start. And we will try to do some of the validations also inline, at least customer visits and things like that.

Arun Prasath: So, we are talking about the non-FEOC electrolyte salt demand, which is our target market. What is the kind of volume in terms of tonnage that we are talking about - at least which is already started and which is not bound by the long-term contracts with the current suppliers?

Harin Kanani: Most of the current supply today is actually from China, except for one Japanese and one Korean

supplier. So, most of the switch would happen and we would be the number three company, which they would be approving.

There is still no supply available in Europe. There is still no supply available in the US. There is one Korean company which is talking about

starting, but again, we do not know exactly how, but we are way ahead in terms of contracted volume, interest and approval processes. We should be mostly number three or number four company. And if we think in terms of capacity, our understanding is that Japan has a capacity between 3 to 5 KTA. The Korean supplier has a capacity around 2 KTA and Neogen would be adding around, both the salts together on the LiPF₆, we are adding around 3 KTA at the green field and our Dahej would have around 4 KTA.

So, I think we have orders of similar magnitude or slightly better as compared to the existing players. And we believe as compared to Japan and Korea, the customers also have cost advantage. And most of, at least with some of these customers, we already have a long-term agreement where, the pricing has already been agreed upon. With few, we are discussing pricing, but with the major customer, we

Page 7 of 19 already have pricing, which has been agreed upon. And that pricing will already take care, which basically shows that there is acceptance to the cost structure of Neogen Chemicals.

Arun Prasath: Can you just mention what is the US demand for salt in terms of KT? You mentioned supply, non-Chinese capacity. What is the demand for the US?

Harin Kanani: If we take 300 to 500 kind of gigawatt hour, there should be a total demand of around 40 KTA to 60 KTA, if everything has to switch for a 300 gigawatt production.

Arun Prasath: This will be by which year?

Harin Kanani: By 2027.

Arun Prasath: Okay. And of this 300 gigawatt, how much is currently live and how much is under construction?

Harin Kanani: Currently we are already at 140 or 150 gigawatt hour, which is online. And more are also coming online, but the actual consumption of the cells or actual cell production is to the extent of around 140 gigawatt hour to 150 gigawatt hour. This is just my estimate. There is no official number which says how much it is. But this is just a summary of the major producers, if you think of major producers like Panasonic, Tesla, LG, Samsung and SKON. If you take their capacities, what they are today producing, our estimate is somewhere in this region.

Moderator: The next question is from the line of Archit Joshi from Nuvama Institutional Equities. Please go ahead.

Arhit Joshi: Hi. Good evening, Dr. Harin and team. My first question: if you could help us understand the PPAP or rather the agreement that we have signed. If you could throw some more light on how do we understand this phenomena? Is it like a contractual obligation that the customer has gotten us into? Does that give us visibility of, let us say, X amount of volumes? Would we be facilitating some level of gigawatt capacity? Anything around those lines, if you could help us understand, we can maybe, substantiate it a bit better.

Harin Kanani: PPAP is basically your quality system approval. It also measures the productivity and the capacity and the quality of the product being suitable. It is also the sign of systems. So, it is equivalent to a US FDA.

A pharma customer coming and giving you the final approval or US FDA coming and giving you the final approval, post which your product can be put into commercial usage. So, it is equivalent of that. And what PPAP basically means is let us say if we are thinking of an API world like US FDA has come and given you approval. So now your product can be sold in the US market at a commercial level and can be consumed. So you might do some trial production, etc. But mostly before you start commercial supply, you need to complete the PPAP. This is usually done by individual customer. One of the gigafactories in India have already completed the PPAP with Neogen. So now, they can continue to buy electrolyte and put it in commercial products which can go in auto or other kind of applications. This is what PPAP means.

Separately, in terms of volume commitments, what we have mentioned earlier, that elect

rolyte salt, we

already have volume commitment agreements, which are separate agreements about pricing, payment terms, etc. For the salt, we already have agreements in place, which will completely take care of the

Page 8 of 19 5,500 metric tonne or 5.5 KTA capacity, which we are putting up. So we have full agreements for the salt already.

For the electrolyte, in parallel to PPAP, we are also discussing with the customers long-term supply volume. Similarly, for electrolyte also we are planning to conclude long-term supply agreements.

However, mostly as you can see, Indian gigafactories are just starting one by one. Some of them, most of them will start, in the second half of 2026.

There is enough time before that. And the ones who have started, we are in active discussion with them for concluding contracts, for long-term supply. So this is ongoing. But we are the only facility in India with a PPAP approval for electrolyte salts today. And based on that, if anybody wants to buy locally, right now, they have to buy only from Neogen. So we are in a very strong position. And it also gives confidence about the quality systems and supply which Neogen can do.

Arhit Joshi: So in the PPAP, you have mentioned that this is for electrolyte demand. And I think I heard you say

that it is for the 5,500 tonnes salt commitment. So just a little confused whether this is for salt, electrolyte or both?

Harin Kanani: PPAP is for electrolyte approval. And separately I mentioned that for the salt, we already have the pricing commitment. So in electrolyte, we have completed PPAP, but the pricing agreement is under progress. For the salt, the pricing agreement has been done. We have gotten like provisional approval, but the final PPAP approval is subject to us implementing some of the suggestions which I mentioned earlier, we expect by January, February 2026.

Archit Joshi: Got it. Got it. So second one. I heard on one of the battery manufacturers' call that they are starting with NMC battery production in the beginning before starting LFP. Does that have any repercussion on our visibility of demand, whether it is restrictive, whether it is NMC or LFP?

Harin Kanani: The only difference between NMC and LFP from an electrolyte from a business point of view is that one gigawatt hour of NMC requires around 400 to 500 metric tonnes of electrolytes. In case of LFP, it requires around 1,200 metric tonnes of electrolytes. So let us say if there is a 10 gigawatt hour of NMC facility, the demand would be 5 KTA. And if there is a 10 gigawatt hour of LFP capacity, then the demand would be around 12 KTA. So, it is the demand.

But broadly, when we look at the overall demand and the production which is coming. So, what we expect, that when India reaches, maybe 50 giga or 100 giga, it would be 70%-80% LFP, around 10%-20% will be NMC and 10% would be others, based on which we have come at an average number of 950 to 1,000 metric tonnes per gigawatt hour kind of consumption. And with whatever feedback we have from our customers, we are still confident that NMC, LFP mix can change a bit - 10%-20%. Even if it becomes 30% NMC, 70% LFP. Although more and more, when we think of a 30, 50, 100 giga level, more is going to be LFP driven. So the demand is going to be more than what we had originally expected. But our full utilization target by FY29 does not change. We would still be able to easily achieve full utilization of our electrolyte facility, and of course, salt even earlier - by FY29.

Page 9 of 19 Archit Joshi: Understood. One bookkeeping question. What would be our peak gross debt? At what scale would we

reach our peak gross debt, the timelines of that? Also, the inventory in the current balance sheet seems to be quite high. So if you can just explain as to why. There is almost a INR. 130-odd crore inventory jump that we saw.

Harin Kanani: Our peak debt is expected to be INR 1,800 crore. And we would basically reach th

is one year closer to

our full utilization level. So around FY28 or so, we would reach, whenever peak demand would be there for the peak debt.

In reference to your second question. Also, in line with our revised commissioning dates, our bankers have also extended, for our greenfield site, the start date by around one year. So that also will push our repayment schedule by one year. So that gives us further additional comfort in maneuvering the cash flows and therefore, the delay will not have significant impact on the cash flow requirements. And we would remain comfortable because of the approval given to us by the bank.

Finally, about your question on inventory. As you are aware, we had indicated we lost around INR 180 crore of inventory in Dahej during fire, INR 170 crore to INR 180 crore of inventory during fire. The increase that you are seeing in last six months is basically making up for the inventory which we have lost. Because you can see we have regained our revenue performance. In fact, it is slightly higher as compared to what we had around that time. To be able to maintain that, the inventory that we lost is being made up now.

Archit Joshi: Understood. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Yes. Good evening and thank you so much for taking my questions. So just on the battery chemicals business, we were guiding to about INR 300 crore of revenue previously. Obviously, things seem to be moving a little bit slower. Just wondering if you would like to maybe update your guidance for this year and maybe next year in terms of that business.

Harin Kanani: Based on today's situation, as I explained earlier, since our electrolyte demand has been lower, although we are ready and we took longer time for getting approval, we are expecting it longer. So this year, we would not be able to achieve INR 300 crore.

As we had indicated earlier also, it was going to be difficult, but the number we were trying to get more clarity. So depending on how electrolyte demand comes up in the Q4, we expect it to be in the range of around INR 30 crore to INR 40 crore for the current year.

For the next year, we expect that many facilities are going to come online, especially in H2. And again, it depends a little bit on how that happens. And salt also most of the customers would be transitioning in 2026. So in FY27, they are doing the transition. FY28, we have much stronger clarity both on electrolyte or salt. But we feel at the least we should be able to do around INR 400 crore to INR 500 crore of revenue in the next financial year, which is FY27. And we remain on track to achieve full utilization level by FY29. That is the guidance we have given of INR 2,400 crore to INR 2,900 crore

Page 10 of 19 on the full utilization of the facility. FY28 will be somewhere in between. We expect salt demand to be

very strong. And electrolyte, depending on how ramp up in India happens and share between India ramp up and some customers in the beginning for a short while, because of contractual limitations, we will have to import electrolytes from China. But how soon they decide to switch to us. So that will determine the FY28 revenue, about which we will guide you as we get more clarity. But we expect it to be more than INR 1,000 crore. So at least significantly more than INR 1,000 crore, but between the INR 500 crore and let us say INR 2,900 crore number.

Abhijit Akella: Thank you. That is very helpful. And on the base business itself, you know, we had this INR 850 crore plan for this year. That seems on track, right? And then how do you see it shaping up next year?

Harin Kanani: Yes, that remains on track. And for the next year also, we will target a full utilization level, which is somewhere between INR 950 crore to INR 1,000 crore. And then as we had shared earlier, we expect in the

year beyond without any capex, just optimizing the plant fully, we would like to target at least a double digit growth over that at least from what we can see today.

Abhijit Akella: Thank you so much. Just last couple of questions from me before I get back in the queue. One is, what is the amount of debt servicing that we have lined up over the next 12 months? You know, so just maybe the principal plus the interest obligation lined up for the next 12 months, if you could help us with that number?

And the other thing was on the battery chemical side it seems like in recent weeks and months, prices have started to move up in China quite significantly across all manner of battery chemicals. So what exactly might be happening there? And what is your expectation for how that market might evolve?

Harin Kanani: The total repayment that we have to do over the next one year, is hardly around INR 40 crore-INR 50 crore on the term loans. In terms of interest, whatever is, is our working capital interest, because most of the project finance-related interest will be part of the project cost. So that will not hit, except maybe, the Dahej-related capex in NIL. But most of the Pakhajan Greenfield site is part of the project cost. That is already accounted for in the project investment.

In terms of regular interest, which we are paying on working capital, we are yet to receive majority portion. So we received INR 80 crore, but we are yet to receive the remaining around INR 250 crore, plus the loss on profit, plus additional cost on rebuilding from the insurance. So around INR 300 crore is what we will be receiving in next one year. As we keep receiving that, our interest cost - working capital interest that is currently higher - will taper down and will improve. That is the estimate on the repayments which we need to make.

On your second point about the pricing in China. We have also heard that there was a very strong move in the electrolyte salt, as well as, to some extent, electrolyte cost also in China. And most of the Chinese were selling only at raw material costs and what I call manpower. Some of them are not even accounting for power and fuel costs. Some of these companies were not able to sustain and started closing down. Also, the demand situation is looking better. The overcapacity in China, which was at least for the good cell producers, is now no longer there. With the strong, best energy storage demand across the world, including in India, the good quality cell producers, their capacities are now almost getting full. So that

Page 11 of 19 reduces their pressure to sell at a lower cost. And therefore, we have seen, firming up of battery material prices, as well as electrolyte, electrolyte salt and to some extent, even cell costs are also likely to go up over the coming year.

Abhijit Akella: Got it. Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Thank you so much for taking my question. What I had was relating to the insurance payout. Just wanted to know, those things are going on fine. But probably there is some delay in getting the insurance payout for what we had to, raise some funds as well. If you could give us some color on why is the delay in this insurance payout?

Harin Kanani: Till June, the insurance company was just wanting to confirm, through several vigorous testing, the cause of the fire and that all the permissions were in place. Once that process was completed, they released the first interim payment, which was a sign of acceptance of the claim.

Now, as you know, there are two stock claim as well as the rebuilding of the capacity - the capex-related claim. The capex related claim, against that they have already given us INR 80 crore. And as we complete this INR 80 crore, which we expect in current quarter, we would fully end up utilizing that

because we are also on track to complete this by Q4. So that the plant becomes available for the next financial year. As we complete that INR 80 crore, they will give us the next interim payment against that.

On the stock side, post fire and post taking care of the capex related claims, they started processing just because the claim amount is large, sometimes there are one or two rounds of reviews from their side, back and forth, additional queries, which we are answering. And sometimes they also arrange for external experts. So we are again pushing insurance and we hope that in current quarter - in Q3 - we should complete receiving the stock related claim, at least majority portion of that. And the final payment against the capex rebuilding, because we have replacement basis insurance, that is, not the cost of the loss, but the replacement of that. That will be finally determined only once the plant is ready. Some amount we will get by Q1 of next year. And as you know, we have seen that some of the costs

have increased because of doing some outsourcing, some employees and some standard costs at Dahej continuing. All these will become part of loss on profit claim. So that is normally expected some time in Q2 or Q3 of FY27, because the calculation and the working on that starts only once the plant is rebuilt. So that exercise itself is that. It is for us also the first time. But when you have a large claim, it just takes a little bit longer for them to do each and every stage.

Jason Soans: Sure. But more or less, notwithstanding some delays, it is on track. I mean, it is as per estimation, right?

Harin Kanani: We are fully as per estimation and that is the reason, we are paying a little bit over cost, but, we are able to maintain our operations at full stage. We are continuing our growth. We are doing what is needed to, whatever we had planned for employee retention, for employee motivation. Those programs also have been continued. The capex has continued at the same pace, because of want of funds it is not

Page 12 of 19 delayed, or something like that. I think those are the positives (that have happened) because of the INR 200 crore NCDs that we issued.

Jason Soans: Sure. And just to get this right, I mean, in terms of the battery cell commissioning in India, which has been delayed, as you mentioned, it would be fair to probably estimate that it is a one year delay, right?

With the likes of Ola, the Exides, the Amara Raja, probably it is a one-year delay with all the EV domestic chain supply chain being set up in India. Would that be a fair take?

Harin Kanani: Yes, I would agree. And in the sense that we expected Ola to start in the first half, but, the time it took for them to get their cell approvals and go full commercial scale. So it took a little bit longer. In some sense, I would say 6 months to a year kind of a delay. And yes, mostly what we are seeing by 2027, majority of the players who had planned would start manufacturing.

So 2026 is a bit of a challenge, but in calendar year 2027, which is FY28, we see very strong demand. And the other thing which has happened and while the delay has happened is that the consumption of the cells is only increasing. I think EVs, there is a good positive response. More and more people are coming.

And also we see a very strong demand for energy storage, BESD - what is called battery energy storage demand. That demand has become stronger. Everybody is trying to work very hard to get cell capacity as fast as possible.

Jason Soans: Sure. And so just one final question. For FY26, you had revised the standalone guidance. I understand the battery chemical gets downward revised, in terms of whatever has happened in terms of delays. You spoke about INR 30 crore to INR 40 crore in FY26 and INR 400 crore to INR 500 crore in FY27. Now, in terms of standalone, you are maintaining that guidance and probably you said FY27 probably will be, just i

n terms of base business, I am saying you said double digit at best. Probably you will strive for double digit going in FY27?

Harin Kanani: No. We said FY27 was INR 950 crore to INR 1000 crore and FY28, full utilization of the existing capacity. And FY28, what we said, because we do not want to do significant capex, without the capex, we are confident to give a double digit. For example, we see very good demand in organolithium because we have seen organolithium as well as CSM business. Actually, in spite of the fire, our CSM business contribution reached almost 16% and we are seeing very strong demand. So if we see a very strong demand, we do some additional capex for FY28. But currently, our aim is, to with the same, we can deliver at least a double digit growth.

Somewhere around Rs. 1,150 crore or so kind of a revenue is what we are targeting without capex. If we see very good demand and if we see good reason to do it, we will take a call in FY27 on that. But FY28 is what I was referring to for the double digit. And INR 950 to INR 1000 crore.

Jason Soans: Yes. Okay. Sure.

Harin Kanani: There is no change.

Jason Soans: Sure. Thank you so much for answering my questions. Thank you.

Page 13 of 19 Moderator: Thank you. The next question is from the line of Nikhil Agarwal from Money Stories Asset Management. Please go ahead.

Nikhil Agarwal: Yes. Good evening, sir. Thank you for the opportunity. I just had a question regarding your debt and cash flow management. I wanted to know what is the current CAPEX and IRR which we have already done? And what is the amount which is remaining? Also, what will be the debt and interest level after the CAPEX cycle which we have and how will we be able to manage the interest cost?

Harin Kanani: We have so far completed capex of around INR 620 crore. And by end of this year, we expect another INR 500 crore. And as we complete next year, our existing capacity will increase, we will complete the INR 1,500 crore capex across our Dahej and Pakhajan sites.

In terms of Neogen Chemicals site, we are rebuilding the plant. And maybe when we rebuild, if there is some additional capacity or some improvement which is not covered by the insurance, we will have to pay. That is something which you would know only after the final insurance evaluation. Maybe some incremental capex for our R&D and pilot facility and maintenance capex at our other sites. So, we are not considering any large capex on Neogen Chemicals in this and the next financial year. It should all be double digit, no triple digit of capex in Neogen Chemicals.

In terms of funding, we already have 70% being debt funded, which is already secured for Neogen Ionics. Further, as part of the JV, we had also received some additional funds which will be coming in

as equity contribution from our JV partner that will fund Neogen Ionics.

And our contribution has already significantly funded completely actually for Dahej and significant portion of the greenfield has already been funded by us. So, we do not expect to invest too much into Neogen Ionics from Neogen on a standalone basis because majority of the funding has been received and partly some of the funding will be received from our joint venture partners. In case of Neogen Chemicals, most of the insurance proceeds would come and most of that would be funding. In fact, we have already funded inventory related expenses. So when that funding comes that will help us reduce debt or maintain some liquidity to plan for any unexpected requirements. This is basically the idea. Also further as I explained that once Dahej facility comes online in Q1 of next financial year, we will have a one year moratorium. And as our Pakhajan facility comes online in FY27, we would have further one more moratorium from the start date. So the repayment too at a ballooning level. The majority repayment burden would be in FY28-FY29 in Neogen Ionics by which time we would a

Iready

be hitting full utilization level. So, the cash flow from the company itself would be sufficient to repay the debt there.

Nikhil Agarwal: Okay. Thank you, sir. Thank you.

Moderator: Thank you. The next question is from the line of Reena Shah from Subhkam Ventures. Please go ahead.

Reena Shah: Thank you for the opportunity. I just wanted to understand the cost that you have incurred because of the fire incident. Are these one-time or recurring costs?

Page 14 of 19 Harin Kanani: Normally as you know, insurance, especially after a large insurance claim, couple of years after that,

the insurance company tends to increase the premium. We had our insurance renewal in the month of July-August 2025. Post that, our insurance premium has increased significantly. Some contribution is coming from there and it will stay for a year or two, and then afterwards, it comes back to normal insurance level.

Similarly, some of the costs which we are incurring, where some of the activities when we do not have capacity, we have to, like stages of manufacturing we have to outsource. And also some of our capacity or expenses, fixed expenses at the Dahej site are remaining. Some of these expenses are claimable under our loss on profit. But, it is very difficult to do a provision of that. So, currently, in this year, you will see them as a higher expenditure in Other Expenses. But we feel majority of those would be recovered from the insurance in the next financial year. And once the Dahej plant starts, this additional expenditure would not be there and you go back to our normal EBITDA levels related to that.

Reena Shah: Okay, any change in your margin guidance?

Harin Kanani: It is very difficult to predict this. This year it is difficult to predict. But next year, when we hit full utilization, INR 950 crore to INR 1,000 crore on standalone basis, we expect the same (margin) - 18% plus or minus one, 1%, 1.5% margin. And then as we get further utilization, as we go into FY28, maybe improvement over that. As our CSM, our organolithium business starts contributing more.

And in terms of Neogen Ionics, we continue to target 20% ROCE as our margin. EBITDA margin, it is very difficult to predict because of lithium price volatility. It can be in the range of 16% to 20%, depending on the price of lithium and other raw materials, but for Neogen Ionics, we target a 20% ROCE.

Reena Shah: Next year, you have given Rs. 400 to 500 crore guidance for Neogen Ionics. How much of that will be salts and how much electrolyte, according to your assumption?

Harin Kanani: We feel it will be roughly half-and-half. Almost 50% coming from electrolyte and 50% coming from salt. But anyways, if demand comes a bit higher, we will be ready for more, for both electrolyte as well as salt.

Reena Shah: Okay. I think that is it from my side. Thank you.

Harin Kanani: Thank you.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Yes. Hi, Dr. Harin. Thanks for the opportunity. Sorry if my question is a repetition. Joined the call a bit late. First, just a clarification on the one-year extension in moratorium for debt repayment. This will be only for the principal paying dues or even the interest outgo will get extended?

Harin Kanani: Ankur, the interest, till the time the project is not completed is already considered as part of the project costs. It is only after we have the start of production, then the interest on that portion will start becoming payable for one year. And then the repayment will start the year after. In the second year, we would

Page 15 of 19 start the repayment. That was earlier also. That was the same thing earlier, but now we have one-year extension that we can start paying interest after one year and the repayment the year after, depending on when we actually start.

Ankur Periwal: Correct. So, interest capitalization is well und

erstood. The interest payment will be after a lag of one year and the repayment is further one year out?

Harin Kanani: That is right, yes from the start of production.

Ankur Periwal: From the start of commercialization.

Harin Kanani: From the day you make it commercial production.

Ankur Periwal: Yes, fair enough. Second question on the salt bit. I appreciate the delays in the plants coming in India, but globally how has been the demand scenario on the salt side? And secondly, any plan to expand our capacity further over there?

Harin Kanani: The customers have welcomed our joint venture with Morita very strongly. Most of the customers really appreciated that because it gives them a lot of peace of mind. And while we were actively discussing with only one or two major customers in the beginning, now there are three to four large consumers who are actively discussing with us. As we mentioned in our call, some of them even fast-tracked our sample approvals. And now they have completed sample approval. And on top of three, four major ones, we also had two, three smaller ones who also started working with us. So, we are now able to access more number of customers. The customers are more confident in terms of the new capacity, which is going to come online. I think all these have been very positive.

Most of the customers on their side also with more clarity around 45x related credits are very keen to have a non-FEOC supplier in 2026. As I said, someone wants to start by Q1, Q2, the homologation. Someone would like to wait till Q4 and enjoy lower China price as much as possible and only in Q4 shipments. For their consumption in 2027 is when they will make the shift. But everybody is very clear that in 2027, they want a non-FEOC supplier. And Neogen is now considered a very strong contender, especially after the JV, because it just increases the reliability in the minds of the customer.

Ankur Periwal: Sure. And the product pricing here. Will Chinese salt be a benchmark on which the product will be priced or...How are we working or negotiating on that side?

Harin Kanani: Before that, you also asked me about salt capacity. As I have said earlier, that with our existing customers itself, our salt capacity would run out by FY28, FY29. And it depends also on whether we will use the salt internally for electrolytes. We are also giving options to our customers to choose that because as you also mentioned, it also depends on the pricing with China.

When China was very, very low price throughout last year, the customer still wanted this because of FEOC and because of the constraints. One of the biggest help China did to market our product is the restrictions they announced from 8th November. Because that really shook up the customers because at any point of time, if China comes and says, hey, I will not supply this and I will not supply that. If tomorrow they add electrolyte salt in that list, they will be very badly impacted for something which

Page 16 of 19 costs very less. Because of that, all the customers are very keen to buy...they become even more keen to buy from Neogen. And yes, I think mostly the benchmark is, outside China are you the cheapest? That is the question everybody keeps asking in the international markets and Neogen, at least the contracts which we have signed, in there, the answer is yes. That is the reason why they continue to discuss and more customers are discussing with us for their demand. So we will keep watching. But yes, we see a strong need that by FY28 or FY29, we may need extra salt capacity. And we feel 2 KTA we can add relatively easily because it will not cost so much. But we will not do that till the Greenfield site starts fully and we get a clarity on approvals and supplies will start. After that, we will take may be 9 months or 12 months and add two KTA if the demand remains strong and if the customers are contracting us with a more committed volumes for FY2

8 and FY29.

Ankur Periwal: Sure, that is helpful. Just one follow up here. 2,000 odd tons can be added, let us say, within a year. This is largely de-bottlenecking. If you want to add Greenfield expansion, how much can we do and what is the typical time required to do that?

Harin Kanani: 2 KTA is just expansion of my existing manufacturing block. And then I can add one more 5 KTA also for which we have done some of the infrastructure work. So 2 KTA between 9 to 12 months, another 5 KTA, I would say maybe 15 to 18 months. And if we have to go beyond, again, we still have space in Pakhajan. But yes, we can another, let us say, 18 months or so, if we have to go beyond 10 KTA.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. So first question is, once all the projects are done, by FY27 end what is the gross block likely to look like? And on the INR 1,500 crore of debt at peak levels, what is the average cost of debt that we are looking at?

Harin Kanani: Gopi, would you like to answer that?

Gopi Sarathy: Average cost of debt will depend because all our interest rates are variable. Some of them are linked to repo rate, while some are linked to the MCLR rate. So as the interest rate moves, the things would also be moving. And as far as the gross block is concerned, we should be having a gross block of close to INR 2,000 crore on a consolidated basis.

Rohit Nagraj: Okay. Just a clarification. Based on current interest rate, the cost of debt will be somewhere closer to 7%-8%?

Gopi Sarathy: Slightly higher, because it is a project loan. Generally, project loans are placed slightly higher than the normal term loan. But generally, post-COD, the interest rates actually get reduced.

Rohit Nagraj: Sure. That is helpful. Second question. In terms of battery chemical scale-up, INR 500 crore to, say, INR 2,500 crore. Dr. Harin, you told that the ROCE that we are looking at is 20%. Given that the scale-up will happen between INR 500 crore to INR 2,500 crore, initially, will the ROCE be lower? And because of that, the margins that we are looking at from a constant lithium prices perspective of 20% could be lower at Rs. 500 crore. And as we hit the peak, the margins at, say, the current lithium prices

would be about 20%. So is that assumption right?

Page 17 of 19 Harin Kanani: Yes. Just one correction. You said INR 2,500 crore, I heard, but it is INR 1,500 crore for the battery

business. For the salt and the electrolytes, together, everything is together. So just one clarification on that. And yes, you are correct that the 20% ROCE is on a stable basis when we have full utilization level. You know, when we are in an intermediate phase, like FY27 or FY28, maybe it can be a bit lower.

Rohit Nagraj: And just one last clarification in terms of electrolyte and electrolyte salt. You mentioned that we currently have 5,000 tonnes of salt capacity, and there is additional electrolyte capacity. How much of this 5,000 tonnes would be consumed internally, based on our current contracts with the customers?

You also clarified that we have the option of either selling electrolyte salt or the electrolyte solution.

Based on current understanding, how much would be actively consumed?

Harin Kanani: That is a choice which each customer is making right now. And the Indian electrolyte customers, they also are competing against China. So while electrolyte has to be made locally, some of them are considering that, if the Chinese electrolyte salt is lower, why not directly get from China? Some of them have restrictions, because of their PLI, where they want a local production. And there are some who want from a business stability point of view. So, it is a little bit difficult question for me to answer, because the customers will make this choice over next 12 months to 15 months. And that is what one of the clarities

which we are seeking from the customer. One good thing that we have that in case the customer says, get from China, we also have our JV partner who already has a plant in China. So even from China, we can get them a stable, relatively good quality, reliable, electrolyte salt.

So we will work with our customer, our partner to optimize. And for us, if we are selling both electrolyte and salt, we are not consuming internally, then the revenue potential can be even higher with the same investment. Of course, in that case, the overall margin, the ROCE on the electrolyte side can be a little bit different. But overall, I think we should...still it is a positive. But that is something which the customer will choose. So it is difficult to answer. And when we answer that question, we will also answer our next capacity increase, because if that happens, we definitely need capacity by FY28, FY29, when we hit full utilization on the electrolyte side.

Rohit Nagraj: Perfect, sir. Thanks for all the clarifications and all the best.

Harin Kanani: Thank you.

Moderator: Thank you. The next question is from the line of Tej from Niveshaay. Please go ahead.

Tej: Yes, thank you so much for the opportunity. I only have one question. You said that from the next year, there will be incremental demand coming on from suppliers looking at the non-FEOC supply chain.

My question is, let us say even if a supplier is buying electrolyte from a non-Chinese supplier, and then, let us say, he has to be reliant on a Chinese line or a Chinese lithium carbonate, would it be considered an FEOC? I mean, non-compliant? I just wanted to understand that.

Harin Kanani: For you to be fully compliant, you need to have the entire critical mineral supply chain to be non-foreign entities of concern.

Page 18 of 19 Tej: Then in that case, how would the OEMs/the manufacturers in India would be able to comply? As far as we know, the guys putting up plant, all of them have Chinese line, right? And sourcing comes from China. In that case, how would the FEOC compliant would be beneficial to us?

Harin Kanani: This is a requirement in the US. Companies which are making cells in the US to get the benefit, they need to comply to the non-FEOC requirement. This is more relevant for our electrolyte salt business.

For our electrolyte salt business, this is a relevant policy where we are trying to sell it to the supply chain in the US. And for our Indian customers, some of them who have ACC, PLI localization targets, for them electrolyte and how much salt where we are making becomes again relevant. Because, if I am making it from scratch, then the localization percentage is much higher. If I am getting lesser salt from outside and mixing in India, then I am making the electrolyte here, then the localization percentage is lesser. So it will depend on the customer's localization. But this is true only for localized customers who are looking for localization, who have ACC, PLI benefits.

For the non-ACC, PLI, at present, there is no deterrence. But the Government has promised that, the import duties on cell and cell components, they would be reviewing in 2026. So, we feel now the supply chain and production coming in, there will be some kind of a protection or support for the Indian cell manufacturing and cell supply.

So again, we are actively answering customers, the Government policy makers' replies and through our association making presentation. And we hope some kind of additional support will also be received by us and cell producers for ensuring India can have a completely, backward integrated supply chain for the cell production.

Tej: Okay. Got it. Got it. Great. And the last question is, correct me if I am wrong, I read somewhere, the players would select a local supply because for electrolyte to come from China, it would take about 1 – 1.5 months. But then the properties of electrolyte change, right? So that is why the local suppliers would

Id prefer local supply. Is the understanding correct?

Harin Kanani: Yes. Normally, electrolytes have a shelf life of around 3 months. And even during these 3 months, there is some degradation. Technically, if you look at majority of the big cell producers, they consume electrolyte within 15 days. Ideally, Indian companies also would like to do that.

Tej: Okay. Perfect. Thank you so much. And all the best.

Harin Kanani: Thank you.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Thanks for taking my question again. Just wanted to understand one thing from a fundamental perspective. Now, you did speak about lithium salts being imported at a cheap, I mean, at a very low rate from China. So want to understand, if you are importing lithium salt from China, and if you add the other ingredients, is electrolyte, you know, you make this electrolyte solution. Can that be made in a cost effective, simpler manner for, let us say, a player with a large pocket?

Page 19 of 19 And if it is relatively simpler, then, what benefit do we have from the MUIS technological tie-up?

Because what I understood is, if we have the MUIS tie-up, it could, it should have posed a strong entry barrier for us for making the electrolytes. So just wanted to, weigh both these things. If you import the salt from China, is it very cost effective for a player with a large pockets to make electrolytes?

Harin Kanani: Making electrolyte is where we have Mitsubishi technology. And you know, the quality of the electrolyte depends on the quality of raw material and the quality of how the electrolyte is made. So the manufacturing process is what gives us an edge. And if anybody else also makes, there would be errors or sometimes the process would not be efficient. So again, the cost of manufacturing also can go high.

This is where Mitsubishi kind of technology comes in. And those two are independent questions.

Jason Soans: Okay. Sure. So you are saying the quality, the MUIS technology will offer you a better quality and a better chance for an approval. That is what you are saying. Right? And that is the edge. Basically, that is where the edge comes from. Okay. Sure. Thanks.

Harin Kanani: Yes. And also, it will give us more productivity. So their process is very efficient with 30 years. So, actually the operating costs also can be lower as compared to somebody else.

Jason Soans: Sure, sir. Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Harin Kanani: Thank you for joining us today. We trust your queries have been addressed. For any additional questions, our Investor Relation team is available. We appreciate your time and look forward to connecting again next quarter. Thank you. Good evening and have a great day.

Moderator: Thank you. Ladies and gentlemen, on behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: The transcript has been edited for clarity. However, it may contain transcription errors. Although an effort has been

made to ensure high level of accuracy, the Company takes no responsibility of such errors.

Call: Feb 2026

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February 18, 2026

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Debt Segment Code: 977028 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
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Company Symbol: NEOGEN

Sub.: Q3FY26 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Conference Call Transcript of the Company's Q3FY26 Earnings Conference Call held on February 12, 2026 at 2:00 p.m. IST.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

Page 1 of 23
Neogen Chemicals Limited
Q3 FY26 Earnings Conference Call
February 12, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY26 Earnings Conference Call of Neogen Chemicals Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon everyone and welcome to Neogen Chemicals' Q3 FY26 earnings conference call for analysts and investors. Today, we are joined by senior members of the management team, including Mr. Anurag Surana, Non-Executive

Chairman; Dr. Harin Kanani, Managing Director; and Mr. Gopikrishnan Sarathy, Chief Financial Officer.

We will commence the call with opening thoughts from the management team, after which we will open the floor for your questions. Before we begin, a standard disclaimer: certain statements made or discussed on today's conference call may be forward-looking. Actual results could vary from these forward-looking statements, and a detailed disclaimer is available in the Q3 FY26 earnings presentation, which has been uploaded on Stock Exchange websites.

With that, I would like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you, sir.

Dr. Harin Kanani: Thank you, Nishid. Good afternoon everyone. Thank you for joining us to discuss our third quarter fiscal 2026 financial results. I trust you had the opportunity to review our Investor Presentation. I will provide a summary of our operational performance and an update on our key strategic growth initiatives.

Page 2 of 23 Q3 served as a period of steady recovery and a decisive pivot towards a future-ready portfolio for Neogen. Despite global market volatility, our core business remained robust, underpinned by demand resilience in Pharma, Flavors and Fragrances, and other specialty applications. With our product optimization initiatives and the Dahej replacement plant nearing completion, we are firmly on track to achieve our growth ambitions.

Before our CFO provides a detailed financial overview, here is a quick summary on a consolidated basis. We delivered 9% revenue growth in Q3, with gross profit up 13% with around 150 basis points margin expansion. While top-line growth was strong, EBITDA and PAT were pressured by transient costs related to Neogen Ionics ramp-up, elevated operational expenses due to fire incident and interim toll manufacturing setup, and higher finance cost from Dahej plant reconstruction and other investments. These are short-term impacts as we pivot to a future-ready portfolio. Furthermore, eligible costs, at least part of the eligible cost, will be recovered through loss on profit insurance claims in the coming quarters, mostly in the next financial year.

Regarding the fire incident, we received INR 83.48 crore in insurance claims till nine months FY26. Accordingly, net claim receivable stands at INR 251.12 crore. We are maintaining a close dialogue with insurance companies to expedite the final settlement of the remaining balance. Concurrently, construction of replacement plant of Dahej is progressing rapidly, with commissioning on track for Q1 FY27. We are confident this new facility will be fully compliant and optimized for enhanced operational efficiency.

Moving to updates on strategic expansion initiatives on battery materials:

■ Strategic Indo-Japan alliance for electrolyte salt production

We have successfully concluded a joint venture with Japan's Morita Investment Limited to produce and sell LiPF₆ salt globally. Neogen will hold an 80% majority stake in the new entity - Neogen Morita New Materials Limited - supported by a \$ 20 million investment from our partner for the rest of the stake. The JV integrates 30 years of proven Japanese technology to accelerate international customer approvals and production efficiency. Notably, this establishment is India's only non-FEOC compliant electrolyte salt plant with proven established technology, offering a Page 3 of 23 strategic alternative to the Chinese supply chain while advancing Atmanirbhar Bharat through significant import substitution.

■ Pakhajan greenfield project

Our Pakhajan greenfield project is progressing as per schedule, with commercial production for electrolyte targeted for H1 FY27 and electrolyte salts for H2 FY27. This timeline is strategically synchronized with India's ACC battery rollout and the surging global demand for non-FEOC compliant supply chains. At the facility, plant equipment has arrived, assembly is currently underway, and trial production is expected to commence shortly. We have already achieved a major milestone by securing long-term commercial supply approval from a prominent giga-scale Indian manufacturer following successful PPAP completion. On the international front, we have received provisional approval of our lithium electrolyte salts from multiple global clients now, while final site audits are expected to be concluded in Q1 FY 27. Upon commissioning, Neogen will emerge as a highly cost-competitive global source for lithium salts and electrolytes, backed by proven Japanese technology. We are currently seeing significant tailwinds from the US 45X tax credits non-FEOC requirements and recent price volatility in China, both of which enhance our appeal as a strategic global partner. We expect several large-scale international customers to finalize their approval process shortly, paving the way for bulk consignments and regular commercial productions in H1 FY27.

Looking ahead, we are at a pivotal inflection point as we transition from project execution to the commencement of regular long-term supply agreements. We are confident that Neogen Ionics will become the cornerstone of our future growth, diversifying our revenue streams and enhancing our margin profile. By integrating world-class Japanese technology with our indigenous manufacturing excellence, we are enforcing Neogen's position as a technology-led leader within the global battery chemicals value chain. As electric vehicle and energy storage ecosystems evolve, our readiness to supply material at scale positions us to capture substantial market share, delivering long-term sustainable value to our stakeholders.

That concludes my opening remarks. I will now turn the call over to our CFO, Mr. Gopikrishnan Sarathy, to provide a review of our financial performance for the period. Over to you.

Page 4 of 23 Gopikrishnan Sarathy: Thank you, Dr. Kanani. Good afternoon everyone. Welcome to Neogen Chemicals' Q3 FY26 earnings call. I will share the financial highlights. Please note, all the numbers are on consolidated basis.

Our revenue for Q3 reached INR 220 crore, representing 9% year-on-year growth. This was led by higher volume across both, organic and inorganic chemical segments, reflecting a steady market demand. Notably, we maintained resilient operating volumes despite temporary capacity bottleneck at our Dahej facility. These were effectively mitigated through strategic toll manufacturing arrangements. Additionally, Neogen Ionics contributed INR 12 crore to the quarter's revenue as we continue to scale our battery chemicals vertical.

Breaking down our performance by segment - our organic chemical revenue reached INR 187 crore, a steady 6% increase year-on-year; and our inorganic chemical segment showed even stronger momentum, delivering INR 33 crore in revenue, a 35% growth compared to the same period last year.

EBITDA for this quarter stood at INR 32 crore, demonstrating sequential resilience despite several transitional headwinds. On a year-on-year basis, our performance was impacted by temporary cost factors, specifically the operational overheads as we scale up at Neogen Ionics, and the additional interim toll manufacturing expenses. These were incurred mainly to keep the customer supply on during the plant reconstruction. We view these short-term costs essential to protecting our market share and preparing for our future growth.

As highlighted by Dr. Kanani, the near-term pressure from these transitional costs will be balanced by insurance claim recoveries under the loss of profit policy.

We reported a profit after tax of INR 4 crore for the quarter. The year-on-year variance is primarily attributable to the increased interest expenses related to our capital expenditure at Dahej, alongside the front-loaded expenditures at Neogen Ionics as it prepares for the large-scale commercial production.

Turning to corporate update:

Reflecting their deep confidence in the long-term growth trajectory, the Board has granted in-principle approval to raise up to INR 150 crore via preferential issue of equity shares to the Promoter Group. This infusion underscores the Board's unwavering commitment to Neogen's expansion and provides financial flexibility to accelerate our growth initiatives. This preferential issue is subject to the necessary regulatory approval.

That concludes my remarks. I will now request the moderator to open the forum for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Yes, good afternoon. Could we please start with the update on the gross and net debt balance at December 2025 and also some colour on the working capital trends? It does seem like the inventory DS

Os and receivable DSOs have increased during the quarter based on the numbers given at the back in the tables. What exactly were the reasons for these and what our outlook is for improvement on that front?

Dr. Harin Kanani: Hi Abhijit, thanks for your question. Yes, there is an increase a bit in the inventory as well as receivables. I think the (increase in) receivables is in line with increase in the business and overall what we expect, as we have said that this year, the debtors and the creditors will be more or less matching each other.

And in terms of inventory, there will be a little bit of increase this year because we are right now working with multiple external vendors and we also want to build in a little bit of inventory because we want to stop the external vendors by the end of the year and we want to start internal production in Dahej in the first quarter of FY27.

When we start internal production in the beginning, the plant is just ramping up. That is the time where we want to ensure that if there is a slight delay in production or ramp-up, our customer needs are taken care of. So, we are building up a little bit of inventory by the end of this year, so that we can take care of the next quarters.

As our Dahej plant starts and streamlines in the second half of the year, inventory should come on line and we maintain our target that once we have full utilization in the next financial year, by the end of next financial year, our inventories would be at around 140 to 160 days, is what we are targeting on the inventory side.

Page 6 of 23 And as we said, debtor-creditor usually depending on whether more international or more domestic sales, the debtors are usually between 60 to 90 days kind of a range by the end of the year and that is what we would like to target. And generally, debtor and creditor levels will try to keep at a similar kind of level.

Abhijit Akella: Yes, thanks, Harin. So, just the gross and net debt numbers if we could share at December 2025 end?

Dr. Harin Kanani: The net debt that we have today is around INR 680 crore on standalone basis and around INR 1,175 crore on a consolidated basis.

Abhijit Akella: Thank you for that. Second thing, just on the receipt of the money from Morita towards their 20% stake in the JV: by when do we expect to get that? And also, this INR 150 crore preferential allotment to the Promoters: by when would that money be expected to come in?

Dr. Harin Kanani: There are four non-business flows which are, non-operational flows which are significant, which are coming, let me share with you that. On the insurance front, we are very close to getting another INR 60 crore as a second interim payment against the rebuilding of Dahej plant, against the capex loss. That is expected within this week. It was actually supposed to happen, but there were some last-minute procedural issues between the insurance companies, which slightly delayed (the payment). So we are expecting around INR 60 crore within this week. And the main stock claim between INR 150 crore to INR 170 crore is expected before end of March 2026. That is around INR 210 crore which is expected here.

In reference to the \$20 million which we are expecting from Morita, we have to request our bankers because the entire project was part of one. Now we are taking the bank's permission to separate it out as two different entities. So that is in progress. As soon as that is received, we can complete the rest of the formalities, transfer the asset to the subsidiary, Neogen Morita, and then we can receive the equity from our partner. That will be towards the end of current quarter and depending on the final timing, maybe either this year before March 2026 or a little bit in April 2026. But basically by Q1, we should receive money from there.

And finally, the INR 150 crore by the Promoter. Our intention is to basically put the money before the end of March 2026. However, there

is some regulatory approval

which is needed because there were some transfers during trust formation from my Page 7 of 23 father and mother to the respective trusts. So we are seeking a clarification. Depending on the regulatory approval, either it will happen before March 2026 or it will happen in Q1. But in the worst case, by Q1 next year, we would have INR 150 crore from the Promoter, we would have around INR 200 crore from the partner, and we would have at least INR 200 odd crore from insurance. So we expect around INR 550 crore to come either in this year or in Q1 next year.

Abhijit Akella: Understood. No, that is very helpful. Thank you for that. Just a last couple of ones if I may. One is on the salt order receipts. Obviously, I think in the presentation and in your remarks you have mentioned that things are moving well and we are somewhat close to receiving the order. If you could please put some more color around it - exactly what is the status of things and by when do we expect to see some meaningful shipments happening there?

Dr. Harin Kanani: As we said in our opening remarks, a lot of people have shown very strong interest both, in the regular larger customers as well as non-regular, who will buy just one time or two times or something like that. Those sales have already increased and that is why you can see smaller but value-wise, a significant increase in terms of our quarter-on-quarter sales in the salt business.

For me the most important point is that while we have one customer with whom we have completed majority of the requirements, they have now started working on the final timelines for approval. As we had said, we will expect that by Q1 FY27 to happen. But in parallel, three to four other customers who, as we had said, had discussed earlier, have already started taking samples or some of them have started approving our samples and because of what is happening in Lithium, even our intermediates like, the simple Lithium salt, have also received very strong inquiries. Unfortunately, the approval cycle is such that some of them have already approved

our samples, they plan to do audits in the month of March, April, May 2026 and then maybe if we have something to do, some corrective actions based on that. So we expect by June 2026, our Dahej site should get audited and approved. And by that time, as you can see, most of our capacity will also be coming on-line. Once these capacities come on-line from Q2, Q3, Q4, we can see good salt-related revenues coming in from Dahej.

And in case of Pakhajan also, we are trying to speed up the salt so that by Q2 financial year, by September 2026, when we said, second half, but we want at least trial Page 8 of 23 production to start in first half so that we can start the validation process and maximum by December 2026 we try to get the Pakhajan site also approved so that we can take the maximum benefit of the 2027 requirements.

So, I would say Dahej site should be fully qualified through several customers by June 2026, that is Q1, by the end of Q1, and sales should start in Q2. And Pakhajan we are targeting in the second half, but our target would be to complete it by Q3 so that it starts contributing to the sales from Q4 in the next financial year.

Abhijit Akella: And on the capacity addition slide, the 1,100 tons to be commissioned at Dahej, the timeline is now mentioned as March 2026. I believe last quarter it was December 2025. Any particular reason for the slip of three months?

Dr. Harin Kanani: Our team had a training session with Morita team. Our team actually went to Morita's plant and had a hands-on training session. And during that, they picked up some of the improvements which we could further do. So we are implementing that. Most of it is almost ready, but we wanted to (implement the improvements) and we also had some slight design change which we carried out in the additive production part of that

. Its just that we were implementing some changes in the design for further improvement, so it went to March 2026. Anyway, still we have not received the approval, so we felt it is good to get them done now rather than start and then again stop. That is the reason why we decided to complete them now and complete the expansion by March 2026.

Abhijit Akella: Thanks a lot. Just one last thing from my side, Harin. One is, there were some news articles recently regarding the fact that one of the largest potential customers of yours who could set up battery capacities in India has kind of put their plans on the back burner because of lack of Chinese know-how or technology that they could source. Any thoughts on that? And the other thing just to add in quickly. Bromine prices have been very strong in recent times. Has that had any impact on our business in terms of realizations and is it possible to just break down the volume versus price for this quarter for organic and inorganic? Thank you so much.

Dr. Harin Kanani: First, about the customers. The specific customer which you mentioned, we have not received any such communication from the customer and we continue to discuss with them how we can meet their demands and those discussions continue. On the second point about Bromine prices being strong: most of this has been -- see again, it is not a very big difference, but I know for example in case of Lithium, in case of Organo Page 9 of 23 Lithium, we have slight volume increase. And in case of organic derivatives, it is very difficult to give you volume growth because the product mix changes quite a bit. So overall there is volume growth, yes, but it is because of the product mix, really that volume growth does not tell you too much. But specifically with regard to Bromine prices remaining, it has not changed too much of our business because usually most of our Bromine is contracted for a longer period of time and with our customers also, we have contracts. So, from one contract to another it kind of gets material. So unless you have a two-times, three-times increase in Bromine (prices), we really do not see a big impact related to that. Thank you.

Moderator: Thank you. The next question is from the line of Arun Prasad from Avendus Spark. Please go ahead.

Arun Prasad: Good afternoon, Dr. Harin. Thanks for the opportunity. My first question is - I am just reflecting back to our commentary in the previous call - we said that some of the last stage of approvals for salt, your customers will be visiting your facility in February 2026, I mean Jan-Feb 2026, or online and then approval, and then the final approval. Now we are once again talking about the timelines three to four months down the line. So just to understand, why this repeated delay in the approvals? I understand they have bit more time to comply with the regulatory requirements, but what is actually causing this continuous deferment of the approval timeline? That is my first question.

Dr. Harin Kanani: So Arun, we had said by Jan-Feb 2026 we will be ready with all the modifications which they need, post which, they will do it online or visit. So that is today the status. We are today in the middle of Feb 2026, and we are right now completing. And what we have basically intimated that yes, we have carried out most of the changes. So,

we keep discussing with them every alternate week. They said, okay, we will let you know what is going to be our action plan going forward.

So whether they will come within one, two weeks, whether they will come in three weeks, I do not know. But we were supposed to be ready by Jan and Feb 2026, which is what we are ready and now, they can come anytime. And what I told is, by June 2026, not only the existing customer but even the other customers also who are now approved, even they are likely to complete, so some of them started late. And even these guys now are saying, okay, I will come f

or an audit in April or March or

Page 10 of 23 something. So by June 2026 what we are expecting is all, even the new customers, also should complete.

Arun Prasad: And for this new customers also this is the final leg of the audit or it is just the beginning, first audit?

Dr. Harin Kanani: No, no, final. Final leg. Of course, they can come and say, I want a plant which is similar to your Pakhajan plant. So that is a call which they will take once they finally come and do. I cannot predict that. But yes, I mean that would be the audit. If they come, they are satisfied, then we can start. And then maybe some of them say, oh, Pakhajan is going to be a much better, much bigger plant because it is designed from scratch. Maybe we will just wait six months and take it from Pakhajan. So that can happen. But many of them right now are showing urgency to buy now. So we hope that they will start buying from Dahej and then move over to Pakhajan afterwards. So from three or four, maybe one or two will go this way. The others may say, I will wait for Pakhajan and then start. Because anyway, the capacity that we have in Dahej also is relatively limited.

Arun Prasad: And Dr. Harin, we also heard that some of your US customers are going through some restructuring where the OEMs earlier had entered into the JV and later on they are backing out. Does it concern you that at this stage this kind of restructuring is happening which could potentially again delay the approvals or something like that?

Dr. Harin Kanani: I think maybe you are talking of GM and Ford, doing some JV changes, etc. We are not affected by any of those.

Arun Prasad: Does it also reduce your potential clients from say, earlier you might have a mix of clients between OEMs and battery manufacturers and now potentially OEMs backing away from directly being a stakeholder in the manufacturing. So we will be having a reduced pool of such customers? Is the right way to look at it?

Dr. Harin Kanani: No. Arun, basically, you have to think that majority of the OEMs or these JVs are basically OEM cell producers. Basically what happens is when you are thinking of an electrolyte intermediate, which is LiPF₆, the two main vendors are the cell producer and the electrolyte maker. So these are the two people who have to approve you. And in some cases, the cell producer will also be an OEM. And as I explained, as compared to before where we had, maybe one company, which had contracted with Neogen. With the Morita JV that we have done, there are several more who are Page 11 of 23 interested. So actually our market in a way with the JV has expanded and more customers are available to us as compared to earlier.

Arun Prasad: Okay, understood. Second, you spoke about various fundraises which are going to happen across in the next six months, roughly INR 500 to INR 600 crore. This will be largely utilized for the working capital requirements as we scale up the business because most of your capex's anyway you have already tied up. So is it the case or we will be again going for the separate working capital loan? How should we look at this?

Dr. Harin Kanani: Whatever money we are raising, some of it would of course, the JV money which is going to come, that will be partly used for completing the capital projects because there also some contribution is still needed. As you see our total debt, you have not utilized all the term loans fully. So there is some contribution required from us. Partly it will be for that contribution, partly will be for working capital reduction. And it is all not fundraise. That is the money which is going to come in, whether it is from insurance, the second is from the JV, and the third is from what we currently propose as promoter infusion.

Arun Prasad: And our first interest payment, that is a moratorium that still we are few quarters away, right? And for the principal repayment?

Dr. Harin Kanani: Yes, fo

r whatever loans we have in Dahej, let us say if we are completing in Q1, then the first principal repayment will be Q1 of FY28. And in case of Pakhajan, it will be right now say H1. So, if we are saying H1 FY27 is when it starts, then H1 FY28 would be the equivalent first repayment after that. So, one year from the start of the plant. From the SCOD.

Arun Prasad: All right. Thank you very much, and all the best.

Dr. Harin Kanani : Thank you.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. My first question is in terms of our guidance for FY27 and beyond. We had indicated that we will be having about INR 400 to INR 500 crore from the battery chemicals part of the business. However, there has been slight delay in terms of commissioning of the project in terms of approvals. So, do we stand Page 12 of 23 with the same guidance or we would like to revise it for FY27 and maybe that will fall back even on FY28? Thank you.

Dr. Harin Kanani: No, our guidance remains the same because, the guidance the expectation was that our Dahej site will be fully ready by June 2026 and our expectation that, we will start having sales of this from basically Q1 and majorly from Q2 onwards. So that remains the same. Therefore, our guidance does not change. We have right now not considered the Q4 sales from Pakhajan. So that we have kept as a backup.

If there is further delay or so that would be like an additional sales which will happen. Just our Dahej sales and whatever expected electrolyte demand should be able to allow us to reach the original target and whatever we do in Q4 either in case if there is any slip-up from Dahej, than Q4 salt sales will be contributor for that or that will then be an additional one which will be over and above what we have planned.

Rohit Nagraj: Sure, that is helpful. And on the Neogen Ionics, the Morita JV. How this entire deal has been structured, effectively valuing the JV at \$100 million? What is the current infusion by Neogen in terms of equity as well as debt and there will be another \$20 million which will come from Morita? Given that we have INR 1,500 crore of total investment planned for this, how will the equity participation and the debt look like at when the entire investment has been made?

Dr. Harin Kanani: Basically, we are still discussing with the banks. One thing which is very clear is 80% is going to be Neogen's portion, 20% is going to be Morita's portion. We are still discussing with the banks exactly the debt-equity ratio which we have once we do the separation. We are hoping they will maintain at the same 70-30 level.

Depending on that, whatever is the balance which is not contributed by the bank will be in the form of equity. Some of this has already been contributed in the form of equity. I will be able to give a better clarity on this once we have the final clarification from the banks, the loans are separated and we are able to take it separately.

Rohit Nagraj: Right. Just one clarification. So effectively next year when Dahej starts generating the revenues, there will be a 20% minority interest for the equity stake of Morita. Is that right understanding?

Dr. Harin Kanani: No, not in Dahej. Dahej is 100% Neogen. Only the Pakhajan site is going to be through Morita.

Page 13 of 23 Rohit Nagraj: Okay. And can you just split up in terms of Pakhajan site what could be the potential revenues in FY27 and maybe on a longer term in FY29?

Dr. Harin Kanani: In Pakhajan, the salt business - if the question is from the point of view - the Pakhajan site is going to be for Morita, only the salt part will be Morita and Dahej, the electrolyte will continue to remain with NIL. So, in FY27 as I explained earlier that currently we have not considered significant sales because it will be in Q4, we have kept as a bonus.

So, most of what guidance

we have given will be largely NIL sales. Maybe, some of that would be routed through NML, because ultimately, for example, the salt in the international business is going to be sold by the JV. But from a revenue point of view, I think most of this would be NIL for FY27.

If we talk of FY29, see FY29 is a bit tricky, because it depends on how much of the salt we are consuming internally and how much of the salt we are selling in the international market. Now that depends on how the international market develops beyond the initial years and the desire to have a China-free supply chain, etc. And the second is how the Indian customers choose whether they want local supply of LiPF₆ or they want lower cost or you know, so it depends on that.

So actually, if you see, we have to take care of our existing international customer demand as well as Neogen's own internal consumption, then we would need more capacity for the salt because the current capacity of salt is not going to be enough. We will have to add capacity. But I think that clarity and that decision will take somewhere towards end of FY27 or FY28 to take care of the FY29 demand.

Because India electrolyte demand is still developing, in FY27 and FY28, the existing salt, the capacity will be sufficient to take care of both. But by FY29, if we have to take care of both international as well as local consumption, then we need to add more capacity. So I think it is a little bit difficult for me to tell you in FY29 how the

breakup will be.

Rohit Nagraj: Sure. This is helpful. Thanks a lot for answering all the questions and all the best, sir. Thank you.

Dr. Harin Kanani: Thank you so much.

Page 14 of 23 Moderator: Thank you. The next question is from the line of Meet Katrodiya from Niveshaay. Please go ahead.

Meet Katrodiya: Yes, good afternoon, team. Thank you so much for the opportunity. One question on the US side. If Chinese origin salts get restricted from let us say 2027, is it possible that US customers think about pre-buying and storing inventory in 2026 and then start using it in 2027?

Dr. Harin Kanani: Meet, there are two things. The batteries which are made in 2027 cannot be using Chinese. So, it is not about buying, it is about making batteries which are not containing the material. So, it does not help them to store and use that. It is not like custom duty which is going to come up. It is a different thing. It is on the usage. So, that is not happening. The second thing is the way things stand today, with Chinese prices, sometimes China is even more expensive. Third point is even if you wanted to store and use, usually the shelf life is not more than 6 months even at a electrolyte salt stage. So, I do not think they can store too much of it.

Meet Katrodiya: Got it. And also, when customer talks about reducing China dependence, how does it actually play out in practice? Do they typically start a phased dual sourcing ramp-up or ahead of the time they will start from Q3/ Q2, FY27 onwards or when we can see the major ramp-up from US customers?

Dr. Harin Kanani: There are two types of customers. There are some customers who are cautious who started working with us 2 years back, preparing for it. There are few customers who are saying that yes, they would like to have a ramp-up, so they will have Q2 some quantity coming from Neogen, then Q3, then Q4 and then maybe next year further quantity. So there are some customers like that. There are some which are very price sensitive. So, of course now last two months the things have changed, but till that time they said that till Q4 we will audit you, we will validate you, everything we will keep ready and Q4 is when we make the switch. Because that is what is regulatory driven.

It is completely like that, there was one customer who was more regulatory driven. There were some customers who wanted to be cautious, wanted to gradually scale up. Other customer says approval

is very complicated. First do Dahej, then again do

Pakhajan...so I will start only directly from Pakhajan. It is a mix of those. And some of these also keep changing because they had some different response when the Chinese prices were very low three months ago. Now they have another response Page 15 of 23 where they said that okay, before I said I will buy only from Pakhajan, but now okay, maybe I can consider Dahej also. So let me start approving Dahej. So all this is like changing customer to customer and again depending on the market situation.

Meet Katrodiya: Got it, very helpful. And last one based on the ongoing negotiation with customers and ecosystem players in India. Any rough indication, actual working with the actual cell capacity operational by let us say end of 2026 and how that number looks to you in 2027?

Dr. Harin Kanani: You mean calendar year 2026 and 2027?

Meet Katrodiya: Yes, right.

Dr. Harin Kanani: Sorry, what was the question again? The voice was not very clear.

Meet Katrodiya: Yes, I asked that based on your negotiation with customers and your ecosystem players in India for the battery cell manufacturing, any rough indication how much actual cell capacity can come online by the end of calendar year 2026 and how does that number look in 2027?

Dr. Harin Kanani: You are saying cell manufacturing capacity, right?

Meet Katrodiya: Right. Battery cell.

Dr. Harin Kanani: Okay. Battery cell manufacturing if you see right now what we have to go by whatever is public information available. So Ola has announced to go from 1.5 to 5 giga. Then you have a 3 giga which is starting of Exide and 4 giga which is starting from Waaree Energy. So if you look at that, between them technically you should be having around 12 gigawatt hour of production which will be coming online in the current year.

And by end of this year, you should have 12 giga, if we say 12 giga and if the ramp-up happens okay, every month, for example, 1 giga kind of consumption should be reached by let us say end of December 26. So the actual production may be like 3 giga or 5 giga or 6 giga depending on how it ramps up.

But when you enter 2027, you enter with a 12 giga of already installed capacity. And to this you may have to add then whatever Reliance has announced and Amara Raja

has announced and Tata has announced. So if you think of their original starting Page 16 of 23 capacities also, what they wanted to do. So Reliance intention was to reach up to 40 giga in one year from start. If you look at Amara Raja, I think the starting capacity was around 2.5 or 5 giga and Tata has not announced the starting capacity. So if you add all of that you should be let us say at least about 25 giga, 30 giga by end of 2027 as we enter 2028. And, by that time you might and sorry you also need to add that by that time if Ola further increases the capacity or Waaree's intention to increase capacity from 4 to 20 or Amara Raja or Exide's plant to increase from 3 giga and beyond. So, I think by end of 2027 we should be if everything goes well by end of 2027, we should be 40-50 giga plus entering into 2028 based on what customers have shared till now.

Meet Katrodiya: Got it. And one question on let us say if I was talking with many players, so everyone is of the view that everyone will prefer to have two suppliers, right? One primary and another maybe secondary. Let us say if in India, if Waaree wants to have two suppliers, so what is the let us say moot or maybe the USP of Neogen that it can be the primary supplier as compared to other competitors? Just want to understand what are the qualitative terms that Neogen pitched to Waaree or maybe other guys also that they prefer to have Neogen as the primary supplier.

Dr. Harin Kanani: I think one is we are already ready. We already have three-four years experience to make it in the lab and supply successfully and last one or two years even from a commercia

I plant in Dahej. Second, we have Mitsubishi collaboration. Mitsubishi is known to be the best electrolyte producer in terms of quality. So, then you can be 100% sure about the quality of the supply. And the third is we have the backward integration. Fourth is we have actual capacity because one of the thing is you need to have the capacity. So right now we will have a 30 gigawatt hour worth of capacity which will be ready so that nobody has to worry about whether Neogen can supply enough quantity or not. I think these three, four things make Neogen in a positive note.

And just for your reference not everybody in electrolyte has always two suppliers. I know historically many companies where one single supplier, if they feel the risk they will ask the same supplier to keep multiple plants, but sometimes they can have one single supplier exclusively. So two suppliers is not always a necessity in case of electrolyte.

Page 17 of 23 Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Harin, my question is on our CDMO and advanced intermediate business. How much was the contribution from these two business verticals in 9M FY26 and how is the progress and the inquiries in CDMO and advanced intermediate business? Any guidance on that for FY27?

Dr. Harin Kanani: Nilesh, thank you so much for asking a question other than battery. Appreciate that. No, I think CDMO and advanced intermediates, we are slightly better as compared to last year and for the first 6 months, 9 months, we were actually ahead as compared to last year. Whatever POs which we had with our customers, we completed and now some of the new revised repeat POs, people are waiting especially on the CDMO side for the new site to come online.

We have shared our progress with the customers and maybe by end of this month or from March 2026 onwards customers will start visiting and we expect again some repeat orders or new projects which were on hold, we can start receiving orders against that.

But overall I think we will expect that as we go let us say this year, if you look at the run rate we are at around INR 800 crore-plus kind of a revenue and as we go from INR 800-plus to INR 950 crore or so. We feel CDMO and advanced intermediates will be a significant area where we will have growth. If I were to just look at 9 months numbers, they are basically the same as compared to the previous 9 months at a CDMO and advanced intermediate level.

Nilesh Ghuge: Despite our Dahej facility not being there, right?

Dr. Harin Kanani: Yes, despite. There was one semiconductor customer that required a specialized equipment. They had enough inventory so we had to skip, we could not do this year. Despite Dahej not being there, we were able to maintain at same levels. Most of these products we were able to do from Mahape and Karakhadi. Some we could not do so we could not register a growth there, but we were able to maintain.

Nilesh Ghuge: And secondly on this toll manufacturing arrangement that we made because of non-availability of our Dahej facility. What percentage of revenue is currently coming Page 18 of 23 from that and when we are ready with our Dahej facility, do you expect some margin expansion because you are shifting from tolling model to in-house production?

Dr. Harin Kanani: Yes, currently some of the higher costs that you are seeing will reduce, as we move from other expenses, which will change a bit. Whatever is the tolling related expenses, that will go away. Of course, some of it will come in the form of additional power and fuel kind of expense at our Dahej plant. But net of what we feel is, you will have improvement in our cost structure.

Nilesh Ghuge: How much business currently we are doing through our tolling model that we can shift to our in-house production?

Dr. Harin Kanani: Nilesh, it is very difficult for me to say because, you know, in some cases I am just

doing one stage there. It is not that, completely it has been done. We are using it on a need basis. And you can basically say that we are able to maintain our current revenues because of several sites, we are not using just one site, there are several sites which we are using in different ways.

So, you know, just like most of it whatever we want to use it will be done by March and April 2026 onwards, our Dahej plant will start getting available partially, maybe by end of June 2026, we feel it will be fully available. So with the inventories that we will build up and the first quarter, the way once the production starts, I think we should be okay and then let us say Q2 onwards you should not see that, we will have a stable production.

So one, you know, as we try to get INR 950 crore, our quarterly run rate also improves to INR 225 to INR 250 crore kind of range in the next financial year, as well as some of the tolling related expenses will go down. And also our insurance premium, the first year is the toughest, that is from July to July. So once that July gets over, from next year, maybe Q2 or Q3 onwards, you have Dahej which is fully stabilized. You have the worst of the insurance over. And the tolling arrangement cost is also gone. And hopefully by that time, Dahej also will be contributing from Q2, Q3 onwards significantly on the battery material side, so that is when you know you will have good improvement in our performance.

Nilesh Ghuge: Okay. Thanks Harin. Thanks a lot. And all the best.

Dr. Harin Kanani: Thank you Nilesh.

Page 19 of 23 Moderator: The next question is from the line of Pratham Kankariya from Quantum Asset Management. Please go ahead.

Pratham Kankariya : Yes. I had one question on the inorganic segment. If I exclude the Neogen Ionics revenue, the trend has been on the downward side for the inorganic chemical segment. If you can present your views, - what is the cause for this? Is this solely attributed to the downward lithium prices? But now that also have spiked up. So, just wanted to get your view.

Dr. Harin Kanani: Yes. It is solely attributed to the downward lithium price and the spike impact we'll see maybe little bit in Q4 but more in the next year if the spike is maintained. So, because till Q3, the lithium prices started increasing by November, December 2025, almost towards December and in January you saw most of the increase to happen. So the material from there will hit me by March or April 2026. Before that, you will not see a big spike.

Pratham Kankariya : Okay, sure. But, still revenue has come on the lower side. Solely attributed to the price, right?

Dr. Harin Kanani: Yes.

Pratham Kankariya : Okay, fine. Sure. Thank you. That is it.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Thanks for taking my question. Now probably it is a given that Pakhajan will ramp up only in H2 FY27 as you mentioned. Now, just accounting for that. Would we be able to clock in INR 400-INR500 crore from battery chemicals in FY27, accounting for that and any approximate revenue estimations for FY28 as well?

Dr. Harin Kanani: See, we have considered very limited from the salt sales from Pakhajan, because we said it is in H2. So electrolyte will be stable in H1 and as you know I answered earlier that increase in capacity of Ola, Exide getting stable, then you know we said even Waaree starting. So maybe we can expect some electrolyte revenues coming in the second half from these people ramping their operations up.

So that is what is something which we have considered. And as I explained, we said, the salt in Pakhajan will come in H2. So, technically we have not considered any

Page 20 of 23 sales, although we are on track that at least in Q4 we can get some sales, but I have right now kept it as a backup that in case this year, from the time we got listed first time

e, whatever revenue projections we had given we had to make a significant correction.

So I am a little bit more careful. What we have done is that Q4 whatever Pakhajan salt sales we have not considered, if Dahej is slightly delayed or electrolyte is delayed, the Q4 salt sales will allow me to make up for that so that we do not go wrong on our guidance in the next financial year. And I think FY28, it is too early for me to give a number, but one thing which looks very strong to me is that our salt capacity should be utilized at 80% or more.

You know, because that is something which is in very strong demand. If I sell it in the form of electrolyte, it will be higher. So if I look at today's market price and, if you think of 5,500 tons of total salt capacity and if you think of a 80% utilization even on that, that is around 4,400 at \$20-plus kind of price. Salt and additive is even higher. So on an average price above \$20, if this assumption is valid. Then you would have an INR 1,000-crore plus kind of revenue. And of course, whatever I sell in the form of electrolyte, that's further value addition. So, it should ideally be beyond INR 1,000 crore. But how much beyond is a little bit difficult for me to tell you.

Jason Soans: Sure. But at least for the initial estimate you said INR 400-INR 500 crore, we are sticking to that. For FY27 for battery chemicals.

Dr. Harin Kanani: Yes. There is no change in that.

Jason Soans: Yes. Because you said electrolyte at least will be stable and at least we will be able to garner some volumes from the electrolyte sales.

Dr. Harin Kanani: Yes. And we see, electrolyte sales unfortunately I am dependent upon how my customers start their plant. There is nothing which I can do beyond. So that is why I have kept the Pakhajan Q4 as a backup where anything we do over-perform there can be a backup in case, India electrolyte demand does not shape up as much or in the beginning approvals in Dahej are delayed. So we can kind of make up for that.

Jason Soans: Sure. And if you could tell me, 30,000 MT is what you are clocking in at Pakhajan, which will come on stream in, in terms of electrolytes. So by H1, how much will be online, from the 30,000 MT?

Page 21 of 23 Dr. Harin Kanani: By end of H1, the way the plant is, we are doing a joint trial with Mitsubishi. So our idea is that the entire 30,000 MT, there are three lines and all the three lines would be tested and we would be ready for the 30,000 tons kind of annual capacity, which is monthly like around 2,500 tons.

But, we will take care of the operational side, if we do not see in the first year, business visibility, in terms of planning our people or some other expenses, we will kind of do it gradually. But the plant will be ready for the entire 30,000 MT together.

Jason Soans: Okay, sure. And just in terms of revenue growth from the base business which gets talked about less nowadays. Just to understand in FY27 and FY28, and as FY26 was subdued, I understand the fire incident, but with FY27, can we expect double-digit revenue growth especially with the Dahej plant coming on track post the fire? So just wanted to know for organic, inorganic, how do you expect the base business, can we expect a double-digit revenue growth there?

Dr. Harin Kanani: Yes.

Jason Soans: Okay, sure. And just lastly, wanted to understand in terms of this QIP, this INR 150 crore as you mentioned, just a little bit unclear on this. So, the INR 150 crore is it that Promoter group is going to increase the stake or is it just a regular QIP which is done? Just wanted to get some clarity on that.

Dr. Harin Kanani: No, this is a preferential issue. We felt that, Neogen could help with the equity. We know the insurance money is also coming, the equity is also coming. But as I said, there is a good salt demand also. So we felt that you know if we have to do a little bit more on the salt or additive or as well as in the interim, if we had

that equity then

that would really help Neogen to seamlessly continue. And make sure that all our execution in 2026 happens seamlessly, and that was the whole idea. So we as a promoter group decided to invest INR 150 crore. But as I said, there is just one clarification we need to take because my father and mother had formed a trust, which was the family trust, and you know SEBI already gives permission that it is a promoter and promoter group. But because of that, there has to be some cooling-off period. So, whether that is needed or not, we are just taking some regulatory guidance on that. But otherwise the idea was to bring in INR 150 crore in the Company before March 2026. So that will also reduce the interest burden, and give us lot of flexibility on things that we want to do.

Page 22 of 23 Jason Soans: But that comes in from the Promoter group. Is that right? So our stake which is right now at 51.22%, that increases in the company.

Dr. Harin Kanani: That is right. Yes.

Jason Soans: That is right. Okay, that is great. And one last thing, this insurance claim money, I understand you said Morita is fine it'll take some time, INR 150 crore from the Promoter at least in Q1 FY27, this insurance claim, of INR 200 crore for the stock

claim, by when can we get this?

Dr. Harin Kanani: INR 60 crore is expected maybe today, tomorrow like you know within a week, because the insurance company had already taken all the documents from us for release of the INR 60 crore, we had the agreement. This is the second interim against rebuilding the plant. So we have two stock and rebuilding the plant. Against rebuilding the plant, they are ready to issue INR 60 crore at any given point of time. There are five insurance companies, so they all have to pool into the lead insurer and the lead insurer transfers the money to us. So that process is ongoing, and that should happen anytime.

Then, the stock claim was also, the insurance company had appointed a third party Big 4 kind of auditor. So that process is almost complete. They should finalize the report, based on that surveyor should finalize the report, and you know based on that the money should ideally be released before March 2026. But it can slip up, so that is why I said March or April 2026. But we are working very strongly now with the insurance, that look we have built the whole plant. In fact, if everything happens, we can even ask for the third interim because you know this should still be INR 140 crore.

So, we can still ask for one more interim release before March 2026. But at least these are the two which I am currently taking. And then of course in the next year, as I explained earlier, that the rebuilding cost is going to be more than the loss. So, the balance material which is left against the rebuilding plant, as well as the higher rebuilding cost. So that has to be assessed and that has to be released and the loss on profit has to be assessed.

So that is something in my view, the first part the balance on the stock, I mean, sorry the balance on the capital rebuild should happen before September, and maybe the loss on profit should happen somewhere between September to December. So in a Page 23 of 23 way, everything from the insurance ultimately hopefully should be achieved by September to December next year.

Jason Soans: Okay, thanks for answering the questions. Thank you.

Dr. Harin Kanani: Yes.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today, which is from the line of Pratham Kankariya from Quantum Asset Management. Please go ahead.

Pratham Kankariya: Just small thing, what would be the ceiling on capacity utilization both on the salts and electrolytes once we fully ramp up?

Dr. Harin Kanani: You mean utilization wise? Normally salt would be at 80%. It is like a chemical plant. In case of electrolyte, it is a formulation plant so you can go up to 100%.

Pratham Kankariya: Okay. Sure

. Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to management for closing comments.

Dr. Harin Kanani: Thank you all for your time and participation today. We trust we have addressed your queries. Should you have any further questions or require additional clarification, please reach out to our Investor Relations team. We appreciate your continued support and look forward to updating you on our progress again next quarter. Thank you once again. Have a great day ahead.

Moderator: Thank you. On behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Disclaimer: This is a transcription and may contain transcription errors. Although an effort has been made to ensure a high level of accuracy, the Company takes no responsibility for such errors.

Call: May 2026

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May 25, 2026

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Debt Segment Code: 977028 National Stock Exchange of India Limited
Listing Department, Exchange Plaza,
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Company Symbol: NEOGEN

Sub.: Q4FY26 - Earnings Conference Call Transcript.

Dear Sir/ Madam,

With reference to the captioned subject, please find enclosed herewith the Earnings Conference Call Transcript of the Company's Q4FY26 Earnings Conference Call held on May 18, 2026 at 4:30 p.m. IST.

The transcript is also being uploaded on the company's website at <https://neogenchem.com/financial-performance/> .

Kindly take the same on your record.

Thanking you,
Yours faithfully,
For Neogen Chemicals Limited

Unnati Kanani
Company Secretary and Compliance Officer
Membership No. A35131

Encl: As above

Page 1 of 20
Neogen Chemicals Limited
Q4 FY26 Earnings Conference Call
May 18, 2026

Moderator: Ladies and gentlemen, good day and welcome to Neogen Chemicals Limited's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing 'star' then 'zero' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishid Solanki from CDR India. Thank you, and over to you, sir.

Nishid Solanki: Thank you. Good afternoon everyone, and welcome to Neogen Chemicals' Q4 FY26 earnings conference call for analysts and investors. Today, we are joined by senior members of the management

team, including Mr. Anurag Surana, Non-Executive Chairman, Dr. Harin Kanani, Managing Director and Mr. Gopikrishnan Sarathy, Chief Financial Officer. We will commence the call with opening thoughts from the management team, after which we will open the floor for your questions.

Before we begin, a standard disclaimer. Certain statements made or discussed today may be forward-looking. Actual results could vary. A detailed disclaimer is available in Q4 FY26 earnings presentation, which has been shared and uploaded on stock exchange websites. With that, I would now like to invite Dr. Harin Kanani to share his perspectives. Thank you, and over to you, sir.

Dr. Harin Kanani: Good afternoon everyone and thank you for joining us to discuss our fourth quarter and full year FY26 financial results. I trust you had an opportunity to review our investor presentation. I will begin with an overview of our operational performance and key strategic developments during the quarter, followed by an update on our long-term growth initiatives.

The global chemical industry continues to operate in a challenging environment marked by persistent overcapacity, pricing volatility, and subdued demand across several end-use sectors. In addition, the industry has witnessed elevated supply chain disruptions and input cost pressures arising from geopolitical developments in the Middle East. Despite these headwinds, differentiated specialty chemical players with strong customer relationships, technological capabilities, and niche product offerings continue to demonstrate resilience.

Against this backdrop, Neogen Chemicals delivered a strong financial performance during Q4 FY26, supported by sustained demand visibility across our core products and high plant utilization levels. Our growth momentum was steered by rising volumes across key end-use app

lications, including pharma,

Page 2 of 20 flavours and fragrance, and other specialty applications. While input costs, including packaging material and logistics-related expenses, remained elevated during the quarter, our strategic pass-through mechanism helped protect our core profitability.

Importantly, FY26 was also a defining year for Neogen as we continued our transition towards a future-ready portfolio led by battery materials. This strategic shift was further reinforced by the promoter group's capital infusion of INR 161 crore through preferential allotment at a premium to the SEBI floor price, reflecting strong confidence in Neogen's long-term growth trajectory and significant opportunities emerging within the lithium-ion battery materials ecosystem. The proceeds will support the expansion of Neogen Ionics, working capital requirement and other strategic initiatives.

As our CFO will shortly take you through the detailed financial performance, let me briefly highlight the quarterly performance. On a consolidated basis, revenue for Q4 FY26 stood at INR 247 crore, registering a strong growth of 22% year-on-year, while EBITDA increased by 21% year-on-year to INR 44 crore. EBITDA margin sustained at 17.8% despite expansion-related overheads, geopolitical-led supply chain disruptions, and temporary costs associated with the Dahej replacement facility and toll manufacturing arrangements. Profit after tax for the quarter stood at INR 11 crore.

On Dahej replacement facility, construction of the plant is progressing rapidly, and commissioning remains on track for June 2026. On the insurance front, we received a recent tranche of INR 60 crore in February 2026, which provides additional liquidity comfort during our ongoing transition. This brings our total cumulative on-account insurance claims received to INR 140 crore plus a salvage realization of INR 7 crore. Our net claim receivable stands at INR 203 crore, and we are working closely with insurers towards expediting the final settlement process.

Let me now turn to our battery chemicals business, which remains the most important strategic pillar for Neogen's future growth.

Our Pakhajan greenfield site continues to progress in line with planned activities. Commercial manufacturing for electrolyte remains targeted for H1 FY27, while electrolyte salts are expected in H2 FY27. During the quarter, the project achieved a significant operational milestone with completion of mechanical assembly and successful transition into the trial run phase for the specialized electrolyte plant. Our immediate priorities are process stabilization, phased capacity ramp-up, and customer qualification.

We continue to witness improving demand visibility for India's giga-scale ACC battery manufacturing ecosystem, alongside strong international interest for non-FEOC compliant supply chain.

Encouragingly, we have received provisional approval from additional global customers for lithium electrolyte salts, while final site audits for multiple US-based electrolyte makers have also been completed and are currently awaiting final commercial clearances. These developments position us well to transition from pilot and qualification volumes towards regular commercial supplies over the coming quarters.

During the period under review, we calibrated our execution strategy, which led to a revision in the project timelines and capital outlays for our battery materials projects. Please note that the updated

Page 3 of 20 project timelines remain fully aligned with our earlier guidance. We are on track to commission both, the Dahej and Pakhajan plants, within the current financial year, FY27. Under this updated schedule, the Dahej Phase 1 project is budgeted at INR 428 crore and is firmly on track for completion by February 2027. Concurrently, the revised cost for Pakhajan Phase 2 stands at INR 1,367 crore and expected completion is by March 2027.

These revisions primarily reflect design-led op

timization following the integration of advanced

Japanese technologies, along with higher localization of critical subcomponents aimed at improving long-term operational reliability and reducing import dependence. Importantly, this investment significantly strengthens the competitiveness and technological robustness of our battery material platform over the long run.

Our strategic partnership with Japan's Morita continues to progress well, and their planned equity contribution of \$20 million towards the joint venture is expected during the H1FY27. Through this partnership, Neogen is building India's first non-FEOC compliant electrolyte salt manufacturing platform backed by proven Japanese technology, creating a differentiated and globally relevant supply chain alternatives.

Neogen is at a pivotal inflection point as we enter FY27, a year that will fundamentally transform our business scale. The commissioning and ramp-up of one of India's largest dedicated battery materials' facility at Pakhajan, combined with normalization of our standalone operations following Dahej replacement plant commissioning, will significantly strengthen our growth trajectory. We believe Neogen Ionics is well-positioned to emerge as a globally competitive and reliable partner within the battery chemicals value chain, supported by improving customer visibility, technology partnership, and India's rapidly evolving energy transition ecosystem.

We remain confident of achieving revenues in the range of INR 875 to INR 950 crore in FY27 on a standalone basis, considering full production from MPP-5 from Q2 FY26 onwards.

With that, I would like to hand over the call to our CFO, Mr. Gopi Krishna Sarathy, who will take you through the financial performance for the quarter and the year in greater detail.

Gopi Krishna Sarathy: Thank you, Dr. Kanani.

Good afternoon everyone, and welcome to Neogen Chemicals' Q4 & FY26 earnings call. I will take you through the financial highlights for the quarter and the year. Please note all the numbers are on consolidated basis.

Revenue for Q4 FY26 stood at INR 247 crore, registering a strong growth of 22% year-on-year.

Performance was driven by improved volumes, sustained high plant utilization across our core businesses despite ongoing supply chain disruptions, elevated input costs arising from geopolitical developments in the Middle East. Neogen Ionics also maintained steady momentum during the quarter, contributing INR 13 crore to Q4 revenues and INR 36 crore for the full year.

Page 4 of 20 Looking at our operational verticals, Organic Chemicals recorded a revenue of INR 194 crore, up 7% year-on-year, while Inorganic Chemicals segment delivered a standout performance with INR 53 crore in revenue, marking an impressive 145% expansion over the previous year base.

EBITDA for the quarter stood at INR 44 crore, up 21% year-on-year, with consolidated EBITDA margin maintained at 17.8%. As indicated by Dr. Kanani, the performance remained resilient despite expansion-related overheads at Neogen Ionics, temporary supply chain disruptions, and one-off costs associated with Dahej replacement facility and interim toll manufacturing arrangement. As the upcoming Pakhajan and Dahej facility progressively scale up, we expect stronger operating leverage and improved fixed cost absorption, further supported by insurance recoveries.

Profit after tax for Q4 FY26 stood at INR 11 crore, reflecting robust profitability. Finance costs remained elevated on account of ongoing capital deployment towards Neogen Ionics and the reconstruction of the Dahej facility.

For FY26, revenue stood at INR 862 crore, registering a growth of 11% year-on-year, while EBITDA increased to INR 137 crore and PAT stood at INR 29 crore.

H2 FY26 reflected a significantly stronger cash flow performance compared to H1 FY26, supported by improved operating efficiency and better working capital management. Net cash from

operating

activities turned positive at INR 14.6 crore in H2 FY26 versus an outflow of INR 246.1 crore in H1 FY26, driven by healthy cash generation from operations.

Turning to our balance sheet, consolidated total debt reached INR 1,330 crore in FY26, bringing the net debt to INR 1,295 crore. Increase in debt was driven by targeted funding for the Dahej facility rebuild and ongoing capital deployment at Neogen Ionics. We remain focused on optimizing our balance sheet, driving working capital efficiency, and maintaining a highly prudent capital allocation strategy to maximize sustainable returns on our investments.

Reflecting our strong performance and long-term growth confidence, the Board has recommended a final dividend of INR 1 per equity share for FY26. This underlines our commitment to delivering consistent value to our shareholders.

That concludes my remarks. I will now request the moderator to open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: Good afternoon, Harin. Good afternoon, Gopi sir. My first question is on this revision in your cost for the battery chemical projects. You mentioned that there will be import substitution and there will be a long-term operation reliability. But our cost as far as this project is concerned has gone up more than

INR 250 crore.

Can you tell us how much saving we can do or the returns that you expect? Are you increasing your ROCE as you mentioned in earlier discussion that 18% kind of returns you expect from this project,

Page 5 of 20 but if you are investing this much more, more than Rs. 250 crore capex. Any improvement in that? That is the first question.

Dr. Harin Kanani: Sure. Thank you for your question. We are basically aligning our technology to Morita technology. That has been one reason. And the second reason if you would have seen that in the investor presentation, we have added additional 500 metric ton intermediate facility of a simple lithium compound for which we have an opportunity to sell to our international customers including our partners. This is the total of that.

And with the savings that we have in raw material and due to other operational efficiencies, even today when we look at our return on capital employed, ROCE numbers, they are at 20% - around 18% to 20%. So, when we put together the revised model also, the return remains at 18% to 20% - 20% being the base target on the salt side and with electrolyte, as I said, we are finalizing it, but effectively we should be targeting 18% to 20% ROCE, even after the revised capex.

Nilesh Ghuge: Okay. And secondly, how much was the revenue from electrolyte business in FY26?

Dr. Harin Kanani: In the total INR 36 crore of revenue numbers, it was below INR 10 crore, but I do not have the exact number for you right now. The majority of it is from the salt.

Nilesh Ghuge: Okay. But when you are guiding INR 875 crore to INR 950 crore of revenue in FY27 for our standalone business, how much revenue are you factoring in from salt plus electrolyte in this?

Dr. Harin Kanani: INR 875 crore to INR 950 crore is non-battery business. So, there is no salt or electrolyte sales in the INR 875 crore to INR 950 crore revenue.

Nilesh Ghuge: And this is after factoring in the Dahej replacement plant?

Dr. Harin Kanani: Yes.

Nilesh Ghuge: Okay.

Dr. Harin Kanani: If you remember, our original guidance was around INR 950 crore to INR 1,000 crore on full utilization level. Dahej plant is starting a little bit later. We had targeted to start in Q1. Instead, there were some delays in completing the project because of labour shortages related to construction over last 2-3 months. So, it got slightly delayed. That is why we are saying INR 875 crore to INR 950 crore. But we are seeing very positive signs for organolithium sales as well as lithium sales, which is not impacted

by Dahej. If we are able to outperform in that, then we would be able to even achieve the original INR 950 crore to INR 1,000 crore. But because there was a slight delay in starting the Dahej plant, that is why we said INR 875 crore to INR 950 crore.

We are trying our best with organolithium and lithium compounds to achieve the original target of minimum INR 950 crore and then INR 950 crore plus kind of revenue from the standalone. And this does not include any electrolyte salt or electrolyte. The electrolyte salt and electrolyte, the Neogen

Page 6 of 20 Ionics revenue potential we had mentioned last year to be INR 300 crore plus. The same remains the current guidance also. We expect to have a INR 300 crore plus kind of revenue from our NIL business. However, this will mostly be in the second half. We will see some improvement from Q1, Q2, so we will see quarter-on-quarter improvement, but majority of the sales will be in the second half as more giga factories come online for electrolyte as well as our Pakhajan site is also expected to come online in the second half, and the final capacity in Dahej is also expected to come by Q3. So, I think all of this will give a boost in Q3 and Q4 and that is where you will see majority of the revenue coming.

Nilesh Ghuge: Okay. And lastly on the quarterly numbers. Our revenue grew by about 12% Q-o-Q and around 22% Y-o-Y. So, can you split that in volumes and value?

Dr. Harin Kanani: Most of this is basically by volume. There was hardly any impact of may be 2% or 3% which was because of value. Rest of it was completely through volumes.

Nilesh Ghuge: Okay. Thanks.

Moderator: Thank you. Next question is from the line of Arun P from Avendus Spark. Please go ahead.

Arun P: Yes. Good evening, Dr. Harin. My first question is how is the lithium price and bromine price currently as compared to the previous quarter? Have we seen these stabilizing and how will this reflect in our topline, in our legacy business in the quarter?

Dr. Harin Kanani: Bromine prices have stabilized a bit because after there was a pause in the war, there were shipments which Dead Sea Bromine was able to arrange to China market, which over a period of time started stabilizing the bromine prices and bromine prices have remained stable. We will see if there is no further disruption, they may reduce also because they remain at an elevated level.

When it comes to lithium prices, there was one large jump, but after that it is slowly increasing. We have not yet seen a stable lithium price. It is very difficult to predict how it works, but we feel this is driven by higher demand for ESS and even some areas we are seeing a little bit more push towards EV with the current gasoline prices and higher petrol and crude oil prices. If the trend continues, we may see lithium prices increase further beyond this level, but it is very difficult to predict at this point in time.

Arun P: And if these kind of prices sustain, our potential from the standalone business, how much it will increase

because we are currently still sticking to our close to INR 900 crore topline. Any early indication how can we expect an increase in this potential revenue?

Dr. Harin Kanani: I normally do not factor in commodity price increase into how it will change our topline significantly because most of it is a pass-through and it is anyway something which is difficult to predict. So, for us more focus is on what we consider as a normal price revenue potential, what we have given you right now, which is basically INR 875 to 950 crore. This (is at) sustained lithium price. Even now lithium prices are around USD24/USD25 lithium carbonate prices, which as per me is the kind of a normal price because USD15 to USD20 is what I consider as a long-term stable lithium price. So, it is only slightly above. So, the abnormally low prices are gone. Now it is closer. I would say USD20 plus minus

Page 7 of 20 USD5 as a lo

ng-term stable price. We are in that range. If it goes beyond that, then you may have some additional revenue, but you know, there is no point to factor in. It is basically a pass-through. My topline to that extent will be higher, but does not mean that it will have any impact on the EBITDA on that higher price. Therefore, I do not tend to consider.

Similarly, bromine price also ideally should be between INR300 plus minus INR50. Today they are a little bit higher. Although because of our contracts, we did not see a very significant impact in the last quarter. But yes, if they remain at this elevated level, there will be some increase in the bromine prices as well, which will impact the topline. But currently, we are not factoring that topline when we are doing our budgeting. If they remain at an elevated level, to that extent our revenues will be slightly higher.

Arun P: Understood. But what explains the inventory absolute increase in the inventory receivables?

Dr. Harin Kanani: The absolute increase in the inventory was mainly because we had taken some of the outside locations on rent basis to get capacities. These contracts were getting over by March 2026. And since Dahej was not fully online, we built up some inventories to take care of our sales in Q1 and Q2. We also decided to ultimately extend it slightly by another month, month and a half to take care of the sales, but we wanted to wind down those operations with Dahej plant coming online. It was mostly driven by that; and some product mix related requirements that we had where we had to create some inventory.

Moderator: Next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Thanks for the opportunity. First question on the salt pricing. How is the price gap now with China versus our pricing?

Dr. Harin Kanani: When you compare with China, if we see most of the beginning of the last year, the prices were actually almost 40% – 30%, 40%, 50% lower or even sometimes higher - lower as compared to what our let us say long-term formula prices were. However, after December/January, we saw when the lithium prices increased, we saw increase in the salt prices as well. And then, it reduced a little bit. So, we still have a 20%/30% decrease. But it is lower as compared to earlier. It is still a bit lower as compared to our prices. In December/January, we saw an increase, but then it did not sustain for too long. So, there was a period when they were even more expensive than us. And then again, they cooled off a little bit. But still not to the same levels as earlier. So, this is more reasonable price as compared to what it was, but still a little bit lower as compared to what ideally it should be.

Ankur Periwal: So, what is the gap now? You said they went up, they came down, but what is the differential now?

Dr. Harin Kanani: Now the differential would be, if we look at our formula long-term price, so it would be around 20% to 25%.

Ankur Periwal: Okay. Fair enough. And just two clarifications. One, the interest subvention that we have...when does it start? From what date one should build that in? And it will be a cash flow relief. The P&L provision etc., will still continue? And the second question is on the standalone manpower cost. We saw a sharp jump there on a Y-o-Y basis full year. So, what is driving that?

Page 8 of 20 Dr. Harin Kanani: I am not very clear on what do you mean by interest subvention?

Ankur Periwal: Sorry, it is not subvention, but moratorium that we got from bank side...from that.

Dr. Harin Kanani: Yes. The moratorium is for the period of one year from the revised start of commercial operations. So, whenever we have the first start of stable commercial operations, there will be one year moratorium from that date. As we have announced, I think in the last call itself, that for Pakhajan there was an extension of one year for the electrolyte as well as the salt.

Assumin

g from our side, most of the work on the electrolyte should be ready by H1. If we start commercial production and all the qualifications are completed in H1, then one year from that. And in case of the salt in H2, from the time we have the commercial production, one year from that. And in case of our Dahej site, we will be again on an extension for one sub-section of 1,000 tons capacity, which got delayed and instead of Q1, we are expecting it to start in early Q3. So, I think wherever that SCOD happens, from that, there will be a one year moratorium.

Ankur Periwal: Sure. And this is a cash flow relief. The P&L provisioning will still continue?

Dr. Harin Kanani: Yes. I will just ask Gopi to answer that.

Gopi Krishna Sarathy: Yes, it is cash flow relief only for the principal repayment. Interest will start immediately after the COD is achieved.

Dr. Harin Kanani: And just for clarification, whatever interest during the project is already considered in the revised cost of the project. So, till the time it is capitalized, the interest is already included in the revised cost.

Moderator: Thank you. Next question is from the line of Rohit Nagraj from 360 One Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on one good Q4. The first question is in terms of the battery manufacturers' plant in domestic market. Individually what is the status? And just allied question to that - on Slide number 12, we have given current project updates where we have mentioned that the first approval material is shipped to the customers and for remaining 1,300 MTPA, the trial production is ongoing. So, will we have to validate the entire 1,500 metric ton capacity as and when it gets commissioned from a trial production perspective and what could be the timelines for the same?

Dr. Harin Kanani: Sure. Let me answer the second question first. It was about the samples that we have given, are representative for the entire 1,500 metric ton. And even the 1,000 metric ton which is remaining, is going to come from the same site. So, basically now, with whatever samples we have submitted and we also intimated that three customers, three electrolyte makers in the US have now just completed the audit trial.

With those for the three customers who have already audited and for the others we have submitted samples, for Dahej, we do not need to submit any fresh samples unless there is a customer request because sometimes a customer for each electrolyte maker for each battery maker, they may request separate samples. But for the majority of our customer requirements, most of the sampling work is done. The audits are also completed. Post audit, they have given us some corrections which we expect

Page 9 of 20 to complete within one or two months. And then once we demonstrate that, gradually the commercial supplies can start. So, we expect by July or August 2026, we will have commercial supply start, and we do not have to wait for additional approvals for Dahej site.

Also, all the customers who visited, they also visited Pakhajan site, which is under commissioning and they were all very appreciative of the way the site is shaping up and the systems which we have put in the site, especially because it is designed from scratch with the Japanese technology. And most of them were of the opinion that the approval cycle in Pakhajan will be shorter because our testing method, raw material supply, manufacturing, all of this is already aligned. Only just the site is changing. So, Pakhajan will have a relatively shorter approval cycle. This was the feedback from the customers who audited and approved us during the last quarter.

Rohit Nagraj: Right. And just one clarification on the question in terms of the domestic battery manufacturers. Where are they in terms of putting their plants and probably providing us the commercial orders?

Dr. Harin Kanani: Sure. One of the customers has already been buyin

g from us small volumes for last one year. And they have now also increased their capacity which is coming online. Within the first half, their capacity is increasing from 1 giga to 5 giga. The estimation that we have received from them will increase for the current year. We expect a significantly higher volume as compared to the last year. All the approvals are in place and we are on track. It is just a question of their actual consumption and Neogen right now is the only source for them and we have excellent relationship with them. So, that business is certain. The volume depends on their actual production and actual consumption.

When it comes to the second customer, the second customer has also visited and done an audit and in principle approved Neogen as a site. There will be still more detailed qualification. This customer is also a giga customer who is starting a pilot line sometime in the second quarter and they will start commercial production in 2027. So, right now the way it stands, we are still discussing some commercials, but technically they have qualified the site to use the material in their trial production line, the pilot line, which the volume will be much smaller. It will not be at giga scale. It will be mega scale. But the important thing is that since they will use it in the pilot line, they will have the customer approval, so the shift to the giga factory will be smoother.

On top of that, two of the giga customers who have started production or are expected to start later on in calendar year 2026, both of them have given us their recipes and we have already submitted our samples and right now they are testing our versus China performance of the cells using Neogen electrolyte versus China electrolyte. So, once they do the performance trial and they have sufficient data, then they will start the process of moving Neogen as a qualified supplier for them.

So, we already have two customers, one giga scale, one megawatt hour scale, who have qualified Neogen. Two more are in the pipeline who are starting in 2026. They are in the process of validating Neogen's electrolyte versus Chinese electrolyte. And two other customers who are likely to start in 2027. We have had a good commercial and technical discussion and site visits and we remain engaged with them for the final approval and qualification. Again, the question is they both had an original intention to switch from China, but how to switch from China to Neogen is what is currently being worked out.

Page 10 of 20 Rohit Nagraj: Sure. The second question in terms of the funds for our expansion. Given that we will be receiving INR

200 crore from the insurance claim and \$20 million from Morita JV, do we need any additional funding during FY27 and after the current projects commissioning, what is the gross block at the end of FY27? Thank you.

Dr. Harin Kanani: Both the Morita money coming in and insurance, is expected and as INR 160 crore equity has gone has been taken care of. So, this money is sufficient to take care of completion of the project and to take care of the initial requirement. So, we are on track for that. And I think the total gross block of Neogen Ionics would be around INR 1,700 crore to INR 1,800 crore at the end of FY27 as most of the CAPEX will be completed.

Rohit Nagraj: And for standalone, and on a consolidated basis?

Dr. Harin Kanani: Gopi, standalone would be like somewhere around INR 450 crore to 550 crore?

Gopi Krishna Sarathy: That is right. Yes.

Dr. Harin Kanani: Once MPP3, MPP5, our Dahej site expansion is completed, we expect to be in the range of INR 450 to INR 550. You can say basically whatever was the standalone gross block before fire plus maybe INR 40 crore or INR 50 crore more which would have gone towards higher cost of the rebuilding. Again, hopefully that will also be majorly covered by the insurance proceeds.

Rohit Nagraj: Sure. Thanks and all the best.

Moderator:

Thank you. Next question is from the line of Abhijit Akella from Kotak Institutional Equities. Please go ahead.

Abhijit Akella: Yes. Good evening. Thank you so much. First one, would it be possible to just share a breakdown of the Organic Chemicals business line between the three lines that we mention, bromine derivatives and the other two?

Dr. Harin Kanani: I think bromine derivatives was about 40-45% of the revenue. The advanced intermediates was about 30% of the revenue. The organolithium and lithium together were the balance.

Abhijit Akella: Okay. And when you mentioned that most of the revenue growth was volume-driven, does that apply even to the inorganic business? Because inorganic we have seen 140% growth. So, is that largely volumes then?

Dr. Harin Kanani: Yes, it is mostly volume because I think people knew that the lithium prices were going up and we still had some inventory. So, there was a good demand, and we were able to capture that. We have seen that, when the lithium prices are on upward trend, volumes increase first. We will have to see whether that will be sustained because sometimes people are expecting higher lithium prices coming down the line, so they are covering up. Anyway, Q4 is usually our strongest quarter for lithium most of the years.

We will have to see how the next year goes, but we have also added few new customers and we are now able to recycle the lithium which is coming out of the organolithium plant. So, all these also have

Page 11 of 20 made our lithium business a little bit stronger. So, we will see, if that will allow us to still continue the growth as well as whatever is the growth because of the higher price of lithium in terms of the overall topline we expect in the coming year.

Abhijit Akella: Okay. Thank you. And just the other last second one I had, just two, three small parts within this, some accounting clarifications. One is in the standalone cash flow statement. There is, under investing we see an INR 86 crore proceeds from sale of assets. So, is this by the parent to Neogen Ionics? Just wanted to clarify that because it does not show up in the consolidated books.

Second thing is, the capital work in progress. If I look at consolidated minus standalone, the difference is about INR 700 odd crore, which implies that maybe we still have another INR 1,000 crore to go, you know, given that the total project cost is now INR 1,795 crore or so. So, this entire INR 1,000 crore we expect to complete by Q3, or could there be, I mean, it really sounds a little bit unrealistic there. The last one was just the employee costs. Sequentially it seems to be down about 22%. So, just wanted to get your perspective on that. Thank you.

Dr. Harin Kanani: I will answer on the calculation that you did for CWIP of INR 700 crore plus. I wanted you to just keep in mind that some of the CAPEX for our inorganic, battery business has already taken place. So, it is not INR 700 crore plus what is capitalized is what we have spent. That will be roughly at around INR 950 crore to INR 1,050 crore is what we have spent and the remaining INR 600 crore, INR 700 crore will be spent in the current year.

Gopi Krishna Sarathy: And also some part lies in the capital advance.

Dr. Harin Kanani: Okay. And some of it is also part of the capital advances which has been there. For the specific query about your INR 86 crore, I will ask Gopi to reply.

Gopi Krishna Sarathy: You are right. The sale process relates to the sale transfer of asset from NCL to NIL, which was done two years back. The money was not received while the transfer had happened earlier. Now that the CCD is in place, NIL has paid off that money. So, that is why it is been recorded in the cash flow as our sale of property, plant and equipment.

And the other question on the employee cost. Sequentially it has come down mainly because of the actuarial. There was some change in the actuarial assumption tha

t has resulted in some credit. That is

the reason on a sequential basis the employee cost is showing a reduction.

Abhijit Akella: Great. Thank you so much for the clarification. All the best.

Moderator: Thank you. Next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Yes. Thank you for taking my questions. Just wanted to understand. You did speak about lithium pricing being on a normalized level right now. So, just with regards to that, wanted to know what could steady

state realizations be in dollar terms for salts and electrolytes both?

Dr. Harin Kanani: For me the more stable lithium price would be \$15 to \$20 being like a base price. I feel ideally speaking on a long-term basis when supply and demand are balanced, \$20 of lithium carbonate is a reasonable

Page 12 of 20 price considering the cost of the lithium, the spodumene like mining cost and some royalties which are paid to the Governments on that. Plus minus \$5 would be the fluctuation. \$15 to \$25 would be like an ideal range of lithium which should be. So, right now they are a little bit on the higher side. They are around \$24/\$25, higher end of it. And at \$20, we have given salt around \$20-odd and \$20/\$21 and our additive around \$25 to \$30 in that range. So, right now it would be a little bit higher as compared to that.

Electrolyte also depending on the volume and the scale, we had, as you remember in the beginning, said around \$8 to \$10 and later on we had said around \$6 to \$8 per kg. So, we expect, currently it should be with the current lithium price somewhere around \$7 to \$9 per kg, otherwise \$6 to \$8.

This also depends on other raw material inputs. So, the lithium prices have corrected, but some of the other inputs like solvents, etc., have not yet fully corrected. In this, I am not taking the war-related because if I consider today's prices with impact of war, then it can be even above \$8, closer to \$10 plus kind of a price. This is at 5,000, 10,000 ton level. And in the beginning, customer demand would be 1,000 ton, 2,000 ton at which it should be a little bit higher because the raw material cost and conversion cost is higher at that point in time.

Jason Soans: Sure. So, \$6 to \$7, \$7 to \$8 would be a decent range for electrolytes.

Dr. Harin Kanani: If you are thinking of \$20 with the other raw materials, I would say \$6 to \$8 would be the range. So, \$7, \$7.5 as a average price.

Jason Soans: Yes. Sure. And just wanted to know, when you look at the consolidated cash flow, CAPEX has basically amounted to INR 555 crore it is been FY26. Now our CAPEX also has been revised upwards which was around INR 15 billion, now it is basically gone to around INR 18 billion. So, it is an extra INR 300 crore which is being the revised CAPEX. Now just aligning all these things, just wanted to know what could be the CAPEX outflow over a like-to-like basis in FY27 and FY28 going ahead?

Dr. Harin Kanani: Okay. FY27 and FY28 you mean calendar year 2027, 2028, right?

Jason Soans: No, no. When I look at FY26, I mean when you look at the cash flow statement. FY26 is INR 556 crore. So, FY27, FY28 just wanted to know how that would look like?

Dr. Harin Kanani: FY27 we would complete with the balance CAPEX which could be around INR 600 crore/INR 700 crore. Plus maybe about INR 100-odd crore in Neogen. So, total together at around INR 800 crore. That is for FY27 and FY28, unless something changes dramatically, we do not have at present any fixed plans for increase in CAPEX for Neogen because we want to fully stabilize the plant, achieve full utilization. Similarly, we have not yet planned any major capex for FY28 at present. Although as we have said in the past that if both international demand and India demand comes up, we will have to increase our salt and additive capacity. But to what extent we have not yet decided, so I am not able to give a number at present.

Jason Soans: Sure. And just one final

clarification. I believe you said FY27, INR 36 crore was battery chemicals revenue in FY26 and FY27 you expect INR 300 crore, but it will be more towards the H2 FY27. That is the second half. Am I correct?

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Dr. Harin Kanani: Yes. Revenue...revenue for the battery chemicals.

Yes, for the non-battery it is INR 875 to 950 crore in FY27.

Jason Soans: Yes, correct. And for the battery chemicals, you said INR 300 crore entire battery chemicals, but mostly towards H2 FY27.

Dr. Harin Kanani: Yes, more than INR 300 crore for FY27, larger portion in the second half, every quarter sequentially you should see an increase.

Jason Soans: Yes. And FY28 with everything going on stream finally, the entire CAPEX any ballpark numbers for FY28?

Dr. Harin Kanani: Yes, we had in the past calculated that, just the salt capacity at 80% utilization and we expect a very healthy salt demand, like electrolyte salt and additive demand. So, that itself is like you know, revenue of INR 1,000 crore plus. Depending on how the electrolyte demand shapes up, it will be something more than INR 1,000 crore.

As we said, on FY29, it is like INR 2,400 crore to INR 2,900 crore. So, we feel in FY28, it will be something more than INR 1,000 crore, let us say INR 1,200 crore, INR 1,400 crore that kind of a number. But we will be able to give you more clarity, in the second half of the current year.

Jason Soans: Sure. Thank you so much for answering this.

Moderator: Thank you. Next question is from the line of Meet from Niveshaay. Please go ahead.

Meet: Our first domestic electrolyte customer is highly satisfied with Neogen compared to our competitors. Mainly because of our quick response time and our ability to modify the electrolyte solution as per their requirement, right? So, this helped us to secure the order. Just want to check how the negotiations are progressing with other cell manufacturers who are not using the standard, who are not using the wet

dry coating? Are we also achieving a dominant position there?

Dr. Harin Kanani: As I explained earlier in the call, second customer also visited our facility, had a pre-round and has qualified (Neogen) to use our electrolyte for their second line. And then there are two more who are now evaluating our electrolyte performance versus China electrolyte performance and two more are discussing with us.

I think the factors are Neogen's existing experience, the bigger plant capacity which is available because you need a higher capacity to take care of all the customers. We have a 30,000 ton plant which is under trial production and that too is built with Mitsubishi technology. I think all of this is a positive for the customer. And now the customers with their experience in China last one year are also looking at localization.

Page 14 of 20 The fact that Neogen has electrolyte salt and additive backward integrated, even electrolyte solvent purification is backward integrated. So, some of these features are very attractive for the customer and as with all the 6 giga factories under construction, we are having very positive discussions ongoing currently.

Meet: Got it. Second one. Several South Korean electrolyte players already have their plants in US, right? For electrolyte? Now they have also announced a CAPEX in Korea itself for salt manufacturing, right? Either JV or MOU. So, in that context, are your US salt customers looking at Neogen mainly as a second source or as a maybe backup supplier or do you see clear visibility for Neogen to become a meaningful supplier for the US?

Dr. Harin Kanani: At present, if you look, there are already existing, established, we have discussed in the past calls that there is one Japanese company and there is a Korean company with limited experience and there are two manufacturing plants which are coming up in India. And in Korea, while there were many announcements. But of these announcements, today actively being pur

sued is only one company which is still working on and they are working with a technology.

So, you have two existing, one Japanese and one Korean and three new, two Indians and one more Korean which is trying to start up. So, in this, Neogen is the only one which has a technology partnership with Morita, which is seen as an established technology because it has been in use. So, between the three new, we see some advantage of customers looking at us as a stabilized or more reliable supplier and hence they look at Neogen a bit more preferentially as compared to the others. This is our view for LiPF₆ electrolyte salt.

Meet: Got it, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Archit Joshi from Nuvama. Please go ahead.

Archit Joshi: Hi. Good evening. Thanks for the opportunity. Two short questions, squeezing them into one. What would be the contribution of BuLi Chem in Q4 and FY26? And number two, what explains the sharp increase in trade payables, almost as good as the COGS for the whole year? If you can explain these two things. Thank you.

Dr. Harin Kanani: We are not giving our sale of organolithium plant individually because it is a single molecule. But as compared to last year, we have seen an increase in our revenue and we have seen approvals in the international market in the semiconductor applications and we are expecting few more approvals in the international market.

So, for us, current year in organolithium business has been good, we are looking really forward to this year where we expect a sharp increase in the business contribution from the organolithium side. We achieved one of our highest productions as some of you may know in the past we had announced. We had increased capacity 2.5x. So, we reached the full monthly volume, the highest peak volume ever in the month of March and we continue to see that in the current quarter as well.

As compared to the installed capacity which was around 120 metric tons, we had increased 2.5x to 300 metric tons per year. So, this year and last year was somewhere in between. So, this year we are very

Page 15 of 20 strongly looking at a potential to achieve almost 80%, 90% of our increased capacity. And then if everything goes well, we may do a small CAPEX to further increase this capacity in the coming year, but we are seeing a very strong response to our organolithium business.

Archit Joshi: Second bit was on the trade payables, the very sharp spike that we have seen. Like I said, almost like 365 days outstanding of trade payables. What would explain that?

Dr. Harin Kanani: As you know, last year we had already a lot of financing to do. There were lot of funds which were required. We were awaiting some insurance payment. We discussed this with our suppliers and we were able to negotiate longer credit terms with them and some of them were also able to get factoring against Neogen's payment lines. So, we were able to get longer credit terms. So, we have basically used longer credit terms with them.

And our long-term target as we said is to balance our debtors with our creditors. This time the creditors were still little bit on the higher side than that, which was some kind of a special support from our suppliers because of fire-related situation.

Archit Joshi: Got it. So, going into FY27, we should start seeing the payables to come down as we get the insurance part of the money?

Dr. Harin Kanani: Yes. Yes. And hopefully, like I said, our debtors and creditors will stabilize each other and our stock

will keep improving as we use full utilization levels. So, we will achieve the long-term working capital cycles gradually over next 2 to 3 years as we had informed earlier.

Archit Joshi: Right. Sure. Thank you.

Moderator: Next question is from the line of Tejas Sonawane from Asian Market Securities. Please go ahead.

Tejas Sonawane: Yes. Thank you for the opportunity. I just have one question. In the

result document, you have

mentioned the revised project timeline for Pakhajan Phase 2 as March 2027. I just wanted to understand if this is the timeline which has been provided is more for the electrolyte formulation part and also

Dahej Phase 1? As you had earlier highlighted, the capacity which we are setting up at Dahej would be largely based on our own technology, while in the remarks you have also said that we are transitioning from in-house to Morita technology. That will be more towards the Pakhajan part or are we also shifting our 2,100 incremental salt capacity to the Morita technology? That is it from my side.

Dr. Harin Kanani: I think most of the Dahej capacity remain our capacity. We have done some adjustments to the technology, but majority remains and the salt capacity in Dahej also includes additives where we do not have collaboration with Morita. That remains completely Neogen's own technology. So, a large part of that 2,500 metric tons is related to our own and majority of the Morita-related technology adjustments were in our Pakhajan facility, but one change if you look at our investor presentation. And that is, we have added 500 metric tons of additional intermediate salt capacity, which is required or which is the starting material for our raw material for electrolyte salt, which we are in discussion where this is consumed by our partner, Morita in China as well as few other customers who are making LiPF₆. And Morita being our partner, they are positively considering to purchase this from us and other established LiPF₆ producers are also considering to buy this intermediate from us to achieve the China-free

Page 16 of 20 requirement. So, that is the additional CAPEX required for our Dahej site, which has been updated in our presentation.

Tejas Sonawane: Okay. Got it. And on the revised project timeline which was given in the result document as March 2027, that is for our electrolyte 30,000 ton capacity which is coming up?

Dr. Harin Kanani: No. That is for the entire project because till now, the bank is in the process of dividing it. So, this is the SCOD which we have taken approval from lenders. In terms of our timelines, H1 we should have completed majority of the electrolyte work and H2 for the salt. That remains unchanged.

And similarly, in case of Dahej Phase 1 also, by Q3, already 1,500 tons are completed and only the last bit of 1,000 tons and the 500 tons addition that we have planned should be completed by Q3 and maybe a little bit capacity by Q4. Again, this is the approval which we have taken from the bank.

We remain committed to completing majority of the Dahej site, the balance 1,000 tons plus the new 500 tons intermediate, by Q3; and as we explained, for the Pakhajan facility, H1 for electrolyte and H2 for the salt. And in H2 also, mostly by the end of Q3 it should be ready. Q4 we should be able to do additional revenue. Revenue can start getting generated. But since sometimes approvals take longer, we have not factored in any revenue from this. We have kept it as a backup in case if electrolyte revenue is reduced because of lower demand in India. Then whatever revenue we get from Pakhajan in Q4 will be used as backup or otherwise it will be additional revenue, which is the INR 300 crore plus part depends on Q4 from Pakhajan minus any reduction in electrolyte. So, that would be the balancing figure.

Tejas Sonawane: Okay. Just a small follow-up. So, 5,500 tons would be our total salts plus additives capacity and this 500 tons intermediate which we are setting up would be over and above that 5,500 tons?

Dr. Harin Kanani: That is right. Yes.

Tejas Sonawane: And out of that 5,500 tons, what would be the split between salts and additives?

Dr. Harin Kanani: Salts would be approximately 4,000 tons and 1,500 to 750 tons would be the additive.

Tejas Sonawane: Yes. Okay. Got it. Thank you so much. That is all from my side.

Moderator: Thank you. Next

question is from the line of Pratham from Quantum Asset Management. Please go ahead.

Pratham: Hi. Just one thing. Since we have increased the CAPEX, what would be the peak debt that we would be seeing? Previously, we have alluded to INR 1,700 crore, I guess, as the peak debt. And what would it be now?

Dr. Harin Kanani: As we explained in our presentation, since we have already raised INR 160 crore equity which has come in from the promoter as well as \$20 million from our JV partner which was not factored in during the initial discussion, the peak debt will not change. Will remain the same as earlier.

Page 17 of 20 Pratham: In Inorganic Chemicals, if I just deduct the INR 36 crore revenue which we received from Neogen Ionics, then there is just a 10% drag in the Inorganic Chemicals. And it has been dragging us continuously. So, what is the reason that we can attribute it to?

Dr. Harin Kanani: During most of the year, the lithium prices on an average were lower. I can see one that as one of the reasons, but I would need to take a little bit closer look before I can answer it.

Pratham: And in volume terms, have we been growing on that front?

Dr. Harin Kanani: I have seen no significant increase or decrease. Has been more or less, overall stable.

Pratham: Sure.

Dr. Harin Kanani: Or slight increase also, but yes.

Pratham: Just one more thing. If suppose, there is a delay in ramp-up in capacity, given what I am trying to factor in, I foresee a liquidity issue in the company. So, if you can just help me, if you can just clarify on this part, how is the ramp-up happening?

Dr. Harin Kanani: As you see whatever has been the delay in our project startup, the repayment schedule has already been delayed to the same extent. So, broadly speaking, whatever was supposed to get completed in March 2026 is getting completed by March 2027. But now that we have got the extra time, most of the approvals, everything will be in place. So, the revenues also will ramp up. And overall, I do not see a big change as compared to that.

And the additional CAPEX which was required was already funded through additional equity both from promoter side as well as the JV partner. So, for us, there is not too much of a difference. Whatever insurance proceeds we are receiving on a regular basis and whatever balance also we expect to receive in a relatively shorter period of time. So, we are not concerned. But if there is any need, we will always keep a watch. And if required, we would raise money if needed.

Pratham: Sure. No concerns. Thanks.

Moderator: Thank you. Next question is from the line of Akshay from Alpha Invesco. Please go ahead.

Akshay: Thank you for the opportunity. My question was regarding our domestic giga factory customer who is utilizing dry battery electrode. How does the architectural shift impact the technical specifications of the electrolyte considering it is a dry battery electrode? It will be a little more sensitive to moisture and all. So, I wanted to understand that.

Dr. Harin Kanani: When it comes to electrolyte, any component you change in your manufacturing changes the electrolyte composition. So, when you go from LFP to NMC or within LFP for the application, different kind of cylindrical versus prismatic type or even depending on the application, whether it is for energy storage or whether it is for EV applications. Each one has a unique electrolyte design depending on the size, shape, and the type of technology used in the battery. On the anode also you have carbon only or carbon silicon.

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Yes, dry cathode is a relatively challenging technology, so it requires more trials to begin with. But in my view, it is one of the stringent requirements, when you go for NMC dry cathode, that too with no secondary cooling. We already have achieved electrolyte which

is performing really well in this

condition. So, yes, each electrolyte, each cell design we have to optimize the electrolyte.

Akshay: Okay. Got it. And the same customer has been scaling up their capacity to 2.5 gigawatts. So that would create a demand for 250 to 400 tons of LiPF₆? I wanted to understand what portion can we cater to from this demand?

Dr. Harin Kanani: The normal rule is, 1 gigawatt hour requires 1,200 to 1,400 ton for LFP and in case of NMP, between 400 to 600 metric ton per gigawatt hour. I will not be able to comment specifically, but as I explained to an earlier participant, the scale-up which has been done by the customer, we expect a higher electrolyte demand from them as compared to last year - significantly higher. However, the actual consumption, one is the capacity, but you run the plant at what capacity depends on the customer, production and sales plan. So, depending on that, we will see how much actual electrolyte gets bought. But yes, the demand should be significantly higher as compared to last year.

Akshay: Okay. So, based on what is going on, the current demand that is going to the customer, can we say we could do 50%/60% of their requirement?

Dr. Harin Kanani: From our side, we can meet 100% of the customer requirement and more, because we have a capacity of 2,000 metric ton which is already in place and another 30,000 metric ton will be ready by H1. So, we can take care of the entire customer requirement.

Akshay: We can take care of the customer, but is it a requirement, is it feasible or even wise enough? I am just trying to understand what is the probable scenario here?

Dr. Harin Kanani: There is a very high probability that last year also 100% was met by us. And unless there are commercial differences, next year also 100% can be met by us. It is very common for a battery company to work with only one electrolyte company. Historically for decades, companies have worked in this way or at the most when they go to 500 giga kind of a volume or very large volume, they may have two suppliers. But there are very many examples where for decades, one entire battery company consumed electrolyte from only one company.

Akshay: Yes. Thank you.

Moderator: Thank you. We will take the last question from the line of Vedant from Nirmal Bang. Please go ahead.

Vedant: Thank you for the opportunity. I want to understand, we wrote in our press release that we are confident of achieving a revenue in the range of INR 875 crore to INR 950 crore in FY27. So, if we consider INR 875 crore, it is kind of 2.33% growth for a full year basis. Can I get some understanding, in three to five years of the timeline, if we get all the approvals, our all CAPEX and capacities come into picture, what kind of revenue we can make at Neogen on a consolidated basis?

Page 19 of 20 Dr. Harin Kanani: Next three to five years? Okay. So, our FY29 at full utilization level. We have already stated

that this

year was INR 950 to INR 1,000. We have been a little conservative saying INR 875 to INR 950. As I explained earlier, we will try our best to achieve the higher end of the spectrum, which was the lower end earlier. So, this is on the Neogen level. And our guidance was that for FY28, we would like to have a full utilization with optimization, which can produce INR 1,100 crore plus kind of revenue.

So, our FY28 tentative target is around INR 1,100 odd crore. And if we maintain the same growth rate, by FY29, we should be INR 1,200 crore plus, between INR 1,200 to INR 1,400 crore plus revenue just based on the regular demand in the existing business. If we make a significant further investment in organolithium or some semiconductor related or flavour fragrance or to take care of higher CSM needs, that would be additional.

But with investments which we have done today, we would expect somewhere around INR 1,200 to INR 1,250 crore by FY29. And on the battery side, we have already guided

to INR 2,500 to INR 2,900

crore. So, somewhere around INR 3,700 to INR 4,200 crore is the expected revenue by FY29 on a consolidated basis.

Again, like I told you, I see a need that we would have to add some additional salt capacity because in FY28 we are seeing increase in both, local demand of electrolyte as well as international demand for LiPF₆ salt. As well as we would also expect the CSM demand to start coming in from FY29 onwards. So, there will be some additional investment which we may have to make in FY28, which will give a higher revenue in FY29. But this is something we do not know yet. With the existing capacity, we can have revenue of around INR 3,700 to INR 4,200 crore plus based on the projections which we have made till now.

In terms of capacity, currently our Pakhajan site can take care of around 30 gigawatt hour of electrolyte and electrolyte salt. There is space to go three times higher in Pakhajan facility. So, if you are talking of five years, depending on how the demand in India shapes up and in the international market, we can basically increase capacities for that.

Similarly, across our organolithium site and our Dahej site as well as our Baroda site, we have the ability to go up to INR 4,000/INR 5,000 crore of revenue through brownfield expansions. So, we will see. Depending on how the demand shapes up on a three-year FY29 with whatever guidelines we have given, our projections, we project somewhere between INR 3,700 to INR 4,200 crore kind of revenue by FY29.

And then let us say if we are thinking of FY31, whatever we decide in the future CAPEX to increase on electrolyte salt as well as in the base business for more CSM, more semiconductor, more organolithium as well as the inorganic lithium demand to go further.

Vedant: That was very helpful. Thank you so much.

Moderator: Thank you very much. And now I hand the conference over to the management for closing comments.

Page 20 of 20 Dr. Harin Kanani: Thank you for your time and engaging discussions. For any remaining questions, our Investor Relation

team is available to assist you. We value your continued partnership and look forward to sharing our next quarterly update with you. Thank you again.

Moderator: Thank you very much. On behalf of Neogen Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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